

Alkem Laboratories Ltd. (ALKEM)

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Call: May 2023

22nd May, 2023

The Corporate Relationship Department
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Scrip Code: 539523 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex ,
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Mumbai 400 051.
Scrip Symbol: ALKEM

Dear Sir s,

Sub: Q 4 FY2023 - Earnings Conference Call Transcript

We enclose herewith the transcript of the "Q4 FY2023 Earnings Conference Call" which was hosted by the Company on Friday, 19th May, 2023.

The said transcript shall also be made available on the website of the Company.

Kindly take the same on record.

Sincerely,

For Alkem Laboratories Limited

Manish Narang President - Legal, Company Secretary & Compliance Officer

Encl.: a/a

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"Alkem Laboratories Limited
Q4 FY 22-23 Results Conference Call "
May 19 , 202 3

MANAGEMENT : MR. SANDEEP SINGH – MANAGING DIRECTOR –
ALKEM LABORATORIES LIMITED
MR. RAJESH DUBEY – CHIEF FINANCIAL OFFICER –
ALKEM LABORATORIES LIMITED
MR. AMIT GHARE – PRESIDENT , INTERNATIONAL
BUSINESS – ALKEM LABORATORIES LIMITED
MR. YOGESH KAUSHAL – PRESIDENT , CHRONIC
DIVISION – ALKEM LABORATORIES LIMITED
MR. AMIT KHANDELIA – AVP FINANCE – ALKEM
LABORATORIES LIMITED

MODERATOR : MR. SUMIT GUPTA – MOTILAL OSWAL FINANCIAL
SERVICES LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to Alkem Laboratories Limited Q4 FY '23 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask

questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sumit Gupta from Motilal Oswal Financial Services Limited. Thank you, and over to you.

Sumit Gupta Thank you. Welcome to the 4Q FY '23 Earnings Call of Alkem Laboratories. From the management side, we have Mr. Sandeep Singh, Managing Director; Mr. Rajesh Dubey, CFO; Mr. Amit Ghare, President International Business; Mr. Yogesh Kaushal, President, Chronic Division; and Mr. Amit Khandelvia from the finance team. So over to you, Amit, for the opening remarks.

Amit Khandelvia: Thank you, Sumit. Good afternoon, everyone, and thank you for joining us today for Alkem Laboratories' Q4 FY '23 and Full Year FY '23 Earnings Call. Earlier during the day, we have released our financial results and investor presentation, and the same are also posted on our website. I hope you have had a chance to look at it. To discuss the business performance and outlook going forward, we have on this call the senior management team of Alkem.

Before I proceed with this call, I'd like to remind everyone that this call is being recorded and the call transcript will be made available on our website as well. I would also like to add that today's discussion may include forward-looking statements and the same must be viewed in conjunction with the risks that our business faces. After the end of this call, if any of your queries remain unanswered, please feel free to get in touch with me.

With this, I would like to hand over the call to Sandeep Singh to present the key highlights of the quarter gone by and strategy going forward. Over to you, Sandeep.

Sandeep Singh: Thank you, Amit. Good afternoon, everyone. I will talk about key operations and strategic highlights and then leave the floor open for Q&A. On the domestic front, during the year, we have done exceptionally well on launch of new products. Contribution of new introductions to our growth was 3.1%, significantly surpassing the industry, which is at 2.3%. We had some very encouraging new launches during the year. We launched Dapanorm Trio in antidiabetic therapy and are ranked number 1 in this molecule. We have one of the most successful launches of sitagliptin in this year in an extremely crowded market where there are more than 50 players. We ranked among the top 5 in this molecule.

We also launched Sacuval in January of this year and -- which came after Vymada went off - patent. We are among the top players in this molecule as well. And when you consider this fact against the background of we not being on the top 25 in cardiac, this is a good achievement. We look forward to carry this momentum of market -beating performance in the domestic franchisee in the following year as well.

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During the quarter, there was an exceptional item on account of impairment of assets which has impacted profit before tax to the tune of INR 103 crores. We are taking a call to discontinue our St. Louis plant, which was meant for controlled substances due to the structural changes happening in the U.S. market. We understand that our EBITDA margin for the quarter and year is subdued, and we are working towards that.

With this, I would like to open the floor for questions and answers. Thank you.

Moderator : Thank you. The first question comes from the line of Mitesh Shah from Nirmal Ban

g. Please go ahead.

Mitesh Shah: My first question is regarding the discontinuity of this plant. What would be the operational benefit because of this impairment we have done and discontinued the plant?

Sandeep Singh: I think there are some financial benefits. I will let our CFO answer that, Mr. Dubey?

Rajesh Dubey: Yes. We expect to save our operating expenses to the tune of INR 100 crores or INR 110 crores. But just having your mind, this year, entire INR 100 crores or INR 110 crores is not going to come because we may continue this plant for another month or 2.

Mitesh Shah: Okay. So it would be like a 10 months of benefit, we'll see this particular year?

Rajesh Dubey: 8, 9 months, you can say.

Mitesh Shah: Got it. And with this restructuring, how would we see the margins going forward because this was one of the tough year for margins definitely?

Sandeep Singh: Mr. Dubey, you can.

Rajesh Dubey: Yes. So margin, actually, in fact, in our last call, our MD, he has already given guidance on margin front. So we'll stick to our commitment, and we'll definitely add 200 basis points or what we have right now. So I think we are going to be -- and we have to be somewhere close to 16% kind of situation.

Mitesh Shah: Got it. Got it. And our international markets growth are -- remained strong. What would be the reason in this quarter? And how would we look at going forward -- international market growth?

Sandeep Singh: Mr. Amit Ghare, if you can take that, please?

Amit Ghare: Sure. Thank you. We've been focusing on a few key geographies over the last few years, and that's now kind of paying dividends. Actually has been paying dividends from last several quarters. So we'll continue on that pathway. As our business reaches a certain size and scale, the percentage growth may come down. And overall, as a company, in any case, we are focusing on quality business and margin business rather than chasing revenue. So you'll notice the business continuing to grow. The rate of growth may come down going forward.

Mitesh Shah: Got it. And then about the U.S., what about the pricing scenario over there? It would be reduced to a single digit or still it would be a double-digit tag 0s and 4s?

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Sandeep Singh: Amit, you could answer that, Amit.

Amit Ghare: Okay. During the entire fiscal year, the deflation was in double digits for us. And I understand your question is whether it will come down to single digit. In Q4, we saw a bit of an ease on the pricing side, but we continue to have pricing deflation.

Now going forward, will we end up with single digits? I think we are definitely hopeful that it will be in single digits for FY '24.

Mitesh Shah: Got it. And then just last housekeeping question. What would be the tax rate for '24, '25?

Rajesh Dubey: We'll be somewhere around 14% kind of effective tax.

Mitesh Shah: Sir, this particular year, we closed with the higher tax rate, what would be the reason for that around, I think effective tax rate itself is 21%?

Rajesh Dubey: In fact, we talked about 1 exceptional item. There is another exceptional item in that, and that is in that. So effective tax asserts to the tune of INR 100 crores. We reversed in this quarter 4 and YTD March '23. So that is the reason why you see our effective tax rate on a higher side. But for next year, will be 14% or 14.5%.

Moderator: Thank you. Next question comes from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: One question on other expenses. If you exclude R&D expenses, your SG&A expenses is pretty high quarter-on-quarter as well as year-on-year. So any specific reason for it? And how do you see ahead in FY '24?

Rajesh Dubey: So Rashmi, you are very right. Your observation is very correct. And especially in quarter 4, it was on higher side because just immediately previous

year to this year, our marketing expense, it was muted to certain extent and we kept on engaging around 1,000 guys every year in the last 5 years. So our sales and marketing expense, definitely, it was on the higher side, particularly conference expense. Actually, first time we got opportunity to have conference in a way. That was the reason. But going forward, on other expense front, we expect somewhere around 23.5% to 24% line of situation. And that is really a normal situation in our case. Obviously, this time it is on the higher side.

Rashmi Shetty: So you mean to say that other expenses, including your R&D would be in the range of 23%, 24%?

Rajesh Dubey: You're right.

Rashmi Shetty: Okay, for FY '24. And then when you are saying that there would be a 400 bps improvement in the EBITDA margin. I understand that we might be seeing some softening in the input cost and the freight has also come down. But what are the other factors that would lead to this kind of expansion in FY '24? I mean if you can just give us like 200 basis points where all we can achieve?

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Sandeep Singh: Yes. Dubey Ji, you can...

Rajesh Dubey: Yes. So when we talk 200 basis point, we talk consolidated. Of course, it's not any single lever of addition to ultimate EBITDA margin. Definitely, softening of API prices, one-off with. And in last call also, our managing director, he hinted, we are working on so many cost optimization drives. And we believe we'll be able to achieve our expectation. Then operating leverage is another thing. So manpower, what we have added, that is going to pay us going forward. And our internal working, it shows us we will be able to achieve 200 basis points.

Rashmi Shetty: Okay. And that includes by saving the expenses to nearly INR 80 crores, INR 90 crores from this plant, right?

Rajesh Dubey: Yes. Yes. You're right.

Rashmi Shetty: Okay. Okay. And my second question is on India business. What was our Trade Generic contribution as on FY '23? And what was the growth for the entire year? And how do we see ahead in FY '24 and '25?

Yogesh Kaushal: So the Trade Generic contribution to the business is 21% for the entire year.

Rashmi Shetty: Okay. And what is the growth in FY '23 only in Trade Generic?

Yogesh Kaushal : It's around 5%.

Rashmi Shetty: 5% -- and how do we see ahead in FY '24, '25?

Yogesh Kaushal : You're talking of only Trade Generic or talking about...

Rashmi Shetty: Only Trade Generic.

Yogesh Kaushal : Almost in a similar range, almost. Excuse me, let me correct myself, Trade Generic will be close to double digit.

Rashmi Shetty: Close to double digit. Okay, low double digit, you mean?

Yogesh Kaushal : Yes, yes. Low double digit.

Rashmi Shetty: Okay. And that would continue to grow in that range only?

Yogesh Kaushal : Yes, yes. We are hoping that will continue to grow in that range.

Amit Khandelia : Rashmi, just to clarify, you said 400 basis point improvement on EBITDA margin. So it's not 400 basis point. It's 200 basis point improvement over FY '23.

Rashmi Shetty: Yes. So 200 basis points only I asked.

Sandeep Singh: Yes.

Rashmi Shetty: From 14% to 16%.

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Sandeep Singh: Yes. We understand, wonderful.

Mod erator : Thank you. Next question comes from the line of Kunal Dhamesha: from Macquarie. Please go ahead.

Kunal Dhamesha: So the first one on the plant savings that we have done. Would You be able to provide some color as to which line item, which is INR 80 crores, INR 90 crores flowing?

And secondly, is there any severance related costs, etcetera, which is there in this quarter or expected in quarter 1.

Rajesh Dubey : Yes. When we say opex , actually, it will go line by line. So something will go in personnel cost, something will go in other expenses. And it has to be a ll across bec

ause we -- as per the reporting

norms, whatever hits we have, it is going to go all of us. So let me just correct our understanding.

This INR100 crores kind of saving is annualized. So this year, we expect we'll be able to save at least for 7, 8 months.

So accordingly, it will come down. So whether it is INR 60 crores or INR 70 crores, time will say, but our estimate is 7 to 8 months.

Kunal Dhamesha: Correct. And then will there be any cost -- onetime costs associated with it? Like severance, etcetera? Because I think in U.S., we have to pay...

Sandeep Singh: Actually we're factoring that. We're telling you net.

Kunal Dhamesha: Okay. INR100 crores, INR 110 crores is net on an annual basis and then you are expecting INR 70 crores, INR80 crores.

Sandeep Singh: Yes.

Rajesh Dubey : Yes.

Kunal Dhamesha: Perfect. And I think our employee expense on a quarter -on-quarter basis, I think, has come down a little bit. So is it more because of the accounting where you would have provided more bonus, etcetera, incentives earlier or something? Or is it something that the base is and -- So three is a new base of INR 500 crores. Earlier, we were around INR 525 crores and before that, INR 570 crores. So is it...

Sandeep Singh: So there was some rationalization in manp ower in R&D and manufacturing because of the business pressure we have.

Kunal Dhamesha: Okay. So basically, INR 20 crores is the quarterly saving and which should continue going forward , in your view?

Sandeep Singh: No, no, it's not that much at all. It mus t be like lopsided this quarter because there was severance in the last quarter. So therefore, you're seeing a lumpiness over here. You could see a INR 10 crores saving because of this every quarter, or more.

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Kunal Dhamesha: Okay. Perfect. And lastly, on th e Trade Generic. I think sir said that Trade Generic is around 21%. I think as far as I mentioned last year, it was around 32% and we have trade has grown at double digits versus our India business has grown at around 7.8%...

Sandeep Singh: No, no. The Tra de Generic grew by double digits, we said for next year. For this year, that is. The question the lady asked Mr. Agarwal was on last year. We grew by single digits over there in Trade Generic.

Kunal Dhamesha: Okay. Single digits. Perfect.

Sandeep Singh: Yes.

Kunal Dhamesha: And then now you will be more or less in the Rx like whatever prescription business, India business growth, more or less in line with that? Is that a fair assumption?

Sandeep Singh: Yes, maybe a little bit more, but round about that.

Mod erator : Thank you. Next question comes from the line of Prakash Agarwal from Axis Capital. Please go ahead.

Prakash Agarwal Yes. Good evening, First question on gross margin. So last few quarters, we've talked about U.S. pricing pressure, et cetera. And so this quarter, the U.S. contribution is also lower, but still the gross margin is still muted. So is it got to do with the high raw material prices, which has still not come down? Or there is more to read into it?

Rajesh Dubey: You're right, Prakash. Actua lly, the materials which we procured earlier, ultimately, we consumed in this quarter. So in short, I want to say whatever we sold in this quarter, it was manufactured against material, which we procured in earlier quarter when prices were on higher side.

And then second, let's have in our mind, this NLEM came in quarter 4. And NLEM is also having impact on this gross margin. If we are referring to quarter 1 base.

So when you see annual, for the year, yes, pricing pressure in U.S. market and depletion in pr ices there, that is a major contributor. But when you see quarter closely DPCO and then higher material cost, which we procured in earlier quarter, we consumed in this quarter.

Prakash Agarwal : So are we done with using old high-cost inventory. And fr

om fi rst quarter, we will be with the

low-cost inventory or how do we think about that?

Rajesh Dubey: Even today also, we don't see material prices coming in line with pre-COVID level. But the [PenG] kind of material, they have started showing positive trend. S o -- but I think it takes normally 3 to 4 months because you procure and then you manufacture and then you sell. And then impact is going to come.

Prakash Agarwal : So maybe second quarter onwards, we'll you see the raw material price benefit?

Rajesh Dubey: Yes, I believe so. The second quarter onwards, it will be getting softening a little bit.

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Prakash Agarwal : And the second piece, you said the NLEM impact. So we must have taken price hike in April.

So that offset should be seen in Q1 or that also we will see from Q2.

Rajesh Dubey: Again, when you have material normally, even finished goods also, we keep for 1.5 or 2 months. So even though you implement NLEM or you take fresh batches in the month of April or May, it takes a little bit time to get consume yo ur earlier manufacture and then your new product is going to go in market.

So approximately around 3 months it takes in this entire process. So I think by June, we'll be starting of taking advantage of price increase. But again, it will be second quarter when everything is going to come.

Prakash Agarwal : Okay. Okay. Understood. And 1 clarification on the comment made. So earlier, we were looking at 15% EBITDA margin, we came at around 14%. And we have talked about 200 basis points.

So we are talking about 17% EBITDA margin for '24 or 16% EBITDA margin?

Sandeep Singh: 16%, Prakash. 16%.

Prakash Agarwal Okay. Okay. Understood. And lastly, on the U.S. sales, so how should we think about it. Do we see the impact due to closure of the products which we are manufactured, already outsourced to CROs? Or how should we think about U.S. going forward from here?

Sandeep Singh: Sorry, Prakash, I didn't get your question. On what parameter like do you mean, Prakash?

Prakash Agarwal: In terms of sales, so you had an e xit run rate of say 270 million. So with the plant shutting down, do we see some impact of some...

Sandeep Singh: No, Prakash, because -- and I'll let Mr. Amit Ghare elaborate. But this plant was not contributing more than 2%, 3% to U.S. anyways. And going forward also, it should not impact. Yes. Amit, you have comments? Please go ahead, Amit.

Amit Ghare: No, you're right. And in fact, the contribution was less than 2% on the revenue side. So the revenue loss is very marginal. And overall, we are expecting a small growth in the U.S. business in dollar terms...

Prakash Agarwal: The growth on the basis of FY '23?

Amit Ghare: That's correct, overall.

Prakash Agarwal: What was the MR count as on fiscal '23, sir?

Sandeep Singh: okay, Yogesh MR count. MR count as in...

Yogesh Kaushal: As in company, we're around 12,000 overall as in organization.

Prakash Agarwal: 12,000 MRs. This is with the managers or...

Yogesh Kaushal: This is without managers. This is only representatives.

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Prakash Agarwal: And with the managers, sir?

Yogesh Kaushal: So around 45% odd is the managers to the representatives. All managers put together, right from area manager to the sales reps.

Prakash Agarwal: 45% on 12,000.

Yogesh Kaushal: 12,000, managers, yes.

Prakash Agarwal: It's a big number.

Yogesh Kaushal: Sorry? It is a bit of a big number, yes.

Prakash Agarwal: So 5,000 people. So about 17,000 people we have on the field plus managers?

Yogesh Kaushal: Absolutely, yes. At a group level.

Prakash Agarwal: At a group level.

Moderator: Next question comes from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: My question is on specialty business, specialty portfolio in India. So obviously, you have done

very well in antidiabetic space. But cardiac is something, I believe, where you are lagging versus the market growth? And if I remember correctly, you mentioned you are planning for some chasing strategy, etcetera. So can you update on cardiac part because that, again, is a big market. And how do you see a specialty portfolio going as part of your India business in, say, next 3 to 5 years?

Sandeep Singh: So you have 2 questions. One is about the cardiac and second is overall specialty? Am I right?

Damayanti Kerai: Yes, yes, yes.

Yogesh Kaushal: See, let me answer first cardiac. I mentioned about slight change in our strategic approach towards cardiology. So we initially were focusing on niche products. I repeat again, because you are focusing too much on anticoagulants and antiplatelets, which are a little difficult and niche markets. So what we have done in the last quarter is, we are focusing more on mass-based cardiology products, which are your antihypertensives and lipid regulators.

So we will be focusing more and we are seeing results there. Last quarter, the cardiac growth was close to 1.8%. And this quarter, it has reached almost 5.5%, while the market is growing at 8.5%. So we are almost touching the market growth in cardiology. And this will take a little time, but this strategic approach has started yielding results. So this is how cardiology will be played. That doesn't mean that we will not focus on niche, but the larger focus will remain on mass products, mass users' molecule.

Overall, specialty, yes, diabeto, almost all newer molecules, which are being off-patent, we are targeting. So we have launched Dapa, Vilda, Sita. So all these are launched. Various combinations will be launched. And we are currently leading almost -- we are among the top 5 Alkem Laboratories Limited

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in all these categories. So diabetology, we are strengthening and we are going strong. We are currently 15, and we hope that in another 2, 3 years, we should be among the top 10. In CNS, we are already ranked 7th. And for the month, we have now -- we are among the top 5. So my expectation is we should consolidate in CNS. In a year or two, we should be on -- annual basis also, we should be amongst the top 5.

Dermatology and urology, we are consolidating. We are growing 2x to 2.5x faster than the market. And fifth is our cardiology, where we are almost touching the market growth. I assume, maybe two quarters more, we should be able to surpass the market.

Damayanti Kerai: Okay. So compared to your anti-infectives growth, which is a major part of your India business right now, once to sort out some of these issues with cardio part, we should assume that specialty will be growing much faster than the acute portfolio?

Yogesh Kaushal: Yes. So that is -- currently also happening. Chronic is currently growing at around 21% to 22% while Acute is growing at around 7% to 8%. So Chronic is sustaining a growth level of around 21% versus market of around 10%.

Damayanti Kerai: Okay. Understood. Related question. Overall, this year, obviously, Sandeep, you mentioned in his open remark that contribution from new launches were much better versus your own historical performance and against the market. So say, for '24, how much we -- how much we -- how should we look at growth drivers, say, volume, price and new launches for the India part -- overall India business?

Yogesh Kaushal: Yes. So see, our -- while the industry still shows a muted growth of unit, but our -- we are still very bullish that as a company, we should be able to drive a double-digit unit growth. So we will have major growth drivers this year will be unit and marginal contribution will come from NRV and from the new products. So larger will be volume-driven growth.

Damayanti Kerai: Okay. And 1 last question is on your R&D. So R&D, obviously, we continue to see uptrend in

recent quarters because of your progress in pipeline products, etcetera. So how should we look at this number in, say, '24 and beyond as a percentage of sales?

Sandeep Singh: 5% to 5.5%. We have always maintained that. That should be -- what it would be.

Damayanti Kerai: Okay. So it will stay within that...

Sandeep Singh: It will stay within that range. Yes.

Moderator: Next question comes from the line of Kunal Randeria from Nuvama. Please go ahead.

Kunal Randeria: So I think you mentioned double digit growth for India in FY '24. So I'm just wondering, which therapy to expect because it's unlikely that gastro or even a pain could repeat the kind of high teens growth that you reported this year. So just wondering where the growth will be coming from?

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Yogesh Kaushal: Still, firstly, our Acute, we said as the company will grow at a double digit, right, at early double digit, which means around 11 types, 10% to 11%. So we still expect Acute to continue to grow at around 8% to 9% growth and Chronic will sustain a growth level of 22% types. So as a company, we will continue to go around 10% to 11%.

Kunal Randeria: Okay. Fair enough. And secondly, I still don't completely understand your margin guidance. So I understand 200 bps and you expect 16% margin. Last time around, you've guided to 17%. Now see, in the last 3 months, I guess you have had some tailwinds from lower input costs, that will benefit you in the coming year. I think freight costs also would have come down, plus the -- U.S. plant where INR50, INR60 crores coming this year. So there have been more tailwinds than headwinds, but still the absolute margin is coming from 17% to 16%. So is the cost of business actually going up and maybe a normal cost -- the savings are really not there?

Sandeep Singh: No, I think, see, the first thing, these things won't happen overnight. So obviously, we had anticipated St. Louis closure, even when we spoke to you all last time. But we were not sure when we will do it, but we obviously know. So all that was factored in when we said it will be a 200 basis point increase. Our RM going down, the stuff you said, obviously, Mr. Dubey answered that previously. For it to kick in, takes time. So those benefits will only come going forward.

We were a little aggressive on the marketing side this quarter, on sales and marketing. So the SG&A expense was like up -- still up by what we thought we would be by INR30 crores, INR40

crores. But yes, so I mean, what specifically do you think is kind of not very clear to you?

Kunal Randeria: So my question Sandeep bhai, is that, see, I mean, prior to COVID, you were doing somewhere around, let's say, 18% kind of margin, right? 17%, 18% kind of steady -state margins, right? So the fact is that maybe next year you do 16%, a year after that maybe 17%, 17.5%. So it seems that to generate every INR100 of sale, the opex has actually gone up significantly. So is my understanding correct?

Sandeep Singh: I'm not sure. See, again, you see gross margins have come down if you compare to pre -COVID. Look at the cost of cephalosporins, like PenG, China, we all keep hearing. You have to look at us differently. We are one of the few companies who have a very high acute portfolio. So when you compare it to others and all, it might not be apple to apple. It's basically because the RM cost has gone up. I think we have lost 100 basis points there, but Mr. Dubey can guide you better there. So it's mainly because of that. So cost of business has gone up. In a way, it's right, but only because of gross margins. Not that we have any operational challenges and things like that.

Kunal Randeria: Got it. And just one more, if I can squeeze in. I think the St. Louis plant closing down seems like a welcome step. But in terms of -- I think it always -- to improve the US margins, I think the pro

duct launch quality also plays a very important role. So would you like to point out the kind of launches that we should expect in the next couple of years that can really improve our US year gross margins?

Sandeep Singh: I'll let Mr. Amit Ghare answer that.

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Amit Ghare: Kunal, we've always focused on quality than quantity. We never launched more than 15 products in a year. So our focus going forward will remain launching better products -- filing better products and obviously launching better products and launching on time. That is also very important. And we're focusing on that.

Moderator: Next question comes from the line of Madhav Marda from Fidelity Investments. Please go

ahead.

Madhav Marda: I have two questions. First which was just asked by the earlier participant. I think this year, especially towards the end of the year, there was very good benefit for anti-infectives and respiratory. So very strong flu seasons I think in large parts of the country. So do you think given the other recently launched anti-infectives, does that create a tough space for us as we go into...

Yogesh Kaushal : Your voice is not clear, but whatever I understood, you were saying that last quarter, the anti-infectives was very good. And do we expect similar trends for the next year. Is this your question?

Madhav Marda: No I'm saying does that create a tougher base for us next year given -- I'm not sure that such a strong flu season will repeat again...

Sandeep Singh: So this year was a bad year, I think, for anti-infectives.

Madhav Marda: I'm just looking at the quarter 4 growth, seems to be 20% -plus...

Yogesh Kaushal : Yes. No, the quarter 4 was unlikely to continue because particularly Respiratory, Pain, these benefited because of flu. So that certainly will not continue in the next year, unlikely because those kind of predictions is very, very difficult to make. But flu benefits will surely not be there next year. That's what we foresee.

Madhav Marda: Okay. Got it. And just secondly, our tax rate is quite lower at 14%, 15%. Like when do we expect that to normalize? Like the tax benefits that we have. We had some facilities, when does that normalize for us? And what does it normalize to and by when?

Rajesh Dubey : So Madhav, that is a good thing. Our effective tax rate is on lower side. And actually, yes, so we have this tax advantage for our Sikkim facility until March '26. So after that, definitely effective tax is going to be normal. We'll see whether to go with old regime or new regime, that is our point of discussion. But it will become normal. Yes, of course, we do have a lot of MAT available with us, which we'll be using going forward. So on cash front, we still will be having advantage after that also. Am I able to clarify you?

Madhav Marda: Understood. Sir, the payment actually would move to the normal 25% most likely FY '27 onwards?

Rajesh Dubey : Yes. I think we'll evaluate whether to remain with old regime or new, it will depend. But yes, until March '26, we'll be having this tax advantage for Sikkim facility. So until that time, our effective tax rate is going to be lower. It may be lower than MAT 20% also. But definitely, it will be lower than normal tax.

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Moderator: Next question comes from the line of Saion Mukherjee from Nomura Securities. Please go ahead.

Saion Mukherjee: Sir, can you -- so when you mention about margin expansion, you talked about three levers, four levers, softening of API prices, cost optimization and operating leverage. But the discussion that we had after that appears that a lot depends on the way the API prices move. Is that the right assessment? And what is the kind of gross margin expansion that we are factoring in for next year?

Rajesh Dubey: So we have in our mind our margins somewhere

to be closer to 59%, 59.5%. That kind of expectation we have. Yes. But going forward, we have considered this gross margin in normal

scenario. If something happens and our raw material prices, API prices or any excipient or packing material prices increasing abnormally, then we need to see what impact is coming on account of that. That much we need to see. But in a normal situation, we expect we'll be somewhere 59%, 59.5% for the coming years.

Saion Mukherjee: Okay. And then because there are a lot of moving parts due to the U.S. business, the price erosion that we have seen. I'm just wondering if you can state what kind of profitability is there for your domestic business, let's say, for FY '23? And how does that compare to say, FY '20, which was a pre-COVID year?

Rajesh Dubey: Saion, actually we never segregate and give different, different margins for our different, different segments. But you also know domestic is enjoying better gross margin and better profitability. I think as far as comparison is concerned, that we may take offline also.

Saion Mukherjee: Okay. But like next year, you're guiding for 200 basis points, which would take it closer to 16%. I mean, as things normalize going forward, you sort of focus less on U.S., India growth, you push higher volumes, maybe marketing expenses are higher. So overall, if you put all that together, where should this EBITDA margin stabilize with your business model, let's say, 3, 4 years down the line?

Sandeep Singh: 4 years on the line?

Saion Mukherjee: Yes.

Sandeep Singh: Yes, 4 years down the line, maybe close to 18%, 19%, around that time line. But you see a lot of moving parts and so let's take it year by year, honestly, but, yes.

Moderator: Next question comes from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.

Abdulkader Puranwala: Sor, just a couple of clarifications. So I mean did you mention that in Q1 may be taking some heat on account of the severance payment for the St. Louis plant closure?

Sandeep Singh: No. We did not say that. We said that whatever is taken care in the past because some people have already been kind of laid out, yes. We did not allude to that in Q1 there would be some severance.

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Abdulkader Puranwala: Okay. Got it. And secondly, If you refer to your cash flow statement, it refers to an issuance of preference shares, which was mid to an inf low of close to INR161 crores. Where does this reflect on the balance sheet?

Rajesh Dubey: Abdul, you're talking, this fee investment in Enzene, and you want to know where it is appearing in balance sheet?

Abdulkader Puranwala: Okay.

Rajesh Dubey: No, no. I have not replied. I was just asking whether I'm understanding your question properly or not. So actually, it is classified as equity instrument. And it is just below equity.

Abdulkader Puranwala: And the non-controlling...

Rajesh Dubey: And appearing under debt, but considering other obligation aligned with it -- when you see our balance sheet, it will get reflected under other financial liabilities. So you must not be having our detailed grouping-wise balance sheet. When you refer our consolidated balance sheet, it will appear under other financial liability.

Moderator: Next question comes from the line of Punit Pujara from Helios Capital. Please go ahead.

Punit Pujara: Sir, my question was on NLEM, bio. What was the revenue and EBITDA we generated for the full year?

Rajesh Dubey: Yes. So for the year '22/'23, on biosimilars, total revenue, we have somewhere around INR160 crores kind of.

Punit Pujara: And sir, absolute EBITDA?

Rajesh Dubey: EBITDA, we are still -- because R&D spending is sizable, but when we see on business level, it is breakeven. Right now, after taking R&D spending, there will be still losses in that. So we are not talking on EBITDA right now. We'll be

talking to '24 onwards.

Punit Pujara: Sir, in the past, we have said that we'll be incurring close to INR100 crores investment in NLEM. So is that run rate likely to continue going forward?

Sandeep Singh: Yes.

Punit Pujara: Sure. And can you update on denosumab and tocilizumab clinical trials. I think you have guided for denosumab filing by calendar '24 end. So are we on track for that?

Sandeep Singh: Yes, we are on track for that for -- on denosumab.

Punit Pujara: Sure, sir. And what would be the current stake in Enzene after this fundraise on a fully diluted basis? And what's the use of the funds that we've raised?

Rajesh Dubey: We have given option to get converted to 8%. So remaining 92%, a small portion, it may be under ESOP, but rest of shareholding is with Alkem only.

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Punit Pujara: Sure, sir. And the use of the funds?

Sandeep Singh: Enzene is going to use this fund for US requirement because for biosimilar, we have aggressive US plan as well. So capex is going to start from this year. And mainly it will be used for business and more particularly for US business, yes.

Moderator: Next question comes from the line of Saad Shaikh from BOB Capital Markets Limited. Please go ahead.

Saad Shaikh: My first question is, do you have any direct sales to hospitals? And if yes, what would be the percentage? And related question is with recent federal government order of curtaining MR activities at the hospital, do you envisage any impact because we are of contract acute heavy. So would that have an impact also with our recent MR addition, will we be looking at after this trend?

Yogesh Kaushal : A lot of echo in your voice. So the question was not clear. What I understood was you're asking about our hospital business and what is the percentage. So normally, our hospital business are more of a corporate in nature. So we don't participate much in public hospitals. So corporate hospitals? Yes, we have. And this is around -- in the range of around 6%, 7% to 8%. That's the corporate hospitals. We don't really participate much in government tenders.

Moderator: Next question comes from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: On the raw material costs, is the pressure during the year largely on account of the higher PenG prices? And if there is any sense you can give us in terms of what proportion of our raw material is around PenG and derivatives?

Sandeep Singh: He is asking how much you have already in PenG...

Rajesh Dubey: Yes. So PenG is used in so many anti-infective APIs. And our anti-infective, as you know, we are the leader in that. So around 40% of our portfolio is for anti-infectives. So you can understand PenG is a major contributor to overall API cost in that. As far as movement is concerned, yes, we saw prices getting a little bit softened. I think nowadays, it's going somewhere close to \$32, \$34 kind of situation. Earlier, it was quite high and that was pinpoint.

Nitin Agarwal: And sir, what has been the normalized pricing you've seen in PenG versus \$32 to \$34 right now versus maybe a couple of years back in a more sort of -- we think a more normal on the PenG pricing front?

Sandeep Singh: What is the question. He's asking what is the normal -- it was like \$8 even two, three years back. So difficult to say now what whether it will go back and when it will go back. We don't know.

Nitin Agarwal: And, actually, when you're looking at this PenG as a product for us going forward, I mean, what is -- given what you already picking up on the market, what is the realistic level you see this probably settles at a more normalized level?

Sandeep Singh: We don't know honestly. That's what we just said. We cannot predict. Very difficult to say that.
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Nitin Agarwal: So particularly,

how does Alkem go about handling this because this is a large component of raw material -- so we will be -- so I mean just curious maybe if you can give us any sense on how does -- how are we looking to handle the raw material on the PenG side?

Sandeep Singh: So obviously, PenG is -- we buy the API. We don't buy PenG, point number one. So PenG is an input for a lot of our API suppliers. Now obviously, we have some norms where we think the price will either go up or go down. And we kind of -- we stock up if we think the prices are going up. Right now, our stock operations or inventory positions maintain more of a neutrality. We're not predicting stocks, I mean price going up or going down. We are following the norm right now. Not anticipating any up or down movement.

Nitin Agarwal: Even the last one, the planned expired commercialization of domestic PenG capacity, do you see some of these situations can ease for us maybe in a few quarters down the line on this account?

Sandeep Singh: Sorry, your question is what if domestic guys make it. That's what you're saying?

Nitin Agarwal: Yes, because a large domestic capacity expected to come through PenG...

Sandeep Singh: But we don't know what price they'll supply to us. We really don't know how China will react. There are a lot of moving parts. So we hope it does. But do we know it? Well, the answer is no. We don't know right now.

Moderator: Next question comes from the line of Rahul Veera from Abakkus. Please go ahead.

Rahul Veera: Yes. Wanted to understand the capital allocation policy going forward, like what is the capex and what is the investment that you are looking for the biosimilar assets from your own?

Rajesh Dubey: So I think you are asking for our capex for '24. So our estimate is somewhere close to INR300 crores to INR350 crores. And that was your next question?

Rahul Veera: What will be the proportion of the capex going towards the biosimilar assets?

Rajesh Dubey: So out of this INR350 crores, substantial is going to be biosimilars only.

Rahul Veera: Okay. And what are you thinking about the capital allocation, in terms of dividends or anything beyond -- because of the kind of balance sheet that we have as of now, plus the generation over the next two years? What are the plans for that?

Rajesh Dubey: Actually, declaring dividend is not in our authority, sir. And it has to be Board and ultimately, shareholders. But yes, our dividend policy is there. So our dividend guidelines is around 25% of profit.

Moderator: Next question comes from the line of Gagan Thareja from ASK.

Gagan Thareja: Yes. Sir, first question is on the R&D cost pertaining to Enzene. Could you enumerate the number?

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Rajesh Dubey : Yes, R&D of Enzene, biosimilars for '24 is going to be somewhere close to INR150 crores.

Sandeep Singh: But this does not include the CT cost of biosimilars. It includes -- I mean it includes also.

Gagan Thareja: Second one, does the quarter show the full impact of the revised NLEM pricing on whatever bits of your portfolio has been impacted by it, or it will come through in the next quarter?

Rajesh Dubey: So actually, it is different, different period, NLEM notification came. So when we talk, a substantial amount, say, INR40 crores impact in our quarter 4. So we talk -- entire our NLEM covered products having impact in quarter 4. However, as we discussed from April onwards, even though we have opportunity to increase prices based on wholesale price in that. So the major portion is going to be neutralized once we implement increased price of DPCO-covered products. But still, yes, a small portion is going to remain in next year also.

Gagan Thareja: Right. And if I refer back to the third quarter call transcript, you had talked about the INR250 crores cost-saving program. You also indicated that a large part of that would

be realized in FY

'24 itself. Just wanted your thoughts on that. You've talked about INR70 crores, INR80 crores of savings on the St. Louis plant. But can you reach from there to the INR250 crores, both in terms of when that will happen and through what will that happen.

Sandeep Singh: Mr Dubey, you want to take that?

Rajesh Dubey: Yes. So St. Louis is one of the lever of our overall cost-saving initiatives which we lost. Yes, you are very right, our objective is to have cost saving to the tune of INR200 crores to INR250 crores going forward. In '24, I think we'll be able to launch most of the exercises. And we are very optimistic, sizable amount is going to come. But in different, different phases it is going to come.

So ultimately, on an annualized basis, it is going to be around INR250 crores. But we need to see our timing and all this. But still our expectation for '24, out of this INR250 crores, a sizable amount is going to flow.

Gagan Thareja: Then the final question is that if a sizable amount of this is going to flow through, I mean, what sort of changed in the last three months that you are now saying that your operating margin, which you sort of inferred or surmise, could reach 17% in '24. Now you indicate will probably be closer to 16%. I understand Q4 had its ups and downs, but that doesn't have any bearing on the cost programs that you had in this side. So just your thoughts on why that guidance has been shifted from 17%...

Sandeep Singh: I think guidance was also 200 basis points more than where we land. So there that we are talking to achieve.

Gagan Thareja: Yes. But I mean, I'm just trying to work the math there because the cost programs remain what they are. You have a softening of the API as well. So how does that -- because the absolute amount of savings is what it is going to be. It's got nothing to do with percentage, right? So in that sense, it should therefore actually lead to a 17% margin irrespective of what you generated in FY '23?

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Sandeep Singh: No, not really. See your RM prices, as I said, we have an acute portfolio. It's not fallen as rapidly as we think to. We also want to be cautious on the RM prices. We were just discussing about PenG, etcetera. So I would really say that, yes, some safety would be great, but 16% is something what we think is more realistically which we could achieve because there are a lot of non-moving parts.

Moderator: Next question comes from the line of Harith Ahamed from Avendus Spark.

Harith Ahamed: On Enzene, you shared the revenue number of around INR160 crores for FY '23. Could you give some color on the traction that you're seeing on the CDMO side of the business. Is it a meaningful contributor in this INR160 crores number?

Sandeep Singh: It's not a meaningful one, but it's kind of growing. So close to -- maybe close to 40% of it could be -- no, 30% of it could be that. 30% to 40% is CDMO.

Harith Ahamed: These are for Innovator customers or...

Sandeep Singh: These are -- not all of them are innovators, but these are small biopharma. These are not big innovators.

Harith Ahamed: Okay. And the fund raise that you've done with Enzene, can you help us understand the thought process, especially given that we have a net cash position of around INR2,000 crores, and we continue to see strong cash generation. What's the rationale here?

Sandeep Singh: So the rationale is, one, see, we wanted to kind of set a benchmark for the valuations to some extent. Second, it validates our strategy because anybody who comes in, does a thorough DD.

That's number two. Third, these guys, they're fidelity. So they have a huge network of other biopharmaceutical that they have invested in. So we get to learn from them, we could do business with a lot of them. And it helps us kind of make as a company truly independent but it's run by its own board

and the investors sitting on the board asked the right questions. And eventually kind of in five to six years, we could list it. So we see Enzene as a full-fledged substantial independent company driving a lot of value in the next five to six years.

Harith Ahamed: Okay. That's helpful. And last one. On the margin decline that we've seen in FY '22 versus FY '22, around 500 basis points, is it correct to assume that almost this entire decline from the domestic business and the RM cost pressures in the acute portfolio in the domestic business? I'm trying to understand if we are profitable at the EBITDA level in the US business. So some color on that would also be helpful.

Sandeep Singh: I think you might have missed, Mr. Dubey gave details. But I would, first you see, last to last year was a COVID year. We had a lot of tailwinds. So therefore, your EBITDA all looks substantially great. So the comparison itself is, I think, not the best and 500% -- that basis point is the decline EBITDA, led by gross margin. And Mr. Dubey, you could throw some light there.

Rajesh Dubey: Yes. So out of this 500, definitely a gross level and the expenditure, it's equally divided. So in this year spending, it was on a higher side. Even we have a pressure on gross margin also, mainly API cost and price depletion in US market. So here, I'm talking for an entire year. So in that
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case, these are the two contributors to pressure on gross margin level. So putting both these together around 500 basis point, compromise has happened at EBITDA level.

Harith Ahamed: Okay. And will you be able to share the margin range for the US business, at least it's profitable post R&D at the EBITDA level?

Rajesh Dubey: No, individual business-wise margin discussion, we are not doing.

Moderator: Next question comes from the line of Tushar Manudhane. Please go ahead.

Tushar Manudhane: Sir, just on other expenses, excluding R&D, even if I leave aside INR30 crores, INR40 crores of higher marketing expenses, still the quarter-over-quarter other expenses is higher. So how do we think about it for full year and particularly for fourth quarter FY '23?

Rajesh Dubey: So Tushar, your question is after taking out INR30 crores, INR40 crores from marketing spend, still we are not in normal kind of situation and the additional spending is there. I think if I see quarter and compare with last year's quarter 4, I think INR30 crores, INR40 crores is not that amount, that is higher amount.

Tushar Manudhane: So quarter-on-quarter, not previous -- not -- last year quarter, 3Q FY '23?

Rajesh Dubey: Yes. So on quarter-on-quarter basis, in fact, it was INR670 crores vis-a-vis INR790 crores. So actually just give me a minute and let me just had this...

Tushar Manudhane: Yes, on the similar line, so INR670 crores to 790 crores. So even if I remove INR30 crores, INR40 crores, still the increase is good, another INR70 crores, INR80 crores.

Rajesh Dubey: Yes. So total INR123 crores. So if I take out INR40 crores, INR50 crores from marketing, so another contributor is forex. Actually, in quarter 3, there was a forex gain of higher amount, which has -- still we have a gain only in quarter 4, but that amount is not that big. So in quarter

3, it was bigger amount. And then on rates and taxes front, also a reasonably sizable amount debit it has come in quarter 4. So these two, three factors are there in that. So marketing spend, around INR40 crores to INR50 crores; second, forex gain in quarter 3 vis-a-vis quarter 4; and then rates and taxes.

Forex gain and forex loss, it's getting utilized. So when you have more gains, then your debit is -- it means your other expense is on lower side.

Tushar Manudhane: So INR700 crores, INR720 crores per quarter or roughly INR2800 crores can be the assumption for next year, right, in terms of other expenses, including R&D?

uding R&D?

Rajesh Dubey: Yes. So around 24% kind of situation we expect.

Moderator: The last question comes from the line of Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha: Just two questions. So we have seen sales and marketing expense going up in this quarter. But let's say, on a full year basis, would you say that now the sales and marketing expense as a percentage of revenue has normalized for FY '23, which will be more in line with pre-COVID

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level? Or we had some earlier quarters where it was to -- and that could again normalize in FY '24, some normalization?

Rajesh Dubey: So Kunal, exactly, I was talking same thing. So our normal other expenses where marketing expenses is reported. That has to be in the range of 23.5%, 24% or 23.5% to 24.5%. So if you see, for this year, it is more than 25%. And in quarter, if you see, it is more than 27%. We believe going forward, it has to be somewhere in the range of 23.5% to 24%.

Kunal Dhamesha: So that assumes that our sales and marketing expense has now normalized and we would not see any significant growth in a way or the way we have seen...

Rajesh Dubey: That is our expectation.

Kunal Dhamesha: Okay. Perfect. And before, let's say, our field force expansion and right now, it's around 17,500, what would have that be in FY '22?

Yogesh Kaushal : We are adding roughly around 1,000 every year. So retrospectively, you can count for 20,000...

Kunal Dhamesha: Okay. So 1,000 MR and then roughly 40% additional...

Yogesh Kaushal : Yes.

Kunal Dhamesha: Okay. Perfect. And incrementally, where these people are being deployed, maybe in particular geographies we are focusing or particular therapy divisions that we are creating? Any color would be helpful .

Yogesh Kaushal : This is largely focused on therapy. So two years before it was kind of acute and sub-chronic and last year, we expanded more in chronic. It depends on our therapy requirements. And these, by and large, covers all the potential geographies.

Kunal Dhamesha: Sure. And then so when -- I would say then when you expect whatever, I think currently a 4 lakh productivity per month per member. Where would be the five -year goal and how fast you can improve that?

Yogesh Kaushal : So see, generally, this is not a fixed number. But if you go by the history of pharmaceuticals, generally, a productive increase from a new person on a yearly basis, depending on what kind of product you are promoting, it ranges somewhere around 70,000 to 80,000 on an annualized basis. If you are to, say, reach 4 lakh, 4.5 lakh, so 70,000 every year, it will be around four to five years to reach that level.

Moderator: Ladies and gentlemen, we have reached the end of question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Amit Khandelia : Thank you, everyone, for joining the call. If any of your queries are unanswered, please feel free to get in touch with me. Thank you, and have a great weekend.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

14th August, 2023

To,
The Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai 400 001.
Scrip Code: 539523 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex, Bandra East , Mumbai 400 051.
Scrip Symbol: ALKEM
Dear Sir s,
Sub: Q1 FY 2024 - Earnings Conference Call Transcript

We enclose herewith the transcript of the "Q1 FY2024 Earnings Conference Call" which was hosted by the Company on Thursday, 10th August , 2023
The said transcript shall also be made available on the website of the Company. Kindly take the same on record.
Sincerely,

For Alkem Laboratories Limited
Manish Narang President – Legal, Company Secretary & Compliance Officer
Encl: a/a <a>
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" Alkem Laboratories Limited
Q1 FY2024 Earnings Conference Call "

August 10, 2023

ANALYST : M R. TUSHAR MANUDHANE – MOTILAL OSWAL
FINANCIAL SERVICES LIMITED
M
ANAGEMENT : MR. SANDEEP SINGH – MANAGING DIRECTOR – ALKEM
LABORATORIES
MR. RAJESH DUBEY – CHIEF FINANCIAL OFFICER –
ALKEM LABORATORIES
MR. AMIT GHARE – PRESIDENT – INTERNATIONAL
BUSINESS – ALKEM LABORATORIES
MR. YOGESH KAUSHAL – PRES IDENT – CHRONIC
DIVISION – ALKEM LABORATORIES
MR. AMIT KHANDELIA - FINANCE TEAM – ALKEM
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August 10, 2023

Page 2 of 22 Moderator : Ladies and gentlemen, g ood day, and welcome to Alkem Laboratories Limited Q1 FY2024 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited . As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on

your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Tushar Manudhane from Motilal Oswal Financial Services Limited . Thank you and over to you Mr. Manudhane !

Tushar Manudhane : Thank you Michelle . Welcome to 1Q FY 2024 Earnings Call of Alkem Laboratories. From the management side we have Mr. Sandeep Singh, Managing Director , Mr. Rajesh Dubey, CFO, Mr. Amit Ghare, President, International Business , Mr. Yogesh Kaushal, President, Chronic Division and Mr. Amit Khandelia from the finance team . Over to you Amit for the opening remarks !

Amit Khandelia : Thank you Tushar. Good afternoon everyone and thank you for joining us today for Alkem Laboratories Q1 FY2024 earnings call. Earlier during the day we have released our financial results and investor presentation and the same are also posted on our website. Hope you have had a chance to look at it. To discuss the business performance and outlook going forward, we have on this call the senior management team of Alkem. Before I proceed with this call I would like to remind everyone that this call is being recorded and the call transcript will be made available on our website as well . I would also like to add that today's discussion may include forward-looking statement and the same must be viewed in conjunction with the risks that our business faces. After the end of this call if any of your queries remain unanswered, please feel free to get in touch with me. With this , I would like to hand over the call to Sandeep to present the key highlights of the quarter gone by and the strategy going forward. Over to you Sandeep.

Sandeep Singh: Thank you Amit. Good afternoon everyone. In Q1 FY2024 we witnessed good revenue growth

in operations with an impressive increase of 15.2% year-on-year. This growth was primarily fueled by strong performance of our business in international markets wherein we have crossed Rs.1000 Crores for the quarter for the first time. Several key factors including the softening of select raw material prices, a favorable currency impact, easing of freight costs and the successful implementation of cost optimization efforts has led to better operational performance resulting in EBITDA margin of 13.1% for the quarter. We remain focused on optimizing our operations and driving profitability for sustained long term success. The quarter also witnessed good cash generation resulting in robust cash position of Rs.2430 Crores. <a> §9 ALKEM

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Page 3 of 22 Coming to India business , we remain highly optimistic about our continued progress and firmly believe that we are well positioned to deliver market leading growth as we have always done in the past . Our growth in chronic therapy segment continues to outperform the market delivering sales of 15.8 % year-on-year whereas the industry only grew by 9.9% year-on-year for the quarter. During the quarter we also gained one rank both in anti - diabetic and also in Neuro CNS therapy. Thank you. With this I think we are open for Q&A.

Moderator : Thank you very much Sir. We will now begin the question and answer session. We will take the first question from the line of Saion Mukherjee from Nomura . Please go ahead.

Saion Mukherjee: Good evening . My first question would be in the light of the Q1 results with respect to your guidance that you had given of double digit growth in India and around 16 % EBITDA margin on a consolidated basis so how should we think about that and are you sort of revising any of these numbers ?

Sandeep Singh: So on the guidance of revenue growth side, I think double digit growth currently seems challenging , but it will be very high single digits for sure. It also depends because acute focus on seasonality of Q2 and all so we will have to watch out for that to be honest Saion and if your question is also because on the EBITDA margin there we feel confident that the guidance of 16% EBITDA, we feel confident of achieving that Saion.

Saion Mukherjee: Okay and on the raw material pressure easing is there more room for gross margins to improve in the coming quarters ?

Sandeep Singh: It is quite possible but we will have to watch out for that , but it seems to be that there is some relief there.

Saion Mukherjee: Thanks and my second question would be the pickup in international market both in US and other markets if you can give some color as to what is driving? Are there any one time opportunities because there is a very steep rise so or any country specific country which has contributed? Any more color if you can provide on the ramp up that we have seen in the international business and how sustainable it is going forward thanks .

Sandeep Singh: Mr Amit can you take that please

Amit Ghare: Thank you Sandeep. Saion there is particular market per se which has contributed to this growth. Of course, the overall growth in the US has been much more than the previous quarter. It is actually more than the last four quarters that we have seen sequentially or even year-on-year so that has kind of overall contributed, but you will also see other international <a> §9 ALKEM

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Page 4 of 22 business crossing Rs.300 Crores so not one particular market has helped the growth. I think a lot of markets are working together and growing very well has contributed to the final numbers .

Saion Mukherjee: Okay so you think this number is sustainable , the international business revenue both in US in the next few years we should have this sustainable going forward?

Amit Ghare: For sure it is sustainable. Obvious

ly, the pricing pressures or how the price deflation works particularly in US and in a few other markets will kind of define going forward, but as you asked in the first question of the first time there is no opportunistic business included here or no significant opportunistic over here, no one time businesses here.

Saion Mukherjee: Thank you. I will join back.

Moderator : Thank you. The next question is from the line of Foram Parekh from B&K Securities . Please go ahead.

Foram Parekh : Sir my question is we have good net cash of Rs. 24 billion so can you just share on your capital allocation plan like how do you intend to utilize this cash? Do we see any sort of MNA activities or do we only want to expand on MR front if you can just give some sense on your capital allocation plan ?

Sandeep Singh: Madam capital allocation plan is the same as we have already discussed in the last few quarters. Nothing has changed so that is number one. Obviously you cannot deploy capital of this kind on employing or deploying medical reps so that is out of the question. We also think we are more than adequately already deployed medical reps so there is no expansion happening there as well. Mr Dubey you want to add something on that.

Rajesh Dubey: No I think you have already covered that and in fact in most of the quarterly earnings call similar kind of clarification is provided and yes of course if we get some better opportunities definitely we have resources .

Foram Parekh: Okay and my second question is on the US front can you just give us some color are we seeing any easing of price erosion or stability in price erosion ? What kind of price erosion are we seeing right now

Sandeep Singh: Mr. Ghare please can you take that .

Amit Ghare: Yes Sir thank you. Yes we were seeing some easing of pricing pressure in the whole of the last fiscal it may have been different quarter -on-quarter but overall in the entire fiscal last <a> \$9 ALKEM Alkem Laboratories

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Page 5 of 22 year we had double digit price deflation . For this particular quarter our pricing deflation was in single digits though it was in high single digits. Now currently in the middle of Q2 the pricing deflation still is in the high single digits, but it is not in double digits so it is better than what it was last year.

Foram Parekh: Sir our margins , EBITDA margin is kind of the lowest in the industry and in this kind of good times when we are easing of freight cost and API cost is easing so do we not see a standing our EBITDA margin guidance from 16% plus or minus 1%?

Sandeep Singh: Actually not madam. Freight was all time high last year so obviously there was some indication that it will come down. All this is factored in when we give a guidance of 16%.

We have one of the lowest EBITDA margins so the work is on that, but we are not upgrading our guidance what we gave last time.

Foram Parekh: Okay, but in your future like two to three years time, do we see it going back to something in 20 what we saw earlier actually?

Sandeep Singh: We were never in 20s as far as I remember , but you can correct me. We must be like some freakish year it could be where we could be close to that but every year let us we have gained 50 to 100 basis point. We will try to increase and that is what we stick with.

Foram Parekh: Okay. That is helpful. Thank you.

Moderator : Thank you. We will take the next question from the line of Abdulkader Puranwala from ICICI Securities . Please go ahead.

Abdulkader Puranwala : Thank you for the opportunity. Sir my first question basically on the Saint Louis facility so have we completely shut down that in Q1 and has the cost savings now reflective into this 13% margin what we have reported ?

Sandeep Singh: A large part of it but not all of it. The plant is on the winding up stage so it is not completely shut but we have like one fourth

of the employees which we had last year so

maybe we will taper it down in the next couple of months. We could potentially have a buyer or shut it down.

Abdulkader Puranwala: Sir your single digit guidance growth guidance for India is it possible to break it down between the branded, generics and trade generics as to what could be the scenario for 2024?

Sandeep Singh: So I think the percentage that we have given first it would remain. The percentage of ratio

will not change between trade generics and branded. <a> \$9 ALKEM
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Page 6 of 22 Abdulkader Puranwala: Okay and Sir in terms of your revenue contribution how much would be that in trade generic for the current quarter ?

Sandeep Singh: It is close to 17 % to 18 .

Abdulkader Puranwala: Alright got it. I will join back the queue. Thank you.

Moderator: Thank you. We will take the next question from the line of Saurabh Kapadia from Sundaram Mutual Fund . Please go ahead.

Saurabh Kapadia: Thanks for the opportunity. Sir if you can talk about the NLE M impact on the Q 1 numbers ?

Rajesh Dubey: If I heard y ou correctly Saurabh you are asking NLEM impact . Yes NLEM impact actually we have opportunity. Actually we already exercise that opportunity to increase our DPCO covered products price increase by 12.24% but in this Q1 it has come later part of the quarter from the month of June. So still this price increase impact in totality is expected to be there in Q2 and going forward.

Saurabh Kapadia: O kay. My second question, now , what was the capex for Q1 and what has been, is there any additional investment which h as gone to this ?

Rajesh Dubey: So capex for the quarter is somewhere close to Rs.78 Crores to Rs.80 Crores and we have already given guidance of Rs.300 Crores to Rs.350 Crores for entire year.

Saurabh Kapadia: O kay and any a dditionally investment on biosim ilar?

Rajesh Dubey: This Rs.350 Crores includes even biosimilar capex also. Major chunk is for biosimilar only for your understanding.

Saurabh Kapadia: Okay thank you.

Moderator : Thank you. We will take the next question from the line of Kunal Dhamesh from Macquarie. Please go ahead.

Kunal Dhamesh: Thank you for the opportunity so the first question on the trade generic number that you suggested around 17% to 18% is that percentage of total revenue or is it percentage of India revenue?

Sandeep Singh: Total domestic. <a> \$9 ALKEM

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Page 7 of 22 Kunal Dhamesh: So I mean as far as I was aware we were somewhere around 21 % to 22% on an annual so is there seasonality in the business ?

Sandeep Singh: There is of course seasonality. There are a lot of other things ye s so in 18% to 20 % hover around that quarter to quarter .

Kunal Dhamesh: Growth or branded, generic and the trade generic is moving in tandem or would you say trade is still faster?

Sandeep Singh: This quarter has been lower for both. So I think this quarter will not be a good to answer that.

Kunal Dhamesh: But I a m not saying this quarter like maybe for last 12 months .

Sandeep Singh: Yes, trade generic is always higher.

Kunal Dhamesh: O kay and let us say our cost efficiency measures I am not sure I might have missed it , I joined little late, but has that kind of contributed in this quarter or is it going to contribute .

Sandeep Singh: It has contributed .

Kunal Dhamesh: It has contributed so then we are basically, let us say to achieve that 16% EBITDA margin guidance generally Q2 and Q 3 needs to do much better than what we are doing right? It is generally the case because of acute being higher?

Sandeep Singh: Correct.

Kunal Dhamesh: O kay perfect. Yes , I have no more questions. I will join the queue. Thank you.

Moderator : Thank you. We w ill take the next question from the line of Bino Pathiparampil from Elara Capital . Please go ahead.

Bino P

athiparampil: There is a Y-o-Y decrease in depreciation and amortization is that because of the write off that we took last quarter?

Rajesh Dubey: Yes, there was some one off related to our US entity. Actually we took additional depreciation in Q1 of last year.

Bino Pathiparampil: O kay so this is a new base okay? Second, in the US there was this Dabigatran product which you could not launch because of supply issues , etc., etc., s o any update on that? <a> \$9 ALKEM
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Page 8 of 22 Sandeep Singh: Amit y ou want to take that .

Amit Ghare: Sure. I guess you are talking about Dabigatran and Dabigatran we are still not in the market. We are still working on sorting our supply chain.

Bino Pathiparampil: Okay an update on Suprex if you are planning to launch anytime soon?

Amit Ghare: So we are not in the market in the recent future for generic.

Bino Pathiparampil: Thank you.

Moderator : Thank you. We will take the next question from the line of Damayanti Kerai from HSBC.

Please go ahead.

Damayanti Kerai: Thank you for the opportunity. My first question is if you can update us on your cost saving initiative so you mentioned earlier annual target around Rs.200 Crores to Rs.250 Crores savings so how you are doing there like for say 2024 are you confident about achieving the entire savings or it will be gradual move to that stated goal?

Sandeep Singh: Our CFO will take that question.

Rajesh Dubey: So definitely our cost saving exercise is going as per our plan and in this quarter also we have sizable amount in our bottom line. Your second question was whether we will be able to achieve Rs.200 Crores in this year. I think for sure Rs.110 Crores we have already taken in our budget. We will see. Our endeavor will be to have maximum but I do not think it will be Rs.200 Crores but definitely we will try to add maximum.

Damayanti Kerai: Okay but say it is not in this fiscal that is at the medium term goal and as you progress more there we should be seeing gradual uptake from this 16% margin targets which you have indicated for FY2024? Should we work with that assumption?

Sandeep Singh: We already said that every year we will try to increase by 50 to 100 basis points and that is factored in what we are doing.

Damayanti Kerai: Okay and my second question is you talked about softening raw material prices so does that include softening prices for PenG also or that remains elevated?

Sandeep Singh: I think that is non PenG, PenG is still tough. Cephalosporin is still tough.

Damayanti Kerai: Okay it is still tough and my last question if you can state the current MR account and your productivity for India business?

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Page 9 of 22 Sandeep Singh: Mr. Yogesh.

Yogesh Kaushal: Totally we have 12,000 representatives okay and our productivity average at PCPM is around 5.4.

Damayanti Kerai: 5.4 lakh that is the average and if you can split that amount acute and chronic that will be also helpful?

Yogesh Kaushal: Acute around 5.9 and chronic 3.5.

Damayanti Kerai: Okay thanks. That is all. All the best.

Moderator : Thank you. We will take the next question from the line of Saion Mukherjee from Nomura.

Please go ahead.

Saion Mukherjee: Yes thanks for the follow-up. Sir on the capital allocation question, given the continual generation in cash and historically Alkem is very conservative, is there a possibility to significantly increase the dividend payout going forward?

Sandeep Singh: Going forward, I mean never say never, but as of now we have not revised our dividend policy so nothing in the near term horizon Saion but yes if this cash becomes like swelled up in a couple of years time we are still conservative in acquisition target, yes, then we would revise this, but we are still away from that.

Saion Mukherjee: Okay

May I ask one more if I can on bio similar initiatives you have been talking about certain technologies which differentiate you if you can give some more color as to how should we think about anything going forward from let us say Rs.140 Crores to Rs.150 Crores that you have over the next two to three years?

Sandeep Singh: So Saion thanks for that. So I think enzyme will continue to grow rapidly and we are looking at enzyme not just for bio similar right now, but we also in the CDMO part of that business also look pretty healthy. Obviously early days. We cannot be dead sure that this would be right, but I think CDMO and biotechnology are also a huge opportunity. So I think this business from this year will be close to 150 to 175 I think and this I think we can double this in a couple of years time may be, but let us watch for it Saion and take it with a pinch of salt. I think CDMO is a lumpy business. We really do not know how much will come and what is going to happen. So I think in the next six to eight months we will be very clear on because this is also a new segment. We are trying to learn and build it.

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Page 10 of 22 Saion Mukherjee: Okay and based on the traction in CDMO, is it with the innovators, biotech companies or with the biosimilar companies where you are seeing?

Sandeep Singh: No biosimilar we avoid because any biosimilar is a low price business for them to make it at someone else's plant is difficult. Most of them are innovators, but obviously small biopharma to some subsidiaries of a large innovative company also we are working at. So yes,

we are in talks with some mixed like large and small both and some of them seem to be finalizing also.

Saion Mukherjee: Okay great. Thank you.

Moderator : Thank you. We will take the next question from the line of Rashmi Shetty from Dolat Capital . Please go ahead.

Rashmi Shetty: Thanks for the opportunity . So you mentioned that we are running Enzene bio similar plus Enzene CDM segment sales at around Rs.150 Crores to Rs.175 Crores how much have they done in this Q1?

Sandeep Singh: So actually thanks for bringing it up. I think I stand corrected . I think we are close to 240 CR at enzene end of the financial year.

Rashmi Shetty: This financial year you will end up doing Rs.240 Crores?

Sandeep Singh: Rs.250 Crores and this Q1 we did a sales of around Rs.57 Crores Q1.

Rashmi Shetty: Okay and at EBITDA level are we doing still losses or are we expected to do losses at the end of the year?

Sandeep Singh: Yes, mild loss at the year in enzene yes. We will not be breaking even this year.

Rashmi Shetty: Okay so we should expect that that should happen in the following year ?

Sandeep Singh: Yes, that is right.

Rashmi Shetty: Okay and how much of the R&D expenses is allocated to this businesses out of our total R&D in percentage terms if you can explain?

Sandeep Singh: One third of our R&D budget is for biotech right now .

Rashmi Shetty: Okay got it and just on India business I am just feeling that you are giving a very conservative number of high single digit because normally for Alkem Q2 and Q 3 quarter <a> \$9 ALKEM Alkem Laboratories

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Page 11 of 22 was very good in terms of the domestic business that is what I understand do you not think that with the anti infectives and everything picking up in next two quarters we should actually be able to do at least low double digit sort of growth in domestic business ?

Sandeep Singh: I hope what you are saying is totally right and we pray for it but look at Q1 , we have slowed down compared to the IPM. So I think it would be prudent to temper expectation. We have no incentive to give a lower guidance or manage it, but yes , we really think that is going to go to double digits and we might . An acute based company , the season

really supports, but

that is like hoping that everything will go right.

Rashmi Shetty: Sir we are in the middle of the Q2 , so are you seeing any sales picked up or you feel that it is muted ?

Sandeep Singh: We do not see a very significant uptake compared to Q1 .

Rashmi Shetty: Alright got it. Thank you. That is it from me.

Moderator : Thank you. We will take the next question from the line of Kunal Randeria from Nuvama . Please go ahead.

Kunal Randeria: Good afternoon. Mr . Ghare on the US business, you said that there was one of opportunity, right. So where did this such a sharp growth come from or the new launches or some market share gaining in some products or if you can just highlight?

Amit Ghare: No, it came across more from the existing business than really from the new product, but new products obviously did contribute to the growth. I just want to make sure that it is understood correctly. Q1 of last fiscal was down quite a lot. So if you really compare two fiscals back the growth is pretty modest or more or less flat little bit of growth. So really that is where we are. Whatever kind of we lost last year we have sort of gained back.

Kunal Randeria: Got it Sir and but any just to push a bit more while I understand Q1 base was unfavorable , but it is nothing out of the ordinary. By that I mean there is some competitor withdrawing from some molecule or anything of that sort, this is just normal business ?

Amit Ghare: That is correct. There is nothing abnormal here or unsustainable here to be honest but like I said earlier, the easing in pricing pressure also helped us overall.

Kunal Randeria: Right, got it. Sir my second question is on the trade generic business now in the last 12 months, several new big Pharma companies, domestic Pharma companies have entered this <a> \$9 ALKEM Alkem Laboratories

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Page 12 of 22 business, do you think in the longer run it could cannibalize the branded business for the industry?

Sandeep Singh: So your question was on trade.

Kunal Randeria: Yes So I am saying a lot of people, a lot of big Pharma companies from India have entered this business so could it cannibalize the branded market that would disturb the branded market in the longer run ?

Sandeep Singh: I think in the long run there would be some impact but in the long term, there could be some structural impact. I think one is trade generics, and private labels from pharmacy chains or

that we keep hearing so yes long term there could be some impact.

Kunal Randeria: Sure and since may be the largest or second largest player in this is there any moat to this business?

Sandeep Singh: That is a great question. So actually, these are these are brands in itself because they have the brand names also. The retailer and stockiest push it. So your moat is your relationship with the stockiest and retailer, which is built over many years and even the consumers, I mean, who consume the medicine they know about these companies. So it is not only a pricing game. It is a misconception. In fact as I kind of said sometime back, I think trade generics are also not a great word for this business because these are brands actually. These are trade brands you could call them. A lot of products of Alkem are picked up by the consumer by picking the brand name. We do not call on the doctor but we call on the stockiest and retailer.

Kunal Randeria: Great got it. Thank you and all the best.

Moderator: Thank you. We will take the next question from the line of Chirag from DSP Mutual Fund.

Please go ahead.

Chirag: Thank you for the opportunity. Sir have we taken any price hikes in the trade generic business also?

Rajesh Dubey: Yes definitely price hike is there. That is one component of growth we are forecasting the trade generic. But there are a lot of analysis needs to be done to what extent we can take price.

San

deep Singh: But we have taken in the Q1 just to answer and that is a great question is going to prove that we are a brand. It is not just pricing.

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Page 13 of 22 Chirag: So when we think of this business longer term in general when we think of the branded business, we think about it as a 3%, 4% and 5% kind of price hike generally is that true for trade generic or so, although it may not be as linear, but generally when you think of it in blocks of three or four years? Does that kind of price hike come through?

Sandeep Singh: I would say not like the branded like prescriptions. It depends on the segment. So if it has an OTX component, you can have a price rise 3% to 5% every year. But on the others, it depends on some dynamics of competition and things like that also.

Chirag: Sir my question is based on historical data over the last four to five years have you seen low single digit kind of price hike in your portfolio?

Sandeep Singh: We have but it comes in lumps.

Chirag: Correct, understood but you have seen mid single digit or low single digit kind of price hike in that business?

Sandeep Singh: Yes kind of IRR yes we kind of take a hike.

Chirag: Understood okay fair point and Sir you also talked about India business is growing in high single digit this year for you? In your assessment, how much will IPM grow this year?

Sandeep Singh: In my assessment, IPM would grow by maybe 8%.

Chirag: And in that context, you were thinking about Alkem business growing in a similar?

Sandeep Singh: Similar to may be 100 to 200 and maximum 200 will make us reach double digits, but yes close to that.

Chirag: Understood okay fair point and typically your procurement for your large molecules in the coming season, when does it start and how does this play out for Penicillin G based products for the coming season?

Rajesh Dubey: So our raw material procurement and other material, it keeps on continuous basis. Normally we build inventory of RMPM for our production schedules. But wherever we foresee and we get indication prices are going to increase definitely we tried to make inventory little bit on higher level but beyond certain extent you can not have inventory. So just to answer to your question, it is continuous exercise. If the prices are on the higher side and it is expensive you cannot avoid. Instead of one and a half months or two months raw material

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Page 14 of 22 you can go and add for another 15 days not beyond that or a month or so, so the answer to your question if prices are on higher side, definitely it will be part of our CUGS.

Chirag: Understood okay and just the last question that if I can squeeze the chronic business today is it contributing to EBITDA?

Yogesh Kaushal: Yes, sure it does so chronic almost contribute close to 20% to the business. I mean to overall chronic business if you ask chronic contributes to itself around 18% to 20% EBITDA so this EBITDA margin to the chronic business I'm saying.

Chirag: So chronic business margins are also similar to what you make on an India business?

Sandeep Singh: No, I mean, yes, overall, yes but that with an acute we make far higher. I mean I am sure

you know .

Chirag: Perfect. Thank you so much Sir.

Moderator : Thank you. We will take the next question from the line of Mehul Sheth from Axis Capital.

Please go ahead .

Mehul Sheth: Thank you for the opportunity. Sir the first question is on domestic side so when we see around 7% Q1 so this can you break it down between the volume price and new launches how the growth was and similarly you are expecting high single digit growth so will it be like a volume on your expectation on this growth drivers?

Yogesh Kaushal : So quarter if you ask me then the volume growth is close to 1%, new launches is 3.7 % and

NRV is 2.3 %.

Mehul Sheth: Sir for the full year like when we share a high single digit growth say 8 % to 9% or at power which market then what will be your expectation? Is the volume recovery visible?

Yogesh Kaushal : So you can expect the reasonable good recovery from NRV because our DPCO impact the price impact will be seen more in Q2 onwards so large impacts will come through NRV and a reasonably good amount will come through volume size so these two will contribute to the growth factor in next two to three quarters.

Mehul Sheth: Sir last on some tax rate hikes so this quarter was around 1.8% so what will be the annual ETR for the coming?

Rajesh Dubey: Yes actually we are revising our guidance on the effective tax rate. It is going to be between 17% to 1.9% and if we compare with last year definitely it is on higher side because of some <a> \$9 ALKEM Alkem Laboratories

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Page 15 of 22 compliance related things related to marketing services so some of the marketing expenses we considered as allowances and second thing our profit from non-exempted plant it increased that is mainly our export business so if that mix is going to change then definitely we are going to have higher effective tax rate and to conclude for this year we are going to be in between 17% to 19% on effective tax.

Mehul Sheth: The question was like any forex impact in other expenses because of this?

Rajesh Dubey : No it is not there in other expenses at least for this quarter because we have positive impact of forex and it has not gone under other expenses.

Mehul Sheth: Okay Sir. Thank you. That is all from my side thank you.

Moderator : Thank you. We will take the next question from the line of Gagan Thareja from ASK Investment Managers . Please go ahead.

Gagan Thareja: Sir the first question is around the other expenses for the quarter ? It is up 21% year-on-year against the sales growth of 15% and if I adjust for R & D which is actually slightly lower year-on-year, then the other expenses excluding R&D are actually up 28% year-on-year?

Can you explain and elaborate there? I mean I would have thought that you were undertaking cost cutting exercises, so that should reflect in the other expenses line item ?

Rajesh Dubey: Generally it depends on what kind of phasing you have for your marketing expense so for this year in Q1 phasing related to marketing expenses little bit on a higher side and definitely to certain extent it got neutralized because of softening of freight especially export freight that is very true. Yes even R&D spending it is on little bit on lower side but it is a phasing of marketing expense. So we spend a little bit higher in Q1 . So definitely Q3 and Q4 is going to have impact of that to certain extent .

Gagan Thareja: So I mean, are you suggesting that in the coming quarters of the year, the other expenses line item can actually be lower because you have up fronted certain amount of your marketing expense in the Q1 itself?

Rajesh Dubey: Yes, obviously because our annual EBITDA target guideline is 16%, so definitely that is going to reduce going forward.

Gagan Thareja: I mean this quarter your sales mix India to exports is two thirds to one third whereas normally for the full year I think it is higher for India so the sales mix would also have had some impact on margins? Would it then be fair to assume that as the sales mix normalizes it should show up in margins going ahead in the quarter ? <a> \$9 ALKEM

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Page 16 of 22 Rajesh Dubey: Yes you are very right. Actually sales mix if it improves for domestic then definitely we are going to have better gross margin as well as EBITDA margin.

Gagan Thareja: You indicated that you were able to take the DPCO link price increase only in the month of June for the Q1 ? It was not effective for the first two months and

if that is the case then

again sequentially in the Q2 even that should help your gross margins and EBITDA margins would that be a fair assumption?

Rajesh Dubey: Yes actually in our guidance of 16%. We have factored all these things so increase in DPCO price whatever it has not come in Q1 that also is factored so I think you have given answer to most of the thing. If our product sales mix is changing then definitely we are going to have better margin but right now our projection and our guidance of 16% most of the things we have already factored.

Gagan Thareja: Last one. If you could just clarify? I did not hear the enzyme top line number I was not able to hear it clearly? You indicated a certain sales number for the year and for the aspiration for the year and actual number for the quarter if you could just kindly repeat that?

Rajesh Dubey: Yes so for the year total top line for enzyme on consolidated basis it is going to be Rs.260 Crores around.

Gagan Thareja: Last year?

Rajesh Dubey: Last year it was it was around Rs.160 Crores.

Gagan Thareja: You have recently launched I think additional products Cituxmab and some more is there anything more in the pipeline that you intend to end this year?

Sandeep Singh: Yes every year we intend to launch two to three products. There is certainly something coming up in the next quarter.

Gagan Thareja: Okay and you foresee a break even in Enzene in the coming year's right?

Sandeep Singh: Next year yes.

Gagan Thareja: And how has been the reception of your ophthalmic portfolio? I know it is early days but if you could give some idea on ophthalmic and also on the diabetes and cardio side? I think last year cardio was weak if I recall it correctly?

Sandeep Singh: So ophthalmic is very early. I would refrain from answering. I would love to answer you but just give us a quarter more. Cardio and diabetes Yogesh you can.

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Page 17 of 22 Yogesh Kaushal: I think you are right so diabetes you know that we are outperforming the market reasonably well. Cardiac, I think we have significantly improved now compared to last year where our evaluation index was below 90. Now in this quarter we have reached 98 and for the month it is 101. So if this trend continues in the next quarter also we have EI more than 100 and that is outperforming the market. So cardiac is reasonably settled.

Gagan Thareja: Sir for the chronic portfolio in India would it be reasonable to assume that you can sustain mid teens sort of a growth for the year? You have already got that sort of a number in the back for the Q1 or do you believe there is potential for it to be better?

Yogesh Kaushal: So we should be in and around that. We will aspire for better but mid teens is what we should be should be surely driving.

Gagan Thareja: Thank you. I will get back in the queue. Thank you.

Moderator: Thank you. We will take the next question from the line of Punit Pujara from Helios Capital. Please go ahead.

Punit Pujara: Thanks for taking my question. So you added to \$12 million to \$13 million in the US business both on quarter-on-quarter and on year-on-year basis so I just wanted to know because of that and cost cutting measures would have aided your EBITDA profile so I wanted to know are we in profits in the US right now? I am not looking for a number but just directionally is it profitable at the current juncture?

Rajesh Dubey: Yes so answer to your question at business level are we profitable yes definitely we are profitable without taking few of the overheads. Here I am referring corporate overhead or similar kind of overheads so definitely we are in profit and I am sorry what was your first question.

Punit Pujara: The question was on profitability only? There is no slicing and dicing anything after R&D and overheads everything put together that was my question Sir?

Rajesh Dubey: At business level we are in positive.

Punit Pujara: Understood Sir and last quarter you had indicated that you are incurring capex for enzyme in the US what other project commissioning timelines are you anticipating?

Sandeep Singh: Yes one and a half years away at least from that one and a half years away.

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Page 18 of 22 Punit Pujara: Sure and Sir quick last question from my side what is the R&D guidance for the full year considering the revenue guidance revision?

Sandeep Singh: 5% is a good estimate.

Punit Pujara: Understood Sir. That answers my question. I will jump back in queue. Thank you.

Moderator: Thank you. We will take the next question from the line of Akash Dobhada from Motilal Oswal Financial Services Limited. Please go ahead.

Akash Dobhada: Thank you for the opportunity. I just want to know the gross margin guidance for the year?

Rajesh Dubey: Gross margin guidance we have already given 59% to 59.5% and that will maintain.

Akash Dobhada: Okay thank you.

Moderator : Thank you. We will take the next question from the line of Amar Maurya from Alfaccurate Advisors . Please go ahead.

Amar Maurya: Sir my first question is on the MR strength what would be the broad breakup between the acute and chronic?

Yogesh Kaushal: So we have 20% of our overall reps is chronic, so out of 12,000, 2400 for chronic.

Amar Maurya: Okay so basically, Sir, I think earlier, so the productivity level if I see has significantly improved in the chronic versus the acute which we were expecting to improve further? I think that has not inched up to the level which we were expecting? Any specific reason or that Sir?

Yogesh Kaushal: Largely because of expansion so while that level blended level you might see productivity is stagnated but this is because of increase in manpower. So last year we expanded close to around 800 odd reps, so that dilutes our productivity. That is the reason you might be seeing a stagnated productivity.

Amar Maurya: So now given the pickup and all, it should improve from here on?

Yogesh Kaushal: Yes.

Amar Maurya: Okay fine Sir . Thank you. <a> \$9 ALKEM

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Page 19 of 22 Moderator : Thank you. We will take the next question from the line of Kunal Dhamesh from Macquarie. Please go ahead.

Kunal Dhamesh: Thank you for the opportunity again. I just wanted to understand on the Enzene business right now it is all revenue coming from India and secondly on the same Enzene business if you could help us understand the economics of the business as to the gross margin right now and the fixed operating cost so once you grow how much improvement can come from there that is the first question?

Sandeep Singh: Sure so I think we will answer not all of it honestly. It is too early on gross margin and fixed cost and all. We would love to answer you when it is larger business. We will give you a split between international and India so we will start with international and then India.

International is 20 % and domestic is 80 % including CDMO and products both.

Kunal Dhamesh: Okay and the plant if you can help us with the let us say bioreactor capacity and has it been inspected by which agency still now?

Sandeep Singh: Yes it is inspected by the D G Australia and we have acquired EU so they would also come in sometimes but it is D G approved in recruited markets it is DG approved.

Kunal Dhamesh: Sure and the capacity front bio reactor capacity?

Sandeep Singh: We will come back on that. We do not have it off hand. We will answer separately.

Kunal Dhamesh: Sure and secondly on the EBITDA margin improvement let us say beyond FY2024 which we are suggesting 50 to 100 basis points every year? Now the way I see it there are three to four drivers right at least for FY2025 we would see incremental cost efficiency

and then

Enzenes profitability improvements and then the general operating leverage in India? I mean so my question here is does this 1500 basis points incremental improvements would that also assume raw material prices of some of our key molecules going down?

Sandeep Singh: Yes some part of it that would have to play out and operating leverage would play a large part of it beyond FY2025.

Kunal Dhamesh: Okay sure and the last one if I may on trade generic business you have said that we can take price, etc., but generally I mean when I look at our trade generic prices as compared to the branded prices for the same molecules they are generally around 10% to 15 % cheaper right so to that extent we do not have that much kind of leeway is a fair assessment or I am wrong here in terms of numbers? <a> \$9 ALKEM

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Page 20 of 22 Sandeep Singh: I think we do not have that much of leeway compared to branded generics for sure that is a fair assumption but we stand by what we said. We do take a price increase in trade generics as well not as structured as branded generics but they do come and they come in lumps .

Kunal Dhamesh: At any point have we thought about some of our peers has changed their strategy by putting some of the big brands into these consumer healthcare buckets? Would we also plan to do this at some point?

Sandeep Singh: Certainly we will do it and we will think about it and that is very interesting but we also have to think that it is a huge franchise. We have the doctors so it will have to be careful on that but we certainly think about that to answer you and as a possibility in the next couple of years we might think about that .

Kunal Dhamesh: And what benefit could it bring for us I mean on a broader level I am not asking for exact benefits in terms of margin , etc., but like strategically?

Sandeep Singh: I think just the larger consumer base and whenever this is done normally you do see a dip in

the first year to year and a half but then there are a lot of examples what happened in Ranbaxy when they went from RX to OTC s they did become large brands Revital and the pain killers and all that stuff .

Kunal Dhamesh: Sure thank you and all the best.

Moderator : Thank you. We will take the next question from the line of Rashmi Shetty from Dolat Capital . Please go ahead.

Rashmi Shetty: Thanks for the follow up. Sir do we have any claims of overpricing some DP CO scheme?

Sandeep Singh: Not any significant that has come to our notice. They keep on communicating and then we clarify them so nothing significant as such.

Rashmi Shetty: OK and for the US capex how many launches have we planned for the year any specific number you would like to call out?

Sandeep Singh: Mr Ghare you can take that please.

Amit Ghare: This year we have planned about eight launches in the US.

Rashmi Shetty: O kay and these are mainly OSD right? <a> \$9 ALKEM

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Page 21 of 22 Amit Ghare: That is correct, but like we have said in the past we also do liquid, we do powder, we do needle space so yes there are spread across these dosage forms .

Rashmi Shetty: Got it and Sir on international business can we take this as a new base of Q1 of roughly Rs.319 Crores as you already mentioned that all the markets are contributing to the overall growth?

Amit Ghare: Yes there is nothing which is one time here so to that extent this base can be taken. Of course quarter -on-quarter some variance will always come.

Rashmi Shetty: Alright thank you Sir. That is it from mine.

Moderator : Thank you. We will take the next question from the line of Mehul Sheth from Axis Capital. Please go ahead.

Mehul Sheth: Thank you for the follow -up. Sir just one clarification when you said your tax guidance of 17% to 19 % it is for FY2024 or even for FY2026?

Rajesh Dubey: This w

as for FY2024 . FY2025 we will come back to you after seeing FY2024 so this 17% to 19% is for FY2024.

Mehul Sheth: Sir just one more like when we talk about capital allocation do you have any plan like to foray into ventures like consumer healthcare or anything like some of the peers are doing that?

Sandeep Singh: Sorry your question was what consumer .

Mehul Sheth: Consumer healthcare kind of venture like?

Sandeep Singh: Yes I mean we think about it every day. It is interesting but the EBITDA margin was impacted so we will have to think about that because this first two three years would be marketing spend would be high so will time it adequately but right now we do not have any plans to foray into it.

Mehul Sheth: Okay Sir thank you. Thank you for the clarification that is all.

Moderator : Thank you. Ladies and gentlemen, this will be the last question for today which is from the line of Saion Mukherjee from Nomura ?

Saion Mukherjee: Thanks for the follow -up, just one clarification on the international business I mean typically we have seen a lot of volatility with many companies but for Alkem it has been a <a> \$9 ALKEM

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Page 22 of 22 very steady growth if you can give some idea as to this is entirely branded generic kind of business or you also have some tenders which can go up and down so the nature of the business at an overall level and some of the markets like CD and all which is a large market we have seen consistently 30% to 40 % CAGR kind of growth in the last four to five years so how are you sort of driving this if you can give some idea on that .

Sandeep Singh: Mr. Ghare you can take that .

Amit Ghare: Sure there are businesses which have the institutional component , so no two things about it , but the overall business is obviously achieved based on each market looking at their numbers and looking at all the areas that we can expand or grow in and the first point really trying to answer your question was we have a bigger slice of this interchangeable generic business versus the branded business so that clearly is the aspect or that is clearly the way we operate. There is no one particular market which kind of jumps out and like I said earlier there is no one time business that came into these numbers so we strongly believe that these are sustainable and there will always be some variance quarter -on-quarter.

Saion Mukherjee: Sir so what is the spread between institutions, generic and branded generic approximately ?

Rajesh Dubey: There is nothing like institutional so I do not want to get it that way but the interchangeable generic versus branded generic that is 90% is interchangeable generic and 10% is branded

generic. This is overall international business.

Saion Mukherjee: Thank you. That is all.

Moderator : Thank you. That was the last question for today I would now like to hand the conference over to Mr. Amit Khandelia for closing comments. Over to you Sir.

Amit Khandelia : Thank you everyone for attending the call . If any of your queries are unanswered please feel free to get in touch with me. T hank you.

Moderator : Thank you very much sir and the members of management. Ladies and gentlemen, on behalf of Motilal Oswal Financial S ervices that concludes this conference. W e thank you for joining us and you may now disconnect your lines. Thank you. <a> \$9 ALKEM

Call: Aug 2023

14th August, 2023

To,
The Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai 400 001.
Scrip Code: 539523 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex, Bandra East , Mumbai 400 051.
Scrip Symbol: ALKEM
Dear Sir s,
Sub: Q1 FY 2024 - Earnings Conference Call Transcript

We enclose herewith the transcript of the "Q1 FY2024 Earnings Conference Call" which was hosted by the Company on Thursday, 10th August , 2023
The said transcript shall also be made available on the website of the Company. Kindly take the same on record.
Sincerely,

For Alkem Laboratories Limited
Manish Narang President – Legal, Company Secretary & Compliance Officer
Encl: a/a <a>
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• CIN: L00305MH1973PLC174201
Page 1 of 22

" Alkem Laboratories Limited
Q1 FY2024 Earnings Conference Call "

August 10, 2023

ANALYST : M R. TUSHAR MANUDHANE – MOTILAL OSWAL
FINANCIAL SERVICES LIMITED
M
ANAGEMENT : MR. SANDEEP SINGH – MANAGING DIRECTOR – ALKEM
LABORATORIES
MR. RAJESH DUBEY – CHIEF FINANCIAL OFFICER –
ALKEM LABORATORIES
MR. AMIT GHARE – PRESIDENT – INTERNATIONAL
BUSINESS – ALKEM LABORATORIES
MR. YOGESH KAUSHAL – PRES IDENT – CHRONIC
DIVISION – ALKEM LABORATORIES
MR. AMIT KHANDELIA - FINANCE TEAM – ALKEM
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Alkem Laboratories
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Page 2 of 22 Moderator : Ladies and gentlemen, g ood day, and welcome to Alkem Laboratories Limited Q1 FY2024 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited . As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on

your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Tushar Manudhane from Motilal Oswal Financial Services Limited . Thank you and over to you Mr. Manudhane !

Tushar Manudhane : Thank you Michelle . Welcome to 1Q FY 2024 Earnings Call of Alkem Laboratories. From the management side we have Mr. Sandeep Singh, Managing Director , Mr. Rajesh Dubey, CFO, Mr. Amit Ghare, President, International Business , Mr. Yogesh Kaushal, President, Chronic Division and Mr. Amit Khandelia from the finance team . Over to you Amit for the opening remarks !

Amit Khandelia : Thank you Tushar. Good afternoon everyone and thank you for joining us today for Alkem Laboratories Q1 FY2024 earnings call. Earlier during the day we have released our financial results and investor presentation and the same are also posted on our website. Hope you have had a chance to look at it. To discuss the business performance and outlook going forward, we have on this call the senior management team of Alkem. Before I proceed with this call I would like to remind everyone that this call is being recorded and the call transcript will be made available on our website as well . I would also like to add that today's discussion may include forward-looking statement and the same must be viewed in conjunction with the risks that our business faces. After the end of this call if any of your queries remain unanswered, please feel free to get in touch with me. With this , I would like to hand over the call to Sandeep to present the key highlights of the quarter gone by and the strategy going forward. Over to you Sandeep.

Sandeep Singh: Thank you Amit. Good afternoon everyone. In Q1 FY2024 we witnessed good revenue growth

in operations with an impressive increase of 15.2% year-on-year. This growth was primarily fueled by strong performance of our business in international markets wherein we have crossed Rs.1000 Crores for the quarter for the first time. Several key factors including the softening of select raw material prices, a favorable currency impact, easing of freight costs and the successful implementation of cost optimization efforts has led to better operational performance resulting in EBITDA margin of 13.1% for the quarter. We remain focused on optimizing our operations and driving profitability for sustained long term success. The quarter also witnessed good cash generation resulting in robust cash position of Rs.2430 Crores. <a> §9 ALKEM

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Page 3 of 22 Coming to India business , we remain highly optimistic about our continued progress and firmly believe that we are well positioned to deliver market leading growth as we have always done in the past . Our growth in chronic therapy segment continues to outperform the market delivering sales of 15.8 % year-on-year whereas the industry only grew by 9.9% year-on-year for the quarter. During the quarter we also gained one rank both in anti - diabetic and also in Neuro CNS therapy. Thank you. With this I think we are open for Q&A.

Moderator : Thank you very much Sir. We will now begin the question and answer session. We will take the first question from the line of Saion Mukherjee from Nomura . Please go ahead.

Saion Mukherjee: Good evening . My first question would be in the light of the Q1 results with respect to your guidance that you had given of double digit growth in India and around 16 % EBITDA margin on a consolidated basis so how should we think about that and are you sort of revising any of these numbers ?

Sandeep Singh: So on the guidance of revenue growth side, I think double digit growth currently seems challenging , but it will be very high single digits for sure. It also depends because acute focus on seasonality of Q2 and all so we will have to watch out for that to be honest Saion and if your question is also because on the EBITDA margin there we feel confident that the guidance of 16% EBITDA, we feel confident of achieving that Saion.

Saion Mukherjee: Okay and on the raw material pressure easing is there more room for gross margins to improve in the coming quarters ?

Sandeep Singh: It is quite possible but we will have to watch out for that , but it seems to be that there is some relief there.

Saion Mukherjee: Thanks and my second question would be the pickup in international market both in US and other markets if you can give some color as to what is driving? Are there any one time opportunities because there is a very steep rise so or any country specific country which has contributed? Any more color if you can provide on the ramp up that we have seen in the international business and how sustainable it is going forward thanks .

Sandeep Singh: Mr Amit can you take that please

Amit Ghare: Thank you Sandeep. Saion there is particular market per se which has contributed to this growth. Of course, the overall growth in the US has been much more than the previous quarter. It is actually more than the last four quarters that we have seen sequentially or even year-on-year so that has kind of overall contributed, but you will also see other international <a> §9 ALKEM

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Page 4 of 22 business crossing Rs.300 Crores so not one particular market has helped the growth. I think a lot of markets are working together and growing very well has contributed to the final numbers .

Saion Mukherjee: Okay so you think this number is sustainable , the international business revenue both in US in the next few years we should have this sustainable going forward?

Amit Ghare: For sure it is sustainable. Obvious

ly, the pricing pressures or how the price deflation works particularly in US and in a few other markets will kind of define going forward, but as you asked in the first question of the first time there is no opportunistic business included here or no significant opportunistic over here, no one time businesses here.

Saion Mukherjee: Thank you. I will join back.

Moderator : Thank you. The next question is from the line of Foram Parekh from B&K Securities . Please go ahead.

Foram Parekh : Sir my question is we have good net cash of Rs. 24 billion so can you just share on your capital allocation plan like how do you intend to utilize this cash? Do we see any sort of MNA activities or do we only want to expand on MR front if you can just give some sense on your capital allocation plan ?

Sandeep Singh: Madam capital allocation plan is the same as we have already discussed in the last few quarters. Nothing has changed so that is number one. Obviously you cannot deploy capital of this kind on employing or deploying medical reps so that is out of the question. We also think we are more than adequately already deployed medical reps so there is no expansion happening there as well. Mr Dubey you want to add something on that.

Rajesh Dubey: No I think you have already covered that and in fact in most of the quarterly earnings call similar kind of clarification is provided and yes of course if we get some better opportunities definitely we have resources .

Foram Parekh: Okay and my second question is on the US front can you just give us some color are we seeing any easing of price erosion or stability in price erosion ? What kind of price erosion are we seeing right now

Sandeep Singh: Mr. Ghare please can you take that .

Amit Ghare: Yes Sir thank you. Yes we were seeing some easing of pricing pressure in the whole of the last fiscal it may have been different quarter -on-quarter but overall in the entire fiscal last <a> \$9 ALKEM Alkem Laboratories

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Page 5 of 22 year we had double digit price deflation . For this particular quarter our pricing deflation was in single digits though it was in high single digits. Now currently in the middle of Q2 the pricing deflation still is in the high single digits, but it is not in double digits so it is better than what it was last year.

Foram Parekh: Sir our margins , EBITDA margin is kind of the lowest in the industry and in this kind of good times when we are easing of freight cost and API cost is easing so do we not see a standing our EBITDA margin guidance from 16% plus or minus 1%?

Sandeep Singh: Actually not madam. Freight was all time high last year so obviously there was some indication that it will come down. All this is factored in when we give a guidance of 16%.

We have one of the lowest EBITDA margins so the work is on that, but we are not upgrading our guidance what we gave last time.

Foram Parekh: Okay, but in your future like two to three years time, do we see it going back to something in 20 what we saw earlier actually?

Sandeep Singh: We were never in 20s as far as I remember , but you can correct me. We must be like some freakish year it could be where we could be close to that but every year let us we have gained 50 to 100 basis point. We will try to increase and that is what we stick with.

Foram Parekh: Okay. That is helpful. Thank you.

Moderator : Thank you. We will take the next question from the line of Abdulkader Puranwala from ICICI Securities . Please go ahead.

Abdulkader Puranwala : Thank you for the opportunity. Sir my first question basically on the Saint Louis facility so have we completely shut down that in Q1 and has the cost savings now reflective into this 13% margin what we have reported ?

Sandeep Singh: A large part of it but not all of it. The plant is on the winding up stage so it is not completely shut but we have like one fourth

of the employees which we had last year so

maybe we will taper it down in the next couple of months. We could potentially have a buyer or shut it down.

Abdulkader Puranwala: Sir your single digit guidance growth guidance for India is it possible to break it down between the branded, generics and trade generics as to what could be the scenario for 2024?

Sandeep Singh: So I think the percentage that we have given first it would remain. The percentage of ratio

will not change between trade generics and branded. <a> \$9 ALKEM
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Page 6 of 22 Abdulkader Puranwala: Okay and Sir in terms of your revenue contribution how much would be that in trade generic for the current quarter ?

Sandeep Singh: It is close to 17 % to 18 .

Abdulkader Puranwala: Alright got it. I will join back the queue. Thank you.

Moderator: Thank you. We will take the next question from the line of Saurabh Kapadia from Sundaram Mutual Fund . Please go ahead.

Saurabh Kapadia: Thanks for the opportunity. Sir if you can talk about the NLE M impact on the Q 1 numbers ?

Rajesh Dubey: If I heard y ou correctly Saurabh you are asking NLEM impact . Yes NLEM impact actually we have opportunity. Actually we already exercise that opportunity to increase our DPCO covered products price increase by 12.24% but in this Q1 it has come later part of the quarter from the month of June. So still this price increase impact in totality is expected to be there in Q2 and going forward.

Saurabh Kapadia: O kay. My second question, now , what was the capex for Q1 and what has been, is there any additional investment which h as gone to this ?

Rajesh Dubey: So capex for the quarter is somewhere close to Rs.78 Crores to Rs.80 Crores and we have already given guidance of Rs.300 Crores to Rs.350 Crores for entire year.

Saurabh Kapadia: O kay and any a dditionally investment on biosim ilar?

Rajesh Dubey: This Rs.350 Crores includes even biosimilar capex also. Major chunk is for biosimilar only for your understanding.

Saurabh Kapadia: Okay thank you.

Moderator : Thank you. We will take the next question from the line of Kunal Dhamesh from Macquarie. Please go ahead.

Kunal Dhamesh: Thank you for the opportunity so the first question on the trade generic number that you suggested around 17% to 18% is that percentage of total revenue or is it percentage of India revenue?

Sandeep Singh: Total domestic. <a> \$9 ALKEM

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Page 7 of 22 Kunal Dhamesh: So I mean as far as I was aware we were somewhere around 21 % to 22% on an annual so is there seasonality in the business ?

Sandeep Singh: There is of course seasonality. There are a lot of other things ye s so in 18% to 20 % hover around that quarter to quarter .

Kunal Dhamesh: Growth or branded, generic and the trade generic is moving in tandem or would you say trade is still faster?

Sandeep Singh: This quarter has been lower for both. So I think this quarter will not be a good to answer that.

Kunal Dhamesh: But I a m not saying this quarter like maybe for last 12 months .

Sandeep Singh: Yes, trade generic is always higher.

Kunal Dhamesh: O kay and let us say our cost efficiency measures I am not sure I might have missed it , I joined little late, but has that kind of contributed in this quarter or is it going to contribute .

Sandeep Singh: It has contributed .

Kunal Dhamesh: It has contributed so then we are basically, let us say to achieve that 16% EBITDA margin guidance generally Q2 and Q 3 needs to do much better than what we are doing right? It is generally the case because of acute being higher?

Sandeep Singh: Correct.

Kunal Dhamesh: O kay perfect. Yes , I have no more questions. I will join the queue. Thank you.

Moderator : Thank you. We w ill take the next question from the line of Bino Pathiparampil from Elara Capital . Please go ahead.

Bino P

athiparampil: There is a Y-o-Y decrease in depreciation and amortization is that because of the write off that we took last quarter?

Rajesh Dubey: Yes, there was some one off related to our US entity. Actually we took additional depreciation in Q1 of last year.

Bino Pathiparampil: O kay so this is a new base okay? Second, in the US there was this Dabigatran product which you could not launch because of supply issues , etc., etc., s o any update on that? <a> \$9 ALKEM
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Page 8 of 22 Sandeep Singh: Amit y ou want to take that .

Amit Ghare: Sure. I guess you are talking about Dabigatran and Dabigatran we are still not in the market. We are still working on sorting our supply chain.

Bino Pathiparampil: Okay an update on Suprex if you are planning to launch anytime soon?

Amit Ghare: So we are not in the market in the recent future for generic.

Bino Pathiparampil: Thank you.

Moderator : Thank you. We will take the next question from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: Thank you for the opportunity. My first question is if you can update us on your cost saving initiative so you mentioned earlier annual target around Rs.200 Crores to Rs.250 Crores savings so how you are doing there like for say 2024 are you confident about achieving the entire savings or it will be gradual move to that stated goal?

Sandeep Singh: Our CFO will take that question.

Rajesh Dubey: So definitely our cost saving exercise is going as per our plan and in this quarter also we have sizable amount in our bottom line. Your second question was whether we will be able to achieve Rs.200 Crores in this year. I think for sure Rs.110 Crores we have already taken in our budget. We will see. Our endeavor will be to have maximum but I do not think it will be Rs.200 Crores but definitely we will try to add maximum.

Damayanti Kerai: Okay but say it is not in this fiscal that is at the medium term goal and as you progress more there we should be seeing gradual uptake from this 16% margin targets which you have indicated for FY2024? Should we work with that assumption?

Sandeep Singh: We already said that every year we will try to increase by 50 to 100 basis points and that is factored in what we are doing.

Damayanti Kerai: Okay and my second question is you talked about softening raw material prices so does that include softening prices for PenG also or that remains elevated?

Sandeep Singh: I think that is non PenG, PenG is still tough. Cephalosporin is still tough.

Damayanti Kerai: Okay it is still tough and my last question if you can state the current MR account and your productivity for India business?

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Page 9 of 22 Sandeep Singh: Mr. Yogesh.

Yogesh Kaushal: Totally we have 12,000 representatives okay and our productivity average at PCPM is around 5.4.

Damayanti Kerai: 5.4 lakh that is the average and if you can split that amount acute and chronic that will be also helpful?

Yogesh Kaushal: Acute around 5.9 and chronic 3.5.

Damayanti Kerai: Okay thanks. That is all. All the best.

Moderator : Thank you. We will take the next question from the line of Saion Mukherjee from Nomura. Please go ahead.

Saion Mukherjee: Yes thanks for the follow-up. Sir on the capital allocation question, given the continual generation in cash and historically Alkem is very conservative, is there a possibility to significantly increase the dividend payout going forward?

Sandeep Singh: Going forward, I mean never say never, but as of now we have not revised our dividend policy so nothing in the near term horizon Saion but yes if this cash becomes like swelled up in a couple of years time we are still conservative in acquisition target, yes, then we would revise this, but we are still away from that.

Saion Mukherjee: Okay

May I ask one more if I can on bio similar initiatives you have been talking about certain technologies which differentiate you if you can give some more color as to how should we think about anything going forward from let us say Rs.140 Crores to Rs.150 Crores that you have over the next two to three years?

Sandeep Singh: So Saion thanks for that. So I think enzyme will continue to grow rapidly and we are looking at enzyme not just for bio similar right now, but we also in the CDMO part of that business also look pretty healthy. Obviously early days. We cannot be dead sure that this would be right, but I think CDMO and biotechnology are also a huge opportunity. So I think this business from this year will be close to 150 to 175 I think and this I think we can double this in a couple of years time may be, but let us watch for it Saion and take it with a pinch of salt. I think CDMO is a lumpy business. We really do not know how much will come and what is going to happen. So I think in the next six to eight months we will be very clear on because this is also a new segment. We are trying to learn and build it.

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Page 10 of 22 Saion Mukherjee: Okay and based on the traction in CDMO, is it with the innovators, biotech companies or with the biosimilar companies where you are seeing?

Sandeep Singh: No biosimilar we avoid because any biosimilar is a low price business for them to make it at someone else's plant is difficult. Most of them are innovators, but obviously small bio pharma to some subsidiaries of a large innovative company also we are working at. So yes,

we are in talks with some mixed like large and small both and some of them seem to be finalizing also.

Saion Mukherjee: Okay great. Thank you.

Moderator : Thank you. We will take the next question from the line of Rashmi Shetty from Dolat Capital . Please go ahead.

Rashmi Shetty: Thanks for the opportunity . So you mentioned that we are running Enzene bio similar plus Enzene CDM segment sales at around Rs.150 Crores to Rs.175 Crores how much have they done in this Q1?

Sandeep Singh: So actually thanks for bringing it up. I think I stand corrected . I think we are close to 240 CR at enzene end of the financial year.

Rashmi Shetty: This financial year you will end up doing Rs.240 Crores?

Sandeep Singh: Rs.250 Crores and this Q1 we did a sales of around Rs.57 Crores Q1.

Rashmi Shetty: Okay and at EBITDA level are we doing still losses or are we expected to do losses at the end of the year?

Sandeep Singh: Yes, mild loss at the year in enzene yes. We will not be breaking even this year.

Rashmi Shetty: Okay so we should expect that that should happen in the following year ?

Sandeep Singh: Yes, that is right.

Rashmi Shetty: Okay and how much of the R&D expenses is allocated to this businesses out of our total R&D in percentage terms if you can explain?

Sandeep Singh: One third of our R&D budget is for biotech right now .

Rashmi Shetty: Okay got it and just on India business I am just feeling that you are giving a very conservative number of high single digit because normally for Alkem Q2 and Q 3 quarter <a> \$9 ALKEM Alkem Laboratories

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Page 11 of 22 was very good in terms of the domestic business that is what I understand do you not think that with the anti infectives and everything picking up in next two quarters we should actually be able to do at least low double digit sort of growth in domestic business ?

Sandeep Singh: I hope what you are saying is totally right and we pray for it but look at Q1 , we have slowed down compared to the IPM. So I think it would be prudent to temper expectation. We have no incentive to give a lower guidance or manage it, but yes , we really think that is going to go to double digits and we might . An acute based company , the season

really supports, but

that is like hoping that everything will go right.

Rashmi Shetty: Sir we are in the middle of the Q2 , so are you seeing any sales picked up or you feel that it is muted ?

Sandeep Singh: We do not see a very significant uptake compared to Q1 .

Rashmi Shetty: Alright got it. Thank you. That is it from me.

Moderator : Thank you. We will take the next question from the line of Kunal Randeria from Nuvama . Please go ahead.

Kunal Randeria: Good afternoon. Mr . Ghare on the US business, you said that there was one of opportunity, right. So where did this such a sharp growth come from or the new launches or some market share gaining in some products or if you can just highlight?

Amit Ghare: No, it came across more from the existing business than really from the new product, but new products obviously did contribute to the growth. I just want to make sure that it is understood correctly. Q1 of last fiscal was down quite a lot. So if you really compare two fiscals back the growth is pretty modest or more or less flat little bit of growth. So really that is where we are. Whatever kind of we lost last year we have sort of gained back.

Kunal Randeria: Got it Sir and but any just to push a bit more while I understand Q1 base was unfavorable , but it is nothing out of the ordinary. By that I mean there is some competitor withdrawing from some molecule or anything of that sort, this is just normal business ?

Amit Ghare: That is correct. There is nothing abnormal here or unsustainable here to be honest but like I said earlier, the easing in pricing pressure also helped us overall.

Kunal Randeria: Right, got it. Sir my second question is on the trade generic business now in the last 12 months, several new big Pharma companies, domestic Pharma companies have entered this <a> \$9 ALKEM Alkem Laboratories

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Page 12 of 22 business, do you think in the longer run it could cannibalize the branded business for the industry?

Sandeep Singh: So your question was on trade.

Kunal Randeria: Yes So I am saying a lot of people, a lot of big Pharma companies from India have entered this business so could it cannibalize the branded market that would disturb the branded market in the longer run ?

Sandeep Singh: I think in the long run there would be some impact but in the long term, there could be some structural impact. I think one is trade generics, and private labels from pharmacy chains or

that we keep hearing so yes long term there could be some impact.

Kunal Randeria: Sure and since may be the largest or second largest player in this is there any moat to this business?

Sandeep Singh: That is a great question. So actually, these are these are brands in itself because they have the brand names also. The retailer and stockiest push it. So your moat is your relationship with the stockiest and retailer, which is built over many years and even the consumers, I mean, who consume the medicine they know about these companies. So it is not only a pricing game. It is a misconception. In fact as I kind of said sometime back, I think trade generics are also not a great word for this business because these are brands actually. These are trade brands you could call them. A lot of products of Alkem are picked up by the consumer by picking the brand name. We do not call on the doctor but we call on the stockiest and retailer.

Kunal Randeria: Great got it. Thank you and all the best.

Moderator: Thank you. We will take the next question from the line of Chirag from DSP Mutual Fund.

Please go ahead.

Chirag: Thank you for the opportunity. Sir have we taken any price hikes in the trade generic business also?

Rajesh Dubey: Yes definitely price hike is there. That is one component of growth we are forecasting the trade generic. But there are a lot of analysis needs to be done to what extent we can take price.

San

deep Singh: But we have taken in the Q1 just to answer and that is a great question is going to prove that we are a brand. It is not just pricing.

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Page 13 of 22 Chirag: So when we think of this business longer term in general when we think of the branded business, we think about it as a 3%, 4% and 5% kind of price hike generally is that true for trade generic or so, although it may not be as linear, but generally when you think of it in blocks of three or four years? Does that kind of price hike come through?

Sandeep Singh: I would say not like the branded like prescriptions. It depends on the segment. So if it has an OTX component, you can have a price rise 3% to 5% every year. But on the others, it depends on some dynamics of competition and things like that also.

Chirag: Sir my question is based on historical data over the last four to five years have you seen low single digit kind of price hike in your portfolio?

Sandeep Singh: We have but it comes in lumps.

Chirag: Correct, understood but you have seen mid single digit or low single digit kind of price hike in that business?

Sandeep Singh: Yes kind of IRR yes we kind of take a hike.

Chirag: Understood okay fair point and Sir you also talked about India business is growing in high single digit this year for you? In your assessment, how much will IPM grow this year?

Sandeep Singh: In my assessment, IPM would grow by maybe 8%.

Chirag: And in that context, you were thinking about Alkem business growing in a similar?

Sandeep Singh: Similar to may be 100 to 200 and maximum 200 will make us reach double digits, but yes close to that.

Chirag: Understood okay fair point and typically your procurement for your large molecules in the coming season, when does it start and how does this play out for Penicillin G based products for the coming season?

Rajesh Dubey: So our raw material procurement and other material, it keeps on continuous basis. Normally we build inventory of RMPM for our production schedules. But wherever we foresee and we get indication prices are going to increase definitely we tried to make inventory little bit on higher level but beyond certain extent you can not have inventory. So just to answer to your question, it is continuous exercise. If the prices are on the higher side and it is expensive you cannot avoid. Instead of one and a half months or two months raw material

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Page 14 of 22 you can go and add for another 15 days not beyond that or a month or so, so the answer to your question if prices are on higher side, definitely it will be part of our CUGS.

Chirag: Understood okay and just the last question that if I can squeeze the chronic business today is it contributing to EBITDA?

Yogesh Kaushal: Yes, sure it does so chronic almost contribute close to 20% to the business. I mean to overall chronic business if you ask chronic contributes to itself around 18% to 20% EBITDA so this EBITDA margin to the chronic business I'm saying.

Chirag: So chronic business margins are also similar to what you make on an India business?

Sandeep Singh: No, I mean, yes, overall, yes but that with an acute we make far higher. I mean I am sure

you know .

Chirag: Perfect. Thank you so much Sir.

Moderator : Thank you. We will take the next question from the line of Mehul Sheth from Axis Capital.

Please go ahead .

Mehul Sheth: Thank you for the opportunity. Sir the first question is on domestic side so when we see around 7% Q1 so this can you break it down between the volume price and new launches how the growth was and similarly you are expecting high single digit growth so will it be like a volume on your expectation on this growth drivers?

Yogesh Kaushal : So quarter if you ask me then the volume growth is close to 1%, new launches is 3.7 % and

NRV is 2.3 %.

Mehul Sheth: Sir for the full year like when we share a high single digit growth say 8 % to 9% or at power which market then what will be your expectation? Is the volume recovery visible?

Yogesh Kaushal : So you can expect the reasonable good recovery from NRV because our DPCO impact the price impact will be seen more in Q2 onwards so large impacts will come through NRV and a reasonably good amount will come through volume size so these two will contribute to the growth factor in next two to three quarters.

Mehul Sheth: Sir last on some tax rate hikes so this quarter was around 1.8% so what will be the annual ETR for the coming?

Rajesh Dubey: Yes actually we are revising our guidance on the effective tax rate. It is going to be between 17% to 1.9% and if we compare with last year definitely it is on higher side because of some <a> \$9 ALKEM Alkem Laboratories

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Page 15 of 22 compliance related things related to marketing services so some of the marketing expenses we considered as allowances and second thing our profit from non-exempted plant it increased that is mainly our export business so if that mix is going to change then definitely we are going to have higher effective tax rate and to conclude for this year we are going to be in between 17% to 19% on effective tax.

Mehul Sheth: The question was like any forex impact in other expenses because of this?

Rajesh Dubey : No it is not there in other expenses at least for this quarter because we have positive impact of forex and it has not gone under other expenses.

Mehul Sheth: Okay Sir. Thank you. That is all from my side thank you.

Moderator : Thank you. We will take the next question from the line of Gagan Thareja from ASK Investment Managers . Please go ahead.

Gagan Thareja: Sir the first question is around the other expenses for the quarter ? It is up 21% year-on-year against the sales growth of 15% and if I adjust for R & D which is actually slightly lower year-on-year, then the other expenses excluding R&D are actually up 28% year-on-year?

Can you explain and elaborate there? I mean I would have thought that you were undertaking cost cutting exercises, so that should reflect in the other expenses line item ?

Rajesh Dubey: Generally it depends on what kind of phasing you have for your marketing expense so for this year in Q1 phasing related to marketing expenses little bit on a higher side and definitely to certain extent it got neutralized because of softening of freight especially export freight that is very true. Yes even R&D spending it is on little bit on lower side but it is a phasing of marketing expense. So we spend a little bit higher in Q1 . So definitely Q3 and Q4 is going to have impact of that to certain extent .

Gagan Thareja: So I mean, are you suggesting that in the coming quarters of the year, the other expenses line item can actually be lower because you have up fronted certain amount of your marketing expense in the Q1 itself?

Rajesh Dubey: Yes, obviously because our annual EBITDA target guideline is 16%, so definitely that is going to reduce going forward.

Gagan Thareja: I mean this quarter your sales mix India to exports is two thirds to one third whereas normally for the full year I think it is higher for India so the sales mix would also have had some impact on margins? Would it then be fair to assume that as the sales mix normalizes it should show up in margins going ahead in the quarter ? <a> \$9 ALKEM

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Page 16 of 22 Rajesh Dubey: Yes you are very right. Actually sales mix if it improves for domestic then definitely we are going to have better gross margin as well as EBITDA margin.

Gagan Thareja: You indicated that you were able to take the DPCO link price increase only in the month of June for the Q1 ? It was not effective for the first two months and

if that is the case then

again sequentially in the Q2 even that should help your gross margins and EBITDA margins would that be a fair assumption?

Rajesh Dubey: Yes actually in our guidance of 16%. We have factored all these things so increase in DPCO price whatever it has not come in Q1 that also is factored so I think you have given answer to most of the thing. If our product sales mix is changing then definitely we are going to have better margin but right now our projection and our guidance of 16% most of the things we have already factored.

Gagan Thareja: Last one. If you could just clarify? I did not hear the enzyme top line number I was not able to hear it clearly? You indicated a certain sales number for the year and for the aspiration for the year and actual number for the quarter if you could just kindly repeat that?

Rajesh Dubey: Yes so for the year total top line for enzyme on consolidated basis it is going to be Rs.260 Crores around.

Gagan Thareja: Last year?

Rajesh Dubey: Last year it was it was around Rs.160 Crores.

Gagan Thareja: You have recently launched I think additional products Cituxmab and some more is there anything more in the pipeline that you intend to end this year?

Sandeep Singh: Yes every year we intend to launch two to three products. There is certainly something coming up in the next quarter.

Gagan Thareja: Okay and you foresee a break even in Enzene in the coming year's right?

Sandeep Singh: Next year yes.

Gagan Thareja: And how has been the reception of your ophthalmic portfolio? I know it is early days but if you could give some idea on ophthalmic and also on the diabetes and cardio side? I think last year cardio was weak if I recall it correctly?

Sandeep Singh: So ophthalmic is very early. I would refrain from answering. I would love to answer you but just give us a quarter more. Cardio and diabetes Yogesh you can.

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Page 17 of 22 Yogesh Kaushal: I think you are right so diabetes you know that we are outperforming the market reasonably well. Cardiac, I think we have significantly improved now compared to last year where our evaluation index was below 90. Now in this quarter we have reached 98 and for the month it is 101. So if this trend continues in the next quarter also we have EI more than 100 and that is outperforming the market. So cardiac is reasonably settled.

Gagan Thareja: Sir for the chronic portfolio in India would it be reasonable to assume that you can sustain mid teens sort of a growth for the year? You have already got that sort of a number in the back for the Q1 or do you believe there is potential for it to be better?

Yogesh Kaushal: So we should be in and around that. We will aspire for better but mid teens is what we should be surely driving.

Gagan Thareja: Thank you. I will get back in the queue. Thank you.

Moderator: Thank you. We will take the next question from the line of Punit Pujara from Helios Capital. Please go ahead.

Punit Pujara: Thanks for taking my question. So you added to \$12 million to \$13 million in the US business both on quarter-on-quarter and on year-on-year basis so I just wanted to know because of that and cost cutting measures would have aided your EBITDA profile so I wanted to know are we in profits in the US right now? I am not looking for a number but just directionally is it profitable at the current juncture?

Rajesh Dubey: Yes so answer to your question at business level are we profitable yes definitely we are profitable without taking few of the overheads. Here I am referring corporate overhead or similar kind of overheads so definitely we are in profit and I am sorry what was your first question.

Punit Pujara: The question was on profitability only? There is no slicing and dicing anything after R&D and overheads everything put together that was my question Sir?

Rajesh Dubey: At business level we are in positive.

Punit Pujara: Understood Sir and last quarter you had indicated that you are incurring capex for enzyme in the US what other project commissioning timelines are you anticipating?

Sandeep Singh: Yes one and a half years away at least from that one and a half years away.

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Page 18 of 22 Punit Pujara: Sure and Sir quick last question from my side what is the R&D guidance for the full year considering the revenue guidance revision?

Sandeep Singh: 5% is a good estimate.

Punit Pujara: Understood Sir. That answers my question. I will jump back in queue. Thank you.

Moderator: Thank you. We will take the next question from the line of Akash Dobhada from Motilal Oswal Financial Services Limited. Please go ahead.

Akash Dobhada: Thank you for the opportunity. I just want to know the gross margin guidance for the year?

Rajesh Dubey: Gross margin guidance we have already given 59% to 59.5% and that will maintain.

Akash Dobhada: Okay thank you.

Moderator : Thank you. We will take the next question from the line of Amar Maurya from Alfaccurate Advisors . Please go ahead.

Amar Maurya: Sir my first question is on the MR strength what would be the broad breakup between the acute and chronic?

Yogesh Kaushal: So we have 20% of our overall reps is chronic, so out of 12,000, 2400 for chronic.

Amar Maurya: Okay so basically, Sir, I think earlier, so the productivity level if I see has significantly improved in the chronic versus the acute which we were expecting to improve further? I think that has not added up to the level which we were expecting? Any specific reason or that Sir?

Yogesh Kaushal: Largely because of expansion so while that level blended level you might see productivity is stagnated but this is because of increase in manpower. So last year we expanded close to around 800 odd reps, so that dilutes our productivity. That is the reason you might be seeing a stagnated productivity.

Amar Maurya: So now given the pickup and all, it should improve from here on?

Yogesh Kaushal: Yes.

Amar Maurya: Okay fine Sir . Thank you. <a> \$9 ALKEM

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Page 19 of 22 Moderator : Thank you. We will take the next question from the line of Kunal Dhamesh from Macquarie. Please go ahead.

Kunal Dhamesh: Thank you for the opportunity again. I just wanted to understand on the Enzene business right now it is all revenue coming from India and secondly on the same Enzene business if you could help us understand the economics of the business as to the gross margin right now and the fixed operating cost so once you grow how much improvement can come from there that is the first question?

Sandeep Singh: Sure so I think we will answer not all of it honestly. It is too early on gross margin and fixed cost and all. We would love to answer you when it is larger business. We will give you a split between international and India so we will start with international and then India.

International is 20 % and domestic is 80 % including CDMO and products both.

Kunal Dhamesh: Okay and the plant if you can help us with the let us say bioreactor capacity and has it been inspected by which agency still now?

Sandeep Singh: Yes it is inspected by the D G Australia and we have acquired EU so they would also come in sometimes but it is D G approved in recruited markets it is DG approved.

Kunal Dhamesh: Sure and the capacity front bio reactor capacity?

Sandeep Singh: We will come back on that. We do not have it off hand. We will answer separately.

Kunal Dhamesh: Sure and secondly on the EBITDA margin improvement let us say beyond FY2024 which we are suggesting 50 to 100 basis points every year? Now the way I see it there are three to four drivers right at least for FY2025 we would see incremental cost efficiency

and then

Enzenes profitability improvements and then the general operating leverage in India? I mean so my question here is does this 1500 basis points incremental improvements would that also assume raw material prices of some of our key molecules going down?

Sandeep Singh: Yes some part of it that would have to play out and operating leverage would play a large part of it beyond FY2025.

Kunal Dhamesh: Okay sure and the last one if I may on trade generic business you have said that we can take price, etc., but generally I mean when I look at our trade generic prices as compared to the branded prices for the same molecules they are generally around 10% to 15 % cheaper right so to that extent we do not have that much kind of leeway is a fair assessment or I am wrong here in terms of numbers? <a> \$9 ALKEM

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Page 20 of 22 Sandeep Singh: I think we do not have that much of leeway compared to branded generics for sure that is a fair assumption but we stand by what we said. We do take a price increase in trade generics as well not as structured as branded generics but they do come and they come in lumps .

Kunal Dhamesh: At any point have we thought about some of our peers has changed their strategy by putting some of the big brands into these consumer healthcare buckets? Would we also plan to do this at some point?

Sandeep Singh: Certainly we will do it and we will think about it and that is very interesting but we also have to think that it is a huge franchise. We have the doctors so it will have to be careful on that but we certainly think about that to answer you and as a possibility in the next couple of years we might think about that .

Kunal Dhamesh: And what benefit could it bring for us I mean on a broader level I am not asking for exact benefits in terms of margin , etc., but like strategically?

Sandeep Singh: I think just the larger consumer base and whenever this is done normally you do see a dip in

the first year to year and a half but then there are a lot of examples what happened in Ranbaxy when they went from RX to OTC s they did become large brands Revital and the pain killers and all that stuff .

Kunal Dhamesh: Sure thank you and all the best.

Moderator : Thank you. We will take the next question from the line of Rashmi Shetty from Dolat Capital . Please go ahead.

Rashmi Shetty: Thanks for the follow up. Sir do we have any claims of overpricing some DP CO scheme?

Sandeep Singh: Not any significant that has come to our notice. They keep on communicating and then we clarify them so nothing significant as such.

Rashmi Shetty: OK and for the US capex how many launches have we planned for the year any specific number you would like to call out?

Sandeep Singh: Mr Ghare you can take that please.

Amit Ghare: This year we have planned about eight launches in the US.

Rashmi Shetty: O kay and these are mainly OSD right? <a> \$9 ALKEM

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Page 21 of 22 Amit Ghare: That is correct, but like we have said in the past we also do liquid, we do powder, we do needle space so yes there are spread across these dosage forms .

Rashmi Shetty: Got it and Sir on international business can we take this as a new base of Q1 of roughly Rs.319 Crores as you already mentioned that all the markets are contributing to the overall growth?

Amit Ghare: Yes there is nothing which is one time here so to that extent this base can be taken. Of course quarter -on-quarter some variance will always come.

Rashmi Shetty: Alright thank you Sir. That is it from mine.

Moderator : Thank you. We will take the next question from the line of Mehul Sheth from Axis Capital. Please go ahead.

Mehul Sheth: Thank you for the follow -up. Sir just one clarification when you said your tax guidance of 17% to 19 % it is for FY2024 or even for FY2026?

Rajesh Dubey: This w

as for FY2024 . FY2025 we will come back to you after seeing FY2024 so this 17% to 19% is for FY2024.

Mehul Sheth: Sir just one more like when we talk about capital allocation do you have any plan like to foray into ventures like consumer healthcare or anything like some of the peers are doing that?

Sandeep Singh: Sorry your question was what consumer .

Mehul Sheth: Consumer healthcare kind of venture like?

Sandeep Singh: Yes I mean we think about it every day. It is interesting but the EBITDA margin was impacted so we will have to think about that because this first two three years would be marketing spend would be high so will time it adequately but right now we do not have any plans to foray into it.

Mehul Sheth: Okay Sir thank you. Thank you for the clarification that is all.

Moderator : Thank you. Ladies and gentlemen, this will be the last question for today which is from the line of Saion Mukherjee from Nomura ?

Saion Mukherjee: Thanks for the follow -up, just one clarification on the international business I mean typically we have seen a lot of volatility with many companies but for Alkem it has been a <a> \$9 ALKEM

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Page 22 of 22 very steady growth if you can give some idea as to this is entirely branded generic kind of business or you also have some tenders which can go up and down so the nature of the business at an overall level and some of the markets like CD and all which is a large market we have seen consistently 30% to 40 % CAGR kind of growth in the last four to five years so how are you sort of driving this if you can give some idea on that .

Sandeep Singh: Mr. Ghare you can take that .

Amit Ghare: Sure there are businesses which have the institutional component , so no two things about it , but the overall business is obviously achieved based on each market looking at their numbers and looking at all the areas that we can expand or grow in and the first point really trying to answer your question was we have a bigger slice of this interchangeable generic business versus the branded business so that clearly is the aspect or that is clearly the way we operate. There is no one particular market which kind of jumps out and like I said earlier there is no one time business that came into these numbers so we strongly believe that these are sustainable and there will always be some variance quarter -on-quarter.

Saion Mukherjee: Sir so what is the spread between institutions, generic and branded generic approximately ?

Rajesh Dubey: There is nothing like institutional so I do not want to get it that way but the interchangeable generic versus branded generic that is 90% is interchangeable generic and 10% is branded

generic. This is overall international business.

Saion Mukherjee: Thank you. That is all.

Moderator : Thank you. That was the last question for today I would now like to hand the conference over to Mr. Amit Khandelia for closing comments. Over to you Sir.

Amit Khandelia : Thank you everyone for attending the call . If any of your queries are unanswered please feel free to get in touch with me. T hank you.

Moderator : Thank you very much sir and the members of management. Ladies and gentlemen, on behalf of Motilal Oswal Financial S ervices that concludes this conference. W e thank you for joining us and you may now disconnect your lines. Thank you. <a> \$9 ALKEM

Call: Nov 2023

10th November, 2023

The Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai 400 001.
Scrip Code: 539523 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex ,
Bandra East ,
Mumbai 400 051.
Scrip Symbol: ALKEM

Dear Sirs,

Sub: Q 2 FY2024 - Earnings Conference Call Transcript

We enclose herewith the transcript of the "Q 2 FY2024 Earnings Conference Call" which was hosted by the Company on Tuesday , 07th November, 2023.

The said transcript shall also be made available on the website of the Company.

Kindly take the same on record.

Sincerely,

For Alkem Laboratories Limited

Manish Narang President - Legal, Company Secretary & Compliance Officer

Encl.: a/a

Page 1 of 16

"Alkem Laboratories Q2 FY24 Earnings Conference Call"

November 07, 2023

MANAGEMENT : MR. SANDEEP SINGH – MANAGING DIRECTOR , ALKEM LABORATORIES
DR. VIKAS GUPTA – CEO, ALKEM LABORATORIES
MR. RAJESH DUBEY – CHIEF FINANCIAL OFFICER , ALKEM LABORATORIES
MR. AMIT GHARE – PRESIDENT , INTERNATIONAL BUSINESS , ALKEM LABORATORIES
MR. AMIT KHANDELIA – VP (FINANCE) , ALKEM LABORATORIES

MODERATOR : MR. TUSHAR MANUDHANE – MOTILAL OSWAL FINANCIAL SERVICES LIMITED

Alkem Laboratories
November 07, 2023

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Moderator: Ladies and gentlemen, good day and welcome to Alkem Laboratories Q2 FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

And now I will hand the conference over to Mr. Tushar from Motilal Oswal Financial Services. Thank you and over to you, sir.

Tushar Manudhane : Thank you, Seema. Welcome to 2Q FY24 Earnings Call of Alkem Laboratories. From management side, we have Mr. Sandeep Singh – Managing Director ; Dr. Vikas Gupta – CEO ; Mr. Rajesh Dubey – Chief Financial Officer ; Mr. Amit G hare – President, International Business; and Mr. Amit Khandelia – VP (Finance). Over to you, Amit .

Amit Khandelia : Thank you, Tushar. Good evening , everyone and thank y ou for joining us today for Alk em Laborator ies' Q2 FY24 earnings call. Earlier during the day , we have released our financial results and investor presentation and the same are also posted on our websit e. Hope you have had a chance to look at it. To discuss the business performance and outlook going forward, we have on this call the Senior Management Team of Alkem.

Before I proceed with this call, I would like to remind everyone that this call is being r ecorded and the call transcript will be made available on our website as well. I would also like to add that today's discussion may include forward-looking statements and the same must be viewed in conjunction with the risks that our business faces. After the end of this call, if any of your queries remain unanswered, please feel free to get in touch with me.

With this, I would like to hand over the call to Mr. Sandeep Singh to present the key highlights of the quarter gone by and strategy going forward. Ov er to you, Sandeep.

Sandeep Singh: Thank you, Amit. Good evening, everyone. As many of you are aware, we recently announced the appointment of Dr. Vikas Gupta as a Chief Executive O fficer. Dr. Vikas Gupta has over two decades of experience in the pharmaceu tical industry, and his leadership and vision will play a pivotal role in our future growth and strategy. We are excited to have him on board. I formally welcome Dr. Vikas Gupta on his first analyst Interaction.

We are pleased to report strong operational performance in the quarter, supported by significant gross margin improvements and operating leverage. We have observed a favorable trend in raw material cost softening, which has positively impacted our cost structure. Price erosion in the US market has s lowed down from high teens in last year. I am confident that our ongoing cost optimization efforts will persist in driving improved performance. In this quarter, it proved to be a good quarter for the company featuring a year -on-year reven ue growth of appr oximately 12%.

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Our EBITDA margin stood at 21.7% while net profit after tax for the quarter is around Rs. 620 crores. During the quarter, we generated approximately Rs. 470 crores in cash, reinforcing our balance sheet to establish and sustain substantial net cash position of around Rs. 2,900 c rores as of September 30, 2023.

Coming to our domestic business :

We experienced a lackluster quarter one and this trend continued in this quarter two due to sporadic and delayed monsoons. However, there was a noticeable improvement towards the end of quarter two with a particularly positive upturn in the month of September . We are eager to capitalize on this momentum and anticipate stronger performance in the upcoming periods. Our growth during the chronic therapeutic segment continue d to surpass market performance.

During the quarter, we advanced by two ranks in anti -diabe tic and one rank in neuro , CNS and cardiac therapy segments. Our trade-generic franchise remains a key driver in our growth jour ney within India.

Moving to International Business :

For the second consecutive quarter, our International Business has demonstra ted its strength by surpassing Rs. 1,000 crores for the quarter. The performance of US business was driven by volume growth in our core operations. Other international market growth was led by good performance in Chile, Europe and Kazakhstan and even Phili ppines to a certain extent. During the quarter, we have received 4 ANDA approvals including one tentative approval. All our manufacturing facilities supplying to the US are having an EIR as on date. We aim to sustain and carry forward this performance mome ntum into the remaining part of the year with the determination to surpass earlier EBITDA guidance of 16% for 2024.

With this, I would like to open the floor for Q&A. Thank you for being here.

Moderator : Thank you very much, sir. We will now begin with the question-and -answer session. We take the first question from the line of Saion Mukherjee from Nomura Se curities. Please go ahead, sir.

Saion Mukherjee : Sir, just a question on the US. We have seen a good increase quarter -on-quarter. If you can elaborate, you mentioned about volume growth, but are there any seasonal factors and how should we think about the next 2 quarters? And also from a slightly medium-term perspective, how should we think about US in the backdrop of we have seen some reduction in R&D cost, just one AN DA filing in the first half because earlier there was a bit of conservativeness with respect to the US. So, beyond the next 2 quarters, how should we think about US moving up in FY25 -26?

Amit Ghare: Saion, the first part of the question, there has been small seasonal effect in the quarter 2 numbers towards the end of September. And honestly, the season never actually ended this year. The growth for anti -infectives has been strong since the last season started. Other than that, there has
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been nothing one time or nothing substantial that contributed. So, it's kind of overall business that contributed. For the next 2 quarters, obviously, our base is now higher. So, repeating this kind of growth, obviously, is going to be a challenge year -on-year, that is. But we are obviously looking at overall full year FY24 over FY23, we are looking at high single digit growth in dollar terms. That's where we stand. On the R&D side, I'll hand it back to Sandeep and Dr. Vikas. Sandeep Singh: So, on the R&D side, I think H1 is not an indication of predicting how many ANDAs we'll file for the year. So, they'll be back ended, but we'll be filing close to 8 to 9 ANDAs. And second, yes, in small molecules we have cut back some R&D. I mean, you all are aware that we are doing clinical trials for Denosumab for US market. So, it's not that we are kind of really cutting back or getting very negative on US. We have just decided to allocate slightly less money and also change the color of our spending from small molecules to let's say, hopefully more complex things.

Saion Mukherjee : And just one more question on the tax rate. You had guided for a higher tax rate earlier, around 18%. So, where do we stand? Is that guidance holds for this year and next year?

Rajesh Dubey : Saion, our earlier guidance was somewhere close to 18%. But we reviewed our revenue generating from eligible unit, that is Sikkim and some bottleneck we planned out and we revised our guidance from 18% to 12% to 15% for this year.

Saion Mukherjee : And sir, this will hold for next year as well?

Rajesh Dubey : Next year, we will come back to you during our third quarter's result, but I think we will be somewhere closer to it.

Saion Muk

herjee : And when does this Sikkim benefit last and when do we see a step up in tax rate?

Rajesh Dubey : March 26 is last. So, from April 26 onwards, we don't have fixed the benefit for that.

Moderator : Thank you, sir. We take the next question from the line of Kunal Dhamesha from Macquarie.

Please go ahead, sir.

Kunal Dhamesha : Just continuing on the tax rate, so we are now guiding for 12% to 15%, and H1 is around 9%, so does that mean that we are more or less would be at 18% for the next couple of quarters?

Rajesh Dubey : On an annualized basis, we work out our tax, but in this half year, there are some elements towards catch up. That's the reason it is on lower side. But on an annualized basis, our estimate is 12% to 15%, Kunal.

Kunal Dhamesha : Yes, so that means the second half would be 18% right? Like close to 18%?

Rajesh Dubey : Not 18%, somewhere around 16% kind of, 15% -16%.

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Kunal Dhamesha : And secondly on the US business, you said that the price erosion has kind of reduced, but any number that you would or range that you would like to put out, so earlier you alluded, it was into like low double digits. I mean, where are we now and what has kind of changed and how long do you see that continue?

Amit Ghare: Currently, the pricing deflation is in the big single digit numbers around 5% to 6%. That's where it is. Future, we hope it remains in those levels but future is future.

Kunal Dhamesha : And have we supplied any shortage product in this quarter which would have helped us?

Amit Ghare: No one-time opportunities per se, significant one-time opportunities. That is what I am seeing.

Kunal Dhamesha : And the last question on the India business. So, we were in the process of expanding our field force by around 10%. So, are we kind of more or less done there? What is the update?

Dr Vikas Gupta : Yes, so on India business expansion, I think we are more or less done. So, we are not planning any big expansion in India business. The focus will be on increasing productivity now. And whatever people we have added in the recent years, we are just planning to now create the operating leverage and get the productivity up for our people in the business. That remains our top-most focus.

Kunal Dhamesha : Sure and what would be the MRRs number as of now, and the line manager?

Dr Vikas Gupta : So, we have around 12,000 the first line and then proportionately you can take the number of managers.

Moderator : Thank you. We'll take the next question from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty : On the softening of the raw material cost, have you seen correction in penicillin and cephalosporin prices ?

Rajesh Dubey : Yes, so softening of API prices we can feel , but a few anti -infectives, I think still it has not come back to pre-COVID level and particularly product where pen G component is there. So, pen G still it is going on at \$30 level. So, I think pre -COVID it was somewhere close to \$ 8 to \$10 and now still it is \$28 -\$30. So, you can understand still we see scope there. But the rest of the major APIs we feel more or less it got softened and we hope going forward for few months at least, we'll be able to have a similar kind of situation for India.

Rashmi Shetty : Okay, and sir the improvement in the India business and the base improving in the abating price erosion in the US business, do we upgrade our gross margin guidance from currently, I mean, whatever you had cited earlier, 59% to around 60 %-61% now for this year?

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Rajesh Dubey : Yes, gross margin improvement is of course there and that is a good thing. And if you recollect in our last earnings call, the issue guidance of 59% -59.5% on an annualized basis, I think we are going to remain. Of course, you rightly said, besides API, bet

ter product mix and particularly in

US business, we got better gross margin there. So, I think things are going as per our estimate only. And API prices , better product mix and all these things are helping us and we are hopeful guidance we have given, we are going to remain there only and not below that.

Rashmi Shetty : Okay, and sir on your India business, if you can give what was the trade generic business contribution and what kind of growth have you seen in that business?

Dr Vikas Gupta : So, around 20% to 21 % kind of contribution and the growth has been around 6% to 7%. So, that has been the trade generic.

Rashmi Shetty : Sir, first half full year , are we maintaining our high single digit growth guidance in the domestic business?

Dr Vikas Gupta : Yes, pretty much. That is where we are trending mid -single digit, but we are expecting it to be higher single digit on an annualized basis.

Rashmi Shetty : My last question is related to the Enzene Bioscience. What was the sales contribution which has come in from there and how do we see the profitability also in this quarter?

Sandeep Singh: Sales contribution you asked ma'am?

Rashmi Shetty: Yes, from the CDMO and biotechnology product from the Enzene Bioscience.

Sandeep Singh: The cost was around Rs. 80 crores in the quarter 2 and your question was on profitability .

Rashmi Shetty: Yes, on the margin front?

Sandeep Singh: It's slightly negative but close to breakeven , but I think next year we will be closer to breakeven. I think this is very early stage for biotech. So, honestly for the next 3 -4 years, we really should not expect it to like to generate a lot of profit even though even if they break even but I think growth is a priority here.

Rashmi Shetty: Sir on the sales front for Enzene Bioscience, we have seen a sharp jump from quarter -on-quarter. So, we have done any new launches during the quarter?

Sandeep Singh: I think plenty of new launches. Enzene also does a B2B business too with other pharma companies in India. So, yes, they have driven a lot of partnerships. We have launched 6 products already, I guess. The seventh one is approved. It is the generic of Lucentis. It is ranibizumab , so it is getting to take off now.

Moderator: Thank you. We take the next question from the line of Bino from Elara Capital. Please go ahead.

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Bino: Just to explore a bit further on the margins, so you have said that these are broadly sustainable, but still just to drive a little deeper, this quarter margin has come exceptionally higher with both gross margin and as well as other expenses being lower. In the light of this, you think this level is sustainable going forward at these levels or we should think about it like somewhere in between where it was and this quarter?

Sandeep Singh: I think forget the quarter; quarter is great but this is not sustainable on an annual basis. I think we will be close to 16 .5 for this year , year ending.

Bino: So, this quarter in that sense is a bit of an abrasion. And second sir, any guidance on any update on launch of Dabigatran in the US and Suprep in the US?

Amit Ghare: We do not talk at product level, but Dabigatran, we obviously launched. We are the only one of the two generics which are approved, and we continue to face supply chain challenges .

Bino: And any indication of resolution of those supply chain challenges?

Amit Ghare: We are always working towards resolving them sooner, but then there are few things required at the end as well because we were adding a secondary source of API, I think we had discussed that earlier and we are sort of depending on that. And that obviously needs approval from FDA. The primary source obviously continues, but we don't really get supplies from there. So, that's been a supply chain challenge for us.

Bino: And you don't want to guide on Supreme

p?

Amit Ghare: Supreme, we haven't launched, we haven't been approved and haven't launched as yet.

Moderator: Thank you. We take the next question from the line of Bansi from JP Morgan. Please go ahead.

Bansi: Just probing on our margins once again. So, in this quarter, we are at 61%. And this is despite Pen G prices remaining elevated. If you were to just take a medium-term view and assuming that Pen G prices are do ease off with production capacity coming on stream next year from Aurobindo. What is the upside that one could expect on the gross margin front?

Rajesh Dubey : See Bansi, our estimate it says our gross margin is going to be remain somewhere close to 59.5% to 60%. Of course, we have considered Pen G price, what is going on today. So, nobody knows if the price comes back to say \$9, then accordingly there would be upside. But we are realistic in our estimate. And we feel on annualized basis, we are going to remain somewhere close to our guidance.

Sandeep Singh: Even Aurobindo, when they come on stage, doesn't mean we'll get it cheaper. We don't know. We will face it as it comes.

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Bansi : But even if they were to say sell at the market price, is there any savings from Forex perspective or from logistics cost saving perspective?

Sandeep Singh: Yes, savings are going on. That's why you see those numbers.

Dr Vikas Gupta : Bansi, I think it is hypothetical as on date. We will have more clarity on it once that really hits the market. So, before that, anything would be only speculative.

Bansi : And secondly, my question is on employee costs, that has reduced sequentially and year-over-year as well. So, any specific reason for that?

Dr Vikas Gupta : Yes, we've run internally various cost saving projects and the cost is lesser because we have optimized our manpower costs in plants and R&D especially. So, that is sustainable and that is something that has really resulted into it. Of course, we don't see it sequentially continuing to fall, but I guess, the initiatives that were taken that have sort of resulted in this kind of savings on the manpower.

Bansi : So, basically assuming normalized growth on this base from here onwards?

Dr Vikas Gupta : Yes.

Bansi : And lastly, my question is on our strategy for the chronic business of ours. So, if I were to take a longer-term historical trend, Alkem's market share has remained somewhere around 1.8% - 1.9% in the chronic segment. We've been in the business for some years now. On a small base, the growth rates have been good, but how do you make meaningful gains from here on and how do you increase the productivity of MRs in this particular segment from here on?

Dr Vikas Gupta : Yes, absolutely. So, chronic, we have a clear strategy that we have in place and that's one of the most important areas and levers of growth for domestic business in India. Even now, we continue to outperform in one or two segments in Chronic especially if you will look at the anti-diabetics, the recent launches have done pretty well and there we have much higher market share than as compared to the overall market share in chronic business. As you said, we are focusing on improving the productivity and getting our top line growth as well as a profitable topline growth, especially in the chronic segment. So, I guess our journey of growth in chronic would continue. We would continue to beat the market in chronic especially on the diabetic, anti-diabetic side and cardiology and CNS. These are the areas where we are making good inroads, especially with the key products that are going to be big brands for the future. So, in the coming quarters, you will see good growth coming, continuing to come out of the chronic very much.

Bansi : And the investments pertaining to MR here, are all done with?

Dr Vikas Gupta : Yes. So, as I mentioned, there are no expansion

plans so to say, of course, there will be minor

additions here, there, which we may continue to do as and when the business needs it. But the game plan over there is more on increasing the productivity and that's the prime focus and

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chronic whatever manpower allocation also had to be done that is done, that is in place. Now the

whole game is about increasing the productivity and gaining market share.

Moderator : Thank you. We take the next question from the line of Hussain from Carnelian capital, please go-ahead sir.

Hussain: I just wanted to understand on the chronic side, how are we planning to ramp up and increase our share in the chronic side, in the overall share of our revenue? That is the question number one. Secondly, on the US side, as you see, most of the pharma companies are saying that the pricing pressure has eased and now most of the companies whose base business has started to improve. So, how do we see our base business improving and how do we see things going forward? And since we are now conscious on filing the ANDAs and capital allocation, so since the US business has started to improve, so how are we strategizing our growth in the US space and how do we see the US as a share of the total revenue increasing going forward ?

Dr. Vikas Gupta : So, I'll take it . First on your question of chronic, I think I already answered when Banshi was asking this. Chronic is a very important area and important lever of growth for us at domestic.

Our key focus areas over there which are cardiac, diabetic and CNS, so in all these businesses are growing strong double digits, so that is that is how I'll put across in terms of the growth

numbers. The growth will be largely, it is not a manpower led, expansion led growth, it is now going to concentrate on few brands that we're going to build for the future and that's what is going to drive the growth, that's on the chronic side. And we are improving our profitability of that business with every passing quarter, that's the other piece in terms of the chronic business.

With regards to the US, like Amit also already answered, the price erosion that was seen earlier in the US market has eased out this year. And same is the trend that we have also seen in our business. So, our business also has not seen that kind of price erosion that we were seeing earlier.

So, we are pretty much in line with the market. Now in future, whether the prices again begin to deflate, only time will tell, but our expectation is that should not be the case because we are assuming in many segments, the prices have sort of bottomed out or they will continue to erode

at a mid-single digit kind of degrowth that we would see on the pricing. With regards to ANDA,

I think we have already answered that we are targeting around 8 to 9 filings even for this year. So, going forward, we are picking up those products and those markets where the payback of

entry to the market is much more profitable than what it is and which are less likely to see that kind of price erosion. But in US market how it plays out , it's only after the entry of the product to the market that we will get to realize , that we will get to see it.

Hussain: Got it. And just one question on the anti -infectives . So, our growth was 3.7% in the first half of FY24, which was lesser than the IPM growth of 5.7%. Any specific reason where we lacked in terms of the anti -infectives?

Dr. Vikas Gupta : So, I guess we are pretty much in line, I would say more or less a little bit here and there as compared to the overall market growth , but that's largely on account of our higher dependence on certain geographies, which saw much sluggish growth even in terms of market. So, the weighted average for us has come into play. So, I think it's, but that's not too much of a concern.

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I would

say on an H1 basis, we are more or less a little bit here, there in line with the market growth.

Hussain: And just last one thing. So, just wanted to understand sir, any specific mandate that has been given to you in terms of the company's growth, that has been given in terms of how to streamline or how to ramp up the overall growth and taking the company to the next level , just wanted to understand from you.

Dr. Vikas Gupta: Yes, so no different from what the guidance has been given to the market in every quarterly call.

So, I guess it's pretty much the same mandate that I have, and I will make sure and make my best efforts to meet up all the expectations that have been laid out.

Moderator: Thank you, sir. We take the next question from the line of Chirag Dagli from DSP BlackRock.

Please go ahead, sir.

Chirag Dagli: Sir, has the full benefit of cost saving initiatives in the US played out in the second quarter or more of that is expected as we go along?

Sandeep Singh: More or less but I think it's ongoing , but yes more or less . We can't keep cutting it to the bone, so I think we have done that more or less.

Chirag Dagli: Understood sir. And the US prices still seem to be eroding albeit at a lesser extent, but that should not have helped our gross margin improvement, correct? Because prices still continue to erode unless raw material prices have actually fallen even more than that erosion.

Rajesh Dubey : In fact, I was talking on mix, our sales mix. So, product having better margin, they contributed more in these sales. So, that was my meeting.

Chirag Dagli: So, US gross margins, how would they have behaved?

Rajesh Dubey: So, if better margin product we sell more, then definitely we are going to have better gross margin also.

Chirag Dagli: The mix in the US is also better, is what you're indicating.

Dr Vikas Gupta : We are talking about mix in US.

Rajesh Dubey: Primarily, yes.

Chirag Dagli: Understood. And just a last question, if I can squeeze in. How has October been for the India business?

Dr. Vikas Gupta: Yes, it's been fairly in line with the market. So, it has been a good month.

Moderator: Thank you, sir. The next question is from the line of Nithya from Bernstein, please go ahead.

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Nithya: So, on the gross margin expansion, what I'm trying to understand is even though you've achieved a substantial expansion in this quarter, you're still guiding to a fairly subdued number by the end of the year. If you can help us understand what were the contributors, at least if you can rank order the different contributors, raw material prices improvement, US pricing improvement, mix improvement, so that we understand what is possibly one-off and what is possibly likely to sustain in the future?

Rajesh Dubey : So, there is nothing one-off in this quarter, Nithya, and our guidance is for annualized. So, in fact, guidance we have given earlier, I think nothing significant change is going to happen. In this call only, earlier analyst, he asked what is going to happen when API prices is going to get further reduced. So, all those are future, and we do not want to comment. Our estimate and understanding business projection we have. We are confident we will be matching 59.5% guidance we have given. And this I am talking on annualized basis. Quarter two is not in all respect indicator for annual. So, I think we will be able to achieve.

Dr. Vikas Gupta: So, just to add to it, Nithya, the mix that we have in US, we are not sure whether the same mix will continue in the coming quarters as well. So, that you may still, if you want to qualify as a one-off, you may look at that. So, whatever has been the addition on account of mix in US, we may not see, but whatever has been on account of the raw material pricing easing out, we expect it to remain that way, if not become better

Nithya: Thank you for the clarification, Vikas, and good to see you on the other side of the table. I have just one more question on Denosumab. What are your thoughts on how you plan to commercialize the product in the US? Will that be in-house? Will you find a partner?

Sandeep Singh: Denosumab, yes, so I think we can do it in-house, but we're also open to finding a partner. See, we are still in the early days of switch ability and all that in US. So, 2026 is what we think we could do, late 2026. So, I think we will reach that stage soon. But as of now, I think we could do it on our own.

Moderator: Thank you. We'll take the next question from the line of Gagan Thareja from ASK Investment Managers. Please go ahead, sir.

Gagan Thareja: So, the first question pertains to the cost-cutting program. In the start of the year you indicated that US specificity you had a Rs. 250 crore cost-cutting program that's the annualized number. Are we trending at the Rs. 250 crore annualized savings?

Rajesh Dubey : So, I don't think Rs. 250 crore it was alone for US. I think we never quantified any amount or outlier in any amount on account of cost cutting. Yes, we do have EBITDA margin improvement, right. And not to certain extent on larger extent that has started contributing to our profitability and that is the reason we started having better EBITDA margin also. So, it is combination of USA, it is combination of R&D, domestic plants also serving to USA, and even plants serving to domestic business also. So, it is all across.

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Gagan Thareja: So, I understand that sir, with the number I am simply quoting from with reference to your past conference calls?

Sandeep Singh: So, that was not for the US. That was the overall corporate. That's all we are saying. We are not saying the number quoted was wrong. It was not for US. That's all we are saying. So, that includes India's spend, lot of stuff also, R&D.

Gagan Thareja: But have you been able to achieve that target or you feel...?

Sandeep Singh: Yes, we are close to it. I think from the numbers you can see that we are doing well, so we are obviously achieving it.

Gagan Thareja: And you indicated that India growth in the chronic therapies, now the focus is more on profitable growth. You know, you're looking at improving sales productivity. In principle, that is another margin lever. If you're able to execute what you intend to, which is to improve productivity. Theoretically speaking, your margin should see further room for growth even with gross margins being where they are. And in any case, gross margins improve as chronic grows at a higher pace than acute because it comes at higher gross margin. Is that line of thinking logical and correct?

Sandeep Singh: It is absolutely logical, but we gave you guidance of this year doesn't mean that beyond that we

have not improved. So, obviously, logic is correct. I don't know what we're going to get at, but yes.

Dr. Vikas Gupta: And that's what we intend to do.

Gagan Thareja: And the final one, sir, any thoughts on capital allocation given that very strong cash position that you have currently?

Sandeep Singh: I think same as I said last time, we'll be slightly more open to M&A opportunities going forward. But one should not read too much into it. We'll take our time to understand. But we are more open than last few quarters, what I've been telling. So, we will scout for some M&A opportunities in the chronic segments and things like that. However, don't expect anything to play out in the next few months or something like that.

Gagan Thareja: And in ROW, you've had a good year this year so far. Could you elaborate and delve into why we have seen that strong leg up and can we think of a higher growth as being sustainable in the ROW markets for you from there on?

Sandeep Singh: Yes, I

think it's sustainable. And Amit, maybe you can take that.

Amit Ghare: No, you are answering. I mean, yes, it's very much sustainable. We've gone to only a few geographies, we've targeted and we are obviously trying to grow business in those geographies.

At the same time, obviously, every year we try and add one or two markets to enter. So, the growth that you witness is a combination of all of that and it is very much sustainable.

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Moderator: Thank you, sir. The next question is from the line of Madhav Marda from Fidelity Investment. Please go ahead.

Madhav Marda: I joined the call a little late. I just wanted to check that the US sale which you have said that mix tailwind might not last. I just wanted to understand what happened here like it was a one-off opportunity or what exactly played out and then why doesn't it continue? Could you just help us understand?

Amit Ghare: No one-offs, so there were no one-offs, but a combination of a few things. First and foremost, obviously, lower price deflation compared to previous years. Second is the first half for last year was a low base, so growth here obviously looks better and some new product launches. And overall product mix has kind of helped us. Some seasonality effect with season, the flu season and the overall season never really ended from last year. So, the summer months also had good growth on the anti-infectives. So, a combination of all that has led us to these numbers.

Madhav Marda: Okay, you said that tailwind, did I hear it right that it may not continue in the coming quarters or it will continue? Sorry, I didn't understand.

Dr Vikas Gupta: So, it wasn't about tailwind. What we said was the mix that we have got in this quarter may not exactly be the same in the coming quarters. So, the product mix might change, which might change the gross margin in the US business, just to clarify.

Moderator: Thank you. The next question is from the line of Kunal Dhamesha from Macquarie. Please go ahead, sir.

Kunal Dhamesha: One on the Denosumab, what is the expected R&D spend on this product?

Sandeep Singh: It will be like between \$30 to \$40 million. This is a clinical trial cost, so this is a CT cost, R&D cost you could add up a few million dollars.

Kunal Dhamesha: And this is right now in the R&D phase, not in the clinical phase?

Sandeep Singh: Clinical stage.

Kunal Dhamesha: It's in clinical stage?

Sandeep Singh: Absolutely yes. We have already disclosed we are doing phase 1, phase 3.

Kunal Dhamesha: And this \$30-\$40 million, is it somehow baked into current R&D numbers in some form or other?

Sandeep Singh: Yes, in every form, in the right form.

Kunal Dhamesha: So, how many quarters is it going to be there?

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Sandeep Singh: I think it is going from the few quarters, last few quarters, maybe for more years going on. On the lumpiness, I'm not sure. It will go on for the next six months, I think, 6 to 9 months.

Kunal Dhamesha: The reason I'm asking is that R&D is like down almost 10% in first half on a year-on-year basis.

Sandeep Singh: Yes, as I said, it's not like a mathematical, H1 is equal to H2. So, even we have 5 lesser ANDAs. So, H2 you'll see a lot more ANDAs and things like that. So, yes, we have cut some R&D for a small molecule I said earlier, but we continue to spread on R&D.

Kunal Dhamesha: And second on the trade generic business, we said it's grown at around 6% -7% year-on-year in this quarter. So, is it primarily because of the absence of the acute season or is there any competition?

Dr Vikas Gupta: No, it's absolutely. It's more to do with seasonality because on the generic side as well we have big

anti-infective products. So, they have seen sluggish growth. Otherwise, there's no major reason for that

Kunal Dhamesha: And last couple of questions on the US business. So, one on the Dabigatran, would we have supplied some channel filling quantity in this quarter?

Amit Ghare: No sales on Dabigatran in this quarter.

Kunal Dhamesha: But I think we earlier said we launched the product in this quarter.

Sandeep Singh: No, we did not say this quarter. Amit just said yes, launched it. He did not mention we launched in this quarter.

Amit Ghare: We launched in June 2022 of June-July period.

Kunal Dhamesha: And since then, we are facing the supply issues on and off.

Amit Ghare: We've done maybe small feeds after that or some sales after that as well, but certainly not this quarter.

Kunal Dhamesha: And last one on Suprep, so is there anything pending from our side or is it largely pending with the US FDA side?

Amit Ghare: So, it's pending with FDA and then obviously the launch is pending. So, we are not forecasting it in the immediate future.

Moderator: Thank you. The next question is from the line of Yash Tanna from iThought PMS. Please go ahead, sir.

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Yash Tanna: We spoke about productivity improvement. Can you firstly give the break up of productivity between Acute and Chronic and the company overall? What sort of productivity improvement are we targeting going forward probably in this year and in the next?

Dr. Vikas Gupta: So, currently, we are at around the overall basis of 4.6 productivity that we have.

Yash Tanna: This is for chronic right?

Dr. Vikas Gupta: No this is overall. Of course, acute is much higher and chronic is much lesser because we have lesser business over there. As I mentioned that we are targeting a strong double-digit growth as far as chronic business is concerned that will even bump up our overall productivity and of course the increase in productivity would be much higher in chronic than as compared to acute which is already at a higher productivity of close to around 7 lakhs.

Yash Tanna: Sure, right. And any numbers that we are trying to target for the year or the next year?

Dr. Vikas Gupta: As I mentioned, you can see a strong double-digit growth on that. So, I guess that is what we are targeting.

Yash Tanna: And sir, Sandeep sir mentioned about being slightly more open to M&A opportunities. So, which areas will we be looking at and what is the size that we will be looking at? I mean, would we be willing to take some debt for the same or it will be from the cash that we have?

Sandeep Singh: I think we have enough cash; we are not going to take debt and do a billion dollar acquisition any way close to that. So, I think chronic segment is what we are looking at, but we will come back more granularly as we kind of evaluate. But chronic could be a good segment, OTC, consumer could be a segment too but I think chronic would be the most highest priority.

Moderator: Thank you, sir. We will take the next question from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja: Based on your guidance, for this year, 16.5% possible OPM. Second half, if you back it out, comes to around 15% odd, if I have my calculation, correct ballpark. And last year second half was around 15% -15.5%. I'm wondering if you have the benefit of the cost-cutting programs and some tailwinds on raw materials, shouldn't it be reasonable to presume that second half should also be better Y-o-Y in margin terms whereas the guidance will tell you that it won't be so?

Sandeep Singh: I think it comes back to Vikas's answer also. See, the mix was good this quarter. If it remains, we could beat that. But in all reasonableness, we know that this year also be very sluggish here. So, quarter four always is weak. So, quarter four in a sluggish year could be weaker. So, I would not anticipate a huge positive thing. And your calculation is very right.

I think we will be around close to that.

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Gagan Thareja: But don't you think that the secular bit there is the cost that you control that is the case, ceteris paribus in-principle even with the same...

Sandeep Singh: I think that's accounted sir. Last year quarter three, I think EBITDA was 19.7 if I am correct. You mentioned some other number. Quarter 4 was 12.2.

Gagan Thareja: Yes, I'm saying last year's second half it was 15.5.

Sandeep Singh: Yes, so we'll be close to that.

Moderator: Thank you, sir. As there are no further questions, I would now like to hand the conference over

to the management for closing comments.

Amit Khandelia : Thank you everyone for attending the call. If any of your queries are unanswered, please feel free to get in touch with me. Wishing you all a very Happy Diwali. See you next year.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

14th February , 2024

To,
The Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai 400 001.
Scrip Code: 539523 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex ,
Bandra East ,
Mumbai 400 051.
Scrip Symbol: ALKEM

Dear Sir s,

Sub: Q 3 FY2024 - Earnings Conference Call Transcript

We enclose herewith the transcript of the "Q 3 FY2024 Earnings Conference Call" which was hosted by the Company on Fri day, 09 th February , 2024.

The said transcript shall also be made available on the website of the Company at <https://www.alkemlabs.com/earnings-call.php>.

Kindly take the same on record.

Sincerely,

For Alkem Laboratories Limited

Manish Narang President - Legal, Company Secretary & Compliance Officer

Encl.: a/a

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"Alkem Laboratories Limited
Q3 FY24 Earnings Conference Call "
February 09, 202 4

MANAGEMENT : DR. VIKAS GUPTA – CHIEF EXECUTIVE OFFICER –
ALKEM LABORATORIES LIMITED
MR. NITIN AGRAWAL -- CHIEF FINANCIAL OFFICER –
ALKEM LABORATORIES LIMITED
MR. KUNAL KOTHARI -- INVESTOR RELATIONS –
ALKEM LABORATORIES LIMITED

M

ODERATOR : MR. TUSHAR MANUDHANE – MOTILAL OSWAL
FINANCIAL SERVICES LIMITED

Alkem Laboratories Limited
February 09 , 202 4

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Moderator : Ladies and gentlemen, good day, and welcome to the Alkem Laboratories Q3 FY '24 Earnings Conference Call, hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Tushar Manudhane from Motilal Oswal Financial Services. Thank you, and over to you, sir.

Tushar Manudhane: Thanks, Rio. Good evening, and a warm welcome for 3Q FY '24 Earnings Call for Alkem

Laboratories. From the management side, we have Dr. Vikas Gupta, CEO; and Mr. Nitin Agrawal, CFO. Over to you, sir, for the opening remarks.

Kunal Kothari: Thank you, Tushar. Good afternoon, everyone, and thank you for joining us today for Alkem Laboratories Q3 FY '24 earnings call. Earlier during the day, we have released our financial results and investor presentation and the same are also posted on our website. Hope you have had a chance to look at it. To discuss the business performance and outlook going forward, we have on this call the senior management team of Alkem.

Before I proceed with this call, I would like to remind everyone that this call is being recorded and the call transcript will be made available on our website as well. I would also like to add that today's discussion may include forward-looking statements and the same must be viewed in conjunction with the risks that our business faces. After the end of this call, if any of your queries remain unanswered, please feel free to get in touch with me.

With this, I would like to hand over the call to Dr. Vikas Gupta to present the key highlights of the quarter gone by and the strategy going forward. Over to you, sir.

Vikas Gupta: Thank you so much, Kunal. A very good evening to everyone, and I sincerely appreciate your presence at today's earnings call. I would like to begin by wishing each one of you a very happy New Year. This is the first time in this New Year that we are catching up. So I wish everyone on the call a very, very Happy New Year.

I will start by presenting an overview of the significant operational and financial achievements in the previous quarter, and I shall be taking up any questions that you may have for our entire team. As many of you are aware, we recently announced the appointment of our new CFO. So Nitin Agrawal joins us as our CFO.

Nitin has almost 2 decades of experience in pharmaceutical and FMCG industry and his leadership and vision will play a pivotal role in our future growth strategy. I'm really excited to have him with me as part of our team, and I formally welcome Nitin on his first analyst interaction as the CFO of the company.

So we are pleased to report a strong operational performance in Q3, supported by significant gross margin enhancements, of course, supported by the lower raw material costs as well as lower intensity of price erosion in the U.S. market during Q3 of this year. I'm confident that our

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ongoing cost optimization efforts will persist in driving the improved performance even in times to come. So Q3 proved to be a good quarter overall for the company.

We had a Y-o-Y revenue growth of approximately 9%. Our EBITDA margin saw significant improvement by 160 basis points. So from 19.7%, it moved to 21.3%. While the net profit after tax for the quarter is around INR 595 crores. During the quarter, we generated approximately INR 600 crores in cash, reinforcing our balance sheet to establish a substantial net cash position of around INR 3,500 crores as on December 31, 2023.

Th

Our domestic business, which saw sluggish growth due to seasonality of the portfolio during Q1 and Q2, saw a good offtake. So in Q3, our domestic business has outperformed the IPM growth by nearly 20 basis points, and that's largely because we saw a very good offtake in the gastro portfolio in the VMN portfolio and the antidiabetic portfolio. Our trade generic franchise remains a key driver in our growth journey within India, and we are growing strength by strength as far as that business is concerned.

Our international business has also delivered steady growth. Although our U.S. business declined on the back of high base of last year. Last year, we had seen a very significant flu outbreak in U.S., which led to an offtake in our portfolio. And this year, that has not shown that kind of growth. But our non-U.S. business, which is -- that has significantly contributed during the quarter, both in terms of revenue as well as profitability. So that's on our international business. And during the quarter, we received almost 6 -- yes, we received 6 ANDA approvals, including 1 tentative approval. All our manufacturing facilities supplying to U.S. except the Mandva plant are having no EIR as on date. So we came to sustain and carry forward this performance momentum into the remaining part of the year, and we are determined to improve profitability as we move along in the subsequent quarters as well.

So with this, I would like to open the floor for any questions that you may have for us. Thank you. Thank you for your patient listening.

Moderator: The first question is from Rashmi Shetty from Dolat Capital.

Rashmi Shetty: Congratulations on good set of numbers. Sir, just want to know a bit more about India business. Though we have given a very strong growth this quarter, and we have seen some recovery also in all the therapies, but we are still lower in anti-infective and pain segment versus IPM anti-infective and pain segment growth. So if you could give reasons for that, where we are lacking behind. And what are your plans to overcome it?

Vikas Gupta: Yes. So I think as a company, as I said, we are concentrating and moving more towards building therapies beyond anti-infectives and that we spoke about even in the previous call, and I will maintain that even going forward. That doesn't mean that we are diluting any focus. I think the growth -- lesser growth in anti-infective is largely a function of seasonality in the areas of strength. So we are a very strong company in certain geographies in India. And we saw sluggish growth of our anti-infective portfolio in those markets. So that's why I would say it's a weighted average that has pulled us down and that's why our anti-infective growth is looking sluggish.

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We have the largest play in AMOXICLAV as a market. So AMOXICLAV as a market has also been not that progressive in this year as compared to last year, and that's what is putting our entire anti-infective portfolio down. But I'm sure as time progresses, we have our right focus, we have our right strategy in place in the coming quarters and in subsequent year, the coming year, you will see a good turnaround in that portfolio as we move along.

Rashmi Shetty: And about pain management?

Vikas Gupta: So pain management, our play is also not very strong. If you look at our overall portfolio, the contribution of pain management as such is not -- the contribution is not very high. So again, it's a portfolio issue, the pain portfolio that we have, that has not been one of the most progressive portfolio, but we have taken a note of this.

And we are coming up with newer opportunities in this area to make sure that we continue to outperform in that market. I think the key markets that we have, which is GI, which is one of our significant contributors to our portfolio, you can notice that we have really outper-

formed

over there. So that's important.

And the weak area like antidiabetic, which chronic used to be a pain point for us. I'm really happy to see that we are really outperforming. The market has grown at only 5%, whereas we have grown at close to 16% plus. So that's a good uptick that we have seen in those markets, and that's the heartening sign. And the other piece is the vitamins and VMN portfolio. We have huge brand on the VMN side. We are one of the largest players. So those are our core segments, and I would say they have really outperformed the market.

Rashmi Shetty: And your chronic contribution now as on 9 months currently stands at how much?

Vikas Gupta: So the contributions have -- it still stands at around 17%, within the range of -- yes, around 17%, I would say.

Rashmi Shetty: Okay. And my second question is related to the international business growth. That is ex U.S.

What are the factors that are actually contributing to this growth? Is it volume expansion or new launches or adding new geographies, if you can give some picture? And also in FY '25 and '26, whether we will see this growth getting normalized? Or there is still scope to see this kind of growth ahead?

Vikas Gupta: So our international growth, non-U.S. growth, the significant offtake has come from a few markets in LatAm, in Europe. These are the markets where we are seeing mainly the growth coming. I would say that these are sustainable. You would see even in '25, '26 because as an organization, we are focusing now on these markets much more than before.

And the best part is that these markets are -- the EBITDA margins are much more than the U.S. margins. So it's -- they're more profitable as compared to the U.S. market. So that's why we are in our quest of improving the profitability overall, we will be focusing more on these markets. So in '25, '26 as well, you will see the growth momentum continuing in these markets.

Moderator: Next question is from the line of Charul Agrawal from Bank of America.

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Charul Agrawal: My question was on the cost line. So this quarter, we have seen significant reduction in the other expenses. So I wanted to understand what drove this reduction and can we see this as a sustainable...

Vikas Gupta: Yes. So this is -- you mean the cost reduction in the overall portfolio, the overall balance sheet?

Charul Agrawal: Yes. Cost reduction in 3Q versus the previous quarter?

Nitin Agrawal: Okay. I think this is a function of the gross margin. If you look at our gross margin, there is a significant improvement of around 2%. And that has actually flowed to the EBITDA margin also. So -- and the improvement in gross margin was on account of lower API prices. So a good part of our portfolio saw a reduction in API.

Also, as Vikas said that our focus on ROW, which is a higher gross margin market as related to U.S. has also contributed to increase in gross margin. And that is why you see a major reduction

in the operating expenses.

Charul Agrawal: Sir, even on a Q-o-Q basis, like on a Q-o-Q basis, the gross margin is similar, right?

Nitin Agrawal: Yes, yes. And...

Vikas Gupta: So it's a function of both the reduction in the raw material cost as well as the mix, so that's the geography mix and the portfolio mix, which is contributing to this, Charul.

Moderator: Next question is from the line of Chirag from DSP.

Chirag: Sir, you mentioned you are determined to improve profitability. Just a little more colour around that. On a full year basis, historically, you've maintained that you can improve margin a 100 basis points. This year, clearly, you've done much better albeit on a low base. But when you say you want to improve profitability, what exactly do you mean just a little more colour around that?

Nitin Agrawal: So as we have given previously guidance of around 16% to 17% and looking

at our YTD performance, where we are at 18.9%, but as we all know that Q4 traditionally has not been a very strong quarter for Alkem because of the seasonality and our dependency on anti-infective.

So we expect to close the year at around 17% of EBITDA margin.

Chirag: Okay. And just some colour around the future, not just next quarter, but how should we think about because the business is obviously seasonal. So question was more on a sustainable basis, where should we think margin?

Vikas Gupta: So Chirag, my view that at that level, it should be a sustainable margin because the initiatives that we have taken have given us good improvement in various areas. So at 17%, I believe that should be sustainable. And going forward, we should look at improving it further. But that itself at 16% -- sorry, at 17% itself, we have 50 to 100 basis points improvement. And there is scope of improving it even further as the time progresses. But I would say that, that is the sustainable level at which we will operate.

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Chirag: Understood, sir. Fair point. The other one was on dividends. You've announced INR 35 dividend that is broadly only a quarter's cash flow. We are sitting on a very strong cash balance, business continues to generate a lot of cash. Any incremental thoughts on how you're thinking about deploying this cash?

Vikas Gupta: I said it on the previous call as well, Chirag. We are looking at various opportunities of deploying balance sheet cash, whether it means acquisition, whether it means putting it up into newer opportunities of growth for the organization. Right now, there is nothing that's available to us, which is at the -- no acquisition opportunity is there in front of us, which is at the right valuation. But as I mentioned earlier as well, if there is any opportunity that we would see, which makes sense to deploy this cash, we would be very open.

Moderator: Next question is from the line of Kunal Dhamesha from Macquarie.

Kunal Dhamesha: First, on the other expense. I think previous participant also asked, the INR 811 crores other expense in quarter 2 has gone down to INR 740 crores in this quarter. So any particular reason for this? Is this more sustainable level from here on?

Vikas Gupta: Could you just, Kunal, once again repeat your question. I just had something in between. I missed you.

Kunal Dhamesha: Yes. So other expenses, other operating expenses in this quarter is around INR 740 crores; quarter 2, it was INR 811 crores. So any particular reason for it to be lower by this much amount in this quarter?

Nitin Agrawal: So Kunal, as you know, that quarter 2, because of the seasonality is one of the strongest quarters of Alkem because -- again, because of high dependency on anti-infective and because of monsoon and all. So as a percentage of sales, if you look at our other expenses have almost -- is in the same range in the last few quarters. And because of higher sales, there were higher marketing expenses in quarter 2 of the current year.

And that is why in absolute value term, though you see that there is a reduction. But in percentage terms, we are trying to maintain the same marketing expense as a percentage of sales. But definitely, there is a change in absolute value terms.

Kunal Dhamesha: But sir, as a percentage also, it has come down, right? Last quarter, it was 23.6%. This quarter, it's coming out to be 22.3%. So is there any ForEx gain, which has been netted off against it?

Nitin Agrawal: Yes. So there is an amount -- there is an element of ForEx, as you rightly pointed out. So there is an element of ForEx, which is around 0.2%, which has impacted the other expenses.

Kunal Dhamesha: Can you adjust the amount?

Nitin Agrawal: There's nothing material element. So it's more about seasonality and the mix of domestic and international again because in domestic, we have

higher marketing expenses; in international, it's a generic business. So the marketing expense is not that high. And also, we have reduced our

distribution expense in terms of our air freight. So previously, we were incurring some amount

on air freight and now we have worked on a lot of efficiency in other projects. So our air freight amount has gone down significantly.

Kuna I Dhamesha: And let's say, when you said that 17% EBITDA margin is more of a sustainable number and from there we can look to improve, but within that, such a large swing on a quarterly basis are expected, in your view? Because first quarter, we were at low teens, then for the last 2 quarters, we are at 21%, 22%. Again, quarter 4 would probably be subdued given our 17% EBITDA margin guidance. So is that a similar seasonality that we should expect going forward?

Vikas Gupta: Yes. As we will improve our portfolio mix and swing it more towards other therapies as well, you will see it getting improved over a period of time. So -- but if you will compare it to our previous year's performance as well, right now, it's pretty much in line with that. But as we progress and as we see growth on the portfolio, which is beyond our current core, then over a period of time, you will see that changing. But in a short-term basis, I wouldn't say that it will change substantially or there will be a major change.

Moderator: Next question is from the line of Yash Tanna from iThought PMS.

Yash Tanna: So this question is related to the previous participant. She mentioned about anti-infectives and pain. But even if I see respiratory and cardiac, right, there is some sort of underperformance even if I look at this quarter or 9-month basis, so if you can provide a clarification there, what are we trying to do to bridge this gap?

And secondly, my question was regarding the biosimilars. If you can provide an update on the pipeline and what are our plans going forward, probably in the medium term, next 2 to 3 years, how are we looking at launching these in the rest of the world markets and eventually into the regulated markets?

Vikas Gupta: Yes. So I'll pick up the question on respiratory and cardiology. Both these segments, as I mentioned earlier from -- in our portfolio are very small as on date. And that's why it doesn't really affect too much whereas antidiabetic is getting big and that is where we had focused. On respiratory, if you will see the new launches that we did, they are doing pretty well, right?

So our growths are -- you will see in the coming quarters, you will see really improving growths as far as the respiratory business is concerned because now we have put a lot of focus behind that. We are coming up with newer products as well. So I'm sure these 2 therapies will get addressed in times to come.

Taking up your biosimilar question, I think our strategy on biosimilar, we are pretty much on track. The number of products, whatever that we have launched. Now we have almost 7 products that we have already launched. And all the products are doing pretty well in their respective markets. If you will look at the overall performance of our subsidiary, we are registering significant growth as far as both on the CDMO business side as well as our internal brand building side.

Now going forward, in the coming years, we have this plan of introducing it to the other markets as well. Our initiatives are on track with regards to that plan. And I don't see a major significant

deviation in that plan from before. So I think our biosimilar strategy is pretty much on track and we are -- every quarter, we are strengthening it as we move along.

Yash Tanna: Just a follow-up. So we were looking to breakeven in Enzene, right, in the next year. So are we on track for that? And any ti

melines you would like to give for biosimilar launches probably in rest of the world or other markets?

Nitin Agrawal: Yes. So definitely this year, we will break even in the biosimilar business. And as Vikas said, including CDMO, we will gross around INR 200 crores from the biosimilar business, so which is a very good sign for all our efforts, which we have put in the last 5 to 10 years on biosimilars and we will breakeven also in this year.

Moderator: Next question is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: My question is to Dr. Vikas. So you mentioned like you have been focusing on some key growth areas, you are working on cost optimization initiatives, etc. And despite that, at least in near term, I guess, you are keeping your margin expectation of around 17%. So I just wanted to understand, say, in medium term, what kind of margin aspirations you are having? And also, I guess, on India part, it remains majority of -- sorry, acute therapy portfolio. So say, next 3 to 5 years, what kind of mix you are looking between acute and chronic therapies in India?

Vikas Gupta: Yes. So clearly, chronic is our topmost focus. And over a period of time, our chronic will

continue to grow much faster than the other portfolio and within its respective market also. We'll have market beating performance as well. So on a 3 - to 5-year basis, clearly, I would see the pie changing. So today, we are at close to 17%, but I see upward s of 20% in the coming years as we move -- as we keep growing that business.

And perhaps that should answer some part of your first question as well that as we will see more and more growth on that side, the -- even the margins -- overall margins, we expect them to be much, I would say, better. But I would say the guidance of 17% is more -- was on the sustainable basis, and we will continue to improve over a period of time. I meant 17% as more on the sustainable basis, when I'm giving this year's, right?

Damayanti Kerai: Okay. So say, next 3 to 5 years with a substantial pickup in chronic and then R OW business doing very well, et c. Should we assume like 20% kind of margin is not unachievable for Alkem?

Vikas Gupta: Nothing is impossible, I would say, but I would refrain from -- over a period of time, you would see definite improvement, but I wouldn't put a number to it at this point in time. So -- but yes, I mean, these are the initiatives that we will continue to take, and we will monitor it quarter by quarter. And we will see those actions would definitely show down in terms of the overall margin improvement.

Damayanti Kerai: Sure. My next question is on Enzene. So you said it should be achieving breakeven this year. So like INR200 crores is the annual run rate, right, annual sales run rate for it. So what kind of investments are going into this subsidiary from the parent? And how do you see it moving ahead?

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Nitin Agrawal: Damayanti, this is Nitin. As we said that this year, we'll breakeven. And definitely, there are a lot of opportunities in biosimilar business. So we don't want to restrict ourself only for India.

And as you may know that we are also entering the U.S. market. So we want to invest more into R&D or biosimilar and some amount of CapEx will also go into biosimilar business because U.S. is a big opportunity for us in terms of CDMO business.

So -- but considering the size of Alkem, it will not be very significant. But yes, our focus in terms of R&D and in terms of building capability, biosimilar will be one of the big thing for us. But in terms of absolute numbers or in terms of absolute, say, percentage of sales or percentage of spend, it will not be very, very material for us. But -- yes...

Damayanti Kerai: Nitin, can you specify like what kind of. ..

Nitin Agrawal: Sorry.

Damayanti Kerai: Nitin, can you specify the investment, which

you are looking for this Enzene, say, in next 1 to 2 years, both in R&D and CapEx? And how much you have invested cumulatively so far?

Nitin Agrawal: So in case of R&D, it will be in the range of INR 100 crores to INR150 crores every year. And if you look at -- we have significantly reduced our other R&D expenses like we had a unit in St. Louis, so we have closed down that.

So overall R&D, as a percentage of sales, will remain within 4% to 4.5%, but the mix will change towards biosimilars and the focus will be on biosimilar, including other markets like USA market. But there will not be any significant increase at overall R&D spend.

Also in terms of capex , we are building a facility in U.S., so we will be -- or we have already started investing and the total cost will be around INR 250 crores for that facility. After that, we don't see any significant, say, requirement of capex for the next few years because we already have a plant in Pune to cater to the domestic market and a few of the other markets other than U.S. With the U.S. facility coming up in next 2 to 3 years, we'll not need any further major CapEx expansion.

Moderator: The next question is from the line of Madhav from Fidelity.

Madhav: Just on the previous question on the R&D spend, you said, 4% to 4.5% of sales and then it should be absolute number will not grow. So could you just clarify like over the next 2, 3 years, how the R&D trajectory could look like? It's come off quite a bit in the last couple of quarters. And I think last -- 2Q, you mentioned that we've not filed anything in the U.S. So I don't know what is the right way to look at this spending going forward?

Nitin Agrawal: Generally, our R&D spend in quarter 4 is on the higher side because more filings happen in U.S. in quarter 4 and the filing expense is a major contributor towards R&D total spend. So currently, we are at 3.4%, but we may end the year around 4%, and that is what we feel we will be continuing between 4% to 4.5% for coming years also.

Madhav: 4%, you mean for quarter 4 or for the full year?

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Nitin Agrawal: For the full year, for the full year. So quarter 4 may be a bit higher, but we will end the year with around 4%.

Madhav: And then just very like basic question, but as we try to shift the business more towards chronic versus acute. Could you give some sense in terms of how different gross margin profile is between the 2? And as we look out to -- look to build the chronic therapies for Alkem at a larger

scale over the next couple of years, do we need to add a lot more toward MRs or to promotion spend, sales and marketing spend? Just how that will play out over the next couple of years?

Vikas Gupta : So just to take up this question. I don't think for growing that portfolio, we need to do something very different. Of course, whatever investments are required, we continue to make them, but that's not going to change the overall picture drastically. And we do not have a very major expansion at hand.

Of course, if there are a few people here and there that we need to do. I don't think any significant investments that would change the overall P&L substantially that is required to grow that portfolio. So I think that is not required. And margin profile differs on product to product, so we can't give you a number, which is a ballpark.

So but it's known in the market that acute portfolio generally has 10% to 15% lesser margin profile than as compared to the chronic portfolio. And then, that's the ballpark. But of course, it differs from product to product. So it depends on what products you are building versus the other. And also at some time, depending on raw material costs also that fluctuates. So that's how I would pick it up.

Nitin Agrawal : And also to add, a large part of our acute portfolio actually is semi -ch

ronic like Vitamin D3.

You look at calcium or pain segment, where we see a lot of repeat purchases. So some -- like 17% of our total sales, which is currently domestic sales, which is counted under acute, actually is semi -chronic in nature.

Madhav: Understood. And just last question was in terms of as we grow the business next 2, 3 years, how much CapEx -- organic CapEx do we need? Or is it going to remain at INR 400 crores range approx or it's going to be higher or...

Nitin Agrawal: It will be in the same range as current year. It will be between INR 300 crores to INR 350 crores.

So other than biosimilar, I think we have sufficient capacity for other businesses, so we don't see any major increase. So the routine capex will be in the nature of INR 100 crores, INR 150 crores.

There will be a few expansion, which we will do. But at overall level, we'll not go beyond INR300 crores to INR350 crores.

Moderator: Next question is from the line of Rahul Jeewani from IIFL Securities.

Rahul Jeewani: Sir, can you please explain the rationale for putting up a facility in the U.S. market again. So I understand that this facility is coming up for Enzene. But do you think that you could have serviced that part of the business from your India capacities? Or do you think that for scaling up on the CDMO side, you would need a facility in U.S. separately?

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Vikas Gupta: So it's largely a CDMO business, and we would be serving the markets through other players as well. So I think for that, it is important to put up that facility over there. We evaluated all other options and then arrived at -- as this being the best route as part of strategic plan to get that business and build that business. So we have looked at the options. I think this is the best foot forward for building that line of business.

Rahul Jeewani: Sure, sir. And for the CDMO business, would we be targeting biosimilar kind of opportunities? Or would we be targeting innovative product sales?

Vikas Gupta: No. So it's mainly biosimilar. It's -- that is what we are targeting. So -- and we are putting up the facility, keeping that biosimilar portfolio on mind.

Rahul Jeewani: Sure, sir. So that is what my concern is that we seem to be, again, following a similar path that we recently closed down our facility in St. Louis because of the pressures, which we saw in the U.S. business. And if you look at some of the other biosimilar players as well, including companies from India, they also are struggling to scale up their portfolio on the biosimilar side. So what, again, gives you confidence of setting up this facility in U.S. and trying to service that part of the business, which right now itself is seeing very aggressive competition from many of the innovative biologic companies as well?

Vikas Gupta: So one, we have our learnings of what we have gone through. So we are, I would say, much ahead on the learning curve with regards to setting up facilities in U.S. Second is the robust pipeline that we have, which is not as competitive. So our biosimilar products that we are targeting, the business case looks quite promising in terms of serving these markets through this portfolio. And this is a combination of these 2 reasons that we are bullish about that as an opportunity. But yes, as we move along, we'll keep taking those decisions in the larger interest of the organization.

Rahul Jeewani: Sure, sir. And sir, last question from my end. Can you comment in terms of any rep expansion plans for the domestic business? Because last time, you had talked about driving productivity led growth in the chronic business, so are we on track for that? And...

Vikas Gupta: Absolutely, Rahul. I think I maintain that. And I answered it on the previous question as well. There is -- the growth is going to be productivity -led growth. Does that mean that we will not add

anyone? I'm saying the growth will not be led by -- it's not that substantial that we will have to do in times to come definitely it will be an expansion -led growth.

So my focus is going to be purely on productivity, and that's what is being driven down the entire organization, and you would see productivity -led growth in terms of -- even in the current quarter, it's all productivity led growth that we have got.

Rahul Jeewani: And sir, any number for the number of MRs, which you look to add for next year? .

Vikas Gupta: No, right now, there is no such plan, Rahul, that I have one at hand. So I can tell you it will not -- it's not very substantial that it will make any difference to the overall P&L at this stage.

Whenever we have any such plan, we will get back to you on that.

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Moderator: We take the next question from the line of S. Mukherjee from Nomura.

S Mukherjee: Sir, on the ex U.S. market, you mentioned LatAm and Europe, good offtake there. We have seen very substantial growth in these markets in the last few quarters. Concern here is that it looks unsustainable. Is it something one-off or tender-based? Because I'm just wondering the reasons why the growth is so sudden in these markets? And the number that you have this quarter, can you confirm that this would sort of sustained in the quarters ahead? And if you can guide us on how should we think about this over the next few years?

Vikas Gupta: So on the growth from these markets, see the nature of these markets may be tender or whatever you may call it. So I wouldn't say that -- and it's not only tenders that are getting us this kind of

growth . Yes, of course, they are also a part and parcel of the overall business that we do in these markets. But I see no reason overall in terms of sustaining these markets that we might see a slowdown.

Of course, there may be some quarters where we may have some slowdown, but we will have other opportunities that we are working on parallelly, which may take the overall business forward. So that's the nature of these markets. It's not -- and we are not going against the nature of the markets.

But we are pretty bullish, and I don't see it as a one-off in this quarter. So I see -- of course, because of the small base, the percentage growth might look very high, and that might start easing out as we build base in these markets. But I don't see any major sustainability issue as far as these markets are concerned.

Nitin Agrawal: Just to add, it's not like 1 or 2 tenders have contributed to this growth. So I think a few of our markets like Chile, Germany, we are doing well. And this has been built over the years. So it's not like there are one-off tenders, which have added to this growth.

S Mukherjee: So is it possible to sort of call out of this overall revenues in next year's, how much is tender and how much is branded generics?

Vikas Gupta : No, we wouldn't have those details, I think, to call out right now. And we are pretty much in line with the way market is. So I think that's how we are moving. We are moving with the tide.

S Mukherjee: So sir, just to understand this. From a geographic perspective, when you say ex U.S., are there any markets, which are like dominant here? If you can call out the regional market, regional split if you can give so that we get some sense of the revenue construct here? .

Vikas Gupta: Yes. So like I mentioned, it is LatAm and Europe that's driving this growth largely. So these are the 2 markets from where we are seeing this kind of growth. So it's not a sporadic growth from, say, 20, 30 markets. These are the 2 regions from where we are getting this maximum growth.

S Mukherjee: Okay. On the U.S., what is the outlook from here on the base that you have? I think the price erosion has eased, so what are you looking for in terms of FY '25, what kind of expe

ctations you

have in the new launches and contribution from U.S.?

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Vikas Gupta: So see U. S., the price erosion now is a single-digit price erosion, unlike the previous year's price erosion, which used to be a very high double-digit kind of price erosion. So I would say the prices are getting bottomed out. They may not have bottomed out as yet totally. But that's what we are seeing a price erosion of a single-digit kind of on the base.

So I see it staying at that unless something drastically changes in the market dynamics. So I see it getting stabilized on the generic portfolio more like that. And then whatever will -- we can grow in terms of volumes, the net growth would be a trade-off of the volume growth versus this price erosion. So I think we anticipate high single digit to maybe low double-digit kind of growth from the U.S. market.

S Mukherjee: Okay. And sir, one last question I wanted to understand on the cost and API prices, so we have seen some improvement there. Are we going to see more of this in the quarters ahead? And also any comment on -- specifically on PenG prices, which I think impacted us quite a lot in the past.

So if you can just throw some light on raw material trend over the next few quarters?

Vikas Gupta: So I would say that this API prices improvement that has happened should stay at these levels.

That's the way we are looking at it. PenG, we have still not seen it easing out. So it still remains the way it was. We haven't seen any major variation neither on the upper side nor on the downside on PenG.

So -- but subsequent quarters, let's wait and watch. It will be more hypothetical for me to make any predictions over here, so we will see as and when it goes. But I don't -- if you ask me personally, my view is, I don't foresee a major increase in the raw material prices in times to come. Of course, there will be a few products here and there. We will see that increase, but I think that should get evened out by the rest of the portfolio remaining stable or getting eased out.

Moderator: The next question is from the line of Bharat from Equirus Securities.

Bharat: Yes. So sir, just wanted to understand on the cost containment measure, since we mentioned that we have been undertaking some cost containment. So what sort of benefits you are seeing going forward? I am referring from the operational expenses perspective than on the R&D front?

Nitin Agrawal: So Bharat continuously look at how to improve our efficiency at plant. Also, we work on development of alternate vendors for our API. We work with big consultants in India. They help us to identify opportunities how to reduce cost, whether it's in terms of manufacturing overheads or in terms of yield improvement or to get better API rates. So our endeavour is to continue improving our gross margin and our EBITDA margin. So there are a lot of ideas, which we are evaluating and which will actually result into better margins going forward.

Bharat: Actually, I was just trying to understand on the other expenses part that we have been referring to the incremental cost, which will be coming through because of new plant and all? So I was trying to understand, is there any scope of further reducing the other expenses in absolute terms?

Nitin Agrawal: Yes. So definitely, as I said, that we look -- other expenses, the major component is manufacturing overhead. So we work with a lot of consultants to look at how to actually improve

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our efficiency at plants, plus we also get a lot of advantage of operating leverage because if you look at our sales growth, so if you look at the past and we grow in the range of, say, lower double-digit or higher double digit, but our expenses will not grow in the same range. So definitely, the operating leverage will

play its part. And also, we have -- I'll not say we have reduced on sales and marketing expenses, but we are trying to rationalize it, and that also will help us to improve our EBITDA margin and reduce the other expense. So definitely, we will see improvement in terms of percentage of sales, other expenses will further go down.

Bharat: And if I just -- was trying to understand on the overall profitability margin perspective, is it aspirational to look at a company achieving almost like 22% sort of margins over the next 2 years? That is something which you guys are also working on?

Vikas Gupta: We are working on actually a lot more things, but I wouldn't give a number over here to you. I think the previous analysts had also asked a similar question, but I would just maintain it to be the same. I think we are making a progress. We will move quarter by quarter, year by year. I wouldn't call out a number, but like I said, nothing is impossible, but I think that's a little bit too aspirational. And we will see how we are making a progress and then we'll pick it up over a period of time as it goes.

Bharat: But your earlier guidance of 100 bps improvement each year, that stands to be, right?

Vikas Gupta: That anyway is the guidance that we have also taken internally, and we are continuing and we are working towards it. That remains.

Bharat: I get that. And last one for me. And see, we have been referring to, right, we are seeing putting up all this new plant and all, so are you seeing any dilution in margins because of it? And when we are putting this plant, do we have any contracts in hand when you are talking to the [CBM] opportunity?

Vikas Gupta: So when we put that up, there may be a short-term dilution in the overall margin. But I think as the revenues start picking up, so we'll be back and doing better once that becomes fully operational. But whenever you will have to make those kind of investments, there may be a

temporary blip in the overall margins that we have.

But as Nitin mentioned, we are parallelly working on improving certain efficiencies in our core business. And that should help us to make it more sustainable over a period of time. So that we would anyways continue to do. I would look at this as more of an investment to grow top line as well as profitability over a period of time.

Moderator: Next question is from Charul Agrawal from Bank of America.

Charul Agrawal: All my questions have been answered.

Moderator: The next question is from Madhav from Fidelity.

Madhav: Just one last question was on the tax rate, I think, in the earlier calls, we mentioned about this resetting to a more normalized level going ahead, I think, FY '27, if I remember, right? Could

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you just help us understand the tax rate when that resets and what's the effective tax rate to expect for the company then?

Nitin Agrawal: Madhav, it will be in the range of 10% to 12% at least for next 2 to 3 years. Our current tax rate is a bit lower. But going forward, say, for the current year or for the next year, you can assume it will be around 11% to 12% effectively.

Madhav: No, I think once that one of the facilities, which has the tax incentives, once that goes away, I think -- FY '27, I think there is some benefit, which goes away, so was asking more from that perspective, like more like 3 years out or 3 or 4 out?

Vikas Gupta: Yes. So by FY '26, end of FY '26, one of our Sikkim facility, which we have, the tax holidays will be over. But we are looking at some other opportunities. And so definitely, the tax rate will go up but we will try to see how to actually be in the range of 20% to, say, 25%. But yes, it's like we can't be forever in the range of 10% to 12%. So it will definitely go up, say after FY '26.

Madhav: Sir, FY '27 onwards is when it kicks in, right? The tax...

Vikas Gupta: Yes, yes,

yes, after FY '27.

Moderator: Next question is from Gagan Thareja from ASK Investment Managers.

Gagan Thareja: Hello. Sir, the first question is on NLEM. Can you give your exposure to NLEM? And also parallelly indicate WPI being negative this year. Does that have any impact on gross margins going ahead into the next year?

Vikas Gupta: So our NLEM portfolio is around -- within the range of around 28% to 32%. So it's within -- it's around that. And I would say that it will depend on the pricing that will be allowed by the government and we'll totally comply by it. But I don't see the margins going down. At the most, what would happen is, we will not be able to take the price increase.

I think it's the balanced portfolio that is 70% of our portfolio, where we have price lever as a growth -- sorry, price as a growth lever. But again, it depends largely on the market dynamics and it depends on the competitiveness of the market. So I think this portfolio has been at that percentage for very long. So that's the nature of Indian pharmaceutical market, so I don't think it will be -- we are the only ones, which will be impacted there.

Gagan Thareja: And if I go by your full year FY '24 operating margin guidance of 17% and back out what that means for the fourth quarter basically means around 11.5%, if I'm able to understand it, by and large, correctly. And that would mean year-on-year, you're talking of the fourth quarter margins to come lower than last year's fourth quarter.

Vikas Gupta: So last year, fourth quarter, we were at around 12%. So what we are looking forward is, again, this quarter is going, that we will have -- we will be within that range at least or better than what we were at last year, but it will not be very significantly different from what generally Q4 has been for us. So that's the point I meant.

Gagan Thareja: But you expect it to be either same or better, right?

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Vikas Gupta: Yes, yes.

Gagan Thareja: And Suprep, have you launched it? Or is it still pending launch?

Vikas Gupta: No, not yet, not yet.

Gagan Thareja: Any idea of when you believe that can happen?

Vikas Gupta: Yes, that's -- right now, it's still a bit away. We'll get back to you once we have more estimate on its launch date.

Gagan Thareja: And freight costs are at least for the Red Sea channel are rising. So do you expect that to have any impact for your export sales in FY '25?

Vikas Gupta: It's very recent change. We are seeing that increase right now, I mean, that affecting us as well.

But on the same hand, we had a significant reduction in the air freight that we were doing. So net-net, it has worked well for us so far. Going forward, I see it sustaining unless there is a very huge spike on this Red Sea issue and the macroeconomic scenario changes, then we will be impacted like everyone else. Otherwise, we will -- we are pretty much in control as of now of that.

Gagan Thareja: Okay. The final one from my side, sir. The geographic salience of Eastern part of India is relatively high for Alkem compared to its peers. And East being generally being a lower per capita sort of a market -- per capita income sort of a market, does that play into your pricing and, therefore, consequently into your margins, is that one of the inherent or inbuilt reasons for the margins that Alkem has had so far?

Vikas Gupta: I don't think so. I don't think so because we are not seeing any such trend that impacts our growth or this thing -- I mean, there are companies that have dominance in one geography more than the other. So that's the nature of any business. For us, it happens to be East and we continue to grow over there. So there is -- I don't think this factor is going to affect us in any manner. In fact, that's our strength area and we will continue to grow over there even in times to come.

Gagan Thareja: And U

.S., post loading on the R&D cost for the U.S. market, would you be making operating margin of anything comparable to what you report at an average corporate level? Or would it be substantially lower?

Vikas Gupta: It's obviously lower because that's a low -margin market. We have a low -margin portfolio. We're in the generic business in U.S. market, so it's -- whatever we report is a blended average of -- that's the margin profile at the company level. But yes, U.S. as a market is slightly lower, but it's not that low that it's not sustainable for us.

Nitin Agrawal: And just to add, actually, we see a good improvement in margin -- EBITDA margin of U.S. Historically, we have never shared geography -wise margins, but there has been significant improvement in U.S. business.

Vikas Gupta: Yes. Like I mentioned, the price erosion that used to happen in the past, in the previous years, somewhere we are seeing that as a trend slowing down. So now we see a price erosion of a single

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digit on that front. So that will lead to even better pricing in the market, and that's helping us in getting better margins out of U.S. market.

Gagan Thareja: And St. Louis would also have contributed?

Vikas Gupta: St. Louis is closed down now.

Moderator: We'll take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Kunal Kothari: Thank you, everyone, for attending this call. If any of your queries have remained unanswered, please feel free to get in touch with me. Thank you.

Vikas Gupta: Thank you, everyone. Thanks a lot.

Moderator: Thank you very much. On behalf of Motilal Oswal Financial Services Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Jun 2024

03rd June, 2024

To,
The Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai 400 001 .
Scrip Code: 539523 National Stock Exchange of India Limited
Exchange Plaza ,
Bandra Kurla Complex ,
Bandra East ,
Mumbai 400 051 .
Scrip Symbol: ALKEM

Dear Sir s,

Sub: Q4 FY2024 - Earnings Conference Call Transcript

We enclose herewith the transcript of the "Q4 FY2024 Earnings Conference Call" which was hosted by the Company on Wednesday, 29th May, 2024.

The said transcript shall also be made available on the website of the Company.

Kindly take the same on record.

Sincerely,
For Alkem Laboratories Limited

Manish Narang
President - Legal, Company Secretary & Compliance Officer

Encl.: a/a

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"Alkem Laboratories Limited Q4 FY24 Earnings Conference
Call"

May 29, 2024

MANAGEMENT : DR. VIKAS GUPTA – CHIEF EXECUTIVE OFFICER , ALKEM
LABORATORIES LIMITED
MR. NITIN AGARWAL – CHIEF FINANCIAL OFFICER , ALKEM

LABORATORIES LIMITED
MS. PURVI SHAH – HEAD OF INVESTOR RELATIONS , ALKEM
LABORATORIES LIMITED
MODERATOR : MR. TUSHAR MANUDHANE – MOTILAL OSWAL FINANCIAL
SERVICES

Alkem Laboratories Limited
May 29, 2024

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Moderator: Ladies and Gentlemen, Good Day and welcome to Q4 FY '24 Earnings Conference Call of Alkem Laboratories Limited hosted by Motilal Oswal Financial Services.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference over to Mr. Tushar Manudhane from Motilal Oswal Financial Services. Thank you and over to you.

Tushar Manudhane: Good evening and a warm welcome for 4 Q FY'24 Earnings Call for Alkem Laboratories. From the management side, we have Dr. Vikas Gupta, CEO and Mr. Nitin Agarwal, CFO. Over to you, sir, for the opening remarks.

Purvi Shah: Thanks, Tushar. Good evening, everyone. Thank you for joining us today, for Alkem Laboratories Q4 & FY'24 Earnings Call.

So, to discuss the business performance and outlook going forward, we have with us on the call, the senior management represented by Dr. Vikas Gupta, CEO and Mr. Nitin Agarwal, CFO. Earlier during the day, we have released our Financial Results, Press Release and Investor Presentation on stock exchanges and the same have been posted on our website as well. I hope you all had the chance to have a look at it.

So, before we proceed with the call, we would like to remind everyone that this call is being recorded and that the call transcript will be made available on our website as well.

We'd also like to add that today's discussion may include certain forward-looking statements and the same must be viewed in conjunction with the risk that our business faces.

After the end of this call, if any of your queries remain unanswered, please feel free to get in touch with us.

So, with this, I would now like to hand over the call to Dr. Vikas Gupta to present the key highlights for the Full Year and the Quarter and the Strategy going forward.

Thank you and over to you, sir.

Dr. Vikas Gupta: Thank you, Purvi. Good evening, everyone and I welcome you all to this earnings call for FY '24 and Q4.

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I will start by presenting an overview of the operational and financial achievements for FY'24 as well as for the 4th Quarter. And post this, we shall be happy to answer any questions that you may have for us.

Our focus has been to improve the EBITDA margin during the year on the back of benefits through implementing various cost control initiatives as well as the favorable API prices that we had during the year.

Continuing our trend of improved operational performance, Q4 builds on the momentum gained from previous quarters with significant gross margin enhancements backed by lower raw material costs as well as the lower intensity of price erosion in US.

We are happy to highlight that Alkem has registered a net profit before tax of more than Rs.2,000 crores for the first time. And also one of the firsts is that our international business has crossed the revenue of 4,000 crores in FY'24.

Coming to the highlights of FY'24, during the year, we have generated approximately 1,400 crores in cash, which reinforces our balance sheet to establish a substantial net cash position of around Rs.3,550 crores.

We outperformed the IPM in antidiabetic therapy which everybody has been looking forward to us to grow the chronic business and that is really on track. Not only antidiabetic, in other therapies like Dermatology, GI and even the VMN therapies, we have really grown outperformed the IPM. And our ranking has improved in therapies like antidiabetic, cardiac as well as the respiratory.

The company maintained its leading position in the anti-infective segment.

However, we all

know that anti-infective market saw very sluggish growth in the financial year '24 and that did

impact us as well.

The company continues to rank among the top five companies in the Indian pharmaceutical market.

Our international business has delivered a very strong growth, with U.S. business reporting double-digit growth of more than 10% for the year.

In the non-U.S. business, across geographies, we continue to achieve a very healthy growth. Coming to the Q4 FY '24. In Q4, it has been a good quarter in terms of profitability improvement for the company. Our EBITDA margin improved by 150 basis points as compared to Y oY Q4 of '23. So, from 12.2%, we moved up to 13.7%.

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The net profit after tax for the quarter stood at 294 crores and PAT for Q4 FY23, was impacted on account of derecognition of the deferred tax of Rs.120 crores. Adjusted for the above item, PAT growth for Q4 FY'24 would be roughly 54%.

During the quarter, we have received two ANDA approvals.

Our biosimilar business is performing impressively and witnessing significant traction in the domestic biosimilar market with a portfolio of seven products now. We aim to sustain and carry forward this performance momentum in the current financial year.

Thank you for your patient listening and the house is open for any questions that you may have for us.

Moderator: We will now begin the question-and-answer session. We will take our first question from the line of Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha: Sir, would you like to provide any broad outlook for FY'25 in terms of revenue growth and profitability?

Dr. Vikas Gupta: I have always maintained that our revenue growth will be in line with the market growth. We will be at par with around 10% is what our revenue growth looks like for the coming financial year, and largely driven from even the domestic market. In international business, our U.S. business is growing fine. The price erosion that we used to see over there, that has now stabilized at a low single digit and that is what gives us hope that even our U.S. business will grow pretty fine. So, that's on the revenue. In terms of gross margins, we maintain we will be within the range of both the gross margin as well as EBITDA as to what we are currently. So, I think that is what we will as a guidance I would like to give you.

Kunal Dhamesha: Just a follow up on the cost efficiency measures that we have taken, right. But when I see, let's say the improvement on a year-on-year basis from around 14% EBITDA margin to 17.7% in FY'24, majority of that is driven by the gross margin improvement and I think another 60 basis coming from the lower R & D expense. So, the cost efficiency measures, will it kind of be positively impacting us going forward or is it already baked into the improved gross margins?

Dr. Vikas Gupta: So, it's an ongoing process. Some part of it we have already baked in, in our gross margins, but as we continuously keep our focus on improving cost, I am sure this will add further, but on the overall API prices, currently, the prices are pretty stable. So, sometimes if we are more cost efficient on one side, there may be a scenario that we see an increase on some of the cost side of certain raw materials which we can't predict. But anyhow, we are not seeing any such trend currently. So, I am assuming that at a business unit level our EBITDA might even improve as we move along, but there are certain investments that we are going to make for the future growth and that is why I am saying that our overall EBITDA at the corporate level because of those investments might still I would maintain it where we are currently.

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Kunal Dhamesha: Is it more R&D expense that we are expecting?

Dr. Vikas Gupta:

: See, there are certain initiatives that we are taking which are future growth potential initiatives say for example we are putting up this plant in the US for Enzene CDMO business. So, that will take up some part of our investments, that will become operational by the end of this financial year most likely and that's a business that we are very bullish about in times to come. So, I think some of those kinds of opportunities we have our investments to make which is a mix of R&D as well as some of the CAPEX that we may have to do for future growth opportunities.

Kunal Dhamesha: What would be the CAPEX for FY'25?

Dr. Vikas Gupta: It will be to the tune of 600 to 700 crores.

Moderator: We will take our next question from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Sir, on the guidance that you just mentioned, when you say GM at current level, I am assuming you're talking about the full year number?

Dr. Vikas Gupta: Yes, talking about mostly about the full year number .

Neha Manpuria: While I understand the investment in future growth, the US plan that you talked about, but that will only start hitting our P&L post commissioning, right? So, is there any other investment specifically that you're doing in R&D or M R expansion because of which we are keeping our EBITDA margin guidance as similar to what we have done in FY'24?

Dr. Vikas Gupta: So, not on MR expansion side any major investment, but on R&D, if you see this year, we have been at around 4.1%, but then we would like to keep it at 4.5 % to 5% , that's something that has been our trend on the R&D side and that includes some of the clinical trials that we do for some of our biosimilar portfolio as well. So , I am foreseeing the R&D spend somewhere within the range of 4.5 % to 5% and I think put together a sum total of that , that's why I am keeping the guidance at .

Neha Manpuria: If I were to specifically look at the India performance, while I understand that seasonality did really benefit , was not really a tailwind this year . 4th Quarter usually does not have any seasonality benefits. So, it was surprising to see a decline year -on-year in the India business. Anything specific that you want to call out as to what's happening in India anti -infective other than the seasonality , is there anything specifically that is impacting any other segments or any other therapies in India for Alkem ?

Dr. Vikas Gupta: Neha, my belief is that it's a one -off. If you will see even the IPM and the anti -infective market for Q4 has degrown at around 2 .2% which is a very unusual trend . And I guess the reason for that is the high base in Q4 of FY '23, which saw very good outbreak of flu , I think it's a seasonality and a base correction that has happened in the market and equally we are impacted and this is

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not new in the acute market , we see some of these peaks and troughs depending on certain events in the external environment. So, I think fundamentally we are going very strong as far as our domestic market is concerned . We are very bullish . This is one of our key core markets and if you will look at the other therapies that I mentioned, we have significantly outperformed in these markets as far as India business is concerned and even in the coming year, we are very bullish on our growth in India. So, I don't foresee any major challenge. See, there was also an improved I would say focus on the overall profitability from the organizations standpoint and that's why Q4 is looking a little sluggish , but otherwise we are very bullish as far as our India story is concerned.

Neha Manpuria: And last time we had mentioned some concerns on the pain segment competitive pressures there . Has that improved, have we been able to sort of allay those concerns related to competition?

Dr. Vikas G

upta: So, we are continuously at it . If you will see on the pain portfolio , we are registering internally quite significant growths and strategically whatever initiatives we had to take to counter those , we have already put in those strategic initiatives. Over a period of time, we will see the market also registering better performance in times to come .

Moderator: We will check our connection. Meanwhile, we will take the question from the line of Saion Mukherjee. Please go ahead.

Saion Mukherjee : Firstly , on your comment on the domestic market, I am wondering the growth of the seasonality is one factor. So, when you think about growth next year at around 10%, given that you have large NLEM portfolio where there is no price increase , are you banking on normalization of seasonal demand to get to this growth?

Dr. Vikas Gupta: To some extent that and I would say a strong volume growth , because we have large feet on street, we have initiatives that we run quarter -on-quarter. So, this year we have had pressure on volumes, right , in a year where we do not have price as a lever for growth which is around 30% of our portfolio is NLEM portfolio , but I think balance 70% portfolio we have levers of price as well as volume. On this 30% portfolio, it will be largely driven by volumes . So, that is why I am overall quite bullish on our India story. Of course, as the year progresses, we will get to see even the market should show a better movement. But of course, if there is a sharp decline in the market , we may also get impacted but which is very unlikely scenario at this point in time and I am banking on a strong volume growth that we will be driving as far as our business is concerned.

Saion Mukherjee: And sir, how has been the performance of trade generics for you in this fiscal year ? And an associated question is when you talk about volume growth, you see many companies launching their trade generics division and getting aggressive there and you have additional competition from generic s private label, etc. , So, aren't you worried about these headwinds, which can impact volume growth over the medium -term?

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Dr. Vikas Gupta: Saion, I have a different take on this. I think we have a unique proposition as a company where we are the largest trade generic player in the country and our trade generic business continues to grow along with our ex-business. So, we have the know-how of managing these two businesses, the way they need to be managed. Any headwind on the trade generic because of new entrants, of course the market is competitive, but I think that's a nature of our market and we have dealt with it in the past as well. We are not seeing any I would say issues in terms of growth in our trade generic business so to say. In fact, we are even improving on our margins as far as the trade generic business is concerned with every passing year. So, with the kind of scale that we have in this business, in fact, we are very bullish about both the trade generic as well as the branded generic business and the trade generic business we are even going ahead with a lot of products that we are going to launch new on the trade generic side which should further propel the growth of our trade generic business with improved margins in the medium-term.

Saion Mukherjee: You talked about margin and cost measures earlier. I understand that international and U.S. business, the margins can go up with volume. What about the domestic business, whatever margin levels you have, how do you see India business margins in general over the medium-term?

Dr. Vikas Gupta: So, India business margins, with the increase in volume and with the reduction in the API prices of certain key products, we see a positive trend on the India side as well. So, during the previous years, especially during COVID times, we had seen a very

significant upsurge in the pricing of

some of the commodity APIs which has stabilized now. I think unless there is a Black Swan event which drives these kind of prices further up, I think these raw material prices, I expect them to be stable, I expect them to be at this level. Of course, there are certain elements which will play out in the market over a period of time and that will decide on some of our key products like PenG, where everybody is expecting the price to come down. So, far we haven't seen it getting played. If that plays out the way everybody is anticipating, then I am sure our margin profile would even get better.

Saion Mukherjee: So, it's more around raw material and the impact is limited from other expenses like SG&A, etc.,?

Dr. Vikas Gupta: Yes, not so much to do. We have a scale business. So, those are pretty much standard SG&A expenses that we have, but I think it's the raw material which will impact if any gross margin improvement further has to happen. I think that is how it will be. And one more point that can impact the margin is the mix. As our chronic business is improving, as the portfolio which is a higher margin portfolio, as its contribution increases over a period of time and that also will contribute positively to our overall improvement in the margin.

Moderator: We will take our next question from the line of Rashmi Shetty from Dola t Capital. Please go ahead.

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Rashmi Shetty : So, just on the gross margin side, just need a clarity that every 4th Quarter we have normally seen higher gross margins compared to your first three quarters. I understand that you have given the explanation that stable price erosion and lower input costs has benefited to that extent. I just want to understand that for your cost control initiatives, any restructuring or anything which you are seeing to improve on the supply side, on the inventory side sourcing materials that are cost effective way, anything that is also leading to this improvement?

Dr. Vikas Gupta: Rashmi, I wouldn't attribute this improvement to any one single step. All of this that you mentioned is what we do on a day-to-day basis. So, it's a continuous improvement process, it's not a one-time improvement initiative that we take and leave it at that. So, I guess all of this what you have referred to including the supply chain efficiencies, including the raw material procurement etc., we do it on a day-to-day basis and wherever there are opportunities to improve the margins further, we do that. So, I think it's a mix and sum total of all of these initiatives that has led to this kind of improvement which to my mind should be sustainable. Of course, because of mix issues, it might be a slight variation here, there but I guess on an annualized basis more or less it should pretty much stabilize at it.

Rashmi Shetty: In U.S. business the sales has come down significantly on a quarter-on-quarter basis like in the first three quarters we managed to do \$80 million plus, but this quarter we were below that around \$74, \$75 million. So, just want to know this was purely seasonality or there are any other issues with it?

Dr. Vikas Gupta: So, I would say it's on two accounts. One is sum of seasonality and second, even some of the supply issues that we had in U.S. business, so which was, I would say one-off, that impacted us for one or two months which is largely led to quarter-on-quarter if you compare it like that. But if you will see even the previous years, the trend more or less because of seasonality has been like that even in U.S. business. The way I will put it, US business, the kind of price erosions that we were seeing in the previous years that has come down. We every day read reports in

newspapers that at US is going through a drug shortage for many products . For that to happen, the

products need to be available over there. And I think it's translating even in our numbers where we are seeing the prices getting more or less bottomed out for many products. So, I think that is a general larger trend and we are very bullish now that because of our volume growth that we are getting in U.S. business, our U.S. business should also continue to grow significantly.

Rashmi Shetty: And how many launches we have done this year and how many are we planning for next year?

Dr. Vikas Gupta: So, this year has been just two to three launches and similar is our expectation in the coming year. So, in Q2 we will see Debigatran . So, that is what we will look at . In FY'25 overall we are looking at around six to seven launches I would say and one of those will be a relaunch. So, looking at around 7 % to 8% growth contributed by the new product launches in the US market , that is something that you have .

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Rashmi Shetty: On Enzene Bioscience s, we had given earlier sales guidance of achieving Rs.2 billion and achieving the break even level . Have we achieved that or any outlook if you can give for next year?

Dr. Vikas Gupta: So, we are pretty optimistic about that business . Today , I think whatever guidance we have given, we are more or less running in line with that, but I guess it is FY'25 and beyond actually because we are making up some more investments in that business to make sure that we grow this top line. So, at an individual business level, I guess we don't look at profitability like that, but I think we can give you more this thing on ... Nitin, would you like to add ?

Nitin Agarwal : So, the investment we have made in Enzene till last 10 years was mostly for India in the plant and in the R&D which we did for India market and for Europe market. So , that business has achieved breakeven in last year . Now, in the current year we will invest for U.S. market. We are building a plant in US. We will also invest in R&D and for other related stuff like CDMO for the U .S. market. So, there will be some expense which we will incur and the revenue will start generating maybe from Q1 of next year for the U.S. market . In this year, we may incur some expenses related to R&D and training of employees for the U .S. market , then once the plant is ready in the U .S. in the second half of the current year. So, for the U .S. market, definitely we will report a loss in the Enzene , but the India market and the Europe market under the Indian operations will do well where we have already almost breakeven in FY '24 itself.

Moderator: We will take our next question from the line of Damayanti Kerai from HSBC Securities and Capital Markets. Please go ahead.

Damayanti Kerai : My first question is again on India business . So, Dr. Gupta , you mentioned you're very positive on outlook for volume in F Y'25 after a muted slow in last fiscal. So, theoretically, just like if you assume volume still remain muted, then what are your expectation on contribution coming from the price hike and new launches? So, very broadly like on other two drivers, what are your expectations?

Dr. Vikas Gupta: See, I will maintain my guidance of an overall growth. Now , of course , there are levers of price, volume and new launches. So , I think largely our growth is mainly volume -led growth which is going to be there. So , we have 3% growth that comes out of price that we take . There are 1% or 2% growth that we attribute to the new launches that we do during the year and balance we should have the volume -led growth . So, I think that has been the general breakup and that is what I expect in the current year to go at.

Damayanti Kerai: And my next question is again on India segment. So, improving contribution from chronic segment will be a key driver for your profitability ahead. So, can you update us on like

what is

the contribution coming from chronic portfolio and then what is the productivity in terms of sales team on chronic and acute team ?

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Dr. Vikas Gupta: So, I think every quarter I get this question and I will once again reiterate . See, like I mentioned in my earlier commentary, in anti-diabetic market , we have grown substantially well . If you're asking the productivity , then for F Y'24 we have an overall group level productivity at around 4.5 lakhs , from chronic it's around 3.5 lakhs already that we have got. So, that's on the productivity side . But if you look at the percentage contribution , today we have around 17 % to 18% business , that comes out of chronic and I expect it to cross 20 % in the near -term-to-mid-term.

Damayanti Kerai: You mentioned you are broadly done in terms of hiring medical representative in sector. So , any addition planned for this year or it will be similar ?

Dr. Vikas Gupta: I mean, India is our core market , home market, right? Not the kind of expansion that we have done in previous years , we do not have any such plan for this year. Of course , if there are minor additions here, there , that we continue to do, but nothing like we have done in the previous years.

Damayanti Kerai: Sorry, can you mention like what is the headcount on M R side?

Dr. Vikas Gupta: So, today put together we have around 12,000 number that we have overall on our fi eld force.

Moderator: We will take our next question from the line of Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha : So, on this US capacity that we are putting, can you share what is the capacity size and approximate CAPEX that we are doi ng? This is on biologic side, right?

Dr. Vikas Gupta: Yes, yes, this is the CDM O facility for the biosimilar that we are putting . I would refrain from right now giving the capacity size , etc., but on an overall CAPEX side, I think we have given a guidance that the overall CAPEX for the company will be to the tune of 600 to 700 crores and that covers the CAPEX that we will have to put in for this facility as well.

Kunal Dhamesha: What would be your maintenance CAPEX ?

Nitin Agarwal: So, this includes around 8 0 to 100 crores of maintenance CAPEX , which we incur every year , Kunal.

Dr. Vikas Gupta: So, only if you are looking for the facility, it should be to the tune of around 400 crores.

Nitin Agarwal: For US facility , that's new facility we will have a CAPEX around 400 crores . For the maintenance CAPEX of existing plant , it will be in the range of 80-100 crores .

Kunal Dhamesha: Second question is on the trade generic business . What was the contribution of trade generic business?

Dr. Vikas Gupta: So, we are, I think between the range of around 20%.

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Nitin Agarwal: 20% is the total contribution of trade generic business to our domestic business .

Kunal Dhamesha: So, has it come down substantially , because I think last year we were somewhere around 22 % , 23%?

Dr. Vik as Gupta: No, no , in fact, it has remained stable and it is growing at a similar pace of what general overall our Rx business grows .

Kunal Dhamesha: Because I think last time around like we were at 23% and it has been growing slightly faster and hence the contribution is increasing -?

Dr. Vikas Gupta: In terms of percentage, maybe in a year where our branded business has not grown , it ranges within that range , so 1% or 2% here or there, it remains , but we are giving you this year numbers that we are wit hin the range of 20% to 21% .

Nitin Agarwal: Going forward also , it will remain in 2 0-22% only.

Kunal Dhamesha: In terms of margin, you earlier alluded that the margin in this business is improving. So , maybe qualitatively if you can say what is the gap be tween the branded versus the trade generic business

in India and how that gap has moved over the last three, four years?

Dr. Vikas Gupta: Generally, we have not given any segment specific margins. What I can say is we are improving with every passing year and of course everybody knows that these two businesses operate at different mar gins. But I would say at an overall EBITDA level, we are improving in that business every year . With the increase in scale, we generally get that leverage. I think we are leveraging . That operating leverages started coming in that system.

Kunal Dhamesha: Is it fair to say that trade generic business would be higher than our corporate average margin?

Dr. Vikas Gupta: It will be within that range, 1% or 2% here or there. So, it's within that range.

Kunal Dhamesha: Last question from me on anti -infective side, right, which is our strong hold, but when I see even there we have underperformed the market. So, what could be the reason here , was it like more channel inventory was th ere and hence this year we had seen lower than market growth or would we have lost market share on that stronghold , how should we think about it?

Dr. Vikas Gupta: It's a mix . Some part of it is also on account of the inventory and channel normalization, wh ich generally happens whenever the market sees the sluggish growth and also, it's about the regional dependents. There are certain geographies where we are more dominant than the others and if the market is impacted more in those geographies as compared to the others , then we get impacted a little more. So, that is perhaps one of the reasons as to why our growth is looking sluggish as compared to the overall market . It's more of a weighted average issue on that front.

Kunal Dhamesha: Would you sa y that now channel inventory for us would be normalized ?

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Dr. Vikas Gupta: That is there. So, it's the nature of this business. When you will see the demand going up, the channels automatically keep getting to normalize level s.

Kunal Dhamesha: In terms of, let's say this Penicillin G consumption , since we are really big in anti-infective,

would you be able to provide like what is our tonnage consumption of any API and do we buy Penicillin G or six API and convert it to the APIs or we just buy directly the API that we kind of sell in India, like Amoxicillin?

Dr. Vikas Gupta: We buy directly, that is what we do. I think on the other details we will have to connect offline as to what is the tonnage, etc., you can post your query and we will respond to that. But I can tell you is that we have one of the largest consumers of PenG and if Pen G prices ease out, we will be happier than anyone else. That is something that I can just let you know.

Moderator: We have our next question from the line of Rahul Dasani from Mittal Analytics. Please go ahead.

Rahul Dasani: Just a few quick questions on Adalimumab. Are we selling it under Enzene's own brand or are we licensing it to someone? And secondly, where are we selling this product exactly?

Dr. Vikas Gupta: We're selling it through Enzene.

Rahul Dasani: We have our own brand?

Dr. Vikas Gupta: Yes, yes, we have our own brand.

Rahul Dasani: And where are we selling this product exactly?

Dr. Vikas Gupta: Your question is with regards to Adalimumab Enzene, right, we are selling it in India.

Rahul Dasani: So, we can see another Indian MNC, Sun Pharma has become a licensee of Adalimumab, which is the same concentration of our product. So, how do we plan on competing in terms of pricing?

Dr. Vikas Gupta: Our pricing is pretty stable as far as this market is concerned. This is not a new market, right. This market we have been there for since long that's a day-to-day thing that we do. Those are generics. It's a generic market and we are very competitive in terms of pricing. So, that's not an issue. You have anything specific in mind rather than a product level price issue?

Rahul Dasani: So, I just wanted to understand Adalimumab is a big product. It's supposed to be a big product for Sun Pharma. So, considering that I wanted to understand more on the pricing and are we seeing increased competition from them?

Dr. Vikas Gupta: No. So, there is competition, but we have other products also which are much bigger than Adalimumab. But as far as this market is concerned, we are pretty competitive in terms of pricing. So, I don't think it's a price war anymore or it's because of price that we are losing out.

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to competition. So, we are competitive like we are in most of the segments as far as our price is concerned.

Rahul Dasani: And secondly, if I am not wrong, we launched this product in 2022?

Dr. Vikas Gupta: I do not have the exact date handy, but yes somewhere around that time. You want exact date, we can share.

Rahul Dasani: No, I just wanted to understand what sort of volume growth have we seen from that period of time for this product?

Dr. Vikas Gupta: I refrain from giving product level details on we sell large number of SKUs or you'll have to post this specific query separately.

Moderator: We will take our next question from the line of Madhav Marda from Fidelity. Please go ahead.

Madhav Marda: I just had one question, which was if you could just remind us on the tax rate we said when that kicks in and what could be the sectors tax rate maybe for FY'27?

Nitin Agarwal: See, for next two years we see our tax rate in the range of 13% to 15%. For FY '27 the second tax benefit will be over. So, our tax rate will definitely increase and it will be in the range of say 25% from there on.

Moderator: We will take our next question from the line of Saion Mukherjee from Nomura. Please go ahead.

Saion Mukherjee: On the Enzene or biosimilar program, can you share how many programs you've identified for development and how should we think about clinical development spend on these over the next say three to five years?

Dr. Vikas Gupta: So, currently we have around seven products that we have already launched. We are already working on another five, is what I would say and this is for the domestic market. And for the global market, we have close to around four assets that we are working on for the global market.

Saion Mukherjee: And any timeline you can share from now like when can we expect the full development and filing in the regulated markets?

Dr. Vikas Gupta: It's an ongoing process and product level details, different timelines for different product. Saion, what I would say is you can get back to us and we can respond to it separately, because it needs product level details. All the products are at different stages. So, the timelines would differ for each one of them.

Nitin Agarwal: In this year time there will not be any launch in biosimilar. Maybe next year there will be some launches.

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Saion Mukherjee: And the whole idea about setting up a plant in the US, so I am wondering like why you have decided to put a plant in the US and not in India, what is the specific rationale here?

Dr. Vikas Gupta: It's to meet up on the CDMO business that we have in the US market. So, there were companies like Wuxi Biologicals who are really catering to this market and their multi-billion dollar business as far as this business was concerned. Now with US facing pressures because of geopolitical reasons, so some of these companies are not doing the kind of business that they were doing and which threw up an opportunity for players like us to consider, entry into the CDMO business as far as U.S. market is concerned. So, clearly, we see an opportunity over there and there have been players in the market who have been doing that in

the past. So, that is why

we are putting up that facility over there and we have this unique proposition where part of the process we can do in India and we can really offer a cost arbitrage in terms of grabbing business as far as that market is concerned. So, that's why we have decided to put up that facility over there.

Saion Mukherjee: And just one last on the US launches, would you have any comment on generic Suprep launch and then the Baddi site which recently got ten observations, how are you thinking and how critical from new launch perspective is that side?

Dr. Vikas Gupta: So, in Baddi, since we had few observations to which we have responded to the US FDA and we are pretty sure that none of these observations were very significant or such that there were no data integrity issues, etc., that we got as an observation. So, as part of our US FDA audits, we all know as a part of pharma ecosystem. So, as part of regular exercise, that audit was done and we have responded to all the queries that were raised by US FDA. We're pretty hopeful that we should be able to address all the issues that were raised over there. Generic Suprep we've just launched. So, it's picking up now. So, at this stage, I do not have any this thing because it's a recent launch that we have just done in U.S. market.

Nitin Agarwal: To add, Saion, for our FY '25 new launches in US, none of it was planned from Baddi, all the new launches are planned from the Daman for FY'25.

Moderator: We will take our next question from the line of Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha: Since we are sitting on a decent pile of cash, what is your capital deployment priorities would you be looking for inorganic activity to boost our growth or would it be returning to shareholders?

Dr. Vikas Gupta: I said it on the earlier call as well. We are building what just for acquisitions, I would say we are very hungry, we are looking for right opportunity in the market, but of course at the right price. So, we are very open to acquiring any asset which will be synergistic to us of strategic value to us and comes at the right price. So, that's how we plan to deploy cash, but of course dividend
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payout, we have always been within the range of a particular range and we are continuing to be within that range as far as our dividend payout is concerned.

Kunal Dhamesha: In terms of acquisition, any preference for large size, small size, more like brand acquisition versus the organization acquisition, and when you say right price, what is the valuation metrics that you look at?

Dr. Vikas Gupta: No, I would say anything that can add value to our overall business and can be value-accretive. I wouldn't put a size and scale and a valuation to it. That'll depend on asset-to-asset, but we value and we evaluate various opportunities that come our way. And I think we cannot be way off from the market if we have to acquire something. So, I think whatever are the market valuations we have to be in line with that. But of course the way we look at it is, will it be value-accretive for us, will it add value to our overall business and if the answer is yes, then definitely we will be very keen to acquire something.

Kunal Dhamesha: Anything like chronic, acute?

Dr. Vikas Gupta: Yes, of course. Chronic will be our first priority, because that's a business that we are building at scale. But since we have presence across therapies, we will not be averse to any therapy so to say to consider as far as acquisition is concerned.

Kunal Dhamesha: Let's say today, like what would be biggest obstacle for you to do an M & A, would it be the availability of asset or the availability of asset at right price, what would be the bigger concern for you?

Dr. Vikas Gupta: It's a mix of both, but more number two.

Moderator:

We have our next question from the line of Srikanth from Nuvama. Please go ahead.

Srikanth: Just two questions. How do you see the anti-infective season in FY '25 considering the monsoon prospect?

Dr. Vikas Gupta: I will be bullish, but this is a forecaster job, I can't forecast how rains or season will play out.

But yes, what I know is trends in the previous year and balance let's see, it's not very far, we will get to see in a few months.

Srikanth: But within your 10% guidance for the domestic growth, what sort of growth would you have pegged in for the anti-infective considering it is very large therapy and we had very poor season last year?

Dr. Vikas Gupta: So, I would peg it at somewhere within the range of 7% to 8%.

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Srikanth: And on the domestic biosimilar, what will be the current contribution of this business and how is it growing, if you can talk about last two, three year performance and how the margins have been performing there?

Dr. Vikas Gupta: So, the business has really grown well, today stands at around 5% of our overall domestic business and the margins are decent enough as far as this business is concerned. So, the competition is also less as compared to certain other segments as far as the biosimilar business is there, and we continue to get strong and strong with every passing quarter as far as this business is concerned.

Srikanth: Again, biosimilars only, how big do you think that the biosimilar market is in India in terms of value?

Dr. Vikas Gupta: There is no organized report over there. So, whatever estimates I would give would be my view versus anyone else's view. So, I would refrain from giving a number over here, but IQVIA give its own number but in these kind of markets you can't rely only on IQVIA numbers. What we are seeing is that whatever seven products that we are getting into, there is enough headroom for us to grow and build brands as far as on the biosimilar market is concerned. So, that's how I will put it.

Srikanth: And on the biosimilar, do you need to put different MRF or you can market this to existing sales force?

Dr. Vikas Gupta: It depends in the product-to-product. For some products, we need a specific task force to cover those specialties, but there are many products there are regular field force helps us take that to the market.

Moderator: We have our next question from the line of Harsh Bhatia from Bandhan AMC. Please go ahead.

Harsh Bhatia: Just two quick questions. I joined the call a bit late, so maybe repetitive, but the Enzene plant once it gets commercialized in the 4th Quarter. Dr. would you say that on an analyzed basis, the Enzene segment as a whole would still continue to be breakeven once the 4th Quarter costs come into picture or would you say that would not be the case?

Dr. Vikas Gupta: So, I think Nitin already had answered this question. So, it will still take a while because when it was only India, break even. So, we saw the breakeven happen only ex-India but now we will need investments that need to be made for this plant. And once we start clocking in revenue which may be Q4 is to Q1 of somewhere around that time, that is the time we will be able to give you some outlook on when do we break even for the US investments that we have made on the overall. Right now we are focusing on a strong top line growth as far as this business is concerned which is what we are pretty bullish about.

Harsh Bhatia: Margin guidance, so I understand the Enzene part of the chronic share and the trade generic margin potential as such, what is your internal assumption very qualitatively, directionally, again

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for your most important, let's say raw materials or revenues of PenG, what is your internal assumption to that extent, the internal

part of it?

Dr. Vikas Gupta: Like PenG is, I have already answered. It's very hypothetical because everybody is expecting it to play out the way it has to play out because one large Indian player has already started producing. Our assumption is that we should see the costs easing out over a period of time. Right now, we haven't seen any significant change on that front. I think once that happens, then obviously, our numbers will start showing it up.

Harsh Bhatia: And lastly, just bookkeeping, in this quarter, is there anything incremental on the other OPEX side? I understand that you haven't called out anything in particular as such. So, there is no one-off in the other OPEX line item?

Nitin Agarwal: Only one-off was service level penalties which we have incurred. So, in our U.S. business we face some supply chain issues and because of that we have incurred some amount of service level penalties. So, that was the only one-off.

Harsh Bhatia: That would be in the range of \$1 to \$2 million at max or maybe more?

Dr. Vikas Gupta: So, for the entire year, it was around 120 crores.

Moderator: We have our next question from the line of Achal Maheshwari from Equi rus Securities. Please

go ahead.

Bharat : This side, Bharat. So, sir, just wanted to understand again on the supply chain penalty penalties which we have faced. So, what were those during 4th Quarter, if you can call out that number?

Nitin Agarwal: That was 30 crores for 4th Quarter.

Bharat : And how do you see this supply chain issues going forward and especially on the U.S. business, how do you see U.S. business on a normal basis, whether it will be again back to 80 million or how should we look at it?

Dr. Vikas Gupta: So, you mean in terms of supply?

Bharat: Yes, you mentioned that there were some supply issues for the first two months.

Nitin Agarwal: So, we had certain back orders and because of which we are facing this service level penalty. But as we have ramped up our supply chain to bring down the back orders, we see that situation getting used with every passing quarter. So, on an overall basis, I guess we should be pretty much in control of this and we should be able to bring this number down in the current financial year.

Bharat: Again, on Enzene business, so what sort of operational expenses we are seeing for the new plant?

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Nitin Agarwal: So, this year is largely CAPEX that we will be doing and some operational expense that will happen. This year it will be around say 30 to 40 crores of operational expenses we will incur on both for R&D and the hiring of employees, also for their training and all. But most probably from Q4 onwards we will also start seeing the revenue.

Bharat: So, on an annualized basis, you're expecting almost like 100 to 120 crores sort of expenses on this plant.

Nitin Agarwal: Going forward from next year?

Bharat: Yes, for FY'26, we will be building in almost like 100 sort of crore?

Nitin Agarwal: Yes, it will be say, 120, 130 crores.

Bharat: What sort of response we are getting from the client, so whether we have got any commitment, some initial interest from the clients from the orders perspective from the CD MO perspective?

Nitin Agarwal: We have already started building our order book in US. I can't share the numbers like how much orders we have already booked, but we already have customers who are ready to work with us.

So, once the plant is ready, I think we will start serving them.

Bharat: Just trying to understand, whether it will require incremental R&D spend from our side as well to conduct the business or will we -?

Nitin Agarwal: No, we will not be investing much in R&D. I think the clients will invest.

Bharat: So, it will be more of the contract manufacturing services which you will be providing for?

Nitin Agarwal: Yes.

Bharat

: We were earlier referring that we will be seeing almost like 100 to 120 bps margin improvement every year. So, has that changed because for this year, as far as you have mentioned that there will be only 30 crores spend, which will be coming through from the Enzene plant, but you're stating that the overall EBITDA margin is expected to remain flattish?

Nitin Agarwal: So, first of all, we overperformed over the guidance which we have given. We have given a guidance of 17% and we achieved 17.7% in the current year itself. So, definitely there will be a few points of improvement, but broadly very significant improvement over what we have achieved in FY '24. Maybe say 20, 30 basis points, we can expect, but probably very significant improvement, because as Vikas spoke about that because of say NLEM also there's no price growth in on a significant part of our portfolio. So, we will try to push our, say, domestic sales through volume. So, definitely, the margin will be more or less in line with what we have achieved.

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Bharat: In 4th Quarter, was trade generic business very different from what we would have done for the full fiscal?

Nitin Agarwal: No, the contribution of trade generic was on the similar line like of our total domestic business.

Bharat: In the 4th Quarter, right? And when we are guiding for 10% growth in the domestic business, what sort of growth we are expecting for IPM?

Dr. Vikas Gupta: IPM should be in the range of 8 to 10-ish, I think somewhere around that.

Bharat: So, we are expecting any outperformance as compared to IPM or we are expecting to be largely in line with market?

Dr. Vikas Gupta: We're looking at in line or a plus one cent compared to IPM, somewhere within that range on a full year basis.

Bharat: We would have already seen some sort of ramp up already happening in for this first quarter?

Dr. Vikas Gupta: I can't give any numbers this time.

Moderator: We will take a last question from the line of Yash Tanna from i Thought PMS. Please go ahead.

Yash Tanna : Sir. I was just wondering about the medical devices business. I mean there were a couple of news articles relating to Alkem launching a couple of medical devices and I think you also mentioned probably in one of the media interviews. So , is this line of business we would probably look to make an acquisition , is that a possibility or if you can just elaborate about this line of business?

Dr. Vikas Gupta: Sorry, t his line of business , can you make a -

Yash Tanna: The medical devices there have been a couple of media articles relating to Alkem launching a couple of medical devices.

Dr. Vikas Gupta: So, see, it's a line of business that we a re setting up now. So, it will be a mix of both organic as well as we are very open to even if there is any inorganic opportunity that comes in on that front. So, it's going to be an important line of business for us . We've just started and we've just floated that company. So, we will give you further details on it as and when we've got significant details on the same.

Yash Tanna: And this is mainly for the domestic market or are we targeting another market ?

Dr. Vikas Gupta: To begin with, its domestic market.

Yash Tanna: And if you could also throw some light on ophthalmic division. So, how is that progressing and what's the vision of that?

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Dr. Vikas Gupta: Like I said, even in the last quarter, ophthalmic is a very rece nt launch that we have had. So, it's a business which is growing with every passing month. But it's right now a very small . It's a very potential . Market size is very big. The number of players are lesser as compared to certain other therapies. So, we are bullish about this market. But we've just entered into that market. It's early days and we have some of th

e new launches that we have planned in this therapy as well. So, I think that is where we will see how the business progresses over the coming quarter s.

Yash Tanna: And if you could provide like a vision, if Alkem wants to come in the top like whatever probably ...

Moderator: You're not clearly audible . Voice is not very clear.

Yash Tanna: This is just relating to the vision of Alkem division, whether in a five year vision, if we could reach top 5 category or something ?

Dr. Vikas Gupta: So, we said top 10 I guess . But ye s, we're pretty bullish. Any business that we launch, that's with the vision to enter the top players in that segment. We're not a compan y where we have operated in that market and we do not have a meaningful presence. So, we have that credential that whatever segment we have entered, we have made it really meaningful, and we are in the top players in that segment. Same will be the case wit h this business as well.

Moderator: We will take that as the last question for today. I would now like to hand the conference over to management for closing comments. Over to you.

Purvi Shah: Thank you , everyone for taking your time out today and making th is a meaningful discussion. If you have any queries which remain unanswered, please feel free to connect with us and thank you once again .

Moderator: On behalf of Motilal Oswal Financial Services, that concludes this conference. Thank you for joining us an d you may now disconnect your line s.

Call: Aug 2024

12th August , 2024

To,
The Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai 400 001.
Scrip Code: 539523 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex ,
Bandra East ,
Mumbai 400 051.
Scrip Symbol: ALKEM

Sub: Q 1 FY2025 - Earnings Conference Call Transcript
Dear Sir (s) / Madam ,

We enclose herewith the transcript of "Q 1 FY202 5 Earnings Conference Call" which was hosted by the Company on Friday, 09th August, 2024.

The said transcript shall also be made available on the website of the Company.

Kindly take the same on record.

Sincerely,
For Alkem Laboratories Limited
Manish Narang President - Legal, Company Secretary & Compliance Officer

Encl.: a/a

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"Alkem Laboratories Limited
Q1 FY25 Earnings Call"
August 09, 202 4

MANAGEMENT : DR. VIKAS GUPTA – CHIEF EXECUTIVE OFFICER –
ALKEM LABORATORIES LIMITED
MR. NITIN AGARWAL – CHIEF FINANCIAL OFFICER –
ALKEM LABORATORIES LIMITED
MS. PURVI SHAH -- HEAD OF INVESTOR RELATIONS –
ALKEM LABORATORIES LIMITED

MODERATOR : MR. TUSHAR MANUDHANE – MOTILAL OSWAL
FINANCIAL SERVICES LIMITED

Alkem Laboratories Limited
August 0 9, 202 4

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Moderator : Ladies and gentlemen, good day, and welcome to Alkem Lab's Q1 FY '25 Earnings Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask que stions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Tushar Manudhane from Motilal Oswal. Thank you, and over to you, sir.

Tushar Manudhane : Thanks, Sudant h. Good evening and a warm welcome for 1Q FY '25 Earnings Call of Alkem Laboratories. So on the management side, we have Dr. Vikas Gupta, CEO; Mr. Nitin Agarwal,

CFO; and Ms. Purvi Shah, Head of Investor Relations. Over to you, Vikas, sir, for the opening remarks.

Purvi Shah : Thank you, Tushar. So good evening, everyone. Earlier in the day, we have released our financial results, press release and investor presentation, which are also posted on our website. We hope you all had the opportunity to review it.

Before we proceed with this call, we'd like to remind everyone that this is being recorded and the call chances to be available on our website. We'd also like to add that today's discussion may include certain forward-looking statements, which must include in conjunction with the other set of business faces. And after the end of the call, if any of your queries remain unanswered, please feel free to contact us.

I now request Dr. Vikas Gupta to discuss the quarter's highlight and future strategy. Thank you, and over to you, sir.

Vikas Gupta : Thank you, Purvi. Good evening, everyone. We really appreciate your presence for today's first quarter FY '25 earnings call. I'll start by presenting an overview of the operational and financial achievements for the first quarter. And after this, we will be happy to answer your questions and engage in a discussion.

We are happy that our efforts to improve the profitability have started paying off, and we have seen a marked increase in margins during the quarter. We are committed to maximizing our EBITDA margin by carefully managing our product mix, controlling costs and taking advantage of the favourable raw material pricing environment.

The domestic business is our stronghold and we expect to build on it by furthering the growth of our large brands and bridging the portfolio gaps. Simultaneously, we are also focusing on growing our business in emerging markets. During the quarter, one of the important developments was the successful resolution of our US FDA Form 483 at our Baddi facility. At Alkem, we remain steadfast to prioritizing quality and regulatory compliance. Just to give you a few highlights of first quarter. This has set a good beginning for the whole financial year
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in terms of profitability improvement of the company. We are pleased to announce the successful resolution of all the observations that we had received from Baddi facility. This exemplifies our unwavering commitment to adherence and regulatory compliance.

Our EBITDA margin improved by 700 basis points as compared to last Q1. So from 13.1%, we have improved it to 20.1% for the quarter. Net profit after minority interest for the quarter stood at INR545 crores. According to IQVIA, we have outperformed – we have registered a growth of 8.4% YoY compared to the IPM growth which grew at 8.7%.

So we are more or less in line with the market growth. We outperformed the IPM in six therapies which is antidiabetic, neuro and CNS market, the GI market, dermatology and VMN therapy and our ranking has improved in neuro and respiratory therapies. We aim to sustain and carry forward the momentum

in the coming quarters for this financial year.

Thank you for your patience listening, and the house is open for any questions.

Moderator: Thank you very much sir. We will now begin the question-and-answer session. The first question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha : Hi, good evening. Thank you for the opportunity, and congratulations on a good set of numbers. One question on this product called Mirabegron, I believe we have a tentative approval for this product. So should we bask in as a near-term opportunity for us?

Vikas Gupta: So Kunal, thanks. Thanks for your compliments. On Mirabegron, as I had spoken on the last call as well, one or two companies have launched it and they are under litigation, whereas we have – we are bound by the settlement agreement that we have with the innovator. So unless the final outcome of all the litigations on the patent are clear, we would not be -- because we are bound by the settlement agreement, I don't see it getting launched in -- before the agreement date and which will be somewhere, I would say, 26 or 27, somewhere around that time.

Kunal Dhamesha: Okay. Sure, sir. That is helpful. And in terms of our EBITDA margin, with tracking around 20% in this quarter and we had given a full year guidance or the medium-term guidance that every year, we'll improve it by 100, 250 basis points. So where do we stand and is there a meaningful change in a way we look at profitability now for our business? And what has led to this meaningful improvement, what has driven the meaningful improvement for us in this quarter?

Vikas Gupta: Yes. So I will begin by picking up the last part of your question. The reasons for this improved profitability; one is a good product mix. Second is improvement in the API pricing. So these are kind of strong cost control initiatives that have been running for various quarters within the organization.

So I would say these are the reasons for this significant improvement that we have seen. As far as the overall profitability numbers, I've always maintained that we'll continuously be improving

it on an annualized basis. Of course, for the yearly guidance that we have given in the past, that remains the same, which should be somewhere around a similar number, overall number that we
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had in the previous year as well, around 18% is what we have clocked because as I mentioned, that though operationally, we would be improving it by a 100 basis points year-on-year. But we are making investments into our new business opportunities. And that would say, require some investments in the future growth opportunities. Because of that, our guidance has been close to 15%, and we maintain the same for the year -- for the rest of -- I mean for the balance part of the year as well. So on an annualized basis, we will be pretty much in line with the guidance.

Kunal Dhamesha: Sure. Sir, and one last one from my side. In terms of the forex gain or losses, can you highlight that number for this quarter? And where is it baked into our numbers?

Vikas Gupta: Of course, we've not had -- we never gets very granular breakup. But this is mostly from Chile in this quarter that we have had it to the tune of INR15 crores as a forex gain. So that is to be put a part of very -- so that is not part of EBITDA. So that features in the other operating income rather than -- sorry, other income, other income and not in EBITDA.

Moderator: The next question is from the line of Bino from Elara Capital.

Bino : Just following up on the previous question on margin. For the full year, I just heard your answer to the earlier question, does it mean for full EBITDA margin you are expecting similar to last year's 18% or 100 -point improvement on top of that, which makes it 19?

Vikas Gupta: So what I said is that, operationally, we would

be improving it. But because we have new investments to make in the newer growth opportunities in large part and some part of it will also be on the opex side, so which will dilute our EBITDA by, say, another 1%. So net-net, what we would arrive at should be somewhere around 18%. But of course, if the API environment gets even more favourable, then we may look at some upside. But as is basis, currently, we are maintaining our guidance of around 18%.

Bino : Understood. Second, you mentioned that there was a favourable API pricing environment. Do you mind calling out a couple of APIs where there has been significant price reduction which has helped you.

Vikas Gupta: We had, say, for example, dapagliflozin, we had sitagliptin. These are now substantial value products for us, and we have a significant reduction in some of these molecules on the API pricing. And we expect them to stay there so for the balance part of the year. Even on the paracetamol side, we saw some softening, of course, not as significant as we saw on the other 2. But I think these are some of the products that I would like to call out.

Bino : Understood. And finally, any change or action in Penicillin G prices, that has happened in the cost.

Vikas Gupta: PenG, you know, even we are eagerly working like -- I would say. We are yet to see any impact of PenG pricing, so to say. In fact, in the recent times, I'm seeing that Pen G prices are even

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seeing a marginal increase. So unless we see the large Indian players coming up in market with the offerings, I don't think we are seeing softening in the China suppliers on the PenG.

Moderator: The next question is from the line of Neha Manpuria from Bank of America.

Neha Manpuria: My first question is on the gross margin. Since you mentioned the API price environment and product mix, while the product mix can change quarter-on-quarter, I just wanted to get a sense on how much of this gross margin improvement that we have seen is sticky? Meaning that assuming that API pricing remains where it is, you don't see any further improvement in that. How much of this could sustain, even if the product mix becomes inferior over the rest of the quarter?

Vikas Gupta: So I see the API pricing remaining more or less stable now. So I'm not foreseeing any significant change on the API environment. But as far as the product mix is concerned, of course, in the Q2 and Q3, we see our anti-infective portfolio, which sort of changes the product mix. So in terms of the product mix change, might impact margins for two quarters, by say, 2%, that's the kind of estimate that we have and that we may see. But on the API pricing, I see it quite stable. In fact, if the spend thing works to our favour in the coming quarters, we may see an improvement over there. But otherwise, as is basis, this is what our sense is.

Neha Manpuria : Okay. So to clarify, sir, so last year, we saw about 61% margin in the entire year. So given the benefit of API pricing, that what we have reported in the quarter, that should -- is already

benefiting us by 100, 150 basis points. Is that a right assessment?

Nitin Agrawal : So Neha, you're right that last year, our gross margin was 61% this year, considering the improving product mix and better margin in the US market and also the further investment in API, we see it improve -- further improvement of around, say, 150 basis points in our gross margin for the full year. Definitely, quarter 1 was better because of, again, the product mix, the domestic competition was higher as compared to international.

Neha Manpuria : Okay. That's helpful, sir. And my second question on the investments in the future growth opportunities that you've talked about, the 100 basis points. If you could highlight what these opportunities are? Is this the CDMO business that we talked about. So where

essentially are we

investing this. How long do you think this investment continues? And when do we start seeing revenue from these opportunities?

Nitin Agrawal : So as we discussed in our last call also, we are investing in our US facility. And this -- it will be mainly for the CDMO business. The total investment is around between INR400 crores to INR450 crores. And as we also highlighted in last Analyst Call that since it will take some time for this business to actually breakeven. But this year, there may be some amount of losses, which business will incur and maybe in say first few quarters of next year also. But really very hopeful that we want to build this business. And maybe from FY '26, itself, we will see the positive business from this. But this year, there will be some impact because of this.

Neha Manpuria : Understood. Okay. And FY '26 is when you will break even on it?

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Nitin Agarwal : Yes.

Neha Manpuria : Understood. And my last question is on the India business. I know I've asked this before also. Some of the larger therapies, pain and anti-infective we seem to be growing slower than the market. These are fairly large therapies for Alkem. I know we're doing very well in the other parts -- other therapies. But anything that you can highlight on what we are trying to do to address the lower growth in this segment versus the underlying market?

Vikas Gupta : So Neha for the past few quarters, we had seen some market also sluggishness as far as these therapies were concerned. I'm hopeful, and I'm seeing a trend as well in the previous quarter also, it was better than the previous quarters before. And now I am expecting that from Q2 to Q3, we should start getting decent growth on our large portfolio. And that is why we are bullish about our overall domestic performance. So it's a -- I think it's a good progress that we are making month-on-month, quarter-on-quarter. And we should see even these large therapies begin to contribute to our overall growth.

Neha Manpuria : Implying that these will grow in line with the underlying market? Would that be fair to assume?

Vikas Gupta : Because these are our leadership positions in many of these segments. So at least we will be in line with the market growth, as far as these therapy levels.

Neha Manpuria : Yes. Sorry, sir, if I miss -- missed this, but what's the growth guidance that we've given for the India business? Have we mentioned that? I joined the call a little late.

Vikas Gupta : So we've always maintained in line with the market is what will be our growth, and which should mean that I'm expecting the market to grow somewhere between 8% to 10% and should be similar for us as well.

Moderator: The next question is from the line of Viraj Shah from Motilal Oswal.

Viraj Shah: So my first question is on price volume, if you could let me know regarding the price volume and new launches growth in domestic formulation segment?

Vikas Gupta : So in domestic, we have had a volume growth of close to some 1.5%. We have -- the new launches have contributed to around 2.5%. And balances are, I would say, price growth, which is again close to 2.5%.

Viraj Shah: Okay. Can you also let me know regarding the price erosion in base business for US generics?

Vikas Gupta : So like I always maintained, the US generic is seeing a single-digit price erosion at trend continues even for this quarter. So, we are seeing that kind of price erosion in our US businesses.

Viraj Shah: Okay. And regarding PenG, so apart from PenG, how do you see the lower RM cost benefiting Alkem?

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Vikas Gupta : So there are certain other APIs also, which I see that even going forward, we could see some softening, but I mean this is something which is difficult to predict. So, some of the API prices, the molecule

es that I called out on the previous question, we have seen definite reduction and that should start -- that has started showing the impact in our numbers as well. So I would say that, that is more sustainable. But I'm quite hopeful that in the coming quarters, we should see a few more products, where the API pricing environment should get more favourable. But I'll be able to give specifics only when they start giving us the real benefit.

Viraj Shah: Okay. And regarding the employee cost, there was a 1 billion increase in employee cost sequentially. So, if you could let me know the sustainable rate, which we can consider for that?

Vikas Gupta: So, I think that is largely the inflation related increments that we have generally taken for our employees. So -- and it is pretty much in line with what we had anticipated or budgeted for the year. So it is -- there is no thing abnormal that has come in as far as manpower increase.

Viraj Shah: Okay. And if I could put in one more last question. The R&D expense, it was lower for the quarter. So how do you think for FY '25 on absolute basis that would be as percentage of sales?

Vikas Gupta: The first quarter is always within the range of 4.1% because most of our filings are loaded towards Q3 and Q4. So, the annual spend will be within the range of 4.5% to 5% and in terms of absolute. So, we will continue to keep it under that percentage. So that is what we have been always maintaining.

Moderator: The next question is from the line of Bharat Celly from Equirus.

Bharat Shelly: I just wanted to understand on the margin guidance again. So, in the last quarter when we mentioned that we will be maintaining 18% margin, at that time we were estimating that our gross margin will remain more or less flattish at around 61. Now considering we are increasing our gross margin guidance to 62.5, yet our EBITDA margin guidance more or less remains the same. Is there anything I am missing out?

Nitin Agarwal: So if you look at our, say, last year results, the quarter 1 gross margin was lower compared to the other 3 quarters. Actually, the API prices impact, we started seeing from quarter 3 and quarter 4. And also, it's a unique product mix. So if you look at quarter 4 margin of last year, quarter 3 margin of last year, it was better than quarter 1. And this -- say, improvement in gross margin it will continue -- or has continued in quarter 1, and that is why we see -- we have shared that our overall guidance for the year will be 62.5. So last year was affected by a lower gross margin of quarter one.

Bharat Celly: Right. So in the first quarter that we had guided for 18% EBITDA margin at that time, we are estimating our gross margins to be around 61. Now since our gross margin guidance has increased by 150 bps, yet our EBITDA margin guidance more or less remain same. So I'm just asking why that benefit is not showing to EBITDA, is there any incremental cost which you are facing?

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Nitin Agrawal: Sorry to interrupt in our last call also, we have shared that our gross margin for the full year increased in the range of 62% to 62.5%.

Bharat Celly: Okay. And on MYRBETRIQ actually, I thought that considering the two players have already launched that drug that would have considered our settlement? So, what I'm asking is there are two players who have launched MYRBETRIQ. Isn't that going to trigger our settlement?

Vikas Gupta: No. So like I told you, they are also under litigation and we are bound by our settlement agreement, which clearly mentions that we can launch it only when after the final outcome of all the patent clause, patent infringement that has -- so we will be launching it only after that. So there's an at-risk launch, I think would be players are under litigation with the innovator. So we will be waiting for the final outcome of the litigation.

Bhar

at Celly: And Vikas sir, in case let's say if those generics win the case, will it trigger our launch?

Vikas Gupta: See, I will just wait for all the litigations related to any patent for mirabegron to get over. And it's only after that, we will be getting into the market. There are various litigations I think that are going on for different patents with regards to mirabegron. So once all the -- we are bound by the settlement agreement and that once all these litigations are over, we can enter the market. So that's when we will enter the market.

Bharat Celly: Okay. That's helpful. And again, on the domestic business. Are we...?

Moderator: Sorry to interrupt Mr. Bharat, we request you to get back to the question queue for any follow-up questions. The next question is a follow-up question from the line of Kunal Dhamesha from Macquarie.

Kunal Dhamesha: In terms of U.S. outlook for FY'25 in terms of product launches and your growth expectation, if you could provide some colour here?

Vikas Gupta: So in terms of our U.S. growth, I've always maintained, we are looking at a single-digit growth from U.S. market. In terms of the new launches, we launched in generic Suprep in Q1. In Q2, we have just introduced dabigatran. And among the significant ones, I think that should be the one which we are pretty hopeful which should start showing impact on revenue in Q3 and Q4. So that's about the new launches. With regard to refiling, I look forward to around 8 to 10 filings

that we would do in the current financial year. But a large part of it will come in Q3 and Q4. So that's how I think our overall filings for the U.S. would be .

Kunal Dhamesha : And because of that, are we expecting our R&D expense to basically reach up to 4.5% to 5% versus 4.1% in this quarter?

Vikas Gupta : Yes, because it's the phasing of the spend is like that because year-end, we will end at between 4.5% to 5% .

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Kunal Dhamesha : Sure. And sir, one on the RoW business or the other international market business, which has just seen a top line growth of 2% year-on-year. So is any particular geography wherein we have seen some issues? Or how should we look at from an FY'25 perspective of this business?

Vikas Gupta : No. So 2.2% is not from the RoW. In fact, the RoW market, the emerging markets and the -- some of the European markets, we are seeing very good growths. But their base is right now not so high. But we want to develop those markets for future because these are the markets where we get much better profitability as compared to the U.S. market. So ROCE is very good from those markets as compared to the U.S. market. And that's what we are working on, on building top line from some of the non-U.S. markets. So especially the emerging markets and some of the European markets. So I think that's what we are now focusing on in terms of our international business, and we will continue that focus very strong.

Nitin Agarwal : Just to add. I think you're talking about the non-U.S. business. So under our non-U.S. business, Australia and Chile are the two major contributors. And this year, we faced two supply chain issues in Australia, and that is why the quarter for Australia was lower which impacted the overall growth of non-U.S. market. But all the supply chain issues are being fixed, we are very confident that our growth will jump back in the balance quarters.

Kunal Dhamesha : Sir, this Australia issue, is it lost sales or deferred sales? How should we look at it?

Vikas Gupta : No, it is just for this quarter, we were not able to supply a particular product because of our supply chain issues. And now we have resolved those issues. In the coming quarters, we will recover some -- I mean, large part of that sale.

Kunal Dhamesha : Sure, sir. And in terms of the Penicillin G or, let's say, our anti-infective portfolio

. Are we a

direct buyer from Chinese player? Or are we more like buying APIs from some of the Indian players who convert Penicillin V API into cephalosporin?

Nitin Agarwal : Yes. Are you talking about supplying Pen G in Chile?

Kunal Dhamesha : Yes.

Vikas Gupta : You're talking about Chile, or you're talking about domestic market?

Kunal Dhamesha : No, domestic market, sir. So anti-infective is a big therapy for us, right?

Vikas Gupta : Most of our procurement is indirect. So we don't get into component buying. But we keep view on various components of pricing and the various KSMs that are there. So that's why I said, so far, we haven't seen the impact or something on these prices from the suppliers.

Kunal Dhamesha : And as long as -- as soon as the sales in the KSM or intermediate prices happen, do you expect to get benefited from that. Is it correct understanding?

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Vikas Gupta : Yes, that's how it flows because if our suppliers are getting some benefit, then that gets passed on to us. So I think that's how the market works.

Kunal Dhamesha : Sure, sir. And last one from my side with your permission. Our current medical representative count for the India business, including and excluding first-line managers?

Vikas Gupta : So 12,700 is what our count is, and managers would be over and above.

Kunal Dhamesha : Roughly 10% is what we should assume?

Vikas Gupta : I think we can get -- you can send a query and we can share the right numbers with you. But I think generally it's in line with the industry.

Moderator: The next question is from the line of Madhav from Fidelity.

Madhav : Just had one question on the international business, except U.S. I think you explained why the growth was a bit soft in Q1, but last few years, I mean this business has grown by 20%, 25% CAGR. If you look at the next 2 or 3 years, given that we're a bit of a higher base now versus what we had before. So any sense to how -- at what pace will this part of the business grow?

Vikas Gupta : So I maintained the non-U.S. business, we would see mid-teens kind of growth even in the coming years, and that is what we are focusing on. And we will see that coming over a period of next 2 to 3 years.

Madhav Marda : And just the mix of entering new countries and expanding in the existing market, it's a mix of

both is how we should look at it?

Vikas Gupta : Yes, it's a mix of both.

Madhav Marda : Got it. And in terms of the margin pecking order, this would be a similar margin business to India or higher or lower than India?

Vikas Gupta : Some markets are similar to India, but some markets are lower. But at a blended level if you would see, it may -- it is not as high as India, but in terms of -- it's not as low as U.S. So that's all I'll say. I mean it's a shade lesser than India, but it's not as low as U.S.

Moderator: The next question is from the line of Saurabh Kapadia from Sundaram Mutual Fund.

Saurabh Kapadia : First on the -- what was the growth for trade generics in the quarter?

Vikas Gupta : See, we don't share the segment-wise growth. But I've always maintained that it's a substantial scale business. It grows in line with whatever we see on the Rx side. So more or less, generally, we are seeing similar kind of growths on both the sides. But we'll not have segment level growth data.

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Saurabh Kapadia : Okay. And in terms of the additional cost you mentioned because of the new initiative, can you quantify what could be the cost? And will it be starting from Q2, or it will be more back-ended?

Nitin Agrawal : So mostly it is starting from Q3 onwards. And we have not quantified -- we are not quantified and shared it. But the impact on EBITDA will be around, say, half -- 50 basis points in the current year for say quarter 3 and quarter 4.

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Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead. Your voice is breaking.

Gagan Thareja : Yes. Sir, my first question is around the tax rate. I think for the full year the guidance last given was 13% to 15%, 1Q has been 11%. Should we assume that going forward in the next 3 quarters tax rate will be 15% plus?

Nitin Agarwal : So it will be in the range of 11% to 13% for the full year.

Gagan Thareja : Okay, 11% to 13%. So you're reducing the tax rate?

Nitin Agarwal : Yes.

Gagan Thareja : And secondly, I mean, are you making any provisions relating to the tax demand notice that you have received?

Nitin Agarwal : So see, we have not still received any demand to -- just to give the status of the survey, income tax survey which happened. So Income Tax Department asked us to again file the return, and we have already refiled the return for last six years. Now we'll start the assessment. And once the assessment will get completed then only we'll come to know about the result. So, till date, we have not received any demand against the survey, which has happened in the month in last year.

Gagan Thareja : Okay, sir. Right. And sir, on the U.S. business, have you launched SUPREP?

Vikas Gupta : Yes, we have.

Gagan Thareja : When was this done, sir?

Vikas Gupta : In Q1. We just launched.

Gagan Thareja : Okay. So between SUPREP and Dabigatran, will you see those businesses managing to do a high single-digit sort of growth this year, despite being the 1Q not being strong?

Vikas Gupta : See, on Dabigatran because we've just introduced, we will start recognizing significant revenue only by Q3 and in Q4, right? So from the financial year perspective, the contribution that will be there to the top line will not be so significant that it offsets the value erosion, price erosion that we have on the balanced portfolio. And that's why our guidance is going to be like that.

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Gagan Thareja : Okay. And sir, final one on the domestic sales, can you give some idea of how the acute part in the chronic part of your India business has grown for the first quarter. And I noticed that on the cardio, you're still sort of going below IPM and any explanations there in that?

Vikas Gupta : So cardio has never been a very strong play for us. Our play has largely been on the anti-diabetic side and that's where we have large brands. So that is where we have the -- an anti-diabetic in chronic like I mentioned in derma CNS in anti-diabetic, we are really outperforming the market.

So there, our growth has been pretty strong. So I think that's on the overall growth. In some of the other segments, where we have seen very high market kind of performances is the GI portfolio, which is our largest portfolio and the VNM portfolio, which is our nutrition portfolio.

So I think these are segments which are really driving the overall growth for domestic.

Gagan Thareja : But if I were to split your overall domestic sales, would it be fair to assume a 85-15 between from acute product?

Nitin Agrawal : See chronic is increasing and somewhere close to 19% to 20% is what we have chronic. Yes.

Gagan Thareja : And it would be growing well ahead of the covered market?

Vikas Gupta : Because I mentioned these segments where we are really going strong and growing faster than market. So I've called out.

Gagan Thareja : And on the non -NLEM portfolio, what kind of price increases would you have been able to see in this year?

Vikas Gupta : So on non -NLEM portfolio, we are allowed to take a price increase of 10% but we realize because of the inventory, et cetera, and some anti -market driven pricing pressures. Generally, we get 5% to 6% increase on the annualized basis.

Moderator: Your next question is from the line of Bansal from JPMorgan.

Bansal : Sorry, if you have answered this

before. But just on the other expenses excluding R&D, what has led to decline in the expense in the first quarter?

Nitin Agrawal : So as Vikas said, in his opening statement that we have taken various initiatives in terms of cost savings. And if you look at say, the service level penalty which incurred in the last quarter that was significantly higher as compared to what we have incurred in this year. And just to say, our production in Baddi and Daman has also significantly increased switched up to decrease in service -level penalties. And we also expect that in going further in coming quarters also there will be a reduction further reduction service level penalty. Other than that, last year, we incurred some forex losses. So if -- when we incur forex loss, we report it under other expense, while it will be forex gain we reported in the other income. So this year there was a gain in the forex. So we have reported it under other income. But last year, since it was a loss it was reported under other expense. And this has actually, these two items have led to improvement in say, the percentage of sales reduction in other expenses.

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Bansal : Okay. So the way I understood it that this appears more to be a sustainable number. Obviously, from the second half of the year, you will see increase related to our investments, cost increase on account of that. But barring that this number looks more sustainable?

Nitin Agrawal : So see going forward, I just also said that quarter 1 generally the R&D expense is lower when we're doing most of our filings in quarter 3 and quarter 4 and R&D expense in our quarter 3 result will be put in the other expense. So as a percentage of sales, it's very difficult I need to compute and share with you maybe separately that what will be the percentage going forward. But if you look at one -off items, so other than say, R&D, we don't see that there are many other major items , but definitely, it's very difficult to predict all the one-offs. But I think in absolute terms, it will increase by say, INR50 crores every quarter as compared to Q1.

Moderator: The next question is from the line of Yash Tanna from Ithought .

Yash Tanna : Congratulations on a good set of numbers. I was going through the annual report and I was reading the MD's message where he mentioned that Alkem is set to enter the medical device space and the OTC category, which will be a significant business driver going forward and you guys are also exploring some inorganic opportunities in this space. So if you could highlight a little bit more on this? All my other questions have been answered.

Vikas Gupta : Thank you, Yash. So I think I will once again reiterate that these are going to be key growth drivers. But as we mentioned earlier as well that we are taking steps to build this business. So when they will become meaningful it's took a while. And we will keep you posted whenever we have specific details to share in this regard. But yes, these are really a part of plans . And in the coming quarters, we are setting up to launch these businesses. And we're right now we're just working on getting these products to market. So we'll give you a specific update whenever we have to we have more specific details to share.

Yash Tanna: Sure, sir. Got it. And just one more. Is it -- then -- can we assume that the cash pile that we have the capital allocation can be more towards these categories versus more towards buying out brand or something?

Vikas Gupta : I wouldn't say that. We have a part of as part of our plan, we are looking at heavy opportunity that comes up on table, I've said it in the past, we are open to and we are actually looking forward to any acquisition that we can do that can add value to our overall scheme of things and which are more strategic in nature. So we have today a cash or a

decent cash reserve. So I would say,

which is I think and whenever any opportunity comes our way, we can figure out the routes to funding to get those to fund those opportunities. At this stage, so there's nothing more that I can share, but I can just tell you that there is a very strong intent to look at inorganic options as well.

Yash Tanna: Sure, sir. Got it. And best of luck.

Nitin Agarwal : Just to add on other expenses, like I think the previous question I answered that maybe the

increase of INR50 crores for the R&D expense on top of quarter 1 will also discuss that there are other initiative road initiatives which we have taken. So for those initiative s also we see another
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INR50 crores, INR60 crores of exceed over quarter 1. So altogether, other expenses may increase been INR100 crores, INR1 10 crores from the base of quarter one for balance three quarters.

Moderator: The next question from t he line of Tushar Manudhane from Motilal Oswal. Please go ahead.

Tushar Manudhane: So, just on the MR strength , which has been largely stable, that as a part of cost rationalization exercise, are we going to see the reduction in MRs as well by the end of F Y25?

Vikas Gupta : No. So MR is , you will see an increase in productivity. That is our focus rather than reducing people. I think there are assets, and we are seeing strong traction in our performance because of our feet on the ground. So there is no such plan, but there will be a definite increase in productivity. Of course, there is no substantial increase in the numbers that we have as part of the plan , but we will see an improvement in productivity.

Tushar Manudhane : And if you could share the opex rela ted to Enzene Biosciences?

Vikas Gupta : Opex related to Enzene Biosciences?

Tushar Manudhane : Yes.

Nitin Agrawal : So in quarter 1, the re was an expense of around INR 90 crores as opex for Enzene , including the depreciation.

Tushar Manudhane : INR90 crores, i ncluding depreciation. And how do you see this panning for full year FY '25?

Nitin Agrawal : It will increase a bit, as we discussed that we are also building our interest plan. So some amount of expenses in that target will be operational by end of say FY '25. So definitely, there will be the operating expenses. So there will be say against the third quarter in the balance quarte rs, there may be increase of INR20 crores , INR25 crores .

Tushar Manudhane : Sorry, INR20 crores, INR 25 crore s per quarter, right th at or for the remaining year, you are saying?

Nitin Agrawal : Yes.

Tushar Manudhane : Understood, sir. Thank you.

Nitin Agrawal : When I said that the other expenses will increase. So I think that is already covered -- this part is already covered.

Tushar Manudhane : So that is to do -- apart from Enzene Biosciences -- I mean, any other levers you would like to call out for increasing, let's say, opex, which will keep the EBITDA margin at the earlier guidance?

Vikas Gupta : See, we have also entered into medi cal devices. We have signed an agreement with companies in the U.S. from where we will get the technology for knee replacement , and we are getting to

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this resource, and we definitely it will take some time to breakeven. So this business will also actually impact the EBITDA margin in the current year.

Tushar Manudhane : Sir, just on this medical devices, we should be more as a hospital -- I mean B2B products or this should be more like on OTC products?

Nitin Agarwal : So these are maybe -- currently, the segment which we are signing, we wi ll get technology for hip and knee replacement. So we'll be dealing with through distributors, we will be promoting this products to hospitals and hospitals will actually im plant this in the region.

Moderator: The next question is a follow -up qu

estion from the line of Kunal Dhamesha from Macquarie .

Please go ahead.

Kunal Dhamesha : One on the EBITDA margin guidance. I think I'm a little bit confused here. So the gross margins are expected to improve by around 100, 150 basis points year -on-year. And then at some point, we said there will be 100 basis point incremental end on the new initiatives. And then at some point, we said 50 basis point incremental sp end in quarter 3 and quarter 4. So, I think I'm misunderstanding something. But how much is the new initiative spend that will kind of offset gross margin improve for us? And then the cost efficiency initiatives should so picking, right? so, how should we think about it?

Nitin Agarwal : So having said that the gross margin for the full year will be in the range of 62% to 62.5%. And also, I said that for quarter 1, the other ex penses will increase by say INR 100 crore s every quarter, mainly because of incremental R&D expense because quarter 1 generally on R&D expense is lower as compared to other quarters and also further investment in our biosimilar and Medical Devices business. So other expenses some -- on top of quarter 1, it'll increase by around INR100 crores, INR 110 crores every quarter .

Kunal Dhamesha : And that is very good -- I think, right? R&D initiatives every thing 110...

Nitin Agrawal : This is what we are expecting. The final number will come only after the actual results are published, but this is what we have estimated.

Kunal Dhamesha : Sure, sir. And one more question on the seasonality. Since we still have a good amount of acute exposure, and we are roughly 1-month into quarter 2. So how do you say acute seasonality playing out for you this year?

Vikas Gupta : The IQVIA number is yet to come out for the month of July. So we are also eagerly waiting. But again, it will be too early, but it's much better than what it was last year.

Moderator: The next question is the call from the line of Yash Tanna from ithought . Please go ahead.

Yash Tanna : Sir, you mentioned about improving productivity of the MR. So if you can tell us what the consol productivity, and then break it up in acute and chronic. And also, what sort of productivity improvement are we targeting going forward?

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Vikas Gupta : So our consolidated productivity is at around 5 lakhs , okay? And we are not looking at any significant addition to the numbers that we have. And we have a top line growth aspiration of close to 8% to 10%. So you can see that would be largely the productivity growth.

Yash Tanna : Sure. And sir, if you can break it up of chronic and acute?

Vikas Gupta : Segment level, but since acute is higher, you can consider, say, 10%, 20% higher productivity for acute and chronic is not way low now. So I would say it's catching up, but maybe 5% to 10% lesser than our consolidated level.

Yash Tanna : Thanks for this, sir. And good luck.

Vikas Gupta : Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Purvi Shah : Thank you. We want to thank everyone for participating in today's call and making this a meaningful discussion. If any of your queries still remain unanswered, please feel free to get in touch with us. Have a great weekend ahead. Thank you.

Vikas Gupta : Thank you, everyone.

Moderator: On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

18th November , 2024

To,
The Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai 400 001 .
Scrip Code: 539523 National Stock Exchange of India Limited
Exchange Plaza ,
Bandra Kurla Complex ,
Bandra East ,
Mumbai 400 051 .
Scrip Symbol: ALKEM

Sub: Q2 FY2025 - Earnings Conference Call Transcript

Dear Sir (s) / Madam ,

We enclose herewith the transcript of "Q 2 FY2025 Earnings Conference Call" which was hosted by the Company on Wednesday, 13th November , 2024 .

The said transcript shall also be made available on the website of the Company.

Kindly take the same on record.

Sincerely,
For Alkem Laboratories Limited

Manish Narang
President - Legal, Company Secretary & Compliance Officer

Encl.: a/a

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"Alkem Laboratories Limited
Q2 FY 25 Earnings Conference Call"
November 13 , 2024

MANAGEMENT : DR. VIKAS GUPTA – CHIEF EXECUTIVE OFFICER –
ALKEM LABORATORIES LIMITED
MR. NITIN AGARWAL – CHIEF FINANCIAL OFFICER –
ALKEM LABORATORIES LIMITED
MS. PURVI SHAH -- HEAD OF INVESTOR RELATIONS –
ALKEM LABORATORIES LIMITED

MODERATOR : MR. TUSHAR MANUDHANE – MOTILAL OSWAL
FINANCIAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Alkem Laboratories Results Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Tushar Manudhane. Thank you, and over to you, sir.

Tushar Manudhane: Thanks, Joshua. Good evening, and a warm welcome to 2Q FY '25 Earnings Call of Alkem Laboratories. From the management side, we have Dr. Vikas Gupta, CEO; Mr. Nitin Agarwal, CFO; and Ms. Purvi Shah, Head of Investor Relations. Over to you, Purvi.

Purvi Shah: Thank you, Tushar. Good evening, everyone. Thank you for joining us on our call for Q2 and H1 of FY '25. Earlier in the day, we've released our financial results, press release and investor presentation, which are also posted on our website. We hope you all have had the opportunity to review it.

Before we proceed with this call, we would like to remind everyone that it is being recorded and the call transcript will later be available on our website. We would also like to add that today's discussion may include certain forward-looking statements, which must be viewed in conjunction with the risks that our business faces. After the end of this call, if any of your queries remain unanswered, please feel free to contact us.

I now hand over the call to our CEO, Dr. Vikas, for his comments. Over to you, sir. Thank you.

Vikas Gupta: Thank you, Purvi. Good evening, everyone. We really appreciate your presence for today's second quarter as well as H1 FY '25 earnings call. We are pleased to share that the outcomes of our strategic initiatives designed to enhance the profitability have proven effective. We are prioritizing a high-margin product mix aligning more effectively with the market demands and implementing various cost control measures to mitigate inefficiencies, which are supporting EBITDA margin growth.

In the domestic market, our focus remains on augmenting the growth of our large brands and making strategic portfolio additions. We also see significant opportunities for growth in our emerging markets business. I'll now present an overview of the operational and financial achievements for H1 as well as the second quarter of FY '25.

Key highlights for H1. The total revenue from operations saw a modest growth of 0.6%, but earnings before interest, tax, depreciation and amortization were INR 13,615 million, resulting in an EBITDA margin of 21.1% versus 17.7% in H1 FY '24.

EBITDA increased by 19.9% Y-o-Y. Net profit was INR 12,338 million with Y-o-Y growth of 36%. As per IQVIA data for H1, the company has registered a growth of 7.1% Y-o-Y. During

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H1, we have outperformed in 6 therapy areas, which are namely GI, VMN antidiabetic, neuro, gynac and derma.

Coming to the key highlights of Q2 FY '25 financial performance. The net profit was INR 6,886 million with a Y-o-Y growth of 11%. As per IQVIA data, the company registered a growth of 6.3%, and we have outperformed in 7 therapies as far as Q2 is concerned.

According to IQVIA data, our company registered a positive volume growth of 1.1% in a challenging market that witnessed a 0% volume growth in Q2. PAN is growing at 12.8% compared to the market growth of 7.3% on a MAT basis. And I'm also happy to share that for the first time, we have reached the second ramp in the IPM, the PAN as a brand is a second-time brand as far as the whole pharmaceutical industry is concerned.

Thank you for your patient listening, and I would now open the floor for any questions.

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Moderator: Thank you so much. The first question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha: The first one on the U.S. business. I believe that we are supposed to launch more than 1 product in this quarter, and there were a few relaunches were also planned in this quarter, but I see we've launched only 1 product. So are we expecting more products to be launched in the coming quarter? And how should we think about the U.S. overall run rate for FY '25, since H1 looks quite weak?

Vikas Gupta: Yes. So thanks, Kunal. So I'll give you an overall view on the U.S. business and not only about the new launches. Yes, we launched 1 product in Q2, which was also a very small product, differentiated product. But if you look at Q3, we are expecting to launch another product, which

we have received a cGMP with 180 days exclusivity. And we are also planning -- we have also received approval for sacubitril -valsartan in the U.S. market, so which we will see how we are going ahead with the launches.

But if you look at the overall U.S. business, as I mentioned in the last quarter as well, we had certain supply chain challenges in the U.S. business in the past because of which we -- in the last 2 quarters, we have seen a significant volume degrowth and perhaps a price erosion as well. So because of that, in the first half, our U.S. business has been quite weak.

But going forward, we expect that to improve -- so in the second half, we are expecting much better performance as far as the U.S. business is concerned. So that's -- and on the new launches, I think I've already answered.

Kunal Dhamesha: So sir, on a year -on-year basis, how should we think about? Will it be a slight decline on a year -on-year basis?

Vikas Gupta: Yes. So looking at the H1 performance, we are expecting a mid -single -digit kind of erosion in the overall U.S. business. But if you look at the Q2, we have had a volume degrowth of around

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18.7%, we have had price erosion of around 6%. So that puts us, overall, on the H1 basis, at a 15% degrowth as far as the U.S. market is concerned. But as we look at the annual numbers, we expect H2 performance to be better. So annually, we may land at a flattish to a mid -single -digit kind of erosion in the U.S. business.

Kunal Dhamesha: Sure. And sir, on the profitability with the measures that we have taken and probably volume degrowth is a function of some of those efficiency measures, which I assume...

Vikas Gupta: Can you please be a bit louder, Kunal, I'm not able to hear you.

Kunal Dhamesha: Yes. So I'm saying that on the profitability of the U.S. business, probably because of the efficiency measures we have taken, are we doing better in the first half versus, let's say, full year last year? And how should we think about the trend going forward for the U.S. business profitability?

Vikas Gupta: Yes, the profitability has definitely improved in U.S. business because, one, we have improved the efficiency. And second, there have been certain calls that we have taken where certain products, the pricing has become unviable. So rather than just chasing our top line, I think our focus largely on U.S. business has been on improving the profitability. So that is something that has really improved.

Even in the product mix, if you see, our product mix is very different from what we had it in the last year. And perhaps there is -- those have been some of the reasons that have contributed to the overall erosion in the U.S. business. But I think so far, also H1 to H1, our profitability is better as compared to last year from the U.S. business, and we expect this trend to even get better in the H2.

Kunal Dhamesha: So on a pre -R&D basis, would we be like mid -single -digit, low double -digit EBITDA...

Vikas Gupta: Kunal, you'll have to be a bit louder.

Kunal Dhamesha

a: Yes, I'm saying on a pre -R&D basis, our U.S. business would be at what kind of profitability?

Any particular range that you can direct us to?

Vikas Gupta: See, we have never shared the segmental country -level profitability. But yes, overall, EBIT DA-wise, we all know that U.S. is a lesser EBITDA business as compared to our overall EBITDA. But we are improving over there and our intent would be to get it closer to our at least overall EBITDA margin, so the -- and not be dilutive, which will happen over a period of time.

Moderator: The next question is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: My first question is on India business. So can you explain the key reason for like why Alkem has lagged market growth in key therapies like anti-infectives, gastro, pain and cardiac for second quarter? And in H1, Alkem is below IPM. So in that context, will you be revising your guidance of on par growth with the market for FY '25?

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Vikas Gupta: Thanks, Damayanti, for your question. Actually, if you see it's only anti -infectives where we have had -- see cardio is, we do not have a big cardio portfolio. So I would say -- and in GI, if you look at the overall H1, we have outperformed the market. So in GI, we do not see -- foresee too much of a challenge.

In anti -infectives -- first, I will take the question on the overall growth being maybe 1% lesser than the overall market growth. So the delta is not huge, but what has happened is since acute market has grown much lesser. And as a company, we have a higher weightage of acute business.

While the market is just 62% acute and 38% chronic, in our case, we are more than 80% acute business. So what happens is

when acute business slows down, it becomes -- it's more of a weighted average issue, that becomes a little issue.

Second, on the anti-infectives, if you look at the portfolio mix of anti-infectives, we have had a struggle on the injectable piece of anti-infectives -- which is a very low-margin business. So with our improved focus on profitability, we have always given more weightage to doing more profitable sales.

So I think that is one area where we need to do much better in the coming months. Coming to the overall guidance of our domestic growth, we are very bullish about our domestic growth.

Even if you compare H1 to H1, we have grown faster than what we were growing in H1 of last year. On an annualized basis, I foresee -- still I will maintain our overall expectation of close to 8% to 9% kind of growth.

So that is something that we are very bullish about. And H2 will be a lot better than H1. There were certain other measures also that we had taken internally, improving the efficiency. So we have had certain challenges because of that. So on domestic, I would maintain our guidance of 8% to 9% growth even for the annualized basis. And in that, Q4 is going to be pretty strong for us this time. So that's our outlook.

Damayanti Kerai: Yes. So just want to understand this acute -- sorry, anti-infectives piece better. So I think when we do year-on-year comparison, last year obviously was, I guess, washout in terms of low rain or erratic rain, et cetera. But this year, I guess, monsoon has been much better, right?

And then in that context, I thought we'll be seeing a better pickup in anti-infectives. But do you think there is some delay in terms of seasonal uptick for this category? And maybe we will see some recovery in third quarter?

Vikas Gupta: See, like I said, nobody can predict when the diseases would set in. I can just give you a broad outlook as that this year, it was expected to be far more better than last year. It is a shade better, but clearly nowhere -- you can see the volume growth of the industry.

The -- it's -- in Q2, where the industry has had a 0% kind of volume growth. Whereas, we have had a good

-- at least 1% volume growth. So that's the silver lining. What is also happening is we have a higher weightage of the NLEM portfolio, and that's largely on the anti-infectives side,

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again. This year, the price increase possible on the NLEM portfolio is 0. It's 0.05% kind of, which is negligible.

Whereas, last year, there was a 12% increase that was possible only as pricing as a lever. So I think all factors put together, the industry is where it is. But -- as far as our internal growths are concerned, even in the current scenario, the way the market is moving, even in that scenario, we are pretty bullish about that 8% to 9% of growth coming from the domestic.

Damayanti Kerai: Sure. My second and last question is, can you update us on status of Enzene plant in terms of completion, start of supplies, et cetera?

Vikas Gupta: So Enzene plant, you mean the U.S. plant?

Damayanti Kerai: Yes.

Vikas Gupta: Yes. So the work is in progress. We maintain with our expected time lines of Q4 to -- at the most Q1 of next financial year. And we expect -- so our order book has already started. It's already started getting orders basis the progress of the plant. We expect that the production to begin latest by -- I mean, Q4 to Q1, that is how I'll put it. So there is no significant delay that I would like to report as of now.

Damayanti Kerai: Sure. And you are already getting orders, as you said, order book is...

Vikas Gupta: We've started getting a lot of queries. We've started getting some orders. Of course, further details, we'll give you at an appropriate time. But that's how I'll put forward.

Moderator: The next question is from the line of Saion Mukherjee from Nomura.

Saion Mukherjee: My first question is regarding the full year guidance. I think you talked about 10% growth on top line and I think 18% EBITDA margin. What's your new guidance overall for the company now?

Vikas Gupta: So overall, looking at the struggle that we have had in H1 from the U.S. business, I would say, on the top line, we would be mid-single-digit kind of growth as far as the overall top line is concerned. But when it comes to the overall margin, we are bullish about at least 100 basis point kind of improvement somewhere between 18.5% to 19%, I mean, a kind of EBITDA, that's the outlook that I would maintain.

Saion Mukherjee: Understood. On the U.S. business, we have seen fairly large volume decline and also you mentioned about price erosion. If you can take us through, is there something you have seen in the recent past, things have deteriorated for the portfolio? And how are you thinking from a slightly longer-term perspective for your U.S. business?

Vikas Gupta: So like I mentioned, we had some internal challenges -- so as I mentioned, we had certain supply chain-related issues. So U.S. is one perennially price erosion market for vanilla generics kind of

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portfolio. Like I had said and we are seeing that trend as well, we have seen 6% to 7% kind of price erosion from the U.S. market in terms of pricing.

The volume degrowth has largely been on account of our supply issues, which were there in the past. If you will look at our inventories had gone lesser. If you see last year, we had reported a service level penalty to the tune of INR 140 crores because of our inability to supply a lot of products. In fact, when we started this year, we were at 38% back orders. Our back orders are now down to 2% in U.S.

So what we have done is we have improved the inventory over there, but there were certain contracts where we had lost because we were not able to supply. Now gradually, since our inventory position is better over there, we expect U.S. to be better. But we would not go aggressive on pricing and erode margins to win back the top line. So that's the

outlook on the

U.S. So like I said, U.S. in H2, we are looking at a better performance.

And on an annualized basis, we may be somewhere between a mid-single-digit kind of erosion overall on the top line. But in terms of profitability, we have improved as compared to last year, and we will continue our that journey even in times to come. So that's the way I'll put forward.

Saion Mukherjee: Okay. Sir, and just 1 last question on Enzene, if I can. So firstly, sir, on this facility that we are putting up in the U.S., you mentioned commissioning by Q4 to Q1, but you would require FDA inspection and approval for the facility before you make commercial production. So are you talking about starting operations there or you are talking about booking revenues starting from 4Q and 1Q?

And second, what's the kind of cost structure that we should bake into our estimates when you - when this plant come on stream?

Vikas Gupta: So this is a CDMO biologic plant, okay? And where we would be doing more of preclinical to clinical kind of small production. So whatever the regulatory requirements would be, we would be complying with the same. And the time line that I'm giving is when we expect the production to really begin. So I hope that answers your question.

Saion Mukherjee: Yes. And sir, what would be the cost structure?

Vikas Gupta: So there is a capex layout that we had specified even in the previous call, close to the tune of INR450 crores, and which I think that is what we are maintaining even from -- for now.

Saion Mukherjee: And sir, operations, I'm looking at the P&L cost that will come when you start operating and maybe today, you're capitalizing those costs. So what is the cost structure there for this facility?

Vikas Gupta: So I think once we start running the operations, it will be better that we give you more color on the operating cost over there. But if you look at our -- I think that will be covered by the order book that we will have because this is more CDMO work -- pricing, yes. And we are not capitalizing any of the expenses.

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Nitin Agarwal: The plant is still not ready for the operations. So by quarter 4, it will be ready. And we are very hopeful that in the first year itself this will break even. But as of now, we have not capitalized any of the expenses.

Saion Mukherjee: So you're not incurring any expense or you're not capitalizing the expenses?

Nitin Agarwal: See, those are not very material. Few of the expenses we are incurring, those are not very material expenses.

Moderator: The next question is from the line of Neha Manpuria from Bank of America.

Neha Manpuria: Sir, my first question is a little bit on the margins. Based on your guidance, is it fair to assume that the INR 100 crores to INR110 crores additional cost that you were talking about for the new businesses hasn't really started flowing through our P&L and a large part of that will come in the second half? Is that the right way to read that other than the -- because you are talking about better India growth in the second half, so I'm just wondering if bulk of that cost is yet to come.

Nitin Agarwal: Neha, this is Nitin. So you're right that in quarter 1, we said that around at max around INR 100 crores we will incur as pre-operating expenses for our MedTech and Enzene business. So as of now, we don't think we will cross at max INR 60 crores to INR 70 crores for both the MedTech and the Enzene U.S. plant. And that is why as Vikas said that there will be, say, improvement of around 1% in the EBITDA margin against last year by the year-end. So the expenses, the estimate for both for MedTech and Enzene which we have shared for the pre-operating expenses has come down.

Neha Manpuria: And this will flow in from the second quarter, right? I mean, from the third quarter or has been...

Nitin Agarwal: They'll

will be from the third quarter onwards, yes.

Vikas Gupta: Actually, Q3 and Q4.

Neha Manpuria: Got it. And sorry, on the gross margins, I'm assuming part of the benefit that we are seeing in gross margins because the U.S. mix is lower. So how should we read the gross margins for the second half? Should this normalize to what we were doing previous year?

Vikas Gupta: Yes. So see, there are 3 elements to why the gross margin has improved. First is definitely the API prices, as you must have seen all the other pharma companies also. So we also got a benefit of lower API prices that helped us to improve our gross margin.

The second rightly said by you that though -- so because of the lower sales in U.S., which is a lower gross margin business as compared to our domestic business. So that has actually resulted into a better gross margin. And the third reason is within international also, and within domestic also, our product mix has improved, like the margins which we get in ROW market is much better, so the contribution of ROW market has increased in the overall business. So that has also resulted in better gross margins.

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Neha Manpuria: Okay. And last one, if I may. Any update on the MedTech part of the business that we're investing in? What is the progress there? How should we think about this business over the next 2 years?

Vikas Gupta: So MedTech, as we have already said in a press release on the -- our deal with Exactech, which is a hip and knee replacement company brand in U.S. So we have signed a licensing technical know-how transfer agreement. And our plan is to launch the product sometime in quarter 1 or quarter 2 of next year.

Moderator: The next question is from the line of Yash from iThought.

Yash: So sir, my question was regarding the anti-infectives therapy alone. So if I look at our MAT numbers, I think our brands like Clavam, Xone and Taxim, they have degrown on a MAT basis, MAT October '24. And even if I look at our annual report, which gives us the market share, molecule market share. So Clavam has lost market share around 15.6% to 15% and even Xone has lost market share from around 18% to 16.5%. So along with acute growing slowly, we have also lost market share in these certain molecules, which was supposed to be our big brands. So if you can share anything on this, that will be very helpful.

Vikas Gupta: So I think I did address this point until some time back. See, a slight fluctuation in market shares keep happening if you will look at -- you have to look at this data more from a long-term window.

So if you remember a few years ago, all the top brands during COVID period when the market uptick had gone up and seen significant gain in the market shares and a lot of smaller players who are competing in these markets had gone out of market during that time. So the market share is consolidated with the top brands.

Now what has happened when the normalcy is actually coming back to the market, we see a lot of smaller players also coming back to the market. That is one reason. Second, you also have to see the geographic dependence on where these brands are. We have very strong presence in some of the eastern part of the market.

So if your market growth would slow down on the Eastern side of the country, we will have a bigger impact on market share. But those are nitty-gritties. I would say -- I wouldn't go into those kind of nitty-gritties into specific brands why we have lost market share and this thing.

I think these are all short-term trends. I would maintain our overall growth of the portfolio that I'm talking about. And we are seeing in the recent months, the internal growths are pretty encouraging on actually most of the brands that you mentioned. So market reflections sometimes keep fluctuating. Sometimes you get reflected more, sometimes you get reflected less.

I think what we would be worried about is looking at the data in the more long-term basis. And as long as we are on the right track, which I think we are. And that's why I'm maintaining from our domestic market, the overall growth guidance of around 8% to 9%, and we expect given the overall IPM also to be within that range. I think if you will look at the overall financial year as we end the year, we should be very close to those numbers. That is what I would maintain.

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Yes, some brands do -- which are doing pretty well. Like if you will look at Pan, Pan D for that matter, we are seeing some of the highest growth that we have seen in the recent times as far as that portfolio is concerned. If you look at our other large brands, there is Pipzo, there is A To Z, which are, again, significantly large brands for us.

Those brands are really outperforming. Look at Uprise-D3. Uprise-D3 has seen a very significant growth. So it's also sometimes a matter of how you align -- realign your internal

focus. So I guess there are more positives than concerns in our domestic business that we have. And that's why we are very bullish of our overall growth of 8% to 8.5% as far as the overall year is concerned. Yash: That is very helpful. And my second question actually was regarding...

Purvi Shah: We can take the next one please.

Moderator: The next question is from the line of Rahul Jeewani from IIFL Securities Limited.

Rahul Jeewani: Sir, on the MedTech business, if I'm correct, a partner Exactech is going through bankruptcy proceedings in the U.S. So would that lead to any change in terms of our partnership with them? And would we be looking for other partners then for this business?

Nitin Agarwal: Yes. So you're right that they are going through a bankruptcy proceeding. But I think that is -- I don't want to comment on that because there is maybe some internal arrangements within the company and just to let you know the litigation, which they are facing, they may be transferring the ownership and all.

But in terms of our, say, contracts with Exactech, that still remains, and we are going to get those brands assigned, the technical know-how transfer. So we are in constant touch with them. And operationally, we don't see any challenge or we don't see any change at Exactech, which will actually make us deviate from the original plan. So we're still on track, and we are very confident that we'll launch the product in quarter 1 of next year.

Rahul Jeewani: Sure, sir. My question was more from the perspective that given that the company would be engaged in those bankruptcy proceedings. So operationally, can they focus on transitioning, let's say, or committing to the partnership which they have with us? And whether we can actually launch the MedTech business in India in 1Q or 2Q of next year as you have guided?

Nitin Agarwal: See, as I said that they have already started assigning. Many of the brands, they have already assigned to us. And even in terms of technical know-how, we have been in touch with them on a daily basis. And we don't see any challenge. So I think this is more for their internal rearrangement which they are doing, the change in ownership and all. So -- and I'm not the best guy to comment on it.

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But as per the information provided by them, I don't see any challenge in terms of them running their operations. So -- and also the proceedings and all, the legal claims and all because of which they are doing all the restructuring, those are not related to the brands which we have -- which we are getting assigned from them. So these are related to old brands, which are -- I don't think we are going to sell those brands in India. So for us, nothing changed. We are going ahead as per our original plan.

Rahul Jeewani

ani: Sure, sir. And sir, my second question is on the anti-infectives business. Now you pointed out to the fact that our underperformance in the anti-infectives segment has been partly due to the fact that the weightage of the NLEM portfolio is higher on the anti-infectives side, but that would have impacted the growth for the overall anti-infectives market as well this year. But despite that, we have underperformed market growth in the anti-infectives segment.

So I'm not quite sure I picked it up correctly in terms of what is driving our underperformance in the injectable segment in anti-infectives. So are we rationalizing some of these injectable anti-infectives products, which are low-margin products and hence, we have been underperforming market growth?

Vikas Gupta: So I think there are 2 parts to it. First, my comment on the NLEM was on the overall portfolio, not related to only the anti-infectives portfolio. So what I -- the second part was on the margin.

So what I mentioned was that the injectable piece, anyways, if you see the injectable anti-infectives market is a low margin as compared to whether your overall portfolio or whether you compare it to -- even amongst the anti-infectives that's the lowest margin portfolio. So you need a very different cost structure, and there are certain growth opportunities that you have to walk away with, right?

So -- but that's -- I wouldn't overplay on to that. I think there is some delta of performance that needs to come up on the anti-infectives side as well. What I meant was, overall, our domestic guidance irrespective of whether the anti-infectives therapy or whether any other therapy, overall, our domestic growth guidance would continue to be around 8% to 9%, and that is what we are bullish about. Yes, there will be certain segments where we will have certain struggles maybe because of operational reasons, maybe because of certain geographies which have underperformed, and we have a higher weightage from those geographies. So I think my point was more on the weighted average side of some of the geographic dependence of certain brands.

But in the coming months, we see even that aspect to get covered. Everything all put together has to contribute to an overall growth of the organization and a profitable growth for the organization. So I think that is our intent, which is on which we are moving.

So even on this aspect, we have taken a note of it, and we have taken certain corrective measures also. So coming quarters, we would see a better performance even on that particular category. Today, there are -- in last quarter, there are 7 therapies, where actually we have outperformed

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the market. So this is one area which still needs some more time for us to come back, and I'm sure over a period of time, we will start outperforming in this category as well.

Rahul Jeewani: Sure, sir. Sir, just 1 last question...

Vikas Gupta: And let me tell you, internal growth numbers are not so alarming for us for some of the therapies. Sometimes, market doesn't pick up the see-through picture. But I mean, I take it the way it is reported. I guess, we have our -- taken our actions on -- in the right direction, and we will report good numbers even going forward.

Rahul Jeewani: Sure, sir. Just 1 last question from my end. The growth for the overall acute market in India has been pretty weak for past, let's say, an 18-month period. And when we were initially coming out of COVID, expectation was that the high base of COVID was impacting growth for some of these acute therapies, but that doesn't seem to be the case as such. So what can you highlight in terms of what is leading to weakness in the acute market? And when do you see things picking up on the acute side?

Vikas Gupta: See, I think there are various elements to it. One, the COVID base that we have

spoken about,

when the -- when you see this kind of growth that happens in 1 or 1.5 years, and that happened in the acute side, it takes a while for it to really come back because there is a lot of channel buying that happens during that phase.

And that channel buying takes a period of time for it to get normalized. So I guess some of the numbers that we are looking at are more on -- to coming off that very high base. Now second impact has been on the NLEM side as well. The wholesale price index related, the price increase possible on NLEM, this year portfolio has been just -- has been 0.

The price as a lever of growth is also contributing to slow down the overall growth on the acute side. Now I think on the volumes, we would start seeing -- it's a matter of time, but I guess from Q4, we should see better growth even in the overall market. If you -- that's my estimate.

But of course, that will be crystal ball gazing and we would see when we get there.

Fundamentally, I can tell you, nothing much has changed. These are some of the therapies where a lot of external factors play a role sometimes. I think we are just going through that patch of a time where it is showing sluggish growth.

But I think from a long-term basis, if you will look at the -- on a 3-year to 5-year window, this gets normalized. That has been the trend in the past, and that is what we are seeing -- my sense is we'll see that even in times to come. Because even on the acute side, if you have to break it down further, there are therapies which are growing much faster.

So it's only anti-infectives, which is seeing that kind of stress. The other therapies have started showing good numbers as far as their growth are concerned. So I think it's a matter of time that these growths will also pick up.

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Moderator: The next question is from the line of Abdulkader Puranwala from ICICI Securities.

Abdulkader Puranwala: Sir, a couple of questions. First, on the U.S. front. So any color you would like to provide with regards to sacubitril-valsartan launch? And any update on -- are we into a litigation into this product? Or by when launch this product into the U.S. market?

Vikas Gupta: So we got the approval for sacubitril-valsartan. But as you know that there is a litigation going on with one of the players with Novartis. So we will -- we are just waiting and we will watch how that proceeds. And then accordingly, we will take a call on going ahead with the launch for that particular product.

Abdulkader Puranwala: Okay. Sure. Understand. And second is on the Enzene business. So in terms of the biosimilars, can you provide us any update on the development time line of the existing products what you were doing?

Vikas Gupta: Sorry, on the biosimilars?

Abdulkader Puranwala: Yes. If you could provide us with any update on how many launches we have done so far and how do we see the portfolio ramping up? And in the past, I think we have talked about incurring close to INR 100 crores of R&D, so is that number intact or is it close in that as well?

Vikas Gupta: So far, we have got 7 products to the market, 7 biosimilars, okay? And we are actually -- if you look at for the global markets, we are working on 5 products. But our sense is that at least 2 products to 3 products is something that we will be very clear to -- yes, and that's a long-term

plan. That's for more than -- if you to ask me a 5-year plan, so that's our plan.

The most recent being the clinical trial for denosumab, we have completed the clinical trial. And now the further work for that will begin. So that is for the U.S. market, and I'm talking for the global markets now. In India, we have commercialized 7 of the biosimilars as on date.

Moderator: The next question is from the line of Foram Parekh from BOB Caps.

Foram Parekh: My first question is on the

domestic side. So the chronic side is around 20%, 21% currently. So any strategy or any thought process to increase the chronic side of the business? And to what

extent can we see the contribution increasing in the near term, is my first question?

Vikas Gupta: Okay. So I've always maintained, chronic is our highest focus within the domestic segment. You would have seen the IQVIA data as well. We are outperforming in the focus markets within the chronic. Chronic, our focus has been in diabetes -- in actually 4 such segments. We are actually outperforming in IQVIA.

Now I haven't done the calculation of the percentage to chronic, but I can clearly tell you that chronic is growing -- will grow much faster than our growth in acute owing to 2 reasons: one, the chronic market is growing faster; second, our base is lesser, so we will outperform the market also even on the chronic growth side, right?

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So you can do your calculation and math a bit better. But I would say, as we move along, for the next 3 years, our growth in chronic is going to be much, much higher than what the market growth is. And that should result in an improvement in the overall percentage of chronic business as compared to our overall pie.

Foram Parekh: Okay. So in that case, can we expect our EBITDA margin to inch up to closer to 25% from current run rate because as the chronic pie increases?

Vikas Gupta: Yes, but that will happen over a period of time. So I think you're very bullish on some of these things. I have always maintained that we will work on improving our EBITDA every year by at least 100 basis points and which is what I'm giving the guidance even for the current financial year.

And so far, touchwood, the results have -- they give us this confidence that we are on the right track, and we should be able to do that. Now as we move along or if we are able to lay our hands on some assets which helps us get there faster, that might happen. But otherwise, I'll continue with our similar expectation that over a period of time, we would look at improving our EBITDA margins by 100 basis points with every passing year.

Foram Parekh: Okay. And my second question is on the ROW side. So could you just give me -- give us like what's happening in the ROW side? I mean what is driving the growth there? And how sustainable would it be?

Vikas Gupta: So if you look at the ROW, our focus has been very good. Other than the U.S. and Chile, if I look at the other ROW markets, we have grown by almost 30% as far as second quarter is concerned. So our -- all other markets where we have improved focus, we are going to do more filings now.

We are looking at strategic partnerships. We are looking at out-licensing partners. There are key markets that we are going to focus on going forward. So I see that kind of growth to continue.

And that will reduce our overall dependence on the U.S. and the Chile business that we have as of now.

So I think it's only U.S. market where we have this concern among the international business.

But our ROW business, we are pretty bullish and we -- see, all these markets have a gestation period. Whatever dossiers we would start filing from now, would start showing us results 2 years from now. So we are doing a lot of work to grow the ROW business.

So I think 2 years, 3 years down the line, that would also show a very different picture, and that's definitely a much higher margin business as compared to the U.S. market. So I think overall, that should also help us in improving our overall EBITDA.

Moderator: The next question is from the line of Kunal Dhamesha from Macquarie.

Kunal Dhamesha: Sir, for our India business, what would be the split for trade and branded generic business?

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Vikas Gupta: So it's around 80-20. It's around 20% of our

business is trade generic, yes. But even on the trade

generic business, we are seeing good improvement in the overall margins. So I think that's a point that I would like to highlight.

Kunal Dhamesha: And then what is driving this improvement, sir, for us?

Vikas Gupta: Better mix, better pricing.

Kunal Dhamesha: Okay. And when you -- when we are seeing this lower growth on the India side. Is there any part, either it's Rx business or the trade generic business, which is growing more slower...

Vikas Gupta: See, I'm not getting into the therapy level of growth and the division level growth. But I would say overall, again, I will repeat, we are very bullish about our domestic market growth. By the year-end, we should see between 8% to 9% kind of growth if everything goes well. And Q4, especially, we are pretty bullish about our overall domestic growth to come back.

So I think we will see similar kind of growth on both sides of the portfolio. So it's not that 1 portfolio is not growing and the other portfolio is growing. I think we are seeing similar kind of growth, 1% here and there on both sides of the portfolio. So we are very bullish about the entire space.

Kunal Dhamesha: So sir, on the Q4 comment, typically, Q4 is roughly, on a sequential basis, around 8% to 10% lower...

Vikas Gupta: Sorry?

Kunal Dhamesha: Q4 typically is 8% to 10% lower than Q3 on an average for...

Vikas Gupta: I'm talking growth. I'm not saying absolute value. What I'm saying is our Q4 growth may be much higher than -- so I was talking more about growth.

Kunal Dhamesha: Than the rest of the quarter?

Vikas Gupta: Yes, yes.

Kunal Dhamesha: Probably because the base is favorable because last year same quarter, we had like 2% degrowth, is that one of the reason?

Vikas Gupta: Yes, some of it is base, but some of it is also the work that we are doing on the demand side. We expect our demand to reach at that level that it will translate into good growth as far as Q4 is concerned.

Chronic businesses take a while for the overall sales to grow -- for the demand to grow. And the way it is growing, I'm bullish that in Q4 that will help us report overall a much better growth than what we have reported in Q1 and Q2.

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Kunal Dhamesha: Sure, sir. One for CFO sir. On the FX, forex gain or loss, is there anything baked into other expenses for this quarter? Any gain or loss?

Nitin Agarwal: So this quarter, we actually had a forex gain. So there is nothing which is built into the other expenses. So at YTD level also, the rates have been favorable for us. So we have gained on account of forex, which is reported not as part of EBITDA because it is reported under other income. But yes, last year, there was a component of forex loss in quarter 2 and H1.

Kunal Dhamesha: Okay. And last one on the U.S. business. I think we have 145 products approved, how many products would we have in the market currently?

Vikas Gupta: Around 100.

Kunal Dhamesha: Around 100. And others, we have basically rationalized, but we are still keeping the ANDAs active for that, is that the...

Vikas Gupta: We have the ANDAs. Some of these products, we are bound by the agreements that we have to launch when the market opens. We have settled with the innovator. Some of these products do not make sense for us to launch because the pricing is so unfavorable for some of those molecules that it would not make any sense for us to get these products to the market.

Kunal Dhamesha: Sure, sir. And then last one on this product called generic Myrbetriq, I think we have tentative approval there as well. Do you think that could be a near-term opportunity for us?

Vikas Gupta: Sorry, come again. Can you repeat your question, please?

Kunal Dhamesha: The generic Myrbetriq, I think have a tentative approval...

Vikas Gupta: You mean Mirabegron?

Kunal Dham

esha: Yes, Mirabegron.

Vikas Gupta: So I think I answered in the last call as well. We are bound by the settlement that we have with the innovator. So others who have launched it has been -- it has been an at-risk launch for them.

So we will be launching it only post '26. So that is how -- because we are already bound by the agreement that we have signed with the innovator.

Kunal Dhamesha: Is it calendar '26 or FY '26?

Vikas Gupta: I think it is -- I do not have the exact month at hand, but I think it is post FY '26 is what we will see. Whenever that market opens up.

Moderator: The next question is from the line of Saion Mukherjee from Nomura.

Saion Mukherjee: Just a couple of items on the balance sheet. So Nitin, can you explain there is an increase in inventory level. I mean, though we haven't grown much in the first half and raw material prices

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in general have come down. So I see from March period, the inventory levels have gone up even from a year ago period, it is quite high. And?

The second on the balance sheet is on the noncurrent investments. Can you explain the rise there?

Nitin Agarwal: So on the inventory part, Saion, we have -- firstly, we have increased our inventory levels in the U.S. because in FY '24, our inventory levels went down quite substantially in the U.S. market, and that was also planned because we wanted to focus on high-margin customers and also high-margin products.

And we see a lot of failure-to-supply penalties in FY '24, which was around INR 140 crores. And also, we lost a few of the customers in the U.S. on account of not having adequate inventory. And that is one of the reasons that you see a lower growth in H1 for U.S. because the way we plan things in FY '24, I think there was a loss of sales and also increase in failure-to-supply penalties.

So purposely, we have increased our inventory in the U.S. and which will actually give us positive results in quarter 4 onwards, where we will be able to ensure supplies to our customer and also win back few of the customers for a few of the products which we have lost in FY '24.

Saion Mukherjee: And on the noncurrent investments ?

Nitin Agarwal: Noncurrent investment, previously, we used to park most of our money in fixed deposits with bank deposits.

Now since we are looking for a few of the M&A opportunities, so we want to have investments which are marketable or tradable, and which we can encash without paying any penalties. So we have started parking a few of our investment in NCDs and mutual fund and not in bank deposits, and that is why you see increase in noncurrent investments.

Saion Mukherjee: So you classify this as noncurrent, is it?

Nitin Agarwal: Yes. This is as per the Ind AS requirement. So if you want -- I understand that maybe worry about whether our cash levels have gone down. So just to share that we have increased our cash by INR400 crores in this quarter. And the overall cash is around -- net cash is around INR4,250 crores as on 30th September.

And in fact, just to add, if you look at last 1, 1.5 years, we've almost doubled our cash position. So that's -- so our business that has been -- in 18 months, yes, that's 1.5 years.

Saion Mukherjee: So basically, I was just looking whether these are not high-risk investments, right? This is noncurrent...

Nitin Agarwal: No, no, no. All are in AA A+ category investment. And maybe INR30 crores, I think we have invested in a company which is strategic in nature. Otherwise, all these are more of cash and bank in nature. There is no strategic investment.

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Saion Mukherjee: And just 1 last one on the other expenses. So it was quite low last year -- last quarter, this has come back now. So has it normalized, the other expenses? And how should we think about that going forward?

forward?

Nitin Agarwal: See, in quarter 1, we also shared that our R&D expenses are lower. And you can say that this will be more or less -- other than the R&D expense part, more or less this is a normal quarter in terms of other expenses.

Moderator: Last question is from the line of Yash from Ithought.

Yash: Yes. Sir, as you mentioned that the cash pile and you are also looking for an M&A. I just wanted to understand, internally, what is the IRR or the payback period that we target when we look for an asset? And secondly, what sort of an asset would we be looking at or be interested at the most?

Vikas Gupta: So I think more than the IRR, of course, IRR calculations are the standard calculation that anybody would apply to deploy capital. The M&As have to be more strategic in nature and the M&As have to be such where we can add value to whatever assets we acquire. So I guess we put various filters. This is what -- is that asset better in our hands? Can there be a synergy that we can build and create more value whenever we look at any M&A.

So I think I would answer it more on those fronts rather than just being a financial calculation. Of course, financial calculation is very important, but I guess there are other filters, which are equally important before we actually go about doing an M&A.

Nitin Agarwal: Okay. And our cost of capital is around 12%, so -- and so definitely, we'll not go anything which is lower than the 14% to 15% of IRR. As Vikas said, that all depends upon how strategic it is in terms of our portfolio and also the growth drivers...

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Purvi Shah: Yes. Thank you, everyone, for participating in today's call and making it a meaningful

discussion. And thank you Tushar for hosting us. I'd just like to reiterate that if there are any queries that remain unanswered, please feel free to get in touch with us. Thank you, and have a great evening.

Vikas Gupta: Thank you, everyone.

Moderator: Thank so much. On behalf of Motilal Oswal, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

11th February, 2025

To,
The Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai 400 001 .
Scrip Code: 539523 National Stock Exchange of India Limited
Exchange Plaza ,
Bandra Kurla Complex ,
Bandra East ,
Mumbai 400 051 .
Scrip Symbol: ALKEM

Sub: Q3 FY2025 - Earnings Conference Call Transcript

Dear Sir (s) / Madam ,

We enclose herewith the transcript of "Q 3 FY202 5 Earnings Conference Call" which was hosted by the Company on Friday , 07th February, 2025 .

The said transcript shall also be made available on the website of the Company.

Kindly take the same on record.

Sincerely,
For Alkem Laboratories Limited

Manish Narang
President - Legal, Company Secretary & Compliance Officer

Encl.: a/a

Page 1 of 17

"Alkem Laboratories Limited
Q3 & FY 25 Earnings Conference Call"
February 07, 202 5

MANAGEMENT : DR. VIKAS GUPTA – CHIEF EXECUTIVE OFFICER –
ALKEM LABORATORIES LIMITED
MR. NITIN AGARWAL – CHIEF FINANCIAL OFFICER –
ALKEM LABORATORIES LIMITED
MS. PURVI SHAH -- HEAD OF INVESTOR RELATIONS –
ALKEM LABORATORIES LIMITED

MODERATOR : MR. TUSHAR MANUDHANE – MOTILAL OSWAL
FINANCIAL SERVICES LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to Alkem Laboratories Q3 and FY '25 Earnings

Conference Call. As a reminder, all participant lines will be in listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need

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assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Tushar Manudhane from Motilal Oswal Financial Services. Thank you, and over to you, sir.

Tushar Manudhane: Thank you, Sam. Good evening, and a warm welcome for the 3Q FY '25 earnings call of Alkem Laboratories. From the management side, we have Dr. Vikas Gupta, CEO; Mr. Nitin Agarwal, CFO; and Ms. Purvi Shah, Head of Investor Relations.

Over to you, Purvi.

Purvi Shah: Thank you, Tushar. Good evening, everyone. We appreciate you joining us for our Q3 and the 9MFY '25 results call. Earlier today, we released our financial results, press release and investor presentation, all of which are available on our website and the exchanges as well. We hope you've had the chance to review them.

Before we continue, we want to remind everyone that this call is being recorded, and the transcript will be made available on our website afterwards. Additionally, please be aware that today's discussion may include certain forward -looking statements, which should be considered in light of the risks our business faces.

Now, I hand over the call to our CEO, Dr. Vikas, for his remarks. Over to you, sir.

Vikas Gupta: Good evening, everyone, and thank you for joining us today for our third -quarter earnings call.

We are pleased to share that the actions we have taken to improve the overall profitability continue to deliver positive results. By concentrating on higher -margin offerings, better aligning with the market needs and implementing various cost-saving strategies to reduce inefficiencies, we are seeing growth in our EBITDA margins.

Within the domestic market, our focus is on expanding the presence of our flagship brands and strategically enhancing our portfolio. Looking ahead, we are confident that these initiatives will continue to drive sustainable growth and strengthen our market position.

We have also announced 2 acquisitions, Adroit, the pharmaceutical health care company with a focus on dermatology, at a cash consideration of INR140 crores. And second is Bombay Ortho, a manufacturer and supplier of automatic implants such as hip and knee implants, which are extensively used in orthopaedic fields at a cash consideration of INR147 crores.

I will now present the key highlights of Q3 and 9M FY '25 financial performance. The total revenue from operations for Q3 was INR33,743 million with Y -o-Y growth of 1.5%. And for 9 months, it was INR98,208 million with Y -o-Y growth of 0.9%. Q3 EBITDA was INR7,594 million, resulting in a margin of 22.5% for the quarter, and an increase of 7.3% Y -o-Y. On a 9 -

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month basis, INR21,208 million, resulting in an EBITDA margin of 21.6% and an increase of 15% Y -o-Y.

Q3 FY '25 net profit was INR6,258 million with a Y -o-Y growth of 5.2%, and for 9 months was INR18,596 million with a Y -o-Y growth of 23.8%. In Q3 FY '25, according to IQVIA, the company registered a growth of 6% Y -o-Y against a market growth of 7.2%.

Outperformance was seen in 7 therapies, which are VMN, antidiabetic, GI, neuro/CNS, gynac, respiratory and urology. Our top 50 brands have collectively registered 8% value growth, and 32 brands have increased their market share Y -o-Y basis.

Our company registered a positive volume growth of 1.1% in a challenging market that witnessed a marginal 0.3% volume growth in Q3 FY '25. Amongst the top 12 IPM brands, Pan D has recorded the highest growth rate of 15.5% in Q3 FY '25. Pan saw a 1.9% increase in market share, rising from 38.5% to 40.4% Y -o-Y, achieving its highest market share to date. As we move forward, we remain focused on delivering strong results,

positioning the company

for continued growth and driving long -term shareholder value. I want to thank our teams for their hard work and commitment to excellence. We are well-positioned to capitalize on the opportunities ahead, and I'm excited about the future.

We can now open the floor for questions and answers.

Moderator: Thank you. The first question is from the line of Saion Mukherjee from Nomura. Please go

ahead.

Saion Mukherjee: My first question is, I think in the last call, you mentioned that there would be some overhead expenses of around INR70-odd crores. Have those expenses started to come through? Secondly, you guided us toward a 19% EBITDA margin for the full year. In 9 months, it's 21.6%, so it seems like you are on course to sort of beat that number if you can give a revised guidance for fiscal '25?

Vikas Gupta: So on the overall margins, I would say we are pretty much on track with the guidance that we gave earlier. Saion, as you know, Q4 is our lowest quarter, and we have a lot of filings that we are going to do in Q4, because of which our spending is also higher in Q4. So Q4 generally is sluggish, whatever, but our estimates are that we should be around 19%, with no guidance. We continue with our that guidance. Your second part was on...

Nitin Agrawal: I think it is about our, say, spending Enzene in the U.S. and for medical devices, right? INR70 crores?

Saion Mukherjee: Yes. Yes. Overheads, you mentioned, I think, INR70 crores start coming in.

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Nitin Agrawal: Yes. So at the YTD level, for both Enzene U.S. plus medical devices together, there was a loss of funding of around INR35 crores to INR40 crores, including both Enzene U.S. operations because that is yet to begin and also the MedTech division.

Saion Mukherjee: No. So I'm just wondering -- so you are saying this is for the full year. I mean, in this quarter, is there going to be a step-up in the expenses? I was thinking there would possibly be a step-up.

Nitin Agrawal: Yes, maybe in quarter 4, it may go up. But YTD level, it was INR35 crores to INR40 crores.

And for the quarter, it was INR15 crores, INR20 crores. So in quarter 4, yes, you can see the additional expenses of INR20 crores to INR30 crores, including both the regions Enzene U.S. and MedTech.

Saion Mukherjee: Okay. Additional 20 to 30. Okay. And my second question would be on launches. So firstly, in the U.S., can you indicate if you can name products or otherwise? Are you looking at any low-competition, high-value launches over the next 12 months? And also, do you have any plans with respect to GLP-1 in India?

Vikas Gupta: Okay. So, first, on the GLP-1, we should be amongst the first wave of players who would come in with GLP-1. We have already represented ourselves to the regulator in India. And I think we are pretty much on track to be amongst the first few players who will come up with semaglutide in India at the time of launch.

The other question was on the US. In the U.S., we have got approval for sacubitril-valsartan, that market -- that product is under -- I think there's a -- it's a matter of subjudice. So the market should open up by July. And we should be there on day 1 as far as the new launches are concerned.

There are others -- this year, we had gSuprep. But if you ask me, there are some other launches like carbamazepine extended-release, but it's not a very high -- this thing, which is in '25-'26. For next year, we will have topiramate oral solution, which may -- which we may introduce, which way may come up in the coming years. But no other major launches that we see next financial year.

Moderator: The next question is from the line of Kunal Dhamesha from Macquarie.

Kunal Dhamesha: Sir, one question on other expenses. Is there any forex-related charge or anything that is baked in?

Nitin Agrawal:

So, at a YTD level, we are still booking an income with forex gains. But for the quarter, there was a loss. But since at the YTD level, there is a gain, we have reported a forex loss under other income. So, other expenses were not impacted by any forex loss in quarter 3. All the losses on account of forex have been booked under other income. So, there was a loss of around INR20 crores because our exposure in Chile is high. And the currency in Chile, the Chilean peso, actually depreciated against the dollar. So we booked a loss, but that is reflected in other income. But at a YTD level, we don't have any loss. Actually, there is an income on account of that.

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Kunal Dhamesha: And sir, YTD level what is the income?

Nitin Agrawal: Around INR10 crores to INR20 crores.

Kunal Dhamesha: Okay, sure. And one for doctor. The GLP-1, where we are expecting it to be in wave 1. In terms of, let's say, manufacturing, et cetera, how are we positioned, fully integrated, partnered? And a broader question on India's growth that has remained subdued for us, right? So where do we see

this growth in India's business in the next 1 or 2 years? And what are we doing to combat, let's say, acute therapies continuing to grow slower? And let's say, if I look at the broader healthcare ecosystem, I would still say quarter 2 had seen a lot of acute-related infections, at least on the hospital side, but the acute therapies in -- on the pharma side were lower. So, is there something that is happening at ground level that is why the acute therapies are slower? How do you think about it?

Vikas Gupta: So Kunal, I'll take it one by one. I think your question is more about the overall growth in India.

See, our growth in India, even in this quarter, has been reported around 6%. If you see, the branded generic growth is even more -- is even stronger at around 7.5% -- or so, right?

If you look at even IQVIA in Q3, there has been a general slowdown in the acute market. But in this quarter, we have -- our performance has been at par or a shade better than the acute market. The acute market grew at around 5.7%; we grew at 5.9%. So our growth in India is on track. We are very bullish about it. The difference that you see in the market is because a large part of our portfolio is under NLEM. If you look at the volume growth, the market has grown only by 0.3%, whereas our volumes have grown by 1.1% as far as IQVIA is concerned. So, going forward, I would say, in fact, that in Q4, we are expecting even stronger growth as far as our domestic portfolio is concerned. So, when it comes to the overall year-end, we sense that we should be broadly in line with the market as far as overall India growth is concerned. The market is growing at around 7%. We should be pretty much in line with that kind of growth as far as India is concerned.

Going forward, as we make new introductions, our portfolio continues to become more contemporary with launches like GLP-1s, etc. in the future. We clearly look ahead to surpass the market growth. We are also evaluating how the NLEM and the WPI prices in this whole index are moving. And if we get a favourable this year, as you know, we got a 0%, almost 0% kind of price growth on that large portfolio. So, I guess our intent has always been to grow the volumes. So, I don't see anything grossly changing fundamentally. Of course, there is a generic market, there is a Jan Aushadhi market, and there is a lot of government spending happening in health care. So, I'm sure these areas are also taking away some part of the growth, but I don't think, from our business perspective, we have any reason to worry about it or slow down because we are in a branded generic business. And all our top brands, as I mentioned, are gaining market share in their respective categories. We are going pr

etty strong on our big brands getting even

bigger. Starting from whether it is a Pan, whether it is a Clavam where we have outperformed, whether it is our price B3, where we have outperformed, whether it is A to Z, where we have outperformed, all these big brands that are there for us. In fact, the 32 brands amongst the top Alkem Laboratories Limited

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brands for the company have gained market share on a Y-o-Y basis. So, I think our brand business story is pretty strong, and we will see growth getting even better in times to come as far as that portfolio is concerned. So India, we are very bullish. We are going strong. We are introducing new launches.

With regards to semaglutide, I think we are fully prepared. I cannot divulge where we will manufacture or what we will do. But I can tell you, we are fully prepared with our strategy to get to the market. So it's a product which our R&D has developed, and we will be launching it - I will say we will be first amongst equal. That's the way I look at it.

Kunal Dhamesha: So, sir, this is just a follow-up on that. If, let's say, our branded generic was up like 7.5%, then our trade generics would probably have degrown in a way because trade generic is roughly 20%.

Vikas Gupta: It has been flat.

Kunal Dhamesha: Okay. So what has changed here because this business used to grow at least slightly faster than the prescription business, not just you, but one of your big peers as well degrowth slightly?

Vikas Gupta: Yes. So, in generic business, a lot of newer players have actually come in. There is a lot of pressure on the pricing and competition. Our emphasis there has been to not dilute our margins. In fact, we have improved our margins as compared to previous years as far as generic business is concerned.

So, we are not going after a top line, but we want to have the right balance of our top-line growth as well as the margin. So earlier, the margins are very low. As far as this business is concerned, our margins are now only a shade less than our overall corporate margins. So that's why you can see that - and of course, in generics, a large part of it is acute. So, when the overall acute market has slowed down with increased competition, there is this pressure on top-line growth for the last 1 or 2 quarters that we are seeing, but I'm sure, going forward, that business should also continue to grow at the pace of the market.

Kunal Dhamesha: Sure, sir. So, margins are a shade lesser than the Consol margin or the India margin?

Vikas Gupta: Consol margins. Okay. Okay.

Moderator: The next question is from the line of Rashmi Shetty from Dolat Capital.

Rashmi Shetty: Just again, on India business, earlier, used to basically be very strong in the pain segment, but we have underperformed this entire year. Also, in your cardiac and dermatology therapy, we are underperforming in the market. So, what are the challenges over here? And how should we really look at this? Is it a temporary thing which we have faced in this year and it's going to be strong next year or how should we look at it?

Vikas Gupta: Yes. So, 2 reasons. As far as pain is concerned, last year, we had taken certain price corrections in our portfolio. So, if you look at our volume growth, especially in brands like GEMCAL XT, Alkem Laboratories Limited

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we have reported significant growth in volumes. And that price should now start reflecting in the coming quarters in terms of the overall growth and value as well, right. So, I think that was more of a strategic call to grow the volumes and to grow the units. So on that front, I don't foresee any challenge. See, when it comes to cardiac, we have never been a strong cardiac player, and this is what I think I have always maintained on the call.

Even in our CBD portfolio, diabetes is our major player. And

if you look at the antidiabetic

market, we are outperforming. So wherever we are present, we are going pretty strong over there.

Cardiac has never been a very strong play for us, any which ways, though internal numbers are different from IQVIA numbers, and we have no reasons to worry as far as cardiac growth is concerned.

But anyways, to the overall scheme of things, it doesn't -- because cardiac, we are not a strong player any which way, so it doesn't affect us much. We are going strong where we are present.

So that's how I'll address it.

Rashmi Shetty: Understood. So your domestic guidance for this year is around 7%, right?

Vikas Gupta: Yes. Yes, in line.

Rashmi Shetty: Okay. Okay. And in the U.S., any quarter-on-quarter improvement in growth is due to any launch. Is there any new particular launch you have done in quarter 3? And if you can also comment on the price erosion in the U.S. market for your portfolio?

Vikas Gupta: Yes, price erosion is to the tune of around 5%, though on the NRV basis, because we had some forex gains because of the dollar, it's 2.5%. But if you look at it's backed by more of our supply getting regularized. Like I had mentioned last year, if you look at March -- till March, we used to have 38% back orders in the U.S. This quarter ended, and we have only 2% back orders in the U.S.

So, if you remember, in Q2, we had reported a degrowth of around 22% as far as the U.S. market is concerned, but this quarter, it's only minus 7%. So I can say that because of our improved supply that we have -- it's not backed by any new launches that we have done in the U.S. It's just that some of the contracts that we had got out of, some of the accounts that we had got out of, we have again slowly and slowly getting back.

So if you look at even for Q4, we are expecting it to be, say, flat because as we are moving ahead from a minus 22%, we are at minus 7%. My sense is that by Q4, we should be neutral as compared to last year.

So that's the kind of outlook that I have for the U.S. And for next year, again, that market has its own challenges. The market has its -- the prices keep getting eroded.

We look at price erosion at mid-single-digit kind of price erosion that -- and we expect that to continue even next year. But that should be offset more or less by the new launches that we would do 1 or 2 and the volume growth because of the better stock situation that we have in the

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U.S. market now. So next year should be better than this year as far as the U.S. market is concerned.

Rashmi Shetty: So, product launches you're saying will be doing only 1 or 2 next year?

Vikas Gupta: Yes. So, there are 1 or 2 products like varenicline, and we are doing pretty well over there.

Product launches will be 1 or 2, but because of a better supply situation now, which we had -- our stocks in the U.S. have come down to very low levels. Now we have good in-market stocks.

So, whatever orders we receive, we will be able to sell them. So I expect that also to contribute in the coming year. Of course, it will not be a very high-growth market, any which ways. What I'm saying is our performance will be much better than what it has been in this year as far as the U.S. market is concerned.

Rashmi Shetty: Okay. Got it. And one last question on the margin. You said that guidance is around 19%. Even -- and your quarter 4 FY '24 EBITDA margin was around 13.7%, so even if I take no expansion

and a flat margin, still our average EBITDA margin goes beyond 19%. So is it fair to understand that in quarter 4 EBITDA margin, there would be a contraction Y-o-Y?

Vikas Gupta: See, there may be a slight contraction, but while we will try, we are still in the quarter. We will - we are making efforts because there are certain expenses that we are going to incur in quarter 4 because of additional filings. S

o, there may be a higher R&D spend that we may have to do because we have to file a lot of products in Q4. We are looking at least 5 filings in Q4. Because of that, our spending may look a little more, so we may be a shade less than last year as far as our margin expansion is concerned, but we are making efforts to see if we can keep it at that level.

Moderator: The next question is from the line of Amlan Das from Nomura, India.

Amlan Das: Sir, my question is regarding the U.S. So, have you done any filings in this quarter? What is the number of YTD -- filings YTD?

Vikas Gupta: 3 filings we have done so far this year and total till Q3, and we are expecting another 5 to happen in Q4.

Amlan Das: Okay. And, sir, any launches this quarter?

Vikas Gupta: This quarter, no launch.

Amlan Das: Okay. Sir, my next question is regarding the acquisitions. So regarding Bombay Ortho. So, I have seen that you have acquired it for around INR147 crores, which turnover is around INR5 crores. So, how do you expect this business to pan out in the near future?

Nitin Agrawal: A few months back, we announced our entry into the ortho business by in-licensing the Exactech technology. Exactech is one of the most popular hip and knee replacement brands in the U.S. So

-- in the premium segment, we continue our strategy to launch Exactech, which will be sometime

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in December '25. We are going to launch those -- that product. But that will be in the premium segment. Bombay Ortho, we have acquired to actually capitalize on the growth in the value segment because the value segment in medical devices is growing at a very fast pace, and we wanted to capture it. And so this particular acquisition gives us a manufacturing capability also because we didn't have any manufacturing setup for our ortho business. This will give us a capacity of around 2,000 hip and knee replacements, which can be manufactured on a monthly basis, and will allow us to reduce our cost of production of these instruments further or these implants further so that we can capture a good market share over the next 5 years in the value segment of ortho, hip and knee replacement.

So, to give you the market size, it's around INR2,400 crores of annual market, which is in India for hip and knee. And if you look at the segment, the value segment is growing at a very fast rate. And also maybe going forward, this implant can also be covered under Ayushman Bharat. So, considering all these factors, we have acquired Bombay Ortho. Again, I repeat, one is that it provides us with some manufacturing capability; and second is, since we want to also get into the value segment and also maybe gradually into the ROW market because the Exactech deal which we signed was only for the India market. Still, this deal will allow us to manufacture and sell our hip and knee replacement products also outside India, mainly in the ROW market.

Amlan Das: Okay, sir. And the market size is INR2,400 crores today, right?

Nitin Agrawal: In India. Only of India.

Moderator: The next question is from the line of Bharat Celly from Equirus.

Bharat Celly: Sir, I just wanted to get a sense of the overall margins, sir. So how -- since we are expecting our domestic growth to be almost 7% for this fiscal? So we are expecting almost like 10% to 11% for the fourth quarter, and probably our expenses also and even if I take it will be -- so how we are projecting it to the 19% margin for the year? Because unless we achieve the 10% to 11% margin in the fourth quarter, that's sort of margins -- 19% margins should not be possible. So, are we expecting fourth-quarter margins to fall as much as 11% for the fourth quarter?

Vikas Gupta: So Bharat, I'll be very happy if we are able to report more than 19%. At this stage, as I said, our guidance looks to 19%, which we had

given earlier at a 19% standstill. But if we may see, we are going ahead with these filings in Q4. So if our R&D spend gets to be in control, then we may even go ahead. But at this stage, I would refrain myself from giving any guidance beyond 19%. That's the whole intent. Because in Q4, we have a lot of expenses, any which ways that we have to cover. Yes, on the overall growth guidance, that's fine. We do not know how international business is going to share. We should be a bit better on that front. So our product mix might change. There may be a change in the overall margin profile for Q4, so that might impact maybe a little bit here and there, but let's wait for Q4 to really get over on that front. 19% is what we are -- because we had given our previous guidance of around 19%. So we -- that holds -- the

probability of that is very high is what I mean.
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Bharat Celly: Right. And sir, how we are -- how our international ex U.S. margins look like, whether those margins are far lower than our consolidated margins or probably in line with what we report consolidated?

Vikas Gupta: You're saying non -U.S.

Bharat Celly: Non-U.S.

Vikas Gupta: Probably non -U.S. Our margins are better, much better than the U.S. margins and much better than Consol .

Nitin Agrawal: Much better than our corporate a bit.

Bharat Celly: Right. Sir, are we calling out our trade generic business for this quarter, if you could?

Vikas Gupta: Sorry?

Bharat Celly: How is our trade generic business?

Nitin Agarwal: So, separately, since this business is being carved out from 1st April , as for the estimation. So , we are separately reported in our notes to account for the numbers for this business because , as a stand -alone business, this is considered a carve -out business for us. So the numbers are available in the notes to account for the stand -alone business.

Bharat Celly: Right. But can you call out how big was trade generics for the third quarter, if possible?

Nitin Agarwal: So, it was around INR488 crores. INR488 crores for quarter 3 , and at the YTD level, it is INR1,378 crores.

Moderator: The next question is from the line of Madhav from Fidelity.

Madhav: On the semaglutide launch, I just wanted to understand that given that a lot of companies are planning to be in the first wave of launch, obviously, given it will be a large opportunity for the country. I'm just trying to understand what is like the right to win for any player. Is it like manufacturing capability to sort of being backwards integrated to make the product, or is it like prescriber access, where your kind of -- I'm assuming you would need to have speciality doctor or KOL access to the kind of get the initial share given it will probably be a slightly more premium product, at least in the initial years. So what will differentiate 1 player versus the other as this kind of launch comes through next year in the country? That's my first question.

Vikas Gupta: See, we are looking at a big opportunity in the market. And I don't think any 1 player will be able to service the entire market fully. So, there is enough opportunity for many players as far as this market is concerned. As you rightly said, it's both. It's the ability to have our own product with, of course, good relationships with the subscribers in the market, which will ultimately define how big or how small any player would be in that market. My sense is that it will not be as crowded as any other oral antidiabetics that are patented, and then there will be a sea of

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players. You see almost 50 to 100 players entering with any molecule that goes LOE. My sense is that this will be not as crowded. But of course, still, there will be many players, but I'm sure the opportunity for everyone is quite substantial as far as this market is concerned.

Balance, we'll see how it goes when we see these different players coming in.

Madhav: Are we planning to have any production in -house or any -- I mean , there's a fairly like maybe 3, 4 different parts of the value chain that helps you make the final product, but will we do anything in-house, or will it be completely outsourced from a margin perspective?

Vikas Gupta: We have all of this solved for. We'll give you the details closer to the launch. But our strategy is very clear as far as this product is concerned.

Madhav: Got it. And my second question was just on the --, please correct me if I'm wrong, is there -- has been a rise in PenG prices recently? And if there has been like, how do we anticipate the impact from that? And just on the second one was bit on the forex . Does the forex depreciation, is it like net positive or negative from Alkem's perspective?

Nitin Agarwal: So I'll first take the PenG part. PenG, we see in the last 2 months, the price is going up. So there is around 20%, 30% -- 20% to 25% price increase from where it used to be a couple of months ago. We are seeing that trend, but we've not had a recent -- as I always said, month -to-month fluctuation doesn't affect us to that extent because we continue to hold certain inventory, right? So, I think if this trend continues over a period of time, then we will have an impact. Our sense is that it should stabilise at some level going forward. What was your other question on.

Madhav: Just in the forex bit, like there's been like 4%, 5% depreciation in the country. So for our business, given that we have some exports, but we also probably import some raw materials

given you have a large India business. So is Forex a net positive or negative for us, or is it neutral? Doesn't it impact that much?

Nitin Agarwal: Always -- since our international business is around INR4,000 crores, so definitely it is positive for us because our export is higher than our import. So, on an average, it's 1%, say, appreciation in the dollar, and we gain between INR10 crores and INR20 crores, depending on the mix.

Moderator: The next question is from the line of Neha Manpuria from Bank of America.

Neha Manpuria: Sir, I just wanted to check on the trade generic comment that you made. If I look at the year-to-date number, we seem to have grown about 7% in this business. And I think there was a presentation that you guys have put up where you said that you expect the market growth to be more in the low to mid-teens sort of a number. So -- is it just the competition that is impacting the growth, or has the overall market growth slowed? And as we think about our, Alkem's trade generic business, should that then, therefore, because of this competition continue to lag industry growth? Just trying to understand how I should think about the trajectory for this business.

Vikas Gupta: So, in the absence of any organized data being available for the generic market, I can't give you specific numbers, but what I can tell you is what we are seeing in this business. In this business,

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we see, one, because the large part of this business is acute business, the large part of this business is in Tier 2, Tier 3 business -- sorry, Tier 2 to Tier 3 town, right? We have seen a slowdown over there in the last 2 quarters owing to either -- you may call it a seasonal slowdown, or you may call it an economic slowdown, whatever may be the case. We have been seeing some pressure on that business in the last 2 quarters. I don't think going forward, on a long-run basis, there should be a big slowdown over there because, traditionally, this business has behaved in line with how the branded generic business has been. Of course, there were also certain internal measures that we took. As I mentioned that our focus was not

only on the top line but also on

improving the margin profile, which meant that we wanted to maintain pricing, which meant that we wanted to be -- we -- don't do business at certain levels of margins. So, I guess that is the reason that the recent quarters have shown some sluggishness over here. We are pretty -- very bullish about this business in the coming years. Of course, it will not be a very high mid-teen kind of growth -- kind of growth business in the coming years. But yes, somewhere, a high single-digit kind of outlook is what I will have for a mid-to-high single-digit kind of growth outlook is what we will have for this business.

Neha Manpuria: Understood. And from a -- for the branded generic business, I just wanted to understand and what our MR count is now. And do we plan to increase that given the volume focused growth that we have?

Vikas Gupta: So our count has remained the same. It's not a very high expansion that we have done. Going forward, I've always maintained as and when there will be a right opportunity, we won't shy away from adding people because this is our core business, this is our highest priority business. So, whenever there is an opportunity to add people over there, whenever there is a business need to do so, we would do that. Nothing in the near term is what we are doing. In fact, we will add maybe when we launch some new products that need different teams.

Neha Manpuria: And even with the acquisition of the derma-cosmetology, you don't think any incremental investment in terms of field force, et cetera, is required to grow that business?

Vikas Gupta: So, along with that business, we are also getting a team of around 90 people. So I think that should be sufficient to run that business. There may be minor 10 or 20 people here or there that we may need to add to that, but nothing that puts a very high load on. Of course, that's a strategic move that we have been looking for a long; it's a good business. It's a nice brand that's there in the market. Cosmetology was one area that we have wanted to enter for a long. So I believe this is the right strategic fit for us. This acquisition really gives us a better foothold as far as the derma-cosmetology market is concerned. So I think it will add a lot of value to our business.

Neha Manpuria: Understood. And my last question from a capital allocation perspective: while these deals are fairly small, we have a fair bit of cash. How should we think about Alkem looking at slightly larger acquisitions? I understand your priority will obviously -- as obviously in India, but is there any comfort level that you're looking at from an acquisition perspective? And could we even look at larger deals probably in Med Tech?

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Vikas Gupta: So, we've always said -- we've clearly defined our focus areas, right? Our first priority would be anything that we get in the India formulation business. If -- because we believe that at our scale,

we can clearly add synergy, clearly add value to any acquisition. And like you rightly said, we are building the war chest as well. We have good cash on our balance sheets. In fact, our cash position has improved substantially in the last 1.5 years. So, we won't shy away from anything that makes it the right fit for us and adds a lot of value in the times to come. Of course, MedTech, we have just made 1 small, I would say, acquisition. But going forward, also, it's an area of priority for us. If there is anything that comes at the right value, we would definitely consider it.

Neha Manpuria: And between branded Rx and MedTech, your preference would be for -- which, I mean, if I have to just rank the order of priority?

Vikas Gupta: See, of course, branded Rx is our core. Branded Rx is where we can create more value, but acquisition is not something that you can do at your will, and th

ere has to be a seller for there to

be a right buyer. Now, of course, the seller has to have the right price. So we can't -- we are not going after any and every asset that's there. We evaluate. We look at the strategic fit and then we look at the various funding options. But if there is something where we feel that we can create more value in terms of even on the MedTech side, we would parallelly evaluate that as well.

Neha Manpuria: Understood, sir.

Nitin Agarwal: And to give more clarity. See, on MedTech, maybe over the next 3 or 4 years, we may not go beyond INR2,000 crores to INR2,400 crores or INR2,500 crores of investment. That is what the plan is: a max of INR2,500 crores. This is what we are going to do in MedTech. And that is, I think, good enough considering the market size of ortho and cardiac in India. So -- and also currently, we are in 0 leverage. So we don't have any loans in our books. The net cash position is around INR4,700 crores. But still, a lot of the cash is available, and also, we can go for leveraging our balance sheet. So, it's all about the right opportunity, which we're looking for in the branded pharma business.

Neha Manpuria: And what's the investment we made so far, sir, in MedTech, the 2 acquisitions, the cost, it wouldn't be more than INR200 crores, INR300 crores, right?

Nitin Agarwal: Exactly, the deal was for around INR133 crores, and this is INR147 crores. So altogether, it is INR273 crores.

Moderator: The next question is from the line of Foram Parekh from Bank of Baroda Capital Market.

Foram Parekh: My first question is on semaglutide. You can just explain or throw some light, like what is the size of -- the market size you are all expecting in India? And since there are many players who want to enter in the first wave, so how are we strategizing? Like is it end-to-end manufacturing, including the device or through some strategic partnerships, some sense if you could give us on semaglutide?

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Vikas Gupta: So I think I've already answered this question. The only thing is on the market size front, see, currently, the market is around INR500-plus crores already, right? But it's a single-player market as of now, and it's only orals. The injectable GLP-1 is not even introduced in India. We expect that to be another large market -- as come to -- in line with what the oral market is, right? So, I think that is on the market front. With regard to our strategy, as I said, we have developed our own product. Our R&D has worked and made the product. So we will -- we are in full control of this. We are not depending on any -- like it's not a P-to-P kind of product that we are looking at. So our filings have already been there on the regulator side, where we will be -- we will have to conduct a clinical trial, which we will do and introduce the product to the market.

Foram Parekh: Okay. So now -- since now we are guiding for in line IPM growth, which is at 7%. So once the semaglutide gets launched, do we anticipate growing higher than the IPM because of the demand and maybe going north of 10% -or-so?

Vikas Gupta: So, of course, not 10%. But yes, because semaglutide will also add to the market growth as well because it will be a new market which would have come. So I'm hopeful that the market growth would also move up. But like I said yes, yes, these launches would definitely help us grow faster, especially on the chronic side, and my expectation is that we should surpass the market growth by at least 1% or 2%. Now, that also depends on the NLEM side, what kind of price lever we get in the coming year as a growth because a large part of our portfolio is an NLEM portfolio, where we have only volume growth as a lever. And in volumes, we have surpassed the market. But if that is more favorable for us, then our overall value growth also g

oes up. But yes, that's

how we anticipate this to play out.

Foram Parekh: Okay. Sir, could you please quantify your NLEM portfolio percentage in sales right now? How much would it be?

Vikas Gupta: Around 30%.

Foram Parekh: 30%, okay. My second question is on the non -U.S. side. So I see there's a degrowth there. So , could you please explain what went wrong? I mean , why is there a negative growth this quarter?

Vikas Gupta: It's largely from one of our large markets, which is Chile. In Chile, we have 2 issues: one is some tenders that we came out of, and the second is the exchange rate. So the currency actually played spoilsport over there. So because of that, Chile, which is our one of the largest non -U.S. markets that has shown almost 30% degrowth, which is where our overall non -U.S. growth is looking sluggish. But if you look at the other markets, say, Australia, we have grown pretty strong. If you look at some other non -U.S. markets, our growths are fine. It is largely on account of, I would say, Chile , where we have had this.

Foram Parekh: So has the situation stabilized, or do we expect the same kind of situation , and therefore, even in Q4 also we -- should we anticipate negative growth?

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Vikas Gupta: No, it should not be negative in Q4 because we expect the situation to be more stable. Of course, and see, nobody can predict how that will move. But our sense is that the overall position should stabilize. So , in Q4, we should have better performance as far as non -U.S. markets are concerned.

Foram Parekh: Okay. And one last question, if I may. So , since we are talking about 5 filings in Q4 and increasing the R&D spend. So could you please throw some colour on what the R&D percentage is for sales we're anticipating? Is it like -- I mean, is it likely to go up more than the normal trend and the 5...

Vikas Gupta: We're looking at around 4.5% to 5%, somewhere in that range.

Foram Parekh: Okay. And the 5 filings that we have done, could you just give us some nature of what are the filings? I mean, is it a pure generic one or a high value...

Vikas Gupta: No, Foram, we have done 3 filings right now. We'll tell you the filings after we file the other products. But it's all -- as of now, it's largely generic in nature.

Moderator: The next question is from the line of Shrikant from Nuvama.

Shrikant: The first question is on the Pithampur unit. So we have recently divested that unit. Sometime back, we also divested St. Louis after which there was a lot of cost optimization benefit that we have got. Any such opportunity because of Pithampur unit?

Nitin Agrawal : So we have entered into an agreement for selling off the Indore, Pithampur unit because, see, for the last 4, 5 years, we've not been using it. So , strategically, it was not making sense for us to retain that unit, and it was a kind of inoperative asset. And so it was decided to sell off. So I don't see any impact on our operations because of this sale because there were no sales happening from this unit for the last 3 or 4 years.

Vikas Gupta : I think your question is around opex . Is it?

Shrikant: Yes, yes, yes. On the cost optimisation and benefits?

Nitin Agrawal: The additional spend of around INR8 crores, INR10 crores a year.

Vikas Gupta: That was also mainly on account of depreciation. So , at the EBITDA level, there will not be any significant -- yes.

Shrikant: Understood. Now , on the Enzene, another of our CDMO units will be becoming operational in FY '26. So how should we think about the overall business because we have a Pune unit, which is -- which had just broke even, I think, deferred R&D. So how should we think about this unit?

Nitin Agrawal : Talking about Enzene U.S.?

Shrikant: Yes. No, Enzene, Pune, because that has been -- that is still struggling with respect to profitability.

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Nitin Agrawal : So Enzene -- means, including sales of products, we do from Alkem for products which are manufactured in Enzene, we have done a sales of around INR200 crores at YTD level , and our estimate is to close at around INR300 crores for FY '25. So we can assume growth of around 15% to 20% in next year from the Pune unit. We are also expecting approval for 2 countries outside India. So maybe in the next analyst call, we'll be able to share more visibility on it.

Shrikant: Understood. And one last question following up on GLP -1. Now , this is -- this looks like a large opportunity because when we see the numbers in the U.S. in the last 2 years, they have substantially grown, do you think that even in India, once the generic appears substantial volume growth is possible and you might consider potentially the other ways which are used to lose the weight, so that will also get converted in volumes.

Vikas Gupta: Sorry, I didn't get -- you mean it's a large opportunity -- it might turn out to be a big opportunity?

Shrikant: Yes, substantially large leading to maybe INR3 crores , INR4 crores, INR5 crores within a couple

of years in volumes.

Vikas Gupta: In terms of volume?

Shrikant: Yes, yes, for the drug, for the molecule.

Vikas Gupta: I would say let's wait for a few more months. We'll get to know how large the opportunity turns out to be. Of course, it's a no-brainer and no secret that the world over, the acceptance of GLP-1 as a category has been very good. I don't see any reason why India should be any different. But, of course, it will have to be used for the right patients. That is what we would advocate for it. So, let's see how it turns out to be. Our sense is also that it should turn out to be a fairly decent opportunity.

Moderator: The next question is from the line of Naman Bagrecha from IIFL Securities.

Naman Bagrecha: Sir, just one clarification. I mean, you highlighted -- you guided for 7% growth in the India business for the full year. And if we look at the first 9 months, I think you have grown at only around 6 - odd percent. So, I mean the implied growth for the fourth quarter comes at around 11%, 12%. So, I just wanted to know what are the growth levers for the same and whether my understanding is correct or not.

Vikas Gupta: So, I think the calculations are fairly close. It comes to around 9.5% to 10% if on the overall domestic side. And we are pretty confident of delivering the same because of a lot of reasons, like I said, our secondary offtakes are good. Currently where we are standing in terms of the monthly run rate, if we just extrapolate that, I think we are very hopeful we should be able to touch that kind of performance in Q4.

Nitin Agrawal: Also, last year, quarter 4 was not that good for us. So it's also maybe a base effect. Yes.
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Naman Bagrecha: Okay. Okay. Secondly, on ROW markets, you highlighted there are some issues in Chile. So, I mean, is it that we didn't have any tender, and we are going to get some, let's say, contracts or supplies? I mean can you help me on that front? And how should we look, let's say, on a sustainable basis, this piece of the business?

Vikas Gupta: So in the previous year, we had -- we were supplying because we had qualified for 1 tender. Now this year, the pricing has been such that it didn't make sense to participate in that tender. So that is why we've not had that business in this year. But other wise, if you look at the retail side and the other side, our base business continues to do well. The other reason has been on the currency side, which I also mentioned, which is the reason for the overall degrowth of Chile as a market. But I think that is also getting stabilized now. So, that's why we are very hopeful that Q4 should

be better as compared to Q3.

Nitin Agrawal: And overall, I think for the non-U.S., I think we have given a guidance of 13% to 14% of growth going forward.

Naman Bagrecha: So you expect to participate in tenders, let's say, in FY '26...

Vikas Gupta: It's a mix of tender plus retail, certain markets, and certain tenders that keep coming. So it's more of that.

Naman Bagrecha: Okay, okay. And on the U.S. piece, I mean, you have highlighted in the earlier call that there is 1 CBD-exclusivity product, which might come in 3Q or 4Q. So I'm not sure if that -- I mean, definitely, I mean 3Q we haven't launched. So what's the, let's say -- and could you help me out on that front? I mean, which product is this? What could be the, let's say, our sales opportunity?

Vikas Gupta: You are talking about Azilsartan?

Moderator: Sir, there was a participant who had kept the line on hold.

Vikas Gupta: Okay. Understood. So I think the question was on CGT exclusivity of some product, is it?

Moderator: Mr. Bagrecha.

Vikas Gupta: I think he's not there.

Moderator: He has moved out of the queue. As there are no further questions, I would like to hand the conference back to the management for closing comments.

Purvi Shah: Thank you all for participating in today's call and contributing to a meaningful discussion. If you still have any unanswered questions, please feel free to reach out to us. Thank you, all.

Vikas Gupta: Thank you. Thank you, everyone.

Moderator: Thank you. That concludes this conference call. On behalf of Motilal Oswal and Alkem Laboratories, thank you for joining the conference call. You may now disconnect your lines.

Call: Jun 2025

02nd June, 2025

To,
The Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai 400 001.
Scrip Code: 539523 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex ,
Bandra East ,
Mumbai 400 051.
Scrip Symbol: ALKEM

Sub: Q 4 FY2025 - Earnings Conference Call Transcript

Dear Sir (s) / Madam ,

We enclose herewith the transcript of "Q 4 FY202 5 Earnings Conference Call" which was hosted by the Company on Thurs day, 29th May , 2025.

The said transcript shall also be made available on the website of the Company.

Kindly take the same on record.

Sincerely,

For Alkem Laboratories Limited

Manish Narang President - Legal, Company Secretary & Compliance Officer

Encl.: a/a

Page 1 of 17

"Alkem Laboratories Limited Q4 FY'25 Earnings
Conference Call "

May 29, 2025

MANAGEMENT : DR. VIKAS GUPTA - CHIEF EXECUTIVE OFFICER ,
ALKEM LABORATORIES LIMITED
MR. NITIN AGARWAL - CHIEF FINANCIAL OFFICER ,
ALKEM LABORATORIES LIMITED
MS. PURVI SHAH - HEAD OF INVESTOR RELATIONS ,
ALKEM LABORATORIES LIMITED

MODERATOR : MR. TUSHAR MANUDHANE - MOTILAL OSWAL
FINANCIAL SERVICES

Alkem Laboratories Limited

May 29, 2025

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Moderator : Ladies and gentlemen, good day and welcome to the Alkem Laboratories Limited Q4 FY '25 Earnings Conference Call hosted by Motilal Oswal Financial Services.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Tushar Manudhane from Motilal Oswal Financial Services. Thank you and over to you, sir .

Tushar Manudhane: Thanks , Manav. Good evening and warm welcome for 4th Quarter FY '25 earnings call of Alkem Laboratories. From the management side we have Dr. Vikas Gupta , CEO ; Mr. Nitin Agarwal, CFO and Ms. Purvi Shah, Head of Investor Relations. Over to you, Purvi.

Purvi Shah: Thank you, Tushar. Good evening, everyone. We appreciate you joining us for our Quarter 4 and Full Year '25 Results Call.

Earlier today, we have released our financial results, press release and investor presentation, all of which are available on our website and the stock exchanges. We hope you have had the chance to review them.

Before we continue, we want to remind everyone that this call is being recorded and the transcripts will be made available on our website afterwards. Additionally, please be aware that today's discussion may include certain forward -looking statements which should be considered in light of the risk our business faces.

Now, I hand over the call to our CEO – Dr. Vikas, for his remarks. Over to you, sir.

Dr. Vikas Gupta: Thank you. Thank you, Purvi. Good evening, everyone and thank you for joining us today for Q4 & FY'25 Earnings Call.

We ended the year on a good note with healthy growth in our India business during Q4 and improve profitability and margins for the full year . Our domestic business continues to gain momentum, reinforcing our confidence in its long -term growth strategy. This performance is driven by strong execution and targeted initiatives across our domestic operations. In the international business, excluding the Americas, we are seeing good traction with several key markets making significant contributions to our growth. As we move forward, we remain focused on strategic growth opportunities and operational excellence to drive sustainable returns. I will now present the key highlights for Q4 & FY'25 Financial Performance:

For Q4 & FY'25, the total revenue from operations was Rs. 31,438 million with a YOY growth of 7.1%. India sales were Rs. 21,355 million with a YOY growth of 8.1%. International business

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sales was Rs. 9,747 million with YOY growth of 7.2%. Net profit was Rs. 3,059 million with a growth of 4.2%. R&D expenses for Q4 were Rs. 1,585 million , close to 5% of our total revenue, compared to Rs. 1,757 million, at 6% of our total revenue from operations.

For FY '25 on an annual basis , the total revenue from operations was Rs. 1,29,645 million with a YOY growth of 2.3 %. However , EBITDA increased by 11.9 % YOY to Rs. 25,122 million , resulting in an EBITDA margin expansion from 17.7 % in FY '24 to 19.4%. Net profit was Rs. 21,655 million with a YOY growth of 20.6%. R&D expenses for FY '25 were Rs. 5,620 million, which is 4.3 % of our total revenue from operations. The cash in balance at the end of 31st March 2025 is 46.2 billion.

According to IQV IA SSA data, for FY '25, the company registered a volume growth of 2.1 % vs. IPMs volume growth of 1.2 %, so outperforming the volume growth of IPMs by 90 basis points. Export segment growth has outperformed IPMs in FY '25 by 30 basis points at 6.9%. In anti -infective therapy, our oral solids

and liquids portfolio has outperformed the market, growing almost 1.7 times the IPMs. However, we saw certain challenges on the injectable anti -infective portfolio. Alkem has outperformed the market in 6 out of 11 IPM's top -focused therapies over the past year. In the IPM's top 5 therapy segments, Alkem achieved one rank improvement each in anti -diabetic as well as the respiratory therapies. As per the recent prescription data, Alkem is the third largest company in the prescription share and ranked number 1 in ortho and amongst top 3 in gynaec, pediatrics, surgery, dentistry as well as GP specialties .

I want to extend my sincere thanks to our teams for their dedication and commitment to excellence in this performance. With our strong foundation, we are well positioned to capitalize on the opportunities that lie ahead and I am confident about a bright future. As we look ahead, our focus remains on positioning the company for sustained growth and creating long -term value for our shareholders.

With that, let's open the floor for questions.

Moderator: Thank you very much , sir. We will now begin the question -and-answer session. We have our first question from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: Hi. Good afternoon and thank you for the opportunity. My question is to Dr. Vikas. In India, in

some of the bigger segments, anti-infectives, cardiac, anti-diabetic, etc. in the 4th Quarter number, according to your presentation Alkem's growth were lower than IPM growth. So if you can explain or elaborate what has happened or which segments within these therapies are seeing some weakness, etc., that will be helpful. And with that context, how should we look at India business growth for next year?

Dr. Vikas Gupta: Okay, thank you, Damayanti. Actually, if you see, our annual performance as I mentioned, all these therapies, we have outperformed. So among the top therapies, you see GI, GI has been our pretty big therapy, we have outperformed the market. If you see anti-diabetic also on an, I would

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say on an annualized basis, we have outperformed the market. If you see neuro, CNS, multivitamins, gynec, all these therapies, we have really outperformed the market. On the anti-infective side, like I mentioned, if you deep dive into the data, oral solids and oral liquids, our anti-infective has three components, solid, liquids and injectables. So, oral solids and oral liquids, have outperformed the market. Injectable business sometimes we see certain challenges in the overall data that comes in because this is a mix of B2B as well as retail business. So, I think what is more relevant and the bigger component is of the oral solids and liquids business, there are trajectories going pretty strong. I would say overall, if you see our India business performance for Q4 has been very strong. We have registered good growths overall in the India business and that is expected to continue now. Though initial 1 or 2 quarters, we had certain, you know, challenges, but I think overall our domestic, we have reported 8.1 % growth as far as Q4 is concerned. So we are pretty bullish on that and we are actually that's one of our core business, so we are very aggressive as far as that business is concerned. So there is I don't see any reason of concern over there. Cardiac so to say has never been a big therapy for us. So that's a very small business for us. Antidiabetes, respiratory, neuro, derma, these are the bigger businesses for us as far as chronic is concerned. So which is where our growth trajectory is going strong

Damayanti Kerai: Okay, again coming back to anti-infective, we are already towards the end of May. So how is anti-infective seasonal demand looking up because I think we are already into rain etc. ? So compared to last 2 years, it's been sl

ightly muted.

Dr. Vikas Gupta: One day that it has rained. So guess it will be too early for you guys to really look into it. I think, let this quarter get over. As I said, our focus is more on the basics. So we saw a strong Q4 and we expect similar growth trajectories to continue even in the coming quarters. So that's how I will put it because we are in the middle of the quarter, so it will not be wise or fair on my part to make any prediction for the quarter that's out.

Damayanti Kerai: Okay, sure. And my second question is, how should we look at EBITDA margins for FY'26?

Dr. Vikas Gupta: So, like we have given the guidance earlier as well. So I think now we are chasing growth. So EBITDA margins, when we had started last year, our initial estimate was that we will be somewhere close to 18.5 -19%. We were able to get it to even better at 19.5%. So we expect the EBITDA margins to remain similar as far as this financial year is concerned. Though we will get operating leverage on our basis, the growth that we will have record in the coming financial year. But we are making certain investments in R&D for certain markets where we want to expand. So that is the reason overall our EBITDA guidance in terms of percentage would be stable at 19.5 for this financial year. That is what we are looking at.

Damayanti Kerai: That's my last question. If you can update us on the biosimilar CDMO plant in terms of investment and how we are looking at completing the project and supplying stuff?

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Dr. Vikas Gupta: So the project is running on track. We expect the project to get completed latest by Q2, to become operational by Q2. So I think the required CAPEX that we had planned for the year last year, we have done almost Rs. 500 crores close to that. And I think the project is on track. So we should be able to start seeing some revenue within this year.

Damayanti Kerai: Okay. And Rs. 500 crores CAPEX cumulative will be how much? This is, I think last year's number, right? How much you spent?

Nitin Agrawal: Cumulative in total, it will be around Rs. 550 crores. Out of that, Rs. 450 was spent last year on CAPEX.

Damayanti Kerai: Okay, that's helpful. Thank you. I will get back in the queue.

Dr. Vikas Gupta: Sure. Thank you.

Moderator: Thank you. We have our next question from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Yes, thanks for taking my question. My first question is on gross margins. It seems after a very

long time, we have seen gross margins come off meaningfully. I understand part of this could be mixed, but is there any other one-off that is sitting, or this is purely driven because of the pick-up in the acute business that we have seen?

Nitin Agrawal : So, Neha, you are asking for Q4 or full year?

Neha Manpuria: Yes, for the Q4.

Nitin Agrawal : So, Q4, our margin, gross margin was a bit lower as compared to the corresponding quarter of last year. So, there were 2-3 reasons. One was our production was lower because we were suffering on inventory till last year. So, in the first 9 months of current year, we have built good quantity of inventory for our international business. So we slowed down our production in quarter four and that impacted the gross margin because as per the accounting standard, a few of your overhead get loaded over to inventory and if your production is lower, your inventory change amount reduces which impact your gross margin. Second reason was in last year in the same quarter, we had some settlement fees which we have received for a product called nimodipine . And third is we saw some higher expiry in few of our markets, which also impacted our gross margin.

Neha Manpuria: Sir, how should I think about gross margins for the full year going forward? Should it be at on a full year basis? Should

it be similar to what we have done in fiscal '25, which is about the 63 % or should we see moderation because acute growth which was weak normalizes?

Nitin Agrawal : We will be on similar lines. It will be around 63 or a bit maybe 25 basis point better than what we are.

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Neha Manpuria: Okay, got it. My second question is on the acute business. I think in the opening remarks, you mentioned that we have taken certain targeted interventions in India. Could you give us some colour on what these interventions are and how they've helped improve our growth? And as we think about the growth for next year, will we be able to now maintain this market level growth and just a breakup between trade generics and branded generics for fiscal '25?

Dr. Vikas Gupta: So, I think the interventions were largely tactical and strategic, both. So, we have focused on the right specialities, right indications, right geographies. So those are more specifics that we have taken as far as the driving the overall growth for this segment is concerned. When you ask me whether this growth is sustainable or not, I see no reason for this growth to slow down. I see it getting even better in the times to come. Like I said, this is our core business. We are pretty bullish about it. And we were always confident that this is one business where growths are going to be there. So I guess that is what we have seen and it should continue even in times to come. As compared to the overall growth, I would say domestic, we will be say in line with the market growth of 100 basis points, surpassing the market growth. Actually, that is what we are looking at. And I think we are very close to that in this financial year going forward. We see our growth estimates to be at least 100 basis points higher than how the market grows. So that is what Neha, there's anything else?

Neha Manpuria: And sir, how should I think about the market growth? When you say market growth, is it like 6 to 7%, 8 to 9%? What, according to you, is the right assessment for market growth?

Dr. Vikas Gupta: I think my sense is with the better seasonality that we are expecting in the coming year, we should be within the range of 7% to 8% at least. That has been the trend that the market has seen. So, that is the minimum that we expect at least the market to be. But let's see how the year progresses. If everything goes well, it could be even slightly more than that.

Neha Manpuria: Got it. And on trade generic, how was the growth for trade generic for the full year this time around?

Dr. Vikas Gupta: Trade generic business, overall if you see, you're asking for next year or the year that ...?

Neha Manpuria: No, for FY '25 what was the growth and then obviously, you how do we think about because I think there seems to be some moderation even in the trade generic growth that players like yourself and your peers are talking about. So just wanted to get a sense on how we did in '25 and how should we think about that trade generic group forward?

Dr. Vikas Gupta: So, trade generic saw mid-single-digit kind of growth, within the range of around 6% to 7%. So that is how it was. The market has become quite competitive. We saw a lot of new entrants also getting into the market. And as it happens when, because trade generic also a large part of business is acute. So when the acute market sort of slows down, even on the trade generic side, we see a similar trend. So, going forward, I think it should be in line with how the IPM would grow. So even on the trade generic side, we are expecting similar kinds of growths that we are

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likely to register. The only thing is that we are working on improving margins over there. So if

you see last two years we have had on a two years basis we have had an impr

ovement in our

overall margins as far as trade generic business is concerned. And they are not very far off now from our overall corporate EBITDA margin. So our intent would be to get as close to our corporate EBITDA margins with the trade generic business, that will be a mix of both topline growth as well as the margin improvement as far as trade business is concerned.

Neha Manpuria: Got it. Thank you so much, sir.

Moderator: Thank you. We have our next question from the line of Abdul kader Puranwala from ICICI Securities. Please go ahead.

Abdulkader Puranwala: Hi, thanks for the opportunity. So, my first question is with your US presence. So in the past you have talked about a couple of product launches, namely on Entresto. So, any timeline on when that would happen in fiscal '26?

Dr. Vikas Gupta: This matter is under, there is litigation going on between MSN and the Innovator. Right? So we are just keeping an eye on how the market opens up. So the earliest estimate could be somewhere in July, but it will all depend on how the case takes shape. If the market opens up like a few others, we will also be ready for the launch. But let's see how it plays out in the market.

Abdulkader Puranwala: And the second question is with regard to the supply situation. I think in the past we talked about some improvements. Yet in this quarter, we have seen some Quarter 4 decline. So for FY '26, how should we look at the US business in terms of growth?

Dr. Vikas Gupta: You are saying the overall business in the US?

Abdulkader Puranwala: Yes, sir.

Dr. Vikas Gupta: Yes. So if you see the trend as far as US business is concerned, in the initial quarters we had seen heavy degrowth. But if you see, know, the business is getting more stable now. Our sense is with our now supply and inventory levels being good, in the US and, you know, as the year progresses, my guidance has always been a single-digit, mid-single-digit kind of growth from US business. And we expect that to happen in this financial year. Of course, there may be first 1 or 2 quarters where we may just do some catch up as compared to the previous year. But overall, on an annualised basis, our expectation is it could be around a mid-single-digit kind of growth business for us. The price erosion over there continues to happen. So the nature of the market is such. But I think with our supply situation getting better, with certain opportunities also coming our way, we should be hopeful of a mid-single digit kind of growth this year from US business.

Abdulkader Puranwala: That's all, sir. Thank you.

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Moderator: Thank you. We have our next question from the line of Rashmi Shetty from Dol at Capital. Please go ahead.

Rashmi Shetty: Yes, thank you for the opportunity. Just again on the US business, when you said that we will be able to clock at least mid-single digit growth, how many launches are you planning for FY '26?

Earlier, you indicated that you will be doing around 1 or 2 high-value launches this year.

Dr. Vikas Gupta: So, like I mentioned, Entresto, I answered already on the previous question. So that is one we are hopeful. We look forward to launching at least 5 to 6 new products this year. But of course, not a very, no major big launch that we have, but we are hopeful that put together these launches would help in getting us to the growth number that we have talked about.

Rashmi Shetty: Okay. And when you see your working capital days, it has increased in FY '25 versus FY '24. Will it remain at the same level or it is likely to increase as your US supplies and everything will start more?

Nitin Agrawal: So, there is a slight increase in the working capital number of days. And I think we are at the optimum level now, and we don't see any major increase in working capital

from here onwards.

Rashmi Shetty: So it will be more or less stable at these levels?

Nitin Agrawal: Yes, you can say that.

Rashmi Shetty: Okay and what is the guidance for the R&D for full year? I mean we have done around 4.3% for FY'25 but you earlier commented that investments for R&D is likely to go up. So what is the guidance that you give?

Dr. Vikas Gupta: Rashmi, we expected to be within the range of 5%. So that is what we are expecting because there are some filings that we will be doing in certain markets, certain non-US markets as well and for the US, we also plan to file 8 to 9 products. I think we will be around 5%.

Rashmi Shetty: And the investments in R&D will go up. It will also increase your SG&A expenses along with that when you're saying that the investments will be there in FY '26 or it will be more or less similar to in FY '25?

Dr. Vikas Gupta: SG &A?

Rashmi Shetty: Yes.

Dr. Vikas Gupta: So I think it will be pretty much , within terms of percentage it will be within the range of what percentages we have had in this year. No major shifts in terms of percentages, but I think largely the percentage increase would be on the R&D side.

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Rashmi Shetty: Okay. And on the CAPEX part, how much have you spent in FY '25, the total CAPEX and how much are you expecting for FY '26?

Nitin Agrawal : We have spent around Rs. 700 crores in FY '25 and it will be in the same range for next year also because there is some amount of CAPEX which we still need to do complete our Enzene project in US.

Rashmi Shetty: So out of the Rs. 700 crores which you spent in F Y'25, I think Rs. 400 crores to Rs. 450 crores was allocated to Enzene plant, right? So that much work we have spent this year or we have actually spent lower?

Nitin Agrawal : So yes, Rs. 400 crore is what we have spent in Enzene in the current year in F Y'25. The total amount of capex is Rs. 788 crores for FY '25. Next year estimate is to be around Rs. 700 crores to Rs. 750 crores of CAPEX .

Rashmi Shetty: 700 to 750 and out of that Enzene would be how much?

Nitin Agrawal : Around Rs. 200 crores will be Enzene .

Rashmi Shetty: 200 crores, so the rest would be spent on which plants?

Nitin Agrawal : Some will be routine CAPEX , say Rs. 150 crores will be routine , then there will be some amount on R&D , plus we are also looking to build a new plant for our domestic business. So we will start that activity also very soon. So that will also require some amount of CAPEX .

Rashmi Shetty: Understood.

Nitin Agrawal : Plus, there is a MedTech investment. So, as we have shared last year that we are buying a technology and brand licensing from Exactech for our hip and knee replacement business in the orthopaedic segment. So that outgo will also happen. We have paid less than half of the amount last year , and the balance of around Rs. 70 crores will be paid in the current year.

Rashmi Shetty: Okay, and my last question is on tax rate. If you can give tax rate guidance for FY '26 and '27?

Nitin Agrawal : FY'26, you are talking about FY '26?

Rashmi Shetty: Yes.

Nitin Agrawal : FY'26 will be in the range of 13 % to 15%.

Rashmi Shetty: Okay. Thank you, sir. That's it from my side.

Moderator: Thank you. We have our next question from the line of Rahul Jeewani from I IFL Securities.

Please go ahead.

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Rahul Jeewani: Hi, sir. Thanks for taking my question. Sir, on the domestic business, the 8 % growth which we saw during the quarter was also partly aided by the fact that we had a low base last year , when last year domestic business had actually declined 2%. So let's say while I understand that the business is slightly seasonal in nature, but what confidence do you have going into F Y'26 in terms of outperforming the market

and growth by 100 basis points?

Dr. Vikas Gupta: I have already answered the question. So, you are pretty confident and if you see, if you deep dive further on our domestic business from where the growth has come. Of course growth is always compared to the last year base and there are certain quarters where you get good growth. There are certain quarters, especially in the businesses that have seasonality where you will see the struggle. So I don't see any reason why there should be any reason for a slowdown going forward unless like I said if market sees certain kind of upswings then we will not be immune to the market trends. But we are seeing the market trends also to be more stable now , and we expect this growth to be delivered. So, unless you have a certain point that you have in mind which you want to clarify, feel free to ask.

Rahul Jeewani: No, sir. So what I was largely asking from the point of view that if you look at F Y'25, we actually underperform market growth by 100 basis points. So now going forward, we are talking about an outperformance versus market. So does that assumption is premised on a pickup happening in the acute business this year?

Dr. Vikas Gupta: So that is one, but if you see even the market outperformance, what happens is, if you see the volume growth, volume growth , even this year we have outperformed the market. The problem has been on a large part of our portfolio like I mentioned is under NLEM. So, when that portfolio didn't get any price growth and the volume growth was also sluggish in that market that is where I think we faced the headwinds. Now with market getting more normalized and our contribution of that portfolio with every passing year coming slightly lesser. So I don't see any reason why our growth should not be in line or see if you compare even last year, the difference was 6.9 %

to 6.5%. I am talking about the SSA data of the IQVIA , which is a marginal difference in the overall, I would say, market growth. But I think internally we have clocked higher than that even last year , and internally Q4 has been even stronger. So, I am looking at both the data , and that's why I am saying the structural changes that we made during the year are resulting in good growth across the company as far as the domestic business is concerned.

Rahul Jeewani: Sure, sir. And sir, on the margins, the guidance of flat margins for FY '26, what kind of an operating loss have we factored in from the newer initiatives like the CDMO business and the MedTech business?

Dr. Vikas Gupta: So margins, it's a function of certain operating losses and certain gains that we may also see on the API prices that are getting softened. So that is why our guidance on the overall margins are using about the overall corporate margins, right?

Rahul Jeewani: Yes, sir, about the company -level EBITDA margins.

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Nitin Agarwal: See, I agree that there will be some amount of operating losses because the CDMO business will be starting in Q2 of the current year , and it will take some time to completely utilise the capacity of the US facility , which we are building for CDMO in Enzene . And also, the MedTech business will be, we have started, we have just completed the acquisition of Bombay Ortho , and there will be some time it will take to start building that business and also the Exactech Bombay Ortho business will start from January 26. So altogether , we see there will be a loss of both businesses together. There will be around Rs. 100 crores to Rs. 125 crores of operating losses, which we will incur for these two businesses combined.

Rahul Jeewani: So both MedTech and the CDMO business combined Rs. 125 crore EBITDA loss ?

Nitin Agarwal: Yes.

Nitin Agarwal : Enzene US only, Enzene India operations is profitable.

Rahul Jeewani: Sure, sir. And the

last question from my end before I join back the queue. You talked about tax rate for FY '26. Can you also comment on the tax rate for 27 given that the Sikkim plant offers would come out of tax exemptions?

Dr. Vikas Gupta: Ye, I think that we have clarified on the earlier calls as well. This Rs. 100 crores is for FY '26. So once that goes off, then our tax rate comes back to the normal tax rate. But since we have MAT already, so we will be in the highest tax bracket of around 35 % or slightly more depending on how we take that view. So that's how it will be post FY '27. So there is no change in that.

Rahul Jeewani: So, FY'27, what kind of a tax rate should we model in? Should that be the corporate tax rate of number 25%?

Dr. Vikas Gupta : No, because we have already MAT in the credit, so it will have to be higher than that.

Nitin Agarwal: See, gradually we will move to a lower tax rate of 25%. But since we have a MAT credit of Rs. 1,450 crores, so we can't now move to the lower tax regime. We will have to be in the 35 % tax bracket. Plus, there may be some amount of disallowance under tax, which happens for all companies. So the tax rate will be in the range of 35 % to say 37 %-38%.

Rahul Jeewani: And then it would gradually start coming down ?

Nitin Agarwal : Once we utilize the MAT credit completely, then we will move to a lower tax rate of 25%.

Rahul Jeewani: Okay. Thank you. That's it from my side.

Moderator: Thank you. We have our next question from the line of Alok Dalal from Jefferies India. Please go ahead.

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Alok Dalal: Dr. Vikas, when you mention about accelerating growth, can one look at high single digit growth in FY '26 and then the company moving towards double digit growth rate for FY '27?

Dr. Vikas Gupta: You're saying on the overall level?

Alok Dalal: Yes, overall level.

Dr. Vikas Gupta: Yes, because like I said, domestic being our core business, we are looking at outperforming the market. From the US , we are looking at mid-single -digit kind of growth. And rest of the world, we are looking at mid-teens. So, some of what you can put together should be close to what you're saying.

Alok Dalal: And when you mentioned about higher investments required for R&D projects, so what kind of projects are these which will entail higher spends for FY'26?

Dr. Vikas Gupta: Our focus on ROW markets is increasing and that is what I have mentioned on the previous calls as well and that would require, so far we have not done those kind of filings in some of these markets. So, there will be products which we will be developing for the rest of the world markets as well and we will be doing a lot of filings for these markets. That is one. So I think it's a mix of, and then even on the US portfolio side, we are relooking at our portfolios and doing more, I

would say products which will get us better returns, a better NPV in the times to come, which might require a higher spend. So it's going to be a mix of some of these initiatives. And even for the domestic market, we are running certain clinical trials, which we have not done in this financial year. So even from there, from India market perspective as well, we are running certain clinical trials to get the products to the market. So I think it's a sum total of all which will result into this kind of R&D spend.

Alok Dalal: Understood. So, the focus is more on complex oral solids or injectables those kind of product ranges going forward?

Dr. Vikas Gupta: Yes, there we have just started working on that.

Alok Dalal: Okay sir. Thank you for taking my question s.

Moderator: Thank you. We have our next question from the line of Abhigyan Srivastav from Marcellus Investment Managers. Please go ahead.

Abhigyan Srivastav: Hi, sir, thank you for taking my questions. Sir, for the Enzene business,

could you please tell me

what the current year revenue and margins are?

Nitin Agarwal: Yes, so in FY'25, we closed at around Rs. 290 crores in revenue. This is including sales from Alkem. So few of the products Enzene manufacture s for Al kem and then Al kem team finally sell those products. So including that and the third -party sale which Enzene do to other pharma companies, the total sales was around Rs. 290 crores.

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Abhigyan Srivastav: And do we know the margins yet?

Nitin Agarwal: Margins, we have not shared segment-wise ever.

Abhigyan Srivastav: Got it. And my next question is, we had done two investments in the last quarter, Adroit Biomed and Bombay Ortho. Could you please tell us what the scale-up plan would be and the revenues that would be associated with these two investments going forward?

Nitin Agarwal: Bombay Ortho will gradually build up because this is a manufacturing facility which we have acquired, and they have the capabilities to build and manufacture hip and knee replacements. So this year we are targeting around Rs. 22 crores - Rs. 25 crores of revenue because we have just taken over that business, and we have to build it from scratch in terms of sales. Over the next 5 years, we see this business of hip and knee, including the Exactech business, to cross around Rs. 200 crores.

Abhigyan Srivastav: And could you also mention what the plan is for Adroit Biomed?

Dr. Vikas Gupta: Okay, so Adroit is, you like I mentioned, is a Derma focused company. And, you know, they have a turnover of close to Rs. 50 crores, and now we intend to scale up those brands. It has some good brands where we saw a lot of potential, and that's why derma chronic overall is a key focus area for us. That's why we went ahead and made investment in that company. So we are pretty bullish about the growth potential of that.

Nitin Agarwal: Plus, there are geographical advantages.

Dr. Vikas Gupta: Correct. Also, that's a company which has a strong presence in the South and West, whereas our geographical presence is in the North and East, where we think we can cross-leverage, and we can really grow the business in those markets. So it has growth potential.

Abhigyan Srivastav: Got it. And, sir, lastly, could you tell us what the MR count and YPM would be for the acute and chronic segments of our domestic business?

Dr. Vikas Gupta: I think on an annualized basis, it's now not very different from what it is. Overall, we have around close to 13,000 reps. We have productivity close to 5 lakhs, I would say. And our chronic is now close to 4 lakhs. So this is how our overall productivity metric is.

Abhigyan Srivastav: Got it. Thank you, sir.

Moderator: Thank you. We have our next question from the line of Banshi Desai from J. P. Morgan. Please go ahead.

Banshi Desai: Yes, hi. Thanks for the opportunity. My question is on Enzene US business of ours. So if you can just qualitatively tell us how the discussions are progressing with clients, what is the interest level in general especially in the existing backdrop of reshoring manufacturing in the US. And

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secondly, you mentioned that it will take some time for you to completely utilize this capacity.

if you could give us some indication of what that could be. I mean, is it 2-3 years or could it be more than that?

Nitin Agarwal: So gradually, see, this year our projection is to earn around Rs. 100 crores from CDMO business. And as we said that we will be starting sales from Quarter 2. And the ratio between, say CAPEX and revenue for this kind of business is generally 1:1. So over the next three years, we plan to receive around Rs. 450 crores to Rs. 500 crores of sales from the CDMO business at full capacity

utilization. And we have an order book. We ca

n't disclose the numbers or the client's name. We

started building our, say, business development team and also building the order from last one year. So we have a decent amount of orders already.

Bansi Desai: And in your assessment, would you believe you would need to further enhance your CAPEX based on the visibility that you have?

Nitin Agarwal : Not for the current capacity, yes. But if we utilise our capacity fully, then maybe after two years or three years. But that will all depend upon how the business shapes up in the next 2 to 3 years .

Bansi Desai: Alright . Thank you.

Moderator: Thank you. We have our next question from the line of Saion Mukherjee from Nomura Securities. Please go ahead.

Saion Mukherjee: Yes, thank you. You mentioned about the order book at Enzene . Can you disclose how many customers you're dealing with? Is this order book very concentrated with few customers or it's spread out across multiple customers?

Nitin Agarwal : Saion, we have not disclosed because these are very confidential information. We have signed agreements on confidentiality. So it's difficult to share with you about our customer database.

But what I can share with you is that it's not fully concentrated. It's more than 3 to 4 customers with whom we are working.

Saion Mukherjee: Okay. And just one clarification on your comment on R&D expenditure. When you mentioned complex oral solid and injectables , is this with respect to the US market?

Dr. Vikas Gupta: Yes. So, Saion , I meant about the US market, we're just starting to work on that portfolio as well, which will need higher R&D spend as well. But that's not the only thing. In addition to that, I did mention about you know certain other markets in India market where we will, we are running certain clinical trials as well. So put together, it's going to amount to a higher R&D spend.

Saion Mukherjee: So Dr. Vikas, one thought is that in the US market the uncertainty levels at this point is very high. So there is talk of tariffs, local manufacturing. At this point of high uncertainty, why are we taking this decision of going into injectable and oral solids as a new area at this point in time?

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Dr. Vikas Gupta: So we will be cautious and it's all subject to the way market shapes up. But we will have to start and continue working on certain opportunities. See, if you see the uncertainty, I mean that way a large part of the world has certain geopolitical scenarios across the globe has been such that those uncertainties will prevail for some more time. Whatever may be the case, I think the US will still need a generic portfolio. We have seen the tariff the situation has been more even on the innovator portfolio side. So I think that will decide on the pricing strategy as to exactly how we would have to price the product , and if we are working on these products now, some of these products would see the light of the day 3 to 4 years from now , after we really worked. And we will have a more clearer picture at that time. But we don't want to put any project on hold for the simple reason. I mean, even more important that if US business we have to grow, we need to have a differentiated portfolio. So I think portfolio becomes even more important in this uncertain scenario because the certainty, the degree of certainty , would be higher for these products rather than a one -year generic product. That's our view.

Saion Mukherjee: And for injectable, you would basically be using CMO to manufacture some of the plans --

Dr. Vikas Gupta: Yes, at this stage our plan is using CMOs.

Saion Mukherjee : Okay and finally on the domestic growth rate you mentioned about market probably growing at 7%-8%, so it seems that there has a decisive slowdown in the broader market what is in your assessment driving this slowdown whi

ch has been going on for quite some time now?

Dr. Vikas Gupta: I think it's about a large part of the portfolio is the NLEM portfolio, even on the market side .

About 20+ per cent of the portfolio is under price control. And the inflation scenario is such that the price growth allowed on that portfolio is actually nothing. Even last year we saw, so that takes off, if 20 % of the portfolio doesn't see a 10% price increase, so 0.4 % to 0.5 % of the price lever of growth, gets away straight away. So it's a function of that , but from the volume growth side, we saw 1 % kind of volume growth in the last year , which we expect should be around 1.5 % to 2% at least in this financial year. So as long as that is there, I think the industry growth on a higher base with an increasing base should be around 8 % , but if we see more inflation, going forward , then the growth might even go up. But if the inflation scenario remains similar, then I think the industry might even stabilise at 7% to 8% kind of growth . These are just individual viewpoints, please don't hold me to this.

Saion Mukherjee: That's okay, but 1%-1.5% volume growth that you mentioned, so chronic would be growing much faster, right? So , basically , does it mean that there is actually no volume growth in acute ?

Dr. Vikas Gupta: No, it's not that. If you break down that portfolio segment -wise, I think most of the segments have seen certain growth. See, acute, as I said on the previous calls as well, I guess for the last

2-3 years, we were coming off a huge COVID base that we had seen 2-3 years ago. So whenever you see that kind of spike in one particular year, over a period of time, it takes a while for it to stabilize. And we saw trends in Q4 of the pre -COVID growth sort of coming back. We expect that to continue because even if you see previous years' data, then acute would have grown less

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as compared to chronic in terms of the volume growth. So I think that was a pre -COVID trend, which will continue even in times to come. So chronic, we see a higher volume growth as well because certain large markets and important markets, we saw drugs going off patent . So when the drugs go off patent , there is a huge price crash and unit growth is massive . So I think that is also contributing to some extent on the volume growth of the chronic side. So I think those are certain deeper analysis when you do of these markets. So I think those are certain observations that we have had. But overall, I think this looks pretty stable now.

Saion Mukherjee: Okay , thanks. And I just have one question if I can ask. Can I go ahead with one more question?

Dr. Vikas Gupta: Sure, please.

Saion Mukherjee: Yes, just one question for Nitin. Nitin, your guidance for tax rate for FY '27, which is like 35 %-37%, if you can just explain that a little bit more and also I wanted to check the cash tax, right? It's currently probably at around 20 % odd. Will that remain the same even in 27, if you can just talk about the cash tax as well?

Nitin Agarwal : Saion, so since we have a MAT credit of around Rs. 1,450 crores on our balance sheet. So we will not be able to move to a lower tax regime, but once we completely use the MAT credit , we will move to a lower tax rating of 25 % including surcharge. But for the next few years we are starting from FY '27, we will be in the highest bracket of 35 % tax rate , but as soon as we utilize the entire MAT credit , we will opt to go to the lower tax regime .

Saion Mukherjee: And the cash tax , I mean the cash outflow impact , how much will that be?

Nitin Agarwal: Cash outflow will be lower because we will be using the MAT credit. But definitely we can't go below 18%. We will have to keep paying 18%. So out of 35 % to 37%, which I said, the cash outflow will be only 17 % to 18%.

Saion Mukherjee: Underst

ood. Thank you.

Moderator: Thank you. We have our next question from the line of Akash Dobhada from Investec Capital Services. Please go ahead.

Akash Dobhada: Thank you for the opportunity. Just one question. On the Semaglutide front, what is the clinical status in India? Do we expect to be in the first wave of launch in India and other markets?

And also are we going to outsource API or manufacture in -house?

Dr. Vikas Gupta: Too many questions . Let me address it one by one, Akash. We will be among the first wave of launches as far as Sema is concerned. Our clinical trials is going on, the details would be there on the CTRI website, there in public domain. So you can look at that. What was the other part of your question? Are we manufacturing API ourselves? Is that the question?

Akash Dobhada: Yes.

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Dr. Vikas Gupta: API, we are sourcing from outside. And I think we expect the market to open up early FY '27, which is when we will be there in the market .

Akash Dobhada: Okay, thank you.

Moderator: Thank you. We have our next question from the line of Gaurav from Antique Stock Broking. Please go ahead.

Gaurav: Yes, thank you. Good evening, sir. On the US, I believe we have approval for Mirabegron . Any indication on when we can see a launch from our...

Dr. Vikas Gupta: I think I had addressed it on the earlier calls as well. We are in settlement with the innovator. So unless all the litigation anywhere across the world get over, we will not be able to launch the product because we have already settled it with the innovator, and we are bound by that agreement.

Gaurav: Okay , sir, thank you.

Moderator: Thank you. As there are no further questions, I will now hand the conference over to the management for closing comments.

Dr. Vikas Gupta: So, thank you so much, everyone, for joining. And we really look forward to future interactions.

Purvi Shah: Yes. Thank you all for participating in today's call and contributing to this meaningful discussion. If there are any questions that still remain unanswered, please feel free to reach out to us. Thank you, and have a nice evening. Thank you.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

(no extractable text — likely a scanned image PDF)

Call: Nov 2025

19th November , 2025

To,
The Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai 400 001 .
Scrip Code: 539523 National Stock Exchange of India Limited
Exchange Plaza ,
Bandra Kurla Complex ,
Bandra East ,
Mumbai 400 051 .
Scrip Symbol: ALKEM

Sub: Q2 & H1 FY26 - Earnings Conference Call Transcript

Dear Sir (s) / Madam ,

We enclose herewith the transcript of “ Q2 & H1FY26 Earnings Conference Call ” which was hosted by the Company on Thurs day, 13th November , 2025.

The said transcript shall also be made available on the website of the Company.

Kindly take the same on record.

Sincerely,
For Alkem Laboratories Limited

Manish Narang
President - Legal, Company Secretary & Compliance Officer

Encl.: a/a

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“Alkem Laboratories Limited
Q2 & H1 FY26 Earnings Conference Call”
November 13, 2025

MANAGEMENT : MR. VIKAS GUPTA – CHIEF EXECUTIVE OFFICER –
ALKEM LABORATORIES LIMITED
MR. NITIN AGRAWAL – CHIEF FINANCIAL OFFICER –
ALKEM LABORATORIES LIMITED
MS. PURVI SHAH – HEAD OF INVESTOR RELATIONS –
ALKEM LABORATORIES LIMITED

MODERATOR : MR. TUSHAR MANUDHANE – MOTILAL OSWAL
FINANCIAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Alkem Labs Q2 FY26 Results, hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Tushar Manudhane. Thank you, and over to you, sir.

Tushar Manudhane: Thanks, Anjali. Good evening, and warm welcome for second quarter FY 26 Earnings Call of Alkem Laboratories. From the management side, we have Mr. Vikas Gupta, CEO; Mr. Nitin Agrawal, CFO; and Ms. Purvi Shah, Head of Investor Relations. Over to you, Purvi.

Purvi Shah: Good evening, everyone. On behalf of Alkem, we welcome you all to today's quarter 2 FY '26 results call. So earlier today, we released our financial results, press release and results presentation, all of which are available on our website and also have been filed with the stock exchanges. So we hope you've had a chance to review them. Before we begin, please note that this call is being recorded, and the audio transcript will be made available on the exchanges and our website shortly after the call concludes. Also, today's discussion may include certain forward-looking statements, and they should be viewed in the context of the risks and uncertainties associated with our business. So with that, I now hand over the call to our CEO, Dr. Vikas for his opening remarks. Over to you, sir.

Vikas Gupta: Thank you so much, Purvi. Very good evening to everyone, and thank you for joining us for our Q2 FY '26 earnings call.

Q2 FY '26 has been another strong quarter for us, marked by robust growth across India, U.S. and key international markets. We also saw healthy traction in new product launches across our markets. The GST revision announced by the government during the quarter is a very positive step, and we adapted swiftly to enter a seamless transition. Our improved gross margins and operating leverage have contributed to a stronger EBITDA profile. As we look ahead, we remain focused on accelerating growth and continue to strengthen our presence in the key markets. I will now present the key highlights of Q2 FY '26 financial performance. The total revenue from operations touched an all-time high of INR40,010 million with a Y-o-Y growth of 17.2%. India sales were INR27,660 million with a Y-o-Y growth of 12.4%. U.S. sales were INR7,649 million with a Y-o-Y growth of 28%. Non-U.S. sales were INR4,241 million with a Y-o-Y growth of 32.4%. EBITDA grew by 22.3% Y-o-Y to INR9,208 million, resulting in an EBITDA margin of 23%. Net profit after minority interest was INR7,651 million with a Y-o-Y growth of 11.1%. R&D expenses were at INR1,302 million, which is 3.3% of our total revenue. According to IQVIA SSA data for Q2 FY '26 in the Acute segment in domestic market, Alkem became the number one company. We outperformed IPM in 6 therapies out of the total 11. Anti-infectives grew by 1.2x, GI 3.1x, VMN, 2.5x, pain 2.3x and respiratory 1.5x and derma, again, substantially 3.1x of the market. In the anti-diabetes therapy, if we exclude the GLP-1 launches, we have grown 2x faster than the market. Alkem also ranks number two in the IPM if I take the new product launches in the last 12 months.

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With a strong foundation firmly in place, we are poised to embrace the opportunities that lie ahead with confidence. I take this opportunity to thank all the teams at Alkem for making this happen. And I wholeheartedly believe in our strategy and remain inspired by the potential

the

future holds for us. Thank you so much. With that, we can now open the floor for any questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question comes from the line of Neha from Bank of America. Please go ahead.

Neha: Thanks for taking my question. Sir, my first question is on the India business. We've shown a pretty strong growth in first half. As we look into second half and probably FY27, do we think Alkem can maintain this growth momentum that we have seen. I mean what should be the assumption for the industry growth and therefore, Alkem's growth in the second half and fiscal '27?

Vikas Gupta: So Neha, I have always maintained that we will continue to outperform the market at least by 100 to 150 basis points. This growth is backed by one strong launches plus our key brands doing pretty fast. So I think this trend can continue even in H2. So we gave an overall guidance of a double-digit kind of growth, assuming the market grows at around 8% to 8.5%, which looks like the plausible scenario. So I don't foresee any reason for this growth to slow down even in H2.

So we should continue showing a similar trend in H2. Of course, Q4 may be slightly higher than Q3. But overall, on an H2 basis, we are confident of continuing this growth trend.

Neha : And you mentioned 100 to 150 basis points outperformance?

Vikas Gupta: Of the IPM, at least.

Neha : Okay. And my second question is on -- sorry, sir, on FY '27, is it fair to assume that we can maintain this outperformance given the launch and the brand momentum that you're seeing?

Would that be a fair assumption as well ?

Vikas Gupta: Yes, sure. India is our core market. And in India, we have really done a lot of strategic initiatives in the last couple of years, and our growth is really giving us. And we will continue to do whatever is necessary in terms of growing the domestic business with a similar trend. So again, I've always maintained that in India, we would always outperform the market by 100 to 150 basis points. Now we don't know how the market behaves next year. But yes, I mean, we are very confident of our growth as far as domestic market is concerned.

Neha : Understood. My second question, sir, on margins. I think we guided to flat margins. Given how first half has been, do you think there's an upside risk to that guidance? Or you still see -- I see that there has been an increase in the other expenses. So the new business investment that you were -- that you had planned, that is yet to come and we still maintain the guidance? Any update on the investments in the new businesses as well as the guidance?

Vikas Gupta : Yes. So the new investments that we had spoken about so far have not been fully operationalized. So in H1, we have hardly seen any expense on that front. But in H2, we expect our U.S. CDMO plant is operational now. So we will get -- start getting the opex of that plant from Q3 onwards. So in Q3 and Q4, say, H2 put together, we expect at least INR50 crores to INR60 crores as an

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operational expenditure for per quarter. So at least INR100 crores of operational expenditure that might start hitting us in H2. So the overall guidance, I would say, top line, we are confident that we should be surpassing whatever we had discussed. And even from the EBITDA guidance perspective, I see somewhere between 19.5% to 20% should be our EBITDA for the full year. So that's how vis-a-vis the earlier guidance of keeping it at 19.5%. So we are hopeful that we should be looking at that because there is another expense which is going to hit us, not expense. Actually, it's an impact because of GST, we have an impact of -- in H2, INR50 crores to INR60 crores for the benefit that we used to get from the Sikkim facility. So perhaps that will be another impact that will be there for us. So put

together, I think our H2 expenses will be higher. But still,

I would say we are hopeful of crossing our earlier guidance in spite of these additional expenses coming in H2 from 19.5% to 20% is what we see our EBITDA numbers.

Neha : Sorry, sir, one clarification, this INR50 crores to INR60 crores impact from Sikkim facility, this will be on the gross margin line, the benefit that we were getting?

Nitin Agrawal : This is accounted under other operating income. So it will be a part of the revenue.

Moderator: The next question comes from the line of Damayanti from HSBC.

Damayanti : First, can you update us like on the sales, which came from Medtech and Adroit business in 2Q? And then what kind of spend are currently ongoing for these new businesses?

Vikas Gupta: So Medtech, we have just started. So we report -- I think we or we have done almost 900 knee replacements. Though, in terms of the revenue, it will be hardly INR2.5 crores. And in Adroit, I think we are maintaining our run rate of around INR15 crores for the quarter. So that's on Adroit.

Damayanti: And in terms of spend, what kind of spend are ongoing for these two segments?

Nitin Agrawal : So for the quarter, Medtech opex was around INR8 crores to INR9 crores. So there is an EBITDA loss of around INR5.5 crores in Medtech. And Adroit is at a breakeven. So -- the branded business was already operating so.

Damayanti : Sorry, Adroit is a breakeven? Is it cost breakeven?

Vikas Gupta: Yes. So it's part of our domestic business. So we...

Nitin Agrawal: We never looked at it as separate thing. It's -- it will now be merged with our domestic business. So we'll run it as a part of the middle.

Damayanti: Sure. That's helpful. And if you can update us on progress in the Enzene business as well. So you mentioned you had started operations in 3Q. So what kind of ramp-up time line you are looking for this business to achieve cost breakeven? And I understand you earlier mentioned this facility will incur cost of around INR50 crore s per quarter, right?

Vikas Gupta: Yes. For Enzene U.S. operations, the current average is around INR15 crores to INR20 crores per quarter of revenue. And we expect this to continue till year -end. So we expect to close between INR70 crores to INR80 crores of revenue from Enzene CDMO U.S. business. The opex expense will be around INR50 crores per quarter going forward because we just started this

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facility in the month of September. So going forward, Q3 and Q4, we expect opex to be around INR50 crores and revenue to be around INR20 crores for the quarter because we have just started the plant.

Damayanti : This INR20 crore s revenue is only from the CDMO plant in the U.S. or this is also including the supplies from Pune plant?

Vikas Gupta: No, this is only from U.S. CDMO. Yes.

Damayanti : Okay. And how much is the contribution from Pune plant right now?

Vikas Gupta: Pune, around INR28 crores for the quarter, INR25 crores to INR30 crores for the quarter.

Damayanti : And is this plant cost neutral now or you are incurring loss there as well?

Nitin Agrawal: Domestic is already breakeven or in fact, EBITDA positive.

Vikas Gupta: So in terms of -- if you look at overall Pune operations, so in H1, we are around INR180 crores to INR185 crores of revenue, including the U.S. business, which we do from Pune. And for quarter 2, it was around INR120 crores from Pune operations, including the business done in U.S. from Pune -- and the CDMO business from U.S. plant.

Damayanti : Yes. Understood. Okay. Just a question on R&D, my final question. So R&D in 1H is much lesser, right? So earlier, you said 4.5% to 5%. Will you reach there? Or there is some rethought?

Vikas Gupta : Most of our filings are in Q4. So I think it's more of a phasing thing, and we expect the R&D to be within 4% to 5% -- and I think we should

get them. That has been our trend over the years.

So we will catch up. That expense will catch up in H2.

Moderator: The next question comes from the line of Bansai Desai from JPMorgan.

Bansai Desai: Sir, my first question is on penicillin G. We hear that the government is reportedly considering imposing MIP minimum import price on penicillin G. We would love to hear your thoughts.

Any impact that it could have on us? Could this reverse any benefits that we would have seen?

Vikas Gupta: So this is speculative, Bansai, at this point in time. And any hypothesis that I build on any speculation won't hold true. So we are waiting for some notification to come. As of now, we are sufficiently covered in terms of our inventories. But yes, I mean, depending on the MIP, whatever price the government will fix, only then we will be able to see whether it is going to be a cost increase or a cost decrease. That call we can take only when the government fixes the MIP. Otherwise, it is speculative. I won't be able to comment on it.

Bansai Desai: Appreciate, sir. And second is ex of R&D, if we look at the other expenses, they have sharply increased sequentially by almost INR200 crores. So what has driven that?

Vikas Gupta: You are talking about the expense?

Bansai Desai: Other expense.

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Nitin Agrawal: Mainly on account of our marketing expenses. So generally, in quarter 2, the marketing expenses are highest if you compare to other quarters. And also, there is a slight increase in R&D expense this quarter.

Bansai Desai: And yes. And lastly, sir, just on the non -U.S. growth that has been phenomenal this quarter, 30% plus. Should we expect this momentum to continue?

Vikas Gupta : So, see, there are certain markets that have done really well for us, as far as the non -U.S. growth is concerned. I've always said that our non -U.S. expectation also will be a high teens kind of growth. And I foresee for the annual -- I mean, for this financial year, we should be very much there. At this point in time, maybe because of certain opportunities that you were able to get in markets, like Germany and Australia, we have got a very good first half. We are expecting that looking at even the second half projections, we should be easily upwards close to around high teens of 20% kind of growth from the non -U.S. markets.

Moderator: The next question comes from the line of Bharat from Equirus Securities Private Limited.

Bharat : Congrats on the good set of numbers. So, I just wanted to understand on the other expense part, we have seen a sharp increase sequentially. And even on a year-on-year basis, there is a healthy growth in other expenses. While you mentioned that related U.S. expenses will be kicking in from third and fourth quarter. So why we are seeing these expenses sequentially and as well as year-on-year in second quarter?

Nitin Agrawal : So one reason, as I said, is the marketing expense. Generally, our quarter 2 marketing expenses are higher as compared to other quarters. And if you compare with last year, it also we have now 2 new subsidiary, Bombay Ortho and Adroit, which is currently -- in this quarter, it was part of the consolidated results. So that has also resulted in higher other expenses.

Bharat: Right. And we had mentioned that in second half, we will be doing almost like INR20 crores per quarter from U.S. Enzene plant. What sort of run rate or annual target we have for the next

fiscal for U.S. Enzene?

Vikas Gupta : So Bharat, we've always maintained an asset turnover of around 1 from the U.S. plant. And I think it will take us 12 to 18 months to fully get there. So I think this is just first quarter of when we are operationalizing it. So we will try and get to that number maybe at an annual run rate of INR300 crores. INR300 crores -- over next 12 to 18 months, that is how we'll -- but I thi

nk

maybe after a quarter or two, we should be able to give you a better picture on that front. We are very hopeful of getting there.

Bharat : Right. And any comments on GLP -1, how we are positioned for GLP -1 for Indian as well as for other markets in GLP -1?

Vikas Gupta : So I think our India application, our CT for diabetes indication is already completed. We presented to the subject expert committee. And we have got approval that's a public information. We are waiting for the MA to be -- formal MA to be received, but our results were presented to the subject expert committee. We are very hopeful that very shortly, we will get the approval for GLP-1.

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So we should be on track and amongst the first players to be out there in India when the patent expires. With regards to other markets, we are working on launch -- on launch in other markets as well. But still, the patent goes at different times in different markets. So I think the other markets, we will be able to introduce only a couple of years from now. So it's -- that's the time. And even our U.S. filing will happen maybe -- it takes 2 years to get the approval. So -- but I think it's a part of our plan as far as other markets are also concerned.

Bharat : And how we're seeing India market for us next year from GLP -1 perspective? Can we be a meaningful player there?

Vikas Gupta : We will be a meaningful player over there. So -- that's what we expect whenever we launch a product, but I'm sure everybody would be inking it's a pretty large opportunity, and I'm sure there is room for meaningful presence for more than one player in that market.

Moderator: The next question comes from the line of Harshit Dhoot from Dymonasia Capital. Please go ahead.

Harshit Dhoot: Congratulations to the management team for the good set of numbers. A couple of questions from my side, Gupta, sir. First thing, as you highlighted, the domestic growth trend will continue and FY '27 also, we are confident on the domestic growth part. And in FY '27, '28 also our medical devices business revenue will start to -- the run rate will improve. Enzene will start to clock the INR300 crore s annual run rate. Then how should we see the margins from the medium - term perspective from FY '27 onwards?

Vikas Gupta: Yes, I've always maintained that year -on-year, we should look at least a 1% improvement in our overall margins. And I think we are pretty much on track for that. Even if you look at this year, I think that is how it has played out. If I remove the investments behind growth that we have had to do. So I will maintain the similar trend, and we are very hopeful that that's how it should continue.

Harshit Dhoot: Okay. So in this year, despite having investments, we are expecting around 50 bps margin expansion and from FY '27 onwards, 1 percentage point margin expansion. This is a fair understanding?

Vikas Gupta: I spoke about 19.5% to 20% now let the year close down, and we will know. And then, of course, over and above that, from subsequent years, we should look at least a 1% improvement in our overall margin.

Harshit Dhoot : Okay. And other question, sir, how are we seeing the season in 3Q? Seeing the IPM data of October month, it seems that the season is still continuing. So any comments on that would be very useful, sir?

Vikas Gupta: Season as in for the...

Harshit Dhoot: Anti-infective season generally, which we witnessed in 2Q. So is it still continuing in 3Q as well?

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Vikas Gupta: See, I mean, seasonality is a part of -- part and parcel of our business. So I mean, we have not seen any -- I don't see any major reason as to why this growth trend shouldn't continue. So I mean I have no -- I mean, speculation here whether the season will continue or not, we'll get to peak. I mean that's

something nobody can predict. But I can tell you our business is pretty going as per our expectation and going pretty strong. So that is something that I can just assure you.

Moderator: The next question comes from the line of Madhav from FIL. Please go ahead.

Madhav: In the ex U.S. export business, could you give us a sense around the constant currency growth versus how much was from -- the constant currency growth in the ex U.S. markets for this quarter?

Vikas Gupta: Constant currency growth. In the ex U.S. market, you're saying? Or see, overall, I think we have had a currency gain of close to 4% to 4.5% in the range of 4% to 4.5%.

Madhav: Okay. So basically, 32% reported, we should assume 28% was constant currency growth then?

Vikas Gupta: Yes, you can assume that, yes.

Madhav: Okay. Got it. Okay. Understood. And then just one more clarification on the margin guidance, like you said, 100 basis points expansion FY '27 onwards, that includes the impact of some of the investments which you're making in the MedTech and the CDMO business or that's except for that?

Vikas Gupta: Yes, correct. So whatever investments we have planned as of now, it includes that. But say, as the business progresses and if we come across, say, some opportunities where we feel that we should not shy away from making those investments. It's only in that case that we will come back to you. But whatever investments we have planned for now and make for now, that's what I -- that is how I think it will play out.

Madhav: Yes. Just to clarify, the increase in opex, which we expect that's part of the guidance already, right, like the 100 basis points expansion?

Vikas Gupta: Yes.

Moderator: The next question comes from the line of Kartik from Bajaj Allianz.

Kartik: My question is about the four launches that we have done in the last quarter in the U.S. If you can elaborate what kind of launches are these? And what is the market size or how much is the competition in these four launches?

Vikas Gupta: I think the most meaningful launch in U.S. has been sacubitril/valsartan that we have done in Q2. And that has really done well for us. So -- and that has contributed to the growth in the U.S. market that we have seen this year. And we are -- though, of course, it's a highly competitive market. Let's see how it goes in the subsequent quarters, but I think that should help us to grow the U.S. business this year to the tune of at least maybe a double digit from an earlier expectation of close to 5% growth that mid -single -digit kind of growth that we were expecting from U.S., we are hopeful that we should be closing the year close to a double -digit kind of growth. So I
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think that's the most meaningful launch that I'll talk about. Balance launches are there, but not so -- at this stage, not so significant that I need to call out the numbers.

Kartik: And my second question is about the GST. Did you experience any impact from the GST either in the top line or the bottom line? And how much?

Vikas Gupta: See GST has been a very welcome move by government, and we clearly believe and appreciate and are very thankful that government has taken that move. I think it's a positive move because the medicines become more affordable. It brings in -- it makes it accessible for more number of patients. So as a company, we are always supportive of such changes. Yes, there were some transient industry -wide disruption that happened with regards to supply chain and with regards to certain costs. So, there are -- one is a onetime impact that we have had because of our arrangement with the trade that we had to do, which is to the tune of around INR10 crores to INR12 crores within that range. And second is the benefit that we used to get from Sikkim. So I think that's a substantial impact, which is going to hit us in -- from now on. So

I think that impact

in H2 alone is close to around INR50 crores to INR60 crores. So that is the other impact that we have. But we still believe it's a positive move, and we're really appreciative of that.

Kartik: Congratulations on the good set of numbers.

Vikas Gupta: Thanks Kartik.

Moderator: The next question comes from the line of Saion Mukherjee from Nomura Securities.

Saion Mukherjee: Sir, I just had one clarification on the U.S. CDMO revenues. So you're saying is it -- like currently, you're not booking any revenues and from next quarter, it would be like INR20 crores a quarter. Is that what it is or you're already booking INR20 crores?

Vikas Gupta: Saion, we have already booked around INR40 crores to INR45 crores of revenue from CDMO business in U.S. And going forward for the next 2 quarters, again, we see around INR20 crores per quarter of revenue. And as we shared in call just a few minutes back that the overall opportunity for us is around INR300 crores from the current production capacity, which we have built, which we estimate to achieve in next 12 to 18 months.

Saion Mukherjee: And sir, so -- but the operating cost of INR50 crores, nothing of that is coming -- revenues are booked, but costs are not there in the quarter, like INR50 crores per quarter that you're

mentioning?

Vikas Gupta: So we just started operations in September. So there was some prework which was done for which the revenue was realized. But I think the opex cost was mostly capitalized till September.

So from next quarter or from this quarter itself, October to December quarter, there will be an opex cost of around INR50 crores per quarter from U.S.

Saion Mukherjee: Right. And sir, so when you reach that, let's say, 12 to 18 months, INR300 crores turnover, then what's the next step? Are we going to make additional investments? So if you can just take us a slightly medium-term prospect of the CDMO plant in the U.S.?

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Vikas Gupta: Saion, we see a good opportunity in that business. And at this stage, because we've just made the plant operational, first, we would like to maximize the output of this plant. But say, 3 to 6 months down the line, if we see an opportunity and if that warrants us to make and scale up that business and make further investments, we won't shy away. We'll take that call at that stage. But at this stage, we are looking at because in medium term, we are pretty hopeful that, that could be a meaningful business for us, the way the opportunity looks like. But of course, we will wait for this plant has just got operational. So we will see how it's going and how the order book is looking like. And if there is a need to expand, then we will expand.

Saion Mukherjee: Is it possible to share how many projects you are working on? I mean, currently?

Vikas Gupta: We don't give the project level details Saion.

Moderator: The next question comes from the line of Neha Manpuria from Bank of America.

Neha Manpuria: Sir, on the U.S. business, I see that we have a tentative approval for tolvaptan. Is that not a near-term launch for us or just launch slated for fiscal '27?

Vikas Gupta: No. So in tolvaptan, you are talking about the Jynarque approval, so that is slated for FY '27-'28.

So we'll be launching it at that time because currently, I mean, we have that -- we have an ongoing litigation with the innovator. So we will take that call at this stage. It's a little far away.

Neha Manpuria: Understood. And for Mirabegron, it would be based on the litigation outcome for the existing generic players itself?

Vikas Gupta: So like I said earlier, I think we have a settlement agreement with the innovator. We will launch only after the patent expires.

Moderator: The next question comes from the line of Ankeet Pandya from Baroda BNP Paribas.

Ankeet Pandya: So just 2 questions. So firstly, on

the gross margin. So like in Q1 also with the strong domestic business growth, we have seen 65% gross 65.3% gross margin. And in the current quarter, with India business and along with all the geographies, we have been seeing double-digit growth, but gross margins are still at 65%. So is there anything to read between that? Anything that missing out?

Nitin Agrawal: So, the gross margin is a factor of 2, 3 things. One is your API prices. So definitely, we saw a decline in API prices in quarter 2 as compared to quarter 1 as compared to the corresponding quarter of last year. But our international business growth was higher than domestic in quarter 2. And whenever international business will grow at a higher rate than domestic, there will be impact on gross margin because our gross margin for domestic business is better than international. So that's one of the reasons that you don't see a great improvement in gross margin quarter-on-quarter.

Ankeet Pandya: Okay. So I think 63.5%, 64% gross margin is something that we can look forward for the second half and for the full year?

Nitin Agrawal: Yes, 64% to 65%, you can. Yes.

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Ankeet Pandya: Okay. Sir, and just lastly on your U.S. business. So given that like you also highlighted that the sacubitril is a very competitive space. So how has been the pricing erosion in that? And like what can we expect for the next quarter in that product?

Vikas Gupta: See price erosion in a new launch in U.S. is a market phenomenon, right? This is only first quarter of players entering. So the question is whether price erosion will happen, price erosion will happen. But when it starts tracking, whether it is 3 months from now, 6 months from now, we'll wait and see. But I'm sure in any new launches, when more and more players come in that market, the price erosion starts happening in U.S. market. There is one level of price erosion that has already happened, and we will see how the market evolves. But I think we will be fairly competitive in that sense.

Moderator: The next question comes from the line of Vaishnavi Shetty from Dolat Capital.

Rashmi Shetty: This is Rashmi Shetty. So just again on the U.S. part. When you say that this quarter basically benefited from the valsartan, sacubitril and CDMO. If I remove that part of quarter -on-quarter, is the base stable or we have seen some erosion on a quarter -on-quarter basis?

Vikas Gupta: See, if we remove the new launches, the general trend has been very flattish for the U.S. business. So, we have volume growth, but there is some price erosion that happens, which is the nature of that market. So the growth is largely driven by the new launches.

Rashmi Shetty: Okay. And how many launches have we done in first half?

Vikas Gupta: I think we have done 4 launches but the meaningful ones are valsartan.

Rashmi Shetty : Got it. And how many are we planning for second half?

Vikas Gupta: I think at this stage, we have at least three or four more.

Rashmi Shetty: So, when you say that for this full year, we will be doing double -digit growth. Would it feel like high teens growth or a lower double -digit growth in the U.S. market ?

Vikas Gupta: I think it's getting close to a low double -digit kind of growth. So somewhere between 10% to 11% is what I expect . It should be close.

Rashmi Shetty: Assuming that the erosion will hit in sacubitril also?

Vikas Gupta: In the subsequent quarters when the price erosion happens in these new launches. So that's how we are looking at it.

Rashmi Shetty: Okay. And one more question on other intangible effects, when I just compare in your balance sheet from 31st March '25 to the current second half, it has gone up significantly up. So if you can specify the reason for that?

Nitin Agrawal : So we acquired 2 companies in April '25, one was Bombay Ortho and other one was Adro

it. So

other intangible assets also includes the trademark and the technology -- technical know -how, which we got from the company when we acquired them and we have capitalized the trademark

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and technical know -how from these 2 companies, and that is the reason the other intangible assets have gone up. And also, there is some amount -- some impact on the depreciation and amortization amount.

Rashmi Shetty: Okay. And some impact is also there in the goodwill, right?

Nitin Agrawal : Yes.

Vaishnavi Shetty: Some part?

Nitin Agrawal : Yes.

Moderator: The next question comes from the line of Abdulkader from ICICI Securities.

Abdulkader: Abdul from ICICI Securities. Sir, just one question on the overheads. And how should we see the ramp -up at your -- in the new CDMO plant? So I understand you've been guiding about INR50 crores of operating overheads. But then by when is the plant expected to break even?

Vikas Gupta: 12 to 18 months. It has just started operational in this quarter. And then 12 to 18 months, we should be reaching the breakeven.

Abdulkader: Okay. And sir, what would be the timeline, the same for your Medtech ventures?

Nitin Agrawal : See, Medtech operationally, if you look at we will break even from the current operations, but we would like to also invest and go for other markets through this product. So there will be some expenses on product filings and also on getting, say, other countries' approval for the factory. So I think FY '28 is when we will break even. But the amount will be not very significant from Medtech in terms of opex losses.

Abdulkader: Got it. And sir, one final one, if I may. On the M&A front, -- so I mean, in terms of our key priority markets, I mean, in India, are we continuously now still looking for acquiring some brands on the domestic formulation side. or Medtech is something where the focus is now shifting it across to?

Vikas Gupta: No, it's not like that. I think India is our core market. And I've always said that we are continuously on the lookout now we have good cash on our balance sheet as well. So whenever there is a right opportunity at the right value where we feel that we can create more value, we'll go for it. So -- so that's our take.

Abdulkader: Got it, sir. Thank you and wish you all the best.

Vikas Gupta: Thank you.

Moderator: The next question comes from the line of Tushar Manudhane from Motilal Oswal.

Tushar Manudhane: Sir, just on the Enzene side, what to be taken as a gross margin Enzene U.S. or maybe Enzene combined U.S. as well as Pune site?

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Vikas Gupta: The CDMO business, if I say the CDMO business is generally a higher margin than our overall corporate margin. So that's how I can say, so it's a high gross margin business generally. So I don't think margins are a consideration in that business. And that's why we are very confident about that opportunity. I think the way to the EBITDA margin because you don't incur much of material cost when you do CDMO.

Tushar Manudhane: This is more because of the CDMO work at the product development level, or this should be more like a commercial level.

Vikas Gupta: For development, yes. For the U.S., as of now.

Nitin Agrawal: For product development.

Tushar Manudhane: So when we are thinking of reaching INR300 crores sales as that is largely to be coming from development mode.

Vikas Gupta: This is all development work. It's not a commercial scale manufacturing.

Tushar Manudhane: Understood, sir. And just one clarification on the GST impact of INR50 crores to INR60 crores you are highlighting, that is per quarter or for second.

Vikas Gupta: So that is for H2, at a quarter level, it's around INR25 to INR30 crores.

Tushar Manudhane: And lastly, now how much to take ETR, or effective tax rate

for FY '27, FY '28?

Nitin Agrawal : FY '27 will be 35% to 38%, you can say, because we'll be coming out of MAT after March '26.

Tushar Manudhane: And anything which is probably not any losses, which will not be considered and which is why this 35% to 38%.

Vikas Gupta: There is always some amount of expenses which get disallowed under income tax. So that is why the range is more than 35%. But yes, we have more than INR1,500 crores of MAT credit on our balances. So for the next, say, 1 or 2 years, we will not have any cash outflow much. It will be under MAT only, the cash outflow. But yes, the ETR will increase significantly compared to what we have.

Tushar Manudhane: And just lastly, so additional opex with respect to CDMO plant, INR50 crores to INR60 crores per quarter in terms of expenses. GST impact for the second half completely, and on the Medtech side, additional opex?

Nitin Agrawal : So Medtech, see current opex is in the range of INR10 crores to INR12 crores only. So going forward, I don't see any major significant increase, maybe in the range of sales, it may increase further by INR7 to INR8 crores max, but just to give you in terms of guidance, I think there is a lot of queries related to the other expense and other expense, there is a significant increase from quarter 1 to quarter 2. The other expense will be for quarter 3 and quarter 4 will be in the range of, say, INR900 crores, INR905 crores. So you can -- everything, including Enzene and Medtech, our other expenses will be around INR900 crores for quarter 3 and quarter 4.

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Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to management for closing comments.

Purvi Shah: Thank you all for joining today's call and for your questions. If you still have any follow-up queries and need any clarification, please feel free to reach out to us directly. Thank you.

Nitin Agrawal: Thank you.

Vikas Gupta: Thank you, everyone.

Moderator: This brings the conference call to an end. On behalf of Motilal Oswal and Alkem Labs, we thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

16th February , 202 6

To,
The Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai 400 001 .
Scrip Code: 539523 National Stock Exchange of India Limited
Exchange Plaza ,
Bandra Kurla Complex ,
Bandra East ,
Mumbai 400 051 .
Scrip Symbol: ALKEM

Sub: Q3 FY26 - Earnings Conference Call Transcript

Dear Sir (s) / Madam ,

We enclose herewith the transcript of “ Q3 FY26 Earnings Conference Call ” which was hosted by the Company on Friday, 13th February , 202 6.

The said transcript shall also be made available on the website of the Company.

Kindly take the same on record.

Sincerely,
For Alkem Laboratories Limited

Manish Narang
President - Legal, Company Secretary & Compliance Officer

Encl.: a/a

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“Alkem Laboratories Limited
Q3 FY '26 Results Call”
February 13, 2026

MANAGEMENT : MR. SANDEEP SINGH – MANAGING DIRECTOR –
ALKEM LABORATORIES LIMITED
MR. VIKAS GUPTA – CHIEF EXECUTIVE OFFICER –
ALKEM LABORATORIES LIMITED
MR. NITIN AGRAWAL – CHIEF FINANCIAL OFFICER –
ALKEM LABORATORIES LIMITED
MR. KAUSTAV BANERJEE – CHIEF EXECUTIVE
OFFICER AND PRESIDENT OF ALKEM MEDTECH –
ALKEM LABORATORIES LIMITED
MS. PURVI SHAH – HEAD OF INVESTOR RELATIONS –
ALKEM LABORATORIES LIMITED

MODERATOR : MR. TUSHAR MANUDHANE – MOTILAL OSWAL
FINANCIAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Alkem Labs Q3 FY '26 Results Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Tushar Manudhane from Motilal Oswal Financial Services Limited. Thank you, and over to you, sir.

Tushar Manudhane : Thanks, Iqra. Good evening, and warm welcome for third quarter FY '26 Earnings Call of Alkem Laboratories. From the management side, we have Mr. Sandeep Singh, Managing Director; Dr. Vikas Gupta, CEO; Mr. Nitin Agarwal, CFO; Mr. Kaustav Banerjee, CEO, Alkem MedTech; and Ms. Purvi Shah, Head of Investor Relations. Over to you, Purvi.

Purvi Shah : Thank you, Tushar. Good evening, everyone. On behalf of Alkem, we welcome you all to today's Q3 FY '26 Results Call. Earlier today, we released our financial results, press release and results presentation, all of which are available on our website and have also been filed with the stock exchanges. We hope you've had a chance to review them. Before we begin the call, please note that this call is being recorded, and the audio transcript will be made available on the exchanges and on our website shortly after the call concludes. Also, today's discussion may include certain forward-looking statements. So, this should be viewed in the context of the risks and the uncertainties associated with our business. Since we have made a major acquisition announcement today for Alkem Medtech, we also have our MD, Mr. Sandeep Singh, with us on the call, who will throw some light on the same. And all the questions pertaining to the Medtech business will be answered by Mr. Sandeep Singh, along with Alkem Medtech's CEO, Mr. Kaustav Banerjee. So, with this, I now hand over the call to Mr. Sandeep Singh. Over to you sir.

Sandeep Singh : Thank you, Purvi. So, guys, it's great news that we have got into medical devices. I think after biotech, this could be one very valuable subsidiary that we will create in the long-term. I would just like to share some facts about this market and then, of course, Vikas will talk about the business operations, and then we can go through Q&A.

So largely, MedTech in India is a \$10 billion market with significant headroom for growth. And India is still an underpenetrated market per capita \$7 for India. It's \$50 for China. And even Brazil is at \$40. So we all know there's large headroom left in India. There are technology advances leading to proliferation of in-use cases across disease areas. And there's low competitive intensity, historically smaller value pools, limited tech know-how and lack of at-scale domestic players even yet. And let's not forget, MedTech can be like generic version 2. And India can become a supplier globally to the best parts of the world, to the most advanced countries in the times to come. So shift towards localized manufacturing and emergence of Indian players will happen, and we are very sure of it. The two areas which you want to focus is ortho and cardio. And though we -- I spoke about India, but our play is global. I believe Enzene and Alkem MedTech both can be value accretive, not just in valuation, but even on pure EBITDA margins. In 4-5 years, both businesses will have an EBITDA margin of 25%.

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And with this, I'll pass it on to Vikas, and I'm happy to take questions later on. Thank you.

Vikas Gupta : Thank you so much, Mr. Sandeep. Good evening, everyone, and thank you for joining us for Q3 FY

'26 earnings call. In Q3, we delivered a stable performance in a dynamic operating environment, supported by strong fundamentals in our domestic business and consistent execution across our international businesses. We remain bullish on the growth opportunities in domestic as well as in the international businesses and are on track to deliver our full year guidance. We are seeing good revenue growth across our core markets. So, in domestic market, if we look at our YTD numbers, we have grown at close to 10%. During Q3 of last year, we undertook measured adjustment to our distribution setup in certain areas, which was aimed at strengthening the channel effectiveness and improving the service levels and supporting overall long-term growth. So we had realized certain sales in Q3 FY '25, which led to a high base for that quarter. So if we adjust the base effect, there has been a still strong double-digit growth of domestic business that continues even in Q3 of FY '26.

Our chronic business is seeing very strong growth trajectory, both YTD as well as quarter for this year. We also have carved out our Alkem Wellness business as a separate entity, which is

seeing certain headwinds. However, our prescription business is growing at a strong rate, which is reflected in IQVIA data as well. We continue to gain market share across specialties as reflected by the prescription research data as well.

I will now present some of the key highlights for Q3 FY '26 financial performance.

The total revenue is at INR37,368 million with a Y-o-Y growth of 10.7%. International sales were at INR12,157 million with a Y-o-Y growth of 26.6%, while India sales, like I mentioned, is looking at Y-o-Y growth of 5.5% with INR24,959 million. EBITDA margin of 22.2% and EBITDA stands at INR8,280 million with a 9% Y-o-Y growth. R&D expenses for the quarter were INR1,390 million, which is 3.7% of the total revenue from our operations. PBT was INR7,812 million with a Y-o-Y growth of 7% and net profit at INR6,360 million with a Y-o-Y growth of 1.6%. There is an exceptional item for the quarter, which includes the impact of INR528 million on a preliminary basis related to the notification by the Government of India regarding the Labour Codes.

According to IQVIA data, we have outperformed IPM in six therapies, which is anti-infectives, which is our core, we are growing 1.4x. Vitamins and minerals, we are growing 2x of the market. Pain at 1.4x. Antidiabetic is 1.2x. But if I adjust for the GLP-1, it is more than 2x of the market. Respiratory 1.2x, and derma 1.8x. So we are seeing a very strong trajectory, both in IQVIA as well as internal business performance. We are encouraged by the opportunities ahead, supported by our expanding portfolio, upcoming launches and investments in the new growth areas. We will continue to navigate the evolving operating environment with agility.

Thank you for your continued trust and support. I would now like to hand over the call to the moderator so that we can open the session for questions.

Moderator: The first question is from the line of Damayanti Kerai from HSBC.

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Damayanti Kerai : My question is on MedTech to Sandeep. So, Sandeep, you clearly mentioned this could be generic too in terms of growth opportunities which are available. And from Alkem's perspective, I just want to understand what kind of scale you want to build over the next 3 to 5 years? And then what kind of investment or cost will be required to build that scale?

Sandeep Singh : Sure. Thank you. So yes, I do believe in that. So in the next 3 to 5 years, revenue could be around INR1,000 crores and EBITDA would be around, say, 20%, 22%, 25% would take higher. But since your question was 2 to 5 years, I've answered that. And Kaustav, you can give more color to it, please.

Kaustav Banerjee : Yes. So if you look at

from the business of ortho and cardio, our ortho business is more like organically growing, and we just introduced and the tech transfer product that we did last year, that is under manufacturing, and we expect to launch it in the end of June next year. If I give you a volume perspective, we should be around 10% of the market by -- in the next 5 years' time. And if you ask me in terms of numbers, that would be around 250,000 implant. -- in five-year cumulative numbers. So it will be a very strong growth. And we have already launched the product, the Indian brand manufactured product in the second quarter of this year. And if you look at the -- sequentially, we are growing at a number which is 50% quarter-on-quarter. And if I look at the overall EBITDA, I think, which Sandeep already mentioned.

Sandeep Singh : And your question was on incremental cost. So, I think, more or less, maybe overall medtech will take INR200 crores to INR300 crores more of investment in the next 3 to 4 years. Significant investment, I would say, is almost done. Yes, thank you.

Damayanti Kerai : Sorry. So out of that INR200 crores, INR300 crores expected spend, majority are already done. That's what you're saying?

Sandeep Singh : Yes, yes, yes.

Damayanti Kerai : Okay. Just continuing with that, we understand, MedTech is very different than pharma, right? So what gives you so much of confidence that you can really scale up big in just a matter of, say, 3 to 5 years? And what could be the major challenges, if you can just talk on this business?

Sandeep Singh : Yes. So, Kaustav, maybe you can go ahead, but I'll just say this that, of course, it's different. Therefore, we have a different team. We have a different company. And that's why we acquired this company because those skill sets, we don't have it. So we are very clear about it. We will run it independently. And it is different, but it falls in the health care. Yes, Kaustav, please.

Kaustav Banerjee : Yes. So, if you look at Medtech, we are in the process of building the team. And with the ortho, we have already built the team. And the people we have brought in are from large global companies with significant experiences, anything between 15 to 20 years. And if you look at --

look through my background, you will see that I have grown in the medtech sector before joining Alkem, and I was hired to build this portfolio, I have spent around 26 years into MedTech. Starting with large three global companies, Medtronic, St. Jude, Abbott and then Zimmer Biomet. So it has been -- and I have worked through cardiology and orthopedic all through my

Moderator: The next question is from the line of Saion Mukerji from Nomura.

Saion Mukerji: If you can provide some more color on this acquisition of Occlutech, if you can give some history about the company, the product segment, geography, any concentration risk? And then -- and beyond the profile, if you can just talk through the strategic rationale for this particular deal as to how this will sort of help in your long-term aspiration? And then the financial metric, how does it make sense that it is -- what's the EBITDA margin for the company, whether it will be earnings accretive or not? If you can give color on that? And any breakeven time line for these?

Kaustav Banerjee : Good questions. Actually from your side. So let me start with the ratio nale and what the company is about. Very briefly, this is a research -oriented company, which has solved one of the biggest medtech problem in the world, which is being in high entry barrier markets. I mean, entry barrier markets, which is -- which include United States and Western Europe as well as Japan and Australia. And this segment is a very niche segment of cardiology. So, for us, it's more like a platform. So, if you look at interventional cardiology, this

is a subsegment of that intervention

cardiolo gy, where the occluder s, which is basically treating the septal defects of the heart and the three primary areas is definitely number one is atrial septal defects. Number two is the treatment of heart failure. And number three is prevention of stroke. So t hat's the therapeutic area. Now why this is important to us?

This is -- in this particular segment, they are the third largest company in the world. And given their revenue coming from Western Europe and U.S. to the tune of 85% of their total revenue, it's a very, very strong portfolio, which is waiting to be expanded across the globe. And in Europe, this company is already holding a number 2 position. Apart from this, this company has a very strong R&D setup with their own research lab, multiple research lab, own clean room and own testing facility, which is not very commonly seen in any of the other companies that you come across in the segment. And as a result of this, this company has a very strong product pipeline.

And one of this product pipeline is another occluder, which is left atrial appendage, where the revenue in the -- I mean the global market size is \$1.4 billion and which is an oligopolist ic market today, I would still say duopoly being shared by Abbott and Boston Scientific. These are two companies which are leading this occluder segment, and this is a product which is in the pipeline, we will be very soon getting approval.

Another import ant thing you need to recognize, while they have got into U.S. just in the last 1.5 years. And within this -- with one product, they have already achieved 5% market share. PFO is about to be launched, and we are expecting a market share -- I mean, we are expecting approval by 2027. That can significantly help us scale up in a high- value market.

Now coming to your question on EBITDA. First, this company is already EBITDA positive in the present year, which is financial year -- sorry, calendar year 2026. And our estimate is to have

10% EBITDA by FY '27, which will take us to around 23% to 24% in 3 years' time. And our market share, if you see in Europe already is 23%, and we expect to replicate the same experience in the United States. And given the company d o not have significant presence in emerging

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markets, that's a huge opportunity for us to grow. So if you have more financial question you can ask I think to answer, Nitin please go ahead.

Saion Mukerji: I just wanted to -- like you've got 55%. So who owns the company? And why not owning 100%? Is there a plan to own 100% at some point in time?

Nitin Agarwal: So if you look at the shareholding, there are around more than 150 shareholders currently in the company and majority around 32% is held by the founder himself. And so the reason why we are buying 55% because the balance shareholders, they want to retain their shareholding and again is part of the, say, value creation, which we are going to do in the next 5 years together.

So, the current management will also continue. The current promoters will also grow the company along with us. And maybe over years, over, say, next 4 to 5 years, they may look for an exit. But as on date, there is no such plan and they want to grow the company with us. So that's the rea son that we are buying 55% stake. But yes, maybe after 3 , 4 years, we can again look at buying the balance stake from them.

Saion Mukerji: So 30 %-odd for the promoter, the promoter is still owning that much stake?

Nitin Agarwal: No, he will sell some part of it. But definitely, he will own significant stake after we take control.

Saion Mukerji: Okay. Can you share like how much stake he would own after the transaction?

Nitin Agarwal: So we will share once we sign the SPA, still in the discussion process. But yes, but we will -- overall, we'll acquire 55% stake that has been deci

ded. In terms of the promoter stake, how much they will continue, that exact number we'll come to know once we reach the signing of SPA stage.

Saion Mukerji: And the promoter will continue as the CEO of the entity. Is that already decided?

Nitin Agarwal: Yes. So the plan is that the same management will continue. And definitely, we have taken a commitment from him to continue at least for a year. And even for the other management, say, senior management staff also, the commitment has been taken. So, the plan is that this company will run as it is because of the strength we have bought this company, their R&D and manufacturing capabilities. And as Kaustav said, that there are a lot of opportunities to use the brand name of Occlutech and launch more number of products in the structural heart and other similar, say, cardiovascular segment. So definitely, this is a big, big brand which we have bought, and we want to retain the brand image as it.

Moderator: The next question is from the line of Neha M from BofA.

Neha M: Sorry, I missed the number for what is the incremental investment that we are planning on growing the assets?

Nitin Agarwal: So the initial investment will be of around INR1,100 crores. But yes, over 2 years, since we want to also accelerate a few of the R&D projects, as Kaustav spoke that they have LA, which is a great product in this segment. And we want to definitely accelerate launch of LA in -- at least in Europe market over the next 3 years. So, we will maybe invest INR100 crores to INR200 crores

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more over next 2 years to fund their R&D program. But definitely -- I think at operations level, they will be cash flow positive. And I don't see any challenge from operating cash flow.

Neha M: And this INR100 crores to INR200 crores is largely R&D?

Nitin Agarwal: Yes, mostly to fund or accelerate their R&D program. Otherwise, they are EBITDA positive. I think there are some concerns on the PAT numbers because they have a loan also in their books of around INR450 crores to INR500 crores. The loan is currently at 10%. But yes, definitely, we have plans to reduce the interest loan since Alkem has such, say, cash equity in the market. So definitely, the PAT will also improve once the loan is supported by the corporate guarantee.

Neha M: And the plan to launch more, I think the product that you mentioned in '27 in U.S. and expanding in other markets, that wouldn't require too much investment or that would be over above INR100 crores, INR200 crores?

Nitin Agarwal: No. So, as Kaustav spoke about PFO launch in U.S., that will be June '27. So most of the R&D spend or investment on that project is already done. So we are just waiting for the approval to come, and we will most probably launch that in June -- from June '27 onwards, we will start marketing that product.

Neha M: Okay. So what I'm trying to understand is this INR200 crores number includes all marketing spend as well?

Nitin Agarwal: Yes, yes. As we said that we are already, say, if you look at cash flow at the operating level, we are already -- we have positive cash flow. So we don't need to invest further in sales and marketing. The current business can manage its own sales and marketing expenses. But for R&D program and to accelerate the R&D program, definitely, there will be some amount of investment which we do in the clinical trials and also the clinical program.

Neha M: And what would be the payback period for this acquisition based on your initial assessment?

Nitin Agarwal: See, as we said that this will be more -- for us, this will be a platform to access developed markets like Japan, U.S. and Western Europe. And there is a plan to also launch more number of, say, products in cardiovascular using this platform. But if you don't consider the additional portfolio,

which we are going to launch or you don't consider LA, which is a big opportunity, the payback is around 10 years on this asset. But after considering LA or, say, a new set of products which can be launched under this platform, the payback will significantly be lower. As I said, it's 10 years, it can be significantly reduced. But it's very difficult to predict as of now.

Neha M: Okay. And sorry, my last question, the additional cardiology assets that you're mentioning, are we looking at more acquisitions, asset acquisitions to add on to this portfolio? Is that the eventual idea other than what's there in the pipeline for this asset?

Kaustav Banerjee: The idea is not about acquisition. See, when we get -- if you understand the business, and this company is very well manufacturing a simple scaffold kind of technology, which is based on nitinol. There are many adjacent technology to that, which can be very easily manufactured by them doesn't require an inorganic acquisition, but product can be developed and manufactured

through the same organization because they have already mastered one of the most difficult scale of delivery system. And given that they have already done it, I feel that whatever investments in R&D Nitin mentioned, that should help us and suffice to introduce our newer products.

Moderator: The next question is from the line of Kunal Dhamesha from Macquarie.

Kunal Dhamesha : The first question on the -- our domestic formulation business. Dr. Vikas alluded that we had some higher base last year same quarter. But if I can see last year same quarter also, we had kind of mid -single -digit growth, right? And if I look at the 2-year CAGR, removing that whatever restructuring we did, we are still at mid -single -digit growth, right? So what is happening in our domestic formulation business that it continues to grow at a lower level, much lower than the IPM level?

Vikas Gupta : So I would disagree here because if you look at our YTD numbers, I think we are close to 10%.

And if I split that out even further, like I mentioned, we have this year some headwinds in the generic business, and we carved it out as a separate entity. So, if you remove that, we are actually close to around 11% or 12% in that range. Now in a market which is growing at around 7.5% to 8%, YTD numbers are looking at around early double -digit kind of numbers. So, in fact, we are seeing very good traction across segments within our domestic business. In chronic, which always has been a question that people have asked or whether you look at IQVIA numbers, whether you look at our internal performance numbers, I think it's -- the growth story is at its high. We have a high teens kind of growth that we are registering in our overall chronic segment.

Kunal Dhamesha : On YTD basis, on YTD basis, we also have Adroit adding the inorganic growth and Bombay also getting added, right?

Vikas Gupta : That's hardly -- if you ask me the number for YTD for Adroit it's hardly INR40 crores. So that's not a very big number, which is -- even otherwise, if you look at our prescription business is seeing a very strong growth. And you can see even it in IQVIA. So we have -- I think we do not have any challenges. In fact, our growth is very good. We are very bullish on the same. In fact, now with we're all getting ready for semaglutide launch also, which will be -- we are also geared up for day one entry into semaglutide. So -- and in fact, that would require addition of some people. But even in other therapies, looking at our growth trajectory, we are very bullish on our domestic market, and we will add some more manpower to drive the growth further in the coming years as well.

Kunal Dhamesha : Sure, sir. The second one on the Occlutech business. How is the gross margin profile of the business? And when we say that we improve the EBI

TDA margin from around 4% to more like

25% over the next 3 to 5 years. Is it more driven by operating leverage, gross margin improvement? And does the company have manufacturing facility? If yes, where is it? And what kind of utilization it is currently working ?

Kaustav Banerjee : Yes. So, first of all, the gross margin of the company is as of now close to 73%. There are multiple things that will be driving our margins going forward. Definitely, one of them is operating leverage. And number two is there is a lot of opportunities to optimize cost, utilizing the significant back office that Alkem already has, including the GCC. And also, one of the

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things we need to recognize that there are certain new products that will be introduced in very high ASP market. For example, when we launch our PFO in U.S., the ASP is almost to the tune of \$9,500.

And number four, that is going to drive the margin going forward. While we recognize the fact anything that is labour -oriented or that can help us build labour arbitrage or anything which is labour -intensive process, we will move to India, but we still want to retain the organization's international DNA. So we will continue to make investment on optimization, but ASP, increased coverage, operating leverage and utilizing Alkem's strong back end to reduce operating costs.

Kunal Dhamesha : And sir, regarding the manufacturing facility?

Kaustav Banerjee : Yes. The manufacturing facility, as I said, it will take time because it is also regulated. And already currently, it is in Germany and Turkey as well. And this manufacturing facility will continue to operate. And eventually, we will see opportunities to utilize or optimize.

Kunal Dhamesha : Sure, sir. And lastly, the INR450 crores, INR500 crores debt on the balance sheet, which is at a high interest rate. So is there a plan to kind of provide loan from the Alkem balance sheet at a lower percentage point? Or you would refinance from the market? How should we think about it?

Nitin Agarwal: So we will not provide loans from Alkem India, but definitely, we will get it refinanced with help of quarter guarantee, the rate can be reduced from current 10% to 5% to 6% easily and this is the way we pay for our

other subsidiaries also for working capital loans. I guess to answer your question, it will not be from Alkem, but it will be a refinancing.

Moderator: The next question is from the line of Nikhil Mathur from HDFC Mutual Fund.

Nikhil Mathur : I wanted to understand the India numbers a bit better. So there is a divergence what you were suggesting between the primary sales and the secondary sales. So, 1Q, 2Q were much better possibly on the secondary side and -- so on the primary side and this quarter, the primary is worse off than secondary. So any particular reason for this divergence between the two? And when do you see this anomaly getting corrected in the business?

Vikas Gupta : So let me clarify it once again. There is no divergence or no anomaly in this number. If you see, it is just a cutoff adjustment. When we had changed our distribution setup in last year Q3, there were certain markets where we could realize the -- it is just the spillover impact, which already got corrected in Q3. So, there is no divergence. It is looking at like a 5% growth. But if you see YTD, this year numbers, there is no divergence in primary and secondary. And YTD numbers are 10% kind of growth, which is overall domestic. And as you know, in our overall domestic, there is a large component of the generic business as well. Now that generic business this year has been more flattish. So if you look at only the core business, the branded generic business, then the growth trajectory is strong. It is early double-digit kind of growth, and we are also bullish of ending this whole year also at that number only.

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So just to clarify, there is no divergence in any primary or secondary. It is just because last year, because of the cutoff -- more of a base impact in the last year Q3 because of which only this quarter is looking a little sluggish. Otherwise, there is no -- I hope it is clear, Nikhil.

Nikhil Mathur : So you will be back to a 10% growth level from 4Q. Is that correct understanding?

Vikas Gupta : So, we are already at YTD also, we are at that number and Q4 also will be that number because that base was only for Q3, which got corrected. Now after that, it has been the same cutoff principle that we have followed. So, even in Q4, you will see touch wood if everything goes well, a similar trend.

Nitin Agarwal: To add what Dr. Gupta said, if you look at billing to billing growth for the quarter, it was 10% plus for the prescription business. So it was just because of the cutoff adjustment that the reported growth looks lower. But billing to billing, if you look -- if you compare the growth, it is 10% plus for quarter 3 also.

Nikhil Mathur : Understood. And so slightly medium term, let's say, FY '27, FY '28, now this generics business, I don't know, I mean, if you want to grow this business or not, would it drag your overall growth in FY '27, '28, if you?

Vikas Gupta : No, it won't. See, it's -- as I said, it's a large business for us, and we would definitely want to grow it. Of course, because we had carved it out as a separate entity, whenever you do that, we have seen that in the short-term business goes through certain headwinds. And even in the market, you know that it has become a highly competitive market. I think we will be back to our high single-digit to early double-digit kind of growth even in generic business from next year. So this year, we have taken certain conscious calls also in the interest of keeping the margins intact from that business. So we are very hopeful.

So, overall, if I have to give you a domestic story picture, then we are very bullish on this. I have always maintained that we will continue to grow at 100 to 150 basis points more than the IPM

growth. In the recent months, we have seen even IPM growth getting recovered. So -- and similar trajectory, we are seeing actually in the recent months in our overall domestic business as well.

So I think this kind of growth would persist and continue even in the coming year.

Nikhil Mathur : Got it. And I wanted some -- I have a question on Occlutech as well. Before that, just final question on the core business. So you are at 66% gross margin now. If I look at 9 months, somewhere around 65%, 66%. So any particular guidance on the gross margin going into FY '27, '28, especially in light of the MIP that has been announced for PenG and its derivatives.

Does that create some sort of a headwind?

Vikas Gupta : So see, of course, MIP is a very recent event. We are just waiting and seeing how the market pricing would unfold. If the India players increase their supply, then clearly, the cost impact would be lesser on our balance sheet. But as of now, the way it looks like, it looks like overall close to, say, INR80 crores to INR100 crores impact, but some of this would get -- should get nullified by some of the market pricing because even our trade generic business, we have a big portfolio on that front. So we can pass it on to the customer.

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So we will try and see how we minimize that impact. And then there will be certain other

products as well where we are working on improving our overall procurement. So I think put together, as of now, we are looking at, say, a similar guidance on the gross margin, maybe 0.5 to 1 percentage basis points here and there. But we'll try and -- we will actually get to see it closer to how the market unfolds in the coming quarters.

Nikhil Mathu

r : And how many months of inventory do you usually hold of these derivatives, PenG derivatives ?

Vikas Gupta : We have close to 4 to 5 months of inventory with regards to the number of days.

Nikhil Mathur : Got it. I have a set of question on Occlutech as well. Sandeep, sir, historically, Alkem has been very conservative with regards to capital allocation. On the offtake, we are seeing these acquisitions. What gives you confidence on these acquisitions, especially this one, given your conservative nature and the company is loss-making, it seems a bit departure from your past practices ?

Sandeep Singh : So you said many acquisitions. So I think this is the first one, not many. You can't count Bombay and all that. That's a sneeze. Don't even bring it up. This is the first one. And many times, you all kept asking that you should acquire and acquire. So maybe we listen to you. Now what gives me confidence is what we answered in the first question. I think we believe in people. I think we have the best people in the medical devices. We have acquired a company, which I'm kind of repeating. So this is not an in-house development or in-house management. This is an acquisition, not only of company, but of talent. And yes -- and Kaustav, you can add on that if you want anything.

Kaustav Banerjee : No, I think we have said enough .

Moderator: Sorry to interrupt Mr. Mathur. Please rejoin the queue for follow-up questions. The next question is from the line of Chirag Dagli from DSP Mutual Fund.

Chirag Dagli : Sir, when you think about the acquisition in 3 years, this incremental growth that is going to come, is it a lot products in similar markets or similar products in newer markets? If you can just flesh out some details here, that will be helpful ? And the second one was that as and when you get comfortable with the share purchase agreement, we need a lot more color around how the balance sheet looks like, what you've paid and what the historic financials of this company look like and maybe some literature around what product approvals they have, etcetera , that will really help because this is a fairly large acquisition, large capital allocation, but a lot more details required the feedback I just wanted to sort of get clarity.

Kaustav Banerjee : Yes. So your -- I'll take the first question. First, that is your question on how are we going to grow, right? So fundamentally, there are three things that will drive our growth. One is definitely newer products that will be introduced, which are awaiting regulatory approvals. For example, PFO in the United States, which is a very large opportunity. Similarly, increasing the footprint in emerging markets. That's the second large opportunity that we have with this product. And third thing is we will -- it's about going deep into markets where we just have a little bit of presence where we have low market share because Western Europe, we already have a very good and very high market share. Thereafter, APAC and EMEA are the markets where we have

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the headroom to grow. So multiple factors. And you said the PFO launch and the deeper penetration with ASD.

Chirag Dagli : Did you flesh out any guidance on these numbers on the next 3 years kind of growth?

Kaustav Banerjee : Yes, probably around INR600 crores, we are estimating in the calendar year '26. And then subsequently, we will grow that number up to INR780 crores in -- yes, approximately 14%

CAGR about -- for the next 5 years. Excluding the newer launches.

Chirag Dagli : Correct. And this 15%, 14%, 15% growth equally split across all the three aspects that you talked about, geographic expansion, newer markets and of course, existing markets, higher penetration.

Almost equally is how we should think about it ?

Kaustav Banerjee : It would be very difficult to say equally because in certain markets, you

will drive higher volume,

may not be at the very high ASP. And certain markets like U.S. where you will have very high ASP may not be at the same volume. So it would be distributed. But largely, our estimate is we'll grow at 14% CAGR over the next 5 years.

Nitin Agarwal: Just to add on what Kaustav said that this 14% CAGR is without any new product as we have LA also in our product pipeline and also without adding any portfolio -- any addition to the portfolio like we can add TA or other products also going forward. So 14% CAGR is only from the existing products.

Kaustav Banerjee : So it's a conservative estimate.

Chirag Dagli : I understand. So the reason I'm deliberating on this point so much is that the execution hurdles across these three buckets is very, very different, right, getting new products in developed markets versus developed product

markets India versus all of these are very different execution

hurdles, right? So -- and I get the point that you're bullish about the business. But when you think about this, we have to spend at least time, get some sense on how you are thinking about these three verticals in terms of the contribution to growth.

Kaustav Banerjee : We are already having a full-blown team with Occlutech, we're just acquiring 55%, the team remains the management continues. And we would like to continue with the DNA of our international company.

Moderator: The next question is from the line of Bharat Celly from Equirus Securities Private Limited.

Bharat Celly: Just wanted to understand on Occlutech. So we are doing this acquisition. From a company's perspective, what do they expect, what we will be adding as a value to them overall?

Kaustav Banerjee : What we are going to add as a value?

Bharat Celly: Right.

Kaustav Banerjee : Yes. So definitely, number one is we are going to put muscles into the company by making investments. We are a strategic investor into it. Number two, we are going to add is in terms of

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the Alkem strength in building organizations across the globe. And third is Alkem's large infrastructure and GCC to reduce the SG&A.

Bharat Celly: When we say to reduce SG&A, what exactly we are doing there per se because we don't have a manufacturing facility. What exactly we are pursuing there?

Kaustav Banerjee : SG&A is outside manufacturing, we are talking about cost of sales, so cost of sales, eventually, we will look at optimizing by moving some of the labour-intensive activity. But SG&A I'm talking about is more on the expenses side, admin expenses side for the support function.

Nitin Agarwal: For the support function.

Bharat Celly: Right, right. And when it comes to the future acquisitions, are we geared up to even further invest into MedTech any longer or the future investments are going to be in different areas? If you could explain that ?

Sandeep Singh : No, I think -- so first, I mean, we will look at investments. But as you know, somebody said we have been conservative. So we are very selective. So coming to MedTech, I think more or less is done. We might look at something small, but nothing significant, for sure. I think a large part is done. Yes, we will look into our core business as well, obviously, like pharmaceuticals. At a reasonable valuation, something is reasonable, we will look at it. But we continue to be a company which doesn't have acquisition as its main thing. So don't look at it as we'll do some big-ticket acquisitions.

Bharat Celly: Right. And what will be the ROIC expectation if we go for future acquisition in the pharma side?

Sandeep Singh : I think on a business which generates 20% is great return on equity.

Bharat Celly: And that will be a threshold for us as well when we are investing ?

Sandeep Singh : Yes. But just theoretical, if it's a great growth, we can compromise our return on capital.

It depends, right? I mean.

Bharat Celly: Sure. And Vikas, sir, since you were mentioning about trade generics, are you giving any absolute number what was our trade generic business during this quarter?

Vikas Gupta : So I think that we will -- we've not called out that. But we know that our percentages in terms of our overall business, I think you know how it has been. I can say that it has been flatish for this year.

Bharat Celly: So, you are saying YTD, right?

Vikas Gupta : Sorry? Yes.

Bharat Celly: You are saying YTD. On a quarterly basis?

Nitin Agarwal: For the quarter, it was flat. For the YTD at YTD level, it was lower single-digit.

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Sandeep Singh : Yeah, lower single-digit.

Moderator: The next question is from the line of Sandeep from Cilbas .

Sandeep: Could you please provide some insights about the denosumab biosimilars in the U.S.? I know it was recently submitted. And as well as like what is the recent status in the Europe region? And when will the Xgeva biosimilar be submitted?

Sandeep Singh : Great. So I mean, denosumab, we have both Xgeva and Prolia both. Number one answer is that.

U.S., we are undergoing FDA inspection as we speak. And our entry date would -- maybe it would be later on, not during this year because of litigation with Amgen. Even though there are many players, Amgen still litigates on it. So U.S. entry is going to be '26 end, hopefully. And Europe, we'll be entering very, very soon in the next couple of months.

Moderator: The next question is from the line of Kunal Dhamesha from Macquarie.

Kunal Dhamesha : Mr. Kaustav, the PDA approved device, which is currently under filing. So is it already filed?

Or is it under clinical trial and we are yet to file? And June '27 is the approval date? So June, does it refer to calendar year '27?

Kaustav Banerjee : Yes. So your question is PDA or PFO. PDA is already an approved product. If you are talking about PFO, the not only filing, even the clinical trials are being conducted. The results will be shared with the U.S. FDA. And we are expecting by mid of June 2027. And when I say June '27, it's specific like is around calendar.

Kunal Dhamesha : So that's the target action date we have already received or it's a clinical trial is still going on? Kaustav Banerjee : Clinical trial is done.

Kunal Dhamesha : Okay. Okay. And on the -- some of the antibiotic portfolio we have where Dr. Gupta alluded that we can pass on some of the increases, MIP -related increases to customers. But my understanding is a lot of these products are under NLEM, right? And the price increases are linked to the WPI index ?

Vikas Gupta : Yes. Let me clarify. I didn't mention on MRP. What I said is in the trade generic business, where it is sold at, say, a higher discount, right, to MRP is where we can look at increasing the pricing. So that is where I mentioned we can pass on some of the cost to the customer, but I don't know. We will see how it goes and how it plays out in the market.

Kunal Dhamesha : So sir, of our anti -infective portfolio, how much is in the generic division and how much is in the prescription division, if you can share the percentages?

Vikas Gupta : On our large brands, that's a branded generic market, say, Clav am, say, T axim - O, the injectable range, Xone etcetera . So it's a mix. The breakup of the same, we have not shared, but we'll have to look at overall, yeah, if we get to dig up.

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Nitin Agarwal: I can say the IQVIA numbers, which you get is only for the prescription . So for generic, I think trade generic, the IQVIA numbers, they don't cover it. So you can make IQVIA number, what is our prescription size of anti -infective.

Kunal Dhamesha : My understanding is IQVIA do capture some of the trade generic, but we can take t hat offline ? Sa

ndeep Singh : It doesn't matter. Some doesn't make it representative.

Kunal Dhamesha : I agree. But some gets captured ?

Sandeep Singh : Yes, that's good. Yes.

Moderator: The next question is from the line of Chirag Dagli from DSP Mutual Fund.

Chirag Dagli : Sir, the trade generic business 9 months, the margin on that just given that we've been flattish, would the percentage margin on the trade generic business be better this year versus last year at EBITDA level?

Nitin Agarwal: Chirag, I think we mentioned that the growth was flat for the quarter. And at YTD level, the sales growth for trade generic was in lower single digit. If you look at EBITDA, as we have given or shared in previous calls also that the EBITDA for generic business is 2% or 3% lower than our corporate EBITDA, but not very much -- it's not very different from our corporate EBITDA. Spanning from quarter -to-quarter, but it's on the same line as corporate EBITDA.

Chirag Dagli : Understood, sir. And just the second one, sir, on the antibiotics business or basically the PenG volume -wise, would the branded business be larger than the trade generic business, just whatever is dependent on trade generics business ?

Vikas Gupta : I think we will have to do that calculation, but it's more or less similar.

Nitin Agarwal: Because trade generic and anti -infective are effectively big. So the impact will be almost similar because the volumes are higher in trade generics.

Chirag Dagli : Understood . And this INR100 crores is the total number ?

Vikas Gupta : Total number.

Chirag Dagli : It's the total. Part of that gets offset by YTD? Understood.

Management : Always higher as compared to prescription. So the impact will be overall generics business.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to the management for closing comments.

Purvi Shah : Thank you, everyone, for joining us today and for your thoughtful questions and active participation. I'd like to inform all the participants that we have organized an Investor Meet on the 18th of February, that's Wednesday, to outline the strategic direction of the Alkem MedTech, and the invite will be shortly shared on the exchanges with the registration link.

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So kindly register yourself, and we wish to see you in person. We look forward to engaging further with you there. The venue is St. Regis. So, you have all the details on the registration

form. And please feel free to connect with us in case if you need any further help. And should you have any follow-up question, you can reach out to us. We appreciate your continued interest and support. Have a pleasant evening and a happy weekend. Thank you.

Moderator: Thank you very much. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.

Call: Jun 2026

01st June, 202 6

To,
The Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street ,
Mumbai 400 001 .
Scrip Code: 539523 National Stock Exchange of India Limited
Exchange Plaza ,
Bandra Kurla Complex ,
Bandra East ,
Mumbai 400 051 .
Scrip Symbol: ALKEM

Sub: Q4 FY202 6 - Earnings Conference Call Transcript

Dear Sir (s) / Madam ,

We enclose herewith the transcript of "Q 4 FY202 6 Earnings Conference Call" which was hosted by the Company on Thurs day, 28th May, 202 6.

The said transcript shall also be made available on the website of the Company.

Kindly take the same on record.

Sincerely,
For Alkem Laboratories Limited

Manish Narang
President - Legal, Company Secretary & Compliance Officer

Encl.: a/a

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"Alkem Laboratories Limited
Q4 FY26 Earnings Conference Call "
May 28 , 2026

MANAGEMENT : MR. SANDEEP SINGH – MANAGING DIRECTOR –
ALKEM LABORATORIES LIMITED
DR. VIKAS GUPTA – CHIEF EXECUTIVE OFFICER –
ALKEM LABORATORIES LIMITED
MR. NITIN AGRAWAL – CHIEF FINANCIAL OFFICER –
ALKEM LABORATORIES LIMITED
MS. PURVI SHAH – HEAD OF INVESTOR RELATIONS –
ALKEM LABORATORIES LIMITED

MODERATOR : MR. TUSHAR MANUDHANE – MOTILAL OSWAL
FINANCIAL SERVICES LIMITED

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May 28 , 2026

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Moderator: Ladies and gentlemen, good day and welcome to the Alkem Laboratories Limited Q4 FY 26 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that at this conference is being recorded. I now hand the conference over to Mr. Tushar Manudhane from Motilal Oswal Financial Services. Thank you, and over to you, sir.

Tushar Manudhane: Thanks, Dorwin. Good evening, and a warm welcome for fourth quarter FY 26 Earnings Call of Alkem Laboratories. From the management side, we have Mr. Sandeep Singh, Managing Director; Dr. Vikas Gupta, CEO; Mr. Nitin Agarwal, CFO; and Ms. Purvi Shah, Head of Investor Relations. Over to you, Purvi.

Purvi Shah: Thank you, Tushar. Good evening, everyone. On behalf of Alkem Laboratories, I welcome you all to our Q4 and FY '26 earnings conference call. We are happy to have our Managing Director, Mr. Sandeep Singh, on the call today to engage directly with all of you, and he'll address any queries related to the future strategy, leadership transition and future outlook. Earlier today, we announced our financial results along with the press release and investor presentation, all of which are available on our website and also have been filed with the stock exchanges. We hope you have had an opportunity to review them. Before we begin, I'd like to remind everyone that this call is being recorded, and the audio recording and transcript will be made available on the stock exchanges and our website shortly after the conclusion of the call. Please note that today's discussion may include certain forward-looking statements, and these statements should be viewed in conjunction with the risks and uncertainties associated with our business and the environment in which we operate. With that, I would now like to hand over the call to our MD, Mr. Sandeep Singh, for his insights. Over to you, sir.

Sandeep Singh: Thank you, Purvi. So good evening, everyone. FY '26 has been a landmark year. We crossed INR3,000 crores of EBITDA. So, it's been a fantastic year. And I will let Vikas fill in more details, but I would just like to say we remain excited for the future, and it has been a great year. We launched GLP-1, where we are doing extremely well. And both Med tech and biosimilar bio CDMOs continue to be our growth areas. With this, I think it's Vikas, you please take over. Thank you, Doctor. And I would like to place on record that Dr. Vikas is going to now kind of proceed from Alkem and he's done a fantastic job, and he will be missed. And I'm sure that you all will join me to wish him all the best for his career. Thank you.

Vikas Gupta: Thank you so much, Mr. Sandeep Singh, and thank you, everyone, for being on the call. And I must, at the beginning, thank you all for all the patience and support and guidance that you had during my tenure at Alkem, and I really value and cherish my journey over here.

As I speak about the Q4 and the annual results for the financial year FY '26, it has been a landmark year for Alkem, and it has been marked by a very strong broad-based growth. We have had a record profitability. We have continued our progress across our strategic priorities. So, I'm happy to share that we delivered our highest ever EBITDA during the year with surpassing INR3,000 crores on an annualized basis, reflecting the strength of our business growth strategy, disciplined execution and operational excellence. Our performance was supported by a very Alkem Laboratories Limited

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healthy momentum across both the India branded

generic market as well as the international

businesses. In India, we continue to outperform the market across several key therapies with strong traction in Chronic segments and sustained brand performance.

I'm particularly pleased with our new product performance and the launches that we have done. It has been outstanding during the year, and a key highlight has been the successful day 1 launch of semaglutide in the month of March 2026. While these are very early trends, but I'm happy to share that in the most recent IQVIA report, we could garner a market -- unit market share of around 11% and we expect it to go up even further in the coming months. So, it has been a strong launch that we have done. Internationally, both the U.S. as well as non-U.S. businesses delivered very strong growth, supported by the new launches, market expansion and steady execution. Importantly, the year also reflected the benefits of an improving business mix. We got operating leverage and continued our cost discipline, which contributed to a meaningful margin expansion. I will now present the key financial highlights of Q4 and FY '26. In Q4, our total revenue from operations was INR36,033 million with a Y-o-Y growth of 14.6% India sales were INR23,245 million with a Y-o-Y growth of 8.8%. But if you look at our branded generic business growth, that has been close to 10% and international sales were INR12,223 million with a Y-o-Y growth of 25.4%. EBITDA was INR5,174 million, resulting in an EBITDA margin of 14.4% for the Q4 FY '25 versus 12.4% for Q4 2025 -- sorry, it is INR5,174 for FY '26 EBITDA grew by 32.2%

Y-o-Y. R&D expenses for Q4 FY '26 were INR2,293 million, which is 6.4% of our total revenue from operations. But on an annualized basis, it is pretty much as per our guidance. Profit before tax was INR5,578 million with a Y-o-Y growth of 40.7%. Exceptional items for the quarter included INR602.7 million incremental liability towards gratuity and leave encashment for the past service cost following finalization of central loans under the labor codes and INR747 million impairment of real estate investments. Net profit was INR2,365 million. According to IQVIA data for Q4 FY '26, the company registered a growth of 11.1% Y-o-Y versus the IPM, which grew at close to 10%. Acute segment reported a growth of 10% versus IPM, which grew by 7.7% and chronic segment reported 16.1% versus the IPM growth of 13.6%, which is almost a 250-basis point outperformance. We have outperformed in 6 key focused therapies, which are meaningful for us in terms of the internal value, which is GI therapy, Vitamins and Minerals, Pain, Antidiabetic, Respiratory and Dermatology. For FY '26, the key financial highlights, the total revenue from operations stands at INR1,47,123 million with a Y-o-Y growth of 13.5%. India sales were INR98,514 million with a Y-o-Y growth of 9.7%. International sales were INR4,610 million with a Y-o-Y growth of 22.5%. EBITDA was INR3,052 million, resulting in an EBITDA margin of 20.4% versus 19.4% in FY '25 and EBITDA overall grew by 19.6% Y-o-Y. R&D expenses for the whole year were INR6,173 million, which is 4.2% of the total revenue from operations versus INR5,620 million in FY '25, which was 4.3% of the total revenue in that year. Profit before tax after exceptional item was INR28,709 million, which is a Y-o-Y growth of 13.6%. There were exceptional items for the year, and I think subsequent details can be given by the finance team by Nitin in the later call.

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The outlook, as we enter FY '27, we strive to drive the growth and profitability with continued focus on strengthening execution, improving the overall portfolio mix and expanding our differentiated pipeline, thereby creating long-term value through disciplined investments and operational excellence. While we remain optimistic on sustain

ing our momentum in FY '27, the current geopolitical environment and evolving global supply chain dynamics have resulted in increased logistics costs along with some pressure on APIs and the packaging materials. We are continuously watching these changing trends. These external factors may lead to some near-term headwinds. However, we are closely monitoring the situation and trying to proactively manage our supply chain. We are confident that with our strong capabilities and adequate inventory built up, we are well positioned to mitigate the potential disruptions and ensure continuity of operations. For FY '26, our tax rate has gone up and we can have the subsequent details on the reasons for the same later during the call. With this, I will open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from the line of Sucrit D Patil from Eyesight Fintrade Private Limited.

Sucrit D Patil: I have 2 questions. My first question to Mr. Sandeep is, what type of strategic levers are you prioritizing in FY '26, '27 to expand Alkem's domestic formulation leadership and accelerate growth in chronic therapy and manage risk from regulatory pricing pressures and global competition? That's my first question. I'll ask my second question after this?

Sandeep Singh: Yes. So, I think there is no strategic lever for '26, '27. Every year, we don't have a strategic lever. We are continuing on whatever strategy we had decided last 2 years, and that's paying good yield. I think Vikas can go into depth. But for example, GLP-1, we're doing extremely well in semaglutide. So, things are working. What pricing risk we do to mitigate, I think nobody in the world can do that because the pricing is going by regulations which we have to follow. Vikas, over to you.

Vikas Gupta: Yes, sure. So Sucrit, I think I've always maintained that domestic is one of our top most priorities. So, one, we have strengthened our new launches a lot in our domestic business. We have -- I spoke about a few years ago, we had restructured the businesses, and that's paying very good dividend in terms of the overall growth that we are seeing across therapies as far as domestic business is concerned. We recently launched semaglutide, and I think that will be one of the biggest priorities for us in the coming year. We are seeing very good trends as far as -- and that will propel our overall chronic growth in addition to -- and that will contribute to even the India growth overall. We have also looked at strategic expansion of manpower as far as India business is concerned, domestic business is concerned. So, we have added people wherever we are very bullish about growth and largely on the chronic side because that is where our entire focus has been. And I was just looking at the trends. If you look at the definition of acute and chronic, then today, our chronic business as far as branded generic business is concerned. We are close to 22% of our business is from chronic and which is if you see our last 3- or 4-years trend, every year, we are improving it internally by at least 1%. And we see with now newer and newer products

coming in over a period of time on chronic, we expect it to get strengthened even further. So I think it's a journey, and we are very consistent, as Mr. Sandeep Singh just mentioned. So this is -- we are just playing on the whole -- we'll focus on execution of whatever strategy we have planned out for domestic business.

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Sucrit D Patil : My second question to Mr. Agarwal is, again, a forward-looking one. What type of capital allocation and risk management framework have been applied in '26, '27 to balance dividend payouts with funding for R&D in biosimilars and specialty drugs hedge -- sorry, any hedge against forex and raw material volatility? And

any liquidity buffers put into place to sustain the profits and go for the large case expansion projects?

Nitin Agrawal: Okay. Let me first take the forex part. So, we have a forex policy, and we generally cover 80% or we hedge 80% of our forex exposure. In terms of raw material prices, see, due to what going on, we can see the raw material prices are increasing, the packing material prices are increasing and we have been cautiously watching the prices, and we have been taking calls on a weekly basis whether to cover and how much to cover. Definitely, there is an impact on first quarter.

There will be impact going forward also if the situation doesn't improve from here. I will not share any numbers in this call regarding how much will be the impact, but we are continuously monitoring our inventory levels. And whenever there is a dip in price, we also book for API and for packing material also, we build our inventory. But you're right that there will be some impact on account of the API prices and packing going forward in this year. On capital allocation, we said during our last call also that Occlutech is one of our biggest investment in last 10 years and we don't foresee any further investment into acquisitions at least for the next 12 months. We want to first actually integrate Occlutech into our Alkem MedTech business, and that itself will take, say, another 12 months to do it. In terms of dividend policy, currently, I think we actually declare 25 % to 30% of our PAT as dividend. In next year, since we'll be coming out of MAT, definitely, the PAT, you will see that -- and we have actually discussed this in a few of our previous calls also that our tax rate will significantly go up from FY '27. So definitely, there will -- if we maintain the same dividend which we have declared in the last few years, if we maintain the same absolute value, then definitely the payout percentage will go up. But we don't foresee any major reduction in absolute value of dividend. The second good thing is that we will be -- we have decided to move to the new tax regime from April '26 onwards. So, the past declaration -- sorry, the past numbers, which I have shared that our tax rate will be around 35% to 38% going forward. So, we want to revise our guidance on tax rate. The number will be around 27% to 29% going forward. So, which will increase our cash accumulation also over the years. I hope I have answered all the question or is any other.

Moderator: Our next question is from the line of Neha Manpuria with Bank of America.

Neha Manpuria: My first question is on the India business growth. Vikas sir, you mentioned that the semaglutide launch priority, which will add to growth. Given that we have grown this year at close to about 10%, how should we think about growth going forward? Should we assume that growth improves further? And if you could also give us some color into how the trade generic business grew in FY '26 rebranded?

Vikas Gupta: So, thanks for your question. I have always maintained that we will grow 100 to 150 basis points higher than the market. Now what has happened is GLP has added to overall market growth as well. So, if the market growth improves, we will continue our growth trajectory 100 to 150 basis points higher than the market, which is what we have achieved even in the current year, and we expect that to happen in the coming year as well. And definitely, semaglutide will add -- will

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play a role in -- for us to ensure that kind of growth. What was your second part of your question?

Sorry, come again.

Neha Manpuria: On the trade generics.

Vikas Gupta: Trade generic, this year, we had carved out a separate entity, and during that transition, we have had certain challenges. So, this year, the growth has been lesser as far as trade generic is concerned, it's close to around 4.3% on an annua

lized basis. But our focus on -- in the trade

generic business has largely been on the profitability. I have said it earlier also, we have focused on margin improvement as far as trade generic business is concerned. So, we have not chased

just top line. There are challenges in that business in terms of the overall receivables that can happen. So, we want to focus on margin improvement as far as trade generic business is concerned. And our key growth driver, branded generic business where we want to be very fast as compared to market. I think that is what it continues. On trade generic business also, we are pretty hopeful that the coming year, our growth will be much better than this year.

Nitin Agrawal: Just to add, because of the sales cutoff issues, we could not deliver. So, the reported growth is on the lower side.

Vikas Gupta: On the trade generic.

Nitin Agrawal: On the trade generic side.

Neha Manpuria: Understood. That's helpful. My second question is on the cost pressures that you mentioned.

Given that we don't know when the situation is going to improve and the cost pressures that you've talked about, how should we think about the margin improvement guidance that we have mentioned in the past that we should see 100 basis points margin improvement every year? Would it be possible for us to deliver on that or do you think the best case at the moment would be for us to be able to maintain the FY '26 margins?

Dr. Vikas Gupta: So, Neha, this is -- you know that geopolitical environment is very unstable, right? and when we had given the guidance of 100 basis points improvement maybe every year, that is more on a more stable and a like-to-like period. And we still believe that operationally, if everything remains the same, we would do that. In the current scenario, it's a moving goalpost. We don't know how much time, how much price variability, how inflation will play out. But I think we will continue to do things that are there in our control. We are taking various measures, whatever we can to mitigate or minimize the risk. But yes, I think in the current scenario, it looks like whatever we have achieved in the current year, we should be pretty much in line with at least that. But of course, as the quarters would progress, we will have more clarity on what kind of headwinds would play out. And I think in the -- by H2 or Q3 of this year we will be clearer as to how the environment is prevailing because anything that we predict at this stage may or may not turn out to be true because this is something beyond any -- and I'm sure every business is having a similar trend and every business is having a similar sentiment.

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Neha Manpuria: Sure. Understood, sir. But based on -- okay, my second -- sorry, one last question, if I may. On the operating cost in the quarter, I see that R&D has increased materially. We've also seen an increase in other expenses. So, any color on -- is this a sustainable base of cost that we should assume? So, I mean, R&D, what should be the range as well as the other expenses?

Dr. Vikas Gupta: So, in terms of R&D spend, I've always maintained our filing cycle is such that Q4, we file maximum number of products. So, in Q4, even last year, we had 5% of our revenue as the R&D spend. And this year, it has been around 6%, 6.5%. But if you look at the annual spend for -- it will be within the range of 4% to 5% only. Even this year, we have been at 4.2%. Last year, we were at 4.3%. So, it has been pretty similar in terms of our overall percentage. And we expect it to be similar between 4% to 5% even in the coming year.

Neha Manpuria: And other expenses?

Nitin Agrawal: In terms of other expenses, definitely, there will be some inflationary pressures and not only on the API prices, but on other costs also, but we don't expect it to increase. There will

be increase

of -- I'm talking increase without, say, Occlutech acquisition, which will happen in, say, 1 or 2 months, the share transfers will happen. Other than that, the other expenses can increase by 7% to 8%, not beyond that.

Vikas Gupta: See, if your question is only on the Q4, why we have, say, an INR200 crore s type increase from Q3 to Q4 on our other expenses, then there are various heads and various reasons to it. One, we carried out some due diligences because we were acquiring certain companies. So that has added to -- that's a onetime cost which is featuring in this quarter. We had foreign currency impact because even the foreign subsidiaries expenses as the rupee would depreciate, that adds on to the cost. So that's one impact. Then there are some internal renovation costs, etcetera, which were more onetime, which is also featured as part of other expenses. But as Nitin has guided, I think from a broad outlook range, you can consider it more than that.

Moderator: Our next question comes from the line of Sandeep Kumar with Clindus Research Solutions.

Sandeep Kumar: An update on.

Moderator: Sorry to interrupt, Sandeep, but your line is not very clear.

Sandeep Kumar: Am I audible enough?

Moderator: This is a little better, please go ahead.

Sandeep Kumar: Could management provide a regulatory launch time line for the Denosumab portfolio? Currently, I know we are in the FDA inspection activity. So how should we think about the

approval and launch timing for Prolia & Xgevia biosimilars in the U.S.?

Sandeep Singh: So yes, we are under approval. I think this -- I think if we are good, maybe by next quarter -- I mean, next year's first quarter. So, there's still some time. And second thing, keep in mind that we don't have a basket yet. So, we have to figure that out as well. So, there could be an option we will out-license it to someone also, but we will not be launching it this year.

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Sandeep Kumar: Yes. Okay. So my second question is on the European market. I know we have got the approval for Prolia biosimilar. So how we are going to tackle the pricing pressure in Europe? And when are you expecting the submission of a biosimilar in the European market?

Sandeep Singh: What -- sorry, what biosimilar last one?

Sandeep Kumar: Prolia biosimilar.

Sandeep Singh: Okay, that you asked Denosumab is the same thing, okay. So, we have -- I think that we have European partners for that. In European partner. So, the pricing pressures for everyone, we'll figure it out how it settles. But yes.

Sandeep Kumar: So, when are we expecting the submission for Xgevia biosimilar in the European market?

Sandeep Singh: I think one second, -- so I think we got approval for both. So right now, we have a partner only for one. So, we are not going to launch it anytime soon.

Sandeep Kumar: Okay. So, my last question is on Romosozumab of Evenity biosimilar?

Sandeep Singh: Excuse me, which mab?

Sandeep Kumar: Romosozumab.

Sandeep Singh: Yes, what about it?

Sandeep Kumar: Could you please provide any insights that when you're going to start?

Sandeep Singh: I don't think so we have that product in our pipeline.

Vikas Gupta: See, right now, we do not have the product in our pipeline. I think at an appropriate time, we can talk about that particular product. But please -- I mean, be more specific, that will be my request if there is any question...

Moderator: Our next question is from the line of Kunal Dhamesha with Macquarie.

Kunal Dhamesha: So, the first one on the -- what are your estimates or internal budget for growth in our various line of businesses for FY '27? And on margin, I think there are a lot of pulls and push -- but let's say, if we kind of combine all that, there is a positive impact of currency depreciation as well.

Where do you see the FY '27 margin range to be?

That's the first question?

Vikas Gupta: Kunal, thanks for your question. See, in terms of our estimates, if you ask me domestic, I've already called out that we should be 100 to 150 basis points higher than the market, which means that maybe a double-digit kind of growth is what we are looking forward to. If you look at from U.S. market, U.S. market from a currency-to-currency basis, the dollar to dollar, we are looking at a high single-digit margin and the currency gain would add up to that. And then if we have some new launches that will come in the H2, they will also contribute to some extent on our overall U.S. growth. From the ROW markets, we have looked at a higher teen's kind of growth. And we assume that, that is going to be the trend even in the coming year. So, I think this is the

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broad outlook on the growth that we are anticipating for FY '27. I think I've already answered the question on the overall margins when Neha was asking. In the current scenario, we have touched a 20.4% kind of growth like-to-like, we would -- we should be within the range of 20% to 21%. But of course, there will be a better clarity on it considering the geopolitical situation stabilizes and we have more clarity on costs as we progress quarter after quarter within the year.

Kunal Dhamesha: Sure. And second question is on the -- what is the current contribution from the Medtech? And when will the Occlutech acquisition be concluded? And then when will we start seeing those numbers in the Alkem's numbers?

Sandeep Singh: Yes. The contribution is less than a percentage right now, Medtech very small. And when the deal will close maybe in like in 45 to 60 days.

Kunal Dhamesha: 45 to 60 days, it will get completed.

Sandeep Singh: Yes, we estimate so.

Kunal Dhamesha: Okay. So, first quarter onwards, like quarter 2 onwards, we'll have full impact of Occlutech?

Sandeep Singh: Yes. If the deal closes, yes.

Kunal Dhamesha: Okay. Perfect. And lastly, on this trade generic where Dr. Vikas highlighted that the focus has also been on the profitability. Just from a qualitative or directional perspective, between, let's say, the kind of business segments we have, like India branded generic, U.S., ROW, where

would the trade generic profitability would fit in from the, let's say, the chronological order perspective? I think India branded would be the highest, but then where would trade generic fit in?

Vikas Gupta: We have not called out segment-wise profitability anyways. But what I can tell you is we have improved in the last few years. And now even trade generic is not very far from our corporate margins. So that has been our intent. And that is what we are continuously focusing on. So that's the range that I can give you.

Kunal Dhamesha: Sure. Thank you, and all the best to the team and all the best to Dr. Vikas for your new beginning.

Vikas Gupta: Thank you so much, Kunal. Thanks for all your support.

Moderator: Thank you. Our next question comes from the line of Abdulkader Puranwala with ICICI Securities.

Abdulkader Puranwala: Sir, my first question is with regards to the revenue and the cost of Enzene and the U.S. biologic plant what you have started. So, if you could highlight exactly the cost as well as the revenue in Q4?

Sandeep Singh: Yes. Broadly, I'll tell you, then maybe Nitin can fill in, he's a numbers man. So, see, if you split Enzene into 2 businesses, that is India and U.S., the reason I'm saying that because Enzene India started much earlier, Enzene U.S. just got commissioned last year or just a few months back.

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So, India is around -- is in breakeven, much more than breakeven. We are in late -- early double digits, you can say teens EBITDA. U.S., we will lose money, of course, because it takes time to ramp up. So

overall, yes, we'll not be EBITDA positive. Maybe this year, we'll be close to it.

But I think India and engine U.S., we have to see separately to be fair to it. So, engine U.S. will take time to kind of get EBITDA breakeven.

Abdulkader Puranwala: Okay. And sir, on previous expectation what we had of at least a onetime asset turn at this particular site. So, I mean post the imposition of tariffs and more focus on in-sourcing, how is the order inflow at the U.S. engine manufacturing facility?

Sandeep Singh: I think early to say, see, these headlines are great. Everybody feels fantastic, but big companies take a lot of time. And don't forget big companies are setting up their own capacity. So that also plays out. We have to keep that in mind. So, I think its early days to declare any victory or that onetime asset turnover look dramatically different. Nothing of that sort has happened yet.

Abdulkader Puranwala: Understood. And sir, last one, just a suggestion from my end. So, if going ahead in the PPT after completing the acquisition of Occlutech, if you could also highlight the progress of Enzene as well as the Medtech business in terms of the way the assets are moving, would be very helpful.

Sandeep Singh: Yes, we'll do that. Whenever there's something meaningful to report, we will do it, sir.

Moderator: Our next question comes from the line of Tushar Manudhane with Motilal Oswal Financial Services.

Tushar Manudhane: Sir, firstly, on -- like as Vikas moves on, so if you could give a clarity in terms of are we going to look for a new CEO and then now that Occlutech is also there where, of course, business heads are there. So, if you could sort of give an overall CXO level in terms of the changes that would happen or any new person coming up on, if you could just share?

Sandeep Singh: Yes. Thank you, sir. I will -- -- so yes, we will look for a CEO. We have engaged with the top 3 global head and up for this. And that would be in place. It would take a few months, but business will go on because promoters are completely involved. And you spoke about Occlutech and other businesses. Keep in mind that the group businesses, which are not pharma, Occlutech or Enzene, they will report to, let's say, other promoters or MD. And the CEO would be look at the hardcore pharma business. That's the structure which we have. And going forward, it will remain the same.

Abdulkader Puranwala: Got it, sir. Sir, secondly, coming to the domestic formulation market, if you could share the number of MRs, attrition rate and what -- how do you think about scaling the MRs in FY '27, '28 maybe?

Dr. Vikas Gupta: So, we -- I just mentioned we have expanded some field force in the recent quarter. And so, our number of MRs at a group level is around 14,500. The other -- what was the attrition was the other question, right? We are at 18% to 19% kind of attrition currently and which has been a substantial reduction from the previous years and much lower than the industry average that we see. So, I think it's a pretty stable field force and now with the added number of people and large

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part of that addition is on the chronic side because that's where we see the growth opportunity

and which is what we are going after.

Tushar Manudhane: And just one on the semaglutide side, while in terms of dosage -wise, we are going to be only into injectables?

Vikas Gupta: Yes. So, at this stage, we have approval from the regulator for injectables, and we have entered that market. Our clinical trial for tablets is on. We will be going to the regulator in a while and once we get the approval from the innovator, we'll figure out the go-to-market strategy for...

Tushar Manudhane: And will this get extended further to ROW or let's say, non-U.S. markets?

Vikas Gupta: Yes, yes, correct. So, at this stage, we are looking at, like

I mentioned in the earlier call as well,

India is showing a lot of opportunity. We want to be absolutely sure and be on top of our supply chain for domestic market. We are also working on rest of the markets, including the U.S., but that will be -- that's not immediate. It will be in a while. So, we will start our filing even for the U.S. market, maybe in 1.5 years, we will file for U.S. And for ROW markets, we are just figuring out. We will be going after it, but it will be, say, a few quarters from now.

Tushar Manudhane: Okay. And just lastly, I missed the U.S. growth guidance, if you could repeat.

Dr. Vikas Gupta: On the U.S. growth...Yes. I mentioned that on a dollar-to-dollar basis, we will be a higher single-digit kind of growth. There will be a forex gain that might add to that growth. And then there are new launches that we are looking at. So put together, I think that's the guidance that I would give on the U.S. growth.

Moderator: Our next question is a follow-up from Neha Manpuria with Bank of America.

Neha Manpuria: Yes. Vikas sir, on this high single-digit U.S. guidance that you've mentioned, does this include the CDMO business that would also be reported under the U.S. revenue line.

Vikas Gupta: No, no. This I'm talking of pharma.

Neha Manpuria: Okay. So, the CDMO would be reported separately in that case?

Vikas Gupta: That will be a part of Enzene, but yes, you're right. As a geography, we report that. But this guidance is largely on the pharma.

Neha Manpuria: And when should we start seeing revenue from the CDMO business come through for Alkem?

Sandeep Singh: No CDMO has already started for Enzene, not from the U.S. plant that much. Last year, we recognized some CDMO from U.S. that was like less than INR100 crores. So, it's pretty small.

It would take time for us to get like meaningfully like INR200 crores, INR300 crores. It will take us a couple of years.

Nitin Agrawal: And where would that reflect in the segmental breakup that we give?

Sandeep Singh: That will come in Enzene.

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Nitin Agrawal: Currently, we don't share segment-wise sales or profitability, Neha. So, our plan is once it will become substantial, we'll start hitting not only for our but also...

Sandeep Singh: It will not reflect in the U.S. business

Nitin Agrawal: Yes. Currently, it is part of U.S., you're right.

Moderator: Our next question is from the line of Rahul Jeewani with IIFL Securities Limited.

Rahul Jeewani: Just on the U.S. business, we had received the approval for Tolvaptan. So when -- if you can talk about in terms of when could be a launch for the product? And when you launch, do you think the market would still be limited competition or you would expect the market to become competitive at the time of Al's launch?

Vikas Gupta: So, our expected launch is around September or October, somewhere around that time. And it's a limited player launch. It's not as crowded as some of the other markets, other product categories that we have seen. I think as compared to those, it's a limited player launch. So it should not be as crowded as some other -- as normally it happens in U.S.

Rahul Jeewani: Okay. So essentially, we are targeting launch in September, October of this year. So contribution should come in second half?

Vikas Gupta: Second half. Second half.

Rahul Jeewani: Sure. And with this Tolvaptan launch, given that you are talking about, let's say, limited competition market, that would imply that the U.S. business should grow much faster?

Vikas Gupta: Sorry, Rahul, just to qualify. At this stage, we still have 4 months, 5 months, we don't know.

Other things will come down. So... The same. What happens is on the base business, U.S. as a market is a value erosion that we see over a period of time. So maybe in some products, you see a value erosion that would happen.

But on the back of some of the new launches, we are able to make up. So, I think that is how -- that's why the guidance is on those lines.

Rahul Jeewani: Sure, sir. And my second question is with respect to the India business. You talked about TDX business growing, let's say, 4%, 4.5% in FY '26. That would essentially imply that the branded generics business grew closer to 11% last year. Now next year -- so what my question was,

obviously, T Gx growth last year was impacted because of the restructuring which you carried out. So, let's say, T Gx on a stable trajectory next year and we're benefiting from GLP -1 or Sema scale up in India, then potentially the BGX growth for FY '27 could be even better than this 100, 150 basis point outperformance which you called out versus the IPL?

Vikas Gupta: See if the GLP -1 really, say, adds a lot of value, I'm sure the market growth would also be much higher. So that's why I have given the growth guidance relative to the market growth. So, if market also is bullish and the market growth from, say, a 9% moves to 11%, then our growth also will be much higher. I think it will be -- as a guidance, I would say 150 basis points ahead of market is fairly doable as far as that is concerned because that is just one product category.

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And our large base is still acute. So chronic is, say, 22% to 23% of our overall base over there. So sometimes that weighted average plays out. But I think I will not do that calculation. I would just keep the focus clear on are we beating the market as far as 100 to 150 basis points is concerned. And then yes, of course, the growth can be bullish.

Nitin Agrawal: I mean FY '26 you assume we acquired -- also. So there was some incremental on account of acquisitions, which have already built in the base now.

Rahul Jeewani: Okay, sir. And given that you touched about on the acute business, so on anti-infectives, we have seen that the market continues to remain muted, both for the IPM as well as Alkem. So, any visibility in terms of when could we see some sort of a growth improvement in the acute therapies in India?

Vikas Gupta: See, the market may have been muted. But if you look at our growth, we have outperformed even in acute. And in acute, anti-infective is muted. And that too in anti-infectives, if you would see the struggle has been on the oral liquids as well as on the injectable side, right? If you see overall oral solids, they are still -- there have been some growth. It has been a shade better than -- so I think if you look at our growth, our growth has been, say, a high single-digit kind of growth even on that segment. But even in acute, we've -- say, for example, we've -- A to Z has been a great story for us in the recent years. We are really outperforming the market. We have seen very good growth coming out of that segment. Respiratory is growing pretty fast for us. So, there are areas, pain and analgesics we see as a category, we have revived our growth. So, if you look at some of those segments, we are getting good traction. But of course, when anti-infective market will come back, it is very hard for anybody to predict. That's more -- yes, I mean, we would rather not predict it and just do things that are in our control.

Rahul Jeewani: Sure. Dr. Vikas. Thank you for answering the question. I will join back the queue.

Moderator: Thank you. We have no further questions, ladies and gentlemen. I would now like to hand the conference over to the management for closing comments.

Purvi Shah: Thank you, everyone, for joining today's call and for all the thoughtful questions and active participation. Should you have any follow-up queries or require any further clarification, please feel free to reach out to us. Have a pleasant evening. Thank you.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services,

that concludes this conference.

Thank you all for joining us. You may now disconnect your lines.